

# Nippon Life Ind. (NAM-INDIA)

*Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.*

## Call: Aug 2022

August 04, 2022

BSE Limited Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai 400 001

BSE Scrip Code: 540767

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra Kurla Complex,

Bandra (East), Mumbai 400 051

NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended June 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2022 conducted after the meeting of Board of Directors held on July 28, 2022, for your information and records.

The above information is also available on the website of the Company:

<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q1-FY-2023.pdf>

Thanking you,

Yours faithfully, For Nippon Life India Asset Management Limited

Nilufer Shekhawat

Company Secretary & Compliance Officer

NILUFER GAURAV

SHEKHAWAT Digitally signed by NILUFER GAURAV SHEKHAWAT DN: c=IN, postalCode=400093, st=MAHARASHTRA, street=MUMBAI, l=MUMBAI, o=Personal, serialNumber=7c17697263e997f44e2102c196063c44f0ba011d0fd4a08a289b57c91d8c4950, pseudonym=f3ed98b0318c41efaa4452c776849bca,

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email=NILUFER1234@GMAIL.COM, cn=NILUFER GAURAV SHEKHAWAT Date: 2022.08.04 18:15:41 +05'30'

Page 1 of 14 Nippon Life India Asset Management Limited

Q1 FY23 Earnings Conference Call

July 28, 2022

Moderator: Mr. Jignesh Shial - InCred Equities

Management: Mr. Sundeep Sikka - ED & Chief Executive Officer

Mr. Prateek Jain - Chief Financial Officer

Mr. Saugata Chatterjee - Co-Chief Business Officer

Mr. Aashwin Dugal - Co-Chief Business Officer

Mr. Arpanarghya Saha - Chief Digital Officer

Mr. Hiroshi Fujikake - Chief Planning & Business

Excellence Officer

Nippon Life India Asset Management Limited

July 28, 2022

Page 2 of 14 Moderator : Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Limited Q1 FY2023 Earnings Conference Call hosted by InCred Equities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from InCred Equities . Thank you and over to you Sir!

Jignesh Shial : Thank you Michelle . Good evening everyone. On behalf of InCred Equities, I welcome you all for this earnings call of Nippon Life India Asset Management Limited . On behalf of the management , we have Mr. Sundeep Sikka and the entire management team of Nippon Life

Asset Management. I will now hand it over to Mr. Sundeep Sikka, CEO of Nippon Life Asset Management. Over to you Sir!

Sundeep Sikka: Thanks. Good evening and welcome to our Q1 FY2023 earnings call. We have with us our Chief Financial Officer Prateek Jain, Co-Business Heads Mr. Saugata Chatterjee and Mr. Aashwin Dugal, Chief Digital Officer Arpanarghya Saha and Fujikake-san - Nominee of Nippon Life Insurance.

Our detailed investor presentation and press release have been uploaded on the exchanges as well as on our websites. Before we take your questions, let me share with you some comments on the recent industry trends and our Q1 performance. This quarter has seen significant market volatility owing to the continued geopolitical uncertainty, high crude oil prices, increasing inflation and weakness in currency coupled with FII outflows. In the past too, we have witnessed that global sentiment and local economic

indicators had an impact

on the Indian asset management industry. The industry assets declined marginally by 2% in this quarter after witnessing a positive momentum for seven quarters. The decrease was mainly due to the fall in equity as well as fixed income assets, while ETFs rose. However, the secular trends, in terms of investor additions, continue to remain steady. The industry further expanded its base of unique investors, which grew by 1.6 million in this quarter, representing a 5% increase over March 2022. The growth in the investor base and consistently higher quarterly SIP flows indicate investors' preference for mutual funds as an avenue for long-term wealth creation. At Nippon India Mutual Fund, our priority is to be future ready and capture the long-term opportunity. Our overall market share rose by 16 basis points to 7.40%. AUM increased by 16% to Rs. 2,794 billion. At Nippon India Mutual Fund, "investor interest" remains our only constant. We added 1.3 million investors in Q1 and continue to have largest investor base in the mutual fund industry. We increased our share of industry's unique investors to 37%, with a base of over 13 million investors. In line with the "Investor First" motto and prudent governance philosophy, Nippon India Mutual Fund is committed towards an institutionalized approach towards fund management. As on July 28, 2022

Page 3 of 14 June 2022, no category of equity has more than 16% of the total assets. Majority of the funds are jointly managed, and no individual fund manager manages more than 23% of equity assets and, that too is spread across funds which have other co-fund managers. Systematic flows are a stable and a key driver for industry's long term equity flows. Nippon India Mutual Fund's annualised systematic transaction book is at Rs. 97 billion. Quarterly flows increased by 30% to Rs. 23 billion. On a gross basis, over 383,000 systematic folios were added in Q1. Our systematic AUM rose by 7% to Rs. 482 billion. 51% of SIP AUM has continued for over 5 years vis-à-vis 22% for the industry. Also, in volatile markets, folios with lower ticket size have demonstrated longer vintage and better stickiness. 13% of SIP folios have continued for more than five years as against the industry number of 9%. Today, Nippon India Mutual Fund offers industry's best suite of products in passive category. With strong growth in industry's passive assets, our ETF ecosystem is already in place and far ahead of its peers in terms of investor base and mind share. In this segment, we manage an AUM of Rs. 601 billion and have a market share of 14.1%. Excluding the EPFO allocation, which rose to two specific mutual funds, we would be the largest ETF player in the country. Our gold ETF is the biggest fund in the category with assets of Rs. 68 billion. Nippon India Mutual Fund's share in industry's ETF folios rose to 60%. In Q1, we added over 1 million investors and accounted for 83% of the total folio additions in the mutual fund industry. Nippon India Mutual Fund has 74% share of ETF volumes on NSE and BSE. Our ETF average daily volumes across funds remain far higher than the rest of the industry. Nippon India Mutual Fund always had an unwavering focus towards building a digital centric business. With a futuristic vision and a clearly articulated strategy in place, digital has become one of the key stones of a long-term growth and sustainability. In Q1, digital platforms contributed 55% of our total new purchase transactions. Over 750,000 purchases were executed through digital assets - an increase of 25%. Nippon India Mutual Fund has a well-diversified and enabled distribution base and a wide presence to 275 locations across the country. As on June 2022, we have over 85,500 distributors empanelled

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with us. The MFD base rose to 85,300, with an addition of 1,200 distributors during this quarter. Now on our financial performance. For the quarter ended June 30, 2022, the profit after tax was Rs. 1.1 billion - a decrease of 37%. Operating income rose by 1% to Rs. 1.7 billion. Operating profit, as a ratio of average assets in the management, was 25 basis points in Q1 FY23 as compared to 28 basis points in Q1 FY22. In the past, the Company has followed a consistent dividend policy. In FY22, NAM India distributed the highest ever

dividend, with a payout ratio of 96 %. Over the last eight financial years, NAM India has distributed a cumulative dividend of Rs. 34 billion. As we grow organically through a physical and online channels, we remain open to evaluate investments and strategic opportunities that add to profitability or complement our existing businesses and, ultimately, are in the interest of minority shareholders. As a signatory to UN-PRI, we have already begun to integrate ESG aspects into areas of strategy, business operation, investment management and governance. We have introduced a formal ESG framework in FY22 and have disclosed our vision, objectives and progress in the annual update. Through a

Nippon Life India Asset Management Limited  
July 28, 2022

Page 4 of 14 combination of responsible investing approaches of screening, ESG integration and active ownership, we remain committed to build a resilient portfolio that will not only provide sustainable returns for investors but also have a positive environmental impact on social impact. To sum it up, I would like to reiterate that, at NAM India, investor centricity remains the key theme. We strive to deliver a superior performance and sustainable returns to our investors and, in the process, add value to all stakeholders. We are confident to continue our trend of profitable growth in coming quarters. With these comments, we are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sameer Dalal from Natverlal & Sons Stockbrokers. Please go ahead.

Sameer Dalal: I had a question regarding your other income loss. You have shown a loss this time of about Rs. 17 Crores. When I look at your breakup of your investments, only Rs. 250 Crores is in equity, about Rs. 2,500 Crores in debt in the mutual fund schemes. So has the debt side also underperformed that badly that the overall returns are showing a negative? I just want to understand, given most of it is in debt, how we reported a loss for this period in the other income?

Sundeep Sikka: I will request my colleague Prateek to take this question please.

Prateek Jain: Actually, as you mentioned, there is Rs. 250 Crores of equity exposure and, broadly the market has fallen about 12 % to 15 % and, because of the mark-to-market impact, our schemes have declined in the same range of 10 % to 12 %. So, broadly, the major MTM impact is coming from there. Also, the yields in the 10-year G-sec has gone down by about 50 basis points in this one quarter itself and, that has had a net effect on the shorter end of the curve as well. So, on an overall basis, there has been some decline on the fixed income side also, and you have to understand that because of the skin-in-the-game requirement, we have to invest into all our debt schemes across the portfolio. That may have also resulted in MTM impact on the fixed income side. Therefore, the overall impact is about Rs. 7 Crores on the standalone basis and about Rs. 17 Crores on the consolidated basis.

Sameer Dalal: Will it be possible to share how much of your portfolio is into long-term debt, short-term debt and give a breakup of

that, because the short term debt really even if the interest rates move up, the impact is not much, it is basically the long term that have taken a hit, I am guessing?

Prateek Jain: 70% of our debt is into the short term category.

Nippon Life India Asset Management Limited  
July 28, 2022

Page 5 of 14 Sameer Dalal: So given that 70% is in short term, I am just still again trying to extrapolate. It does not matter, it is a small amount, but net-net that is affecting your profitability for the quarter, right, if you look at it. Second thing is your fee income has also gone down a bit, as a percentage of total assets. So has there been any change in certain structures of brokerage given out or commissions given out that have affected your earning income?

Prateek Jain: This is the complete accounting impact. If you look, the markets were almost at a peak April 4, 2022 or March 31, 2022 was the time where the market was at its peak. Markets have recovered significantly now, but on June 30, 2022 when the accounts were drawn, the market was dropped. So what happens is this is a balance sheet date. So when we were preparing our financials for the quarter of March, the valuation was at the peak and when we were making the balance sheet for this quarter, it was the lowest. Therefore, that has to be accounted in other income.

Sameer Dalal: Yes but that still affects your yield. So any particular reason why the yield is down?

Prateek Jain: On the yield side again, because of the mark-to-market impact on our equity schemes, the realization was comparatively lower. The equity assets have declined to the extent of MTM impact and also, the growth into our assets have come into the more low-yielding assets which is liquid and ETF. That is the reason of the lower yield.

Sameer Dalal: Okay fine. I will come back in queue . Thank you.

Moderator : Thank you. The next question is from the line of Lalit Deo from Equirus Securities . Please go ahead.

Lalit Deo: Good evening Sir. If you look at the increase in total folios , majorly , it has been driven by the ETF segment . So I just wanted to understand the new folio additions on the equity side and how has the trend been over the last 12 months ?

Sundeep Sikka: They are very high percentage that have come in ETF. We have also seen over 375,000 new SIPs getting added during the quarter. A gain, in case of ETF, new investors are coming and , in active , it is a mix of both new investors whereas the existing investors are also going for top-ups.

Lalit Deo: Sure Sir thanks and , with respect to operating expenses , there have been a sharp increase in the other operating expenses sequentially . So what are the reasons for the same and with respect to operating leverage , so apart from the increase in the AUM , what are the other levers for us to have better operating leverage?

Prateek Jain : In Q4 FY2022 , we had expenses of Rs. 138 Crores which is now at Rs. 145 Crores , so I would not call it as a sharp increase . There is a Rs. 7 Crores increase on overall basis and ,  
Nippon Life India Asset Management Limited

July 28 , 2022

Page 6 of 14 predominantly because if you look at the last two years , we have not given much increment to our employees . Last year was, from a profit perspective , one of the best years for us and therefore , we have given inflation -linked increments to our employees , so that is one reason . Secondly , the economy has completely opened up now and business is as usual and normal . So, there are certain expenses which are related to that , which have gone up . Also, the fact that we carried out certain marketing initiatives , which you would have witnessed both in terms of our television campaign as well as the newspaper campaign , and which is again a part of our future readiness and investment for the future . So those expenses have

resulted in this increase . However , we will remain committed to continue to work and operate this company with utmost frugality , and that has been our approach for the last three to four years and , we will continue to operate in that fashion . Also, as Sundeep mentioned in the call , the way we have diversified in terms of our fund management, etc., even if the asset has to grow one-and-a-half to two times , no significant investments or expenses would be required and , that is where the operating leverage will come into play .

Lalit Deo: Sure Sir. Thank you.

Moderator : Thank you. The next question is from the line of Mital from HDFC Securities . Please go ahead.

Mital: Good afternoon Sir. Thanks for the opportunity. Now the first question was around yield . There is a sharp drop in equity yields in this quarter , whereas when we look at the equity for the other players , we have seen that for them the yields have sort of improved in Q1 after the normalization in the environment . But, for us , even in Q1 , there has been a very sharp drop into the yields . So if you could explain , what has been the reason?

Prateek Jain : There has not been a sharp decline. In terms of our overall yield , some of our fixed income or debt assets have seen shrinkage and those money has come in terms of ETF as well as the liquid . So our market share as well as our overall composition is skewed. While we have maintained our equity composition of 42 % , debt has declined and has gone into ETF and liquid . Therefore , there has been some change because of the impact of this composition . Also, because of the mark -to-market impact , there has been an impact on the overall yield.

Mital: Because of mark -to-market , your assets go down but ideally your yields should not be going down , right ? Ideally, the yields should improve if the absolute assets go down . My question is around yields , actually , because even if I do understand that the share of the debt has gone down , but even then, the drop in the yields seems quite high on a sequential basis actually ?

Prateek Jain : From our perspective , we start the year anticipating what could be the cost likely to come in. So we preempt that expense now . What we have done is we have anticipated what is the  
Nippon Life India Asset Management Limited

July 28 , 2022

Page 7 of 14 likely yield , which will be going to be the end of the year and , we start building up on that basis . So that is in compliance with the SEBI circular . So what has happened in the last few years is that there has been higher intensity of competition and a lot of new money has come through , which has been at a significantly higher cost basis. We have pared our realization basis the expected new inflows and the expected new cost , and basis is that , you see some decline in our yields on our equity assets .

Mital: From what I understand is that the yields are charged on a daily basis . So is it something that we are charging some estimated yield ?

Prateek Jain : Because what we have to do is that, as per the SEBI requirement , you have to charge expense on equities , keeping the average expected brokerage . So we always try to estimate what would be the yield , what would be the average brokerage cost and what would be the average margin , which will be realized , and based on that , we peg our fees.

Mital: Some outlook on the yields front because if yields continue to dip at such a rate then any operating leverage play out seems quite unlikely in our business because the yields have been falling at such a fast pace . So, if you can give us some color around outlook on the equity yields ?

Prateek Jain : This downward pressure on yields will continue for some more time because there has been a slew of new players who have come in and , also, while in the last two quarters we did not see many NFOs, but we

have seen NFOs coming in the past. Therefore , there has been a tendency from the distribution fraternity about the money they will get or rather these pressures would be there on the yield , so that is one reason . Secondly , as you mentioned , when the asset grows up from here , obviously there would be a decline in the realization . The third bit is that , from the overall yield perspective , the composition has been changing , both on the debt and the equity side . A lot of new money has started coming in on the passive side , so we have seen a good amount of inflows on the passive side both on the equity as well as fixed income side . So, all of these are putting some pressure on the yield and which is likely to continue for some more quarters , before it comes down because of the base effect . But more importantly , what we also expect that , once the yield curve reaches the peak , from thereon when the yield curve changes or when the interest rate cycle changes , lot of money will come into the long tenure and the credit side of the fund and , that will lead to the change in the asset mix again . So, there is a flight -to-safety at this point of time . Then again , we have seen that when the money will flow into those asset categories where we have a propensity to a higher yield, you will see that there will be an overall increase in the yields . So, I think , this is cyclical in nature .

Mital: I agree that with the changing interest rates , flows into debt will return . But my point is that for how long this pressure will continue, because when we look at yields on a quarter -on-Nippon Life India Asset Management Limited  
July 28 , 2022

Page 8 of 14 quarter basis , it is very difficult to make out until when will this pressure continue to remain ? For one year or two years or five years ?

Prateek Jain : From our perspective , we do not completely participate in the way the competition goes about and shares their fee income with the distributors . We have our own benchmark and we continue to maintain our profitability , which we will continue to do so . However , what we could not control was the outflows and the churn from the old assets to new assets . But what we have seen is that the pace has significantly come off. So from December 2018 till about December 2021, we have seen significant outflows from our schemes . There was gross outflows which was happening . Despite getting lot of AUMs , there was a net outflow that has been now arrested and , we are seeing net positive AUM . Also, the overall redemptions have gone down , which means the vulnerability to those old assets getting churned has now come down significantly . Hence, the impact going forward will not be significant unless we also start sharing a significant portion of our fees with the distributor . So what we could do is to proactively not share significant amount of all fee and the second was the redemption , which was beyond our control .

Mital: Got it and on the passive side , given that most of these new vintage companies are coming up with a plan to launch schemes on the passive side and given that these schemes are sort of quite easily replicable by the other AMC s, what sort of innovation do you see on the passive side going ahead again , like we are seeing in this segment ?

Prateek Jain : Clearly , India still remains highly underpenetrated and I think there will be more players and more competition . More than innovation , on one side , we continue to launch new products especially on the passive side . On the active side, we have already articulated in the past that we will not be launching new schemes for the sake of launching , till the time we see they can be scaled up . On the passive side , we will launch a few schemes but ultimately , like anything else , the key focus is going to be an execution . We believe that on the passive and the

ETF side , we have the ecosystem in place and , we will continue the strategy of execution . New players coming, not coming, what competition is doing , we will keep an eye on that . But our core focus remains on what is best suited for the investors ' interest and what is best suited for the portfolio . We will continue launching schemes based on that .

Mital: Could you help us with the schemes which are already in the pipeline for the next six to 12 months?

Sundeep Sikka : It is in slide number 11 of our presentation . Entire details are there .

Mital: Got it thanks. That was all from my side. Thank you.

Nippon Life India Asset Management Limited

July 28 , 2022

Page 9 of 14 Moderator : Thank you. The next question is from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited . Please go ahead.

Kunal Thanvi: Thanks for the opportunity . My question is again on trying to understand where Nippon India stands in terms of profitability, market share because if you look at equity and that in both the categories , we have been not able to gain back the lost market share . The market share is either stable or we continue to lose it , but at the same time , if you look at our yields , we are seeing one of the fastest compression in the revenue yields compared to peers both listed and unlisted . So what is happening out there . Like as we said , we are not participating in giving high commissions . Then also, our realizations are coming down and , at the same time, we are not gaining market share as well . Can you help us understand the sharp fall in the yields from say 4Q FY2022? Our revenue yield was at 48 bps, it is at 45 bps. The change in asset mix do not explain this kind of fall , right ? We are seeing this kind of change in asset mix in previous cycles as well and , what is happening out there , because at one hand , you are losing yields , and at the same time , we are not seeing increase in market share . So, if you can explain how one looks at market share versus yield phenomena because when you look at other AMCs , there is a clear inverse relationships . You give more commission and get higher market share . But, in our case , on both ends, we are seeing pressure on the both sides ?

Sundeep Sikka : Kunal , I will give some initial comments , then hand it over to Prateek . Firstly , you talked about market share . We have seen a rise in market share for five quarters . It has been going up, which asset class , again , I will stay out of that , right now, because it is already in the presentation . We do not want to repeat it . But, for five quarters back-to-back , the market share has been increasing. Number two , we clearly believe when you talk about market share , one of the most difficult things to execute in this industry has been retail. In the retail market share , our retail folio count market share has been increasing. Having said that , I will go to the last part of this thing that different AMCs will have different strategies. One strategy that we are very clear is that we are not going to be doing any business, which is going to get a loss. The change that you are seeing is due to product mix number one . In equity , over the last five quarters , we have started seeing better inflows . With the improvement in performance , we are seeing the gross flows are getting better , while the redemption has stopped . Clearly , we believe there is going to be a lag effect and I think the composition of equity assets will increase further in the next few quarters. As far as the realization is concerned , Prateek , you want to take that one.

Prateek Jain: I have already spoken about the yield part of it . But you are right that what has happened is the recent increase in the market share has come through the low -yielding assets , which is passive and liquid . But what you have to see is that

the pace of decline of our equity assets

and the net outflows , which we were witnessing , has been arrested. The kind of depletion in our equity market share , which we were witnessing , has been done away with. Obviously

Nippon Life India Asset Management Limited

July 28 , 2022

Page 10 of 14 since the time we have actually started exiting our past group and from thereon till about December 2021 , we were seeing continuous outflows coupled with some not -so-great performance . But if you now see , the one-year and three -year performance has come up and, in the last six -odd months , we have been able to arrest that decline. Also , on the fixed income side , large part of the money which has gone out is the FMPs, which we had .

Obviously , there are time bound and , while we have got them back , that has come into the low yielding assets . So those assets have matured, and they have come back to us. I think , at the appropriate time , we will be able to migrate them to the higher yielding assets . Again, as Sundeep mentioned , the philosophy has always been "investor first " and importantly , during these times , the best strategy from the fixed income side is to be on the shorter end of the curve . So large part of our assets , even in the fixed income category , has come into the shorter end of the curve . Therefore, growth has come in liquid , ETF and shorter end of the curve and , that has an impact on the realization . Importantly , we had been witnessing decline in the equity assets , which has now got arrested and , in the last six months , we have seen decent amount of positive inflows . We will like to build on that momentum and , going forward , we are likely to see higher market share in the equity asset as well.

Kunal Thanvi: Sure. Just a follow up on that one . If I get it right , the large part of the yield fall is because we are gaining market share in lower yielding assets . Second part of the question was if you can help me with average equity yields that we had in Q4 of FY2022 versus this quarter?

Sundeep Sikka : We do not give individual breakup of the yields , but largely , the decline is in line with the industry . If you see the various schemes , whatever distribution commission we have been paying , it is lower than most of our peers because of the mix . Since large part is coming through IFA s , our average brokerage is lower and that is where we will continue to do so . But we are admitting that we saw a lot of outflows , so a lot of the old assets which were higher yielding or which were at low trail , has been replaced by the new trail.

Kunal Thanvi: Okay thanks . All the best.

Moderator : Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup . Please go ahead.

Dipanjan Ghosh: Good evening . Just one question from my side . If you can give some color on your wallet share across top distributors in the banking category or MFDs or national distributors , more from the equity flows perspective , as we see , in the last one or two quarters ?

Saugata Chatterjee : I will just share data from the last two quarters . Broadly , the equity market share , from a flows perspective , when it comes to MFDs , is roughly around 7% to 8% of the industry .

From banks and the larger wealth counters , we will be slightly less , maybe around 5% to 6%. From a blended perspective , it will be around 6% to 6.5% . As a company , that is where Nippon Life India Asset Management Limited

July 28 , 2022

Page 11 of 14 we stand today . We have a very high SIP concentration. In the SIP flows , we will be close to double digit . That has incrementally gone up over the last eight quarters . Hence our net sales has started becoming positive in the last three quarters .

Dipanjan Ghosh: So just to confirm 5% to 6% was on the banking channel , 8% to 10% was on the MFD channel , 7% t

o 8% was on the national distributors or the large distributed channel and on a blended basis around 6% to 6.5% is that correct ?

Saugata Chatterjee : Yes. Our larger share of the wallet comes from the IFAs , even in absolute terms.

Dipanjan Ghosh: So just maybe a follow up on this wallet share that you gave across the IF As. If you can segregate your overall flows through the IFA or the MFD channel s , between , let us say , the top 500 IFA s versus the rest and , not maybe from last two quarters but maybe whatever trends you have seen let us say for the past one , two and three years out there?

Prateek Jain: We do not comment on these granular data in terms of our engagement with the individual distributors or group of distributors . But I think whatever disclosures are required and which are available on the industry or the peers , is made available through our presentations too.

Dipanjan Ghosh: Sure that helps. Thanks and all the best .

Moderator : Thank you. The next question is from the line of Akshay Jain from JM financial . Please go ahead.

Akshay Jain: Good evening Sir. So I have two questions. Number one, can you please share some broad range of yields across segments . Specifically on the equity side , maybe if you can give some color on what you are making on the old stock versus what you are making on new ?

Prateek Jain: It is in the same range . We earn 75 to 80 basis points on the equity assets . In terms of the old one , again it all depends in which asset class , which category , at what time the investor has come in . But the good news is that we have almost 30 % of our assets which are more than four year old now . All the money which could have churned , would have been churned by now because the pace of churn has come down dramatically . So this is the asset which has continued to yield a good yield for us . However , as we continue to grow from hereon , the share of this asset will keep reducing and , hence , there will be a pressure on the overall yield . But from a competition perspective , this will insulate us as our yields are not going to drop as much as compared to others , because now that the outflows have been arrested , the yield drop will not be as significant compared to some of the players , who will continue to see this churn happening. The other good news is that because our fund performance has Nippon Life India Asset Management Limited

July 28 , 2022

Page 12 of 14 also come significantly up the curve . That will also arrest the churn and , also , we will see some decent amount of inflows back into our equity schemes .

Akshay Jain: Understood Sir and , about the range in debt and liquid and others ?

Prateek Jain: I can share with you that even in the last two years , when this shift of the debt assets from credit to a more safe assets started in 2018 September . From that period , if you look at it , the average blended yield on the debt would have come off for the industry as well as for us by close to about 10 to 12 basis points.

Akshay Jain: Understood Sir and , on the second question is on the tax rate . So your listed peers have benefited from two things , one on the deferred tax which have been reversed on say MTM losses and , number two , the benefit of indexation on the investments , which they receive . But in Nippon's case , we are not seeing any benefit of the tax side , so any comment on this ?



Prateek Jain: What we do, and we have commented in the past as well is that, we have created ETR . So what is the effective tax rate which would be there , not considering just this quarter . The accounting standard requires us to anticipate that, so we have not taken the impact . We assume that market is going to be flat for the year and , basis that, we have accounted for the profit and that is how we have calculated the ETR . What we are assuming is that whatever income we are earning , we will continue to earn irrespective of this one time market-to-market impact on the equity scheme , because we assume the market will become flat . So neither the appreciation nor the decline is being considered, while we are calculating the ETR for the full year . Based on that , we are calculating and , therefore the effective tax rate is 24%.

Akshay Jain: Understood and what about the indexation benefit ?

Prateek Jain: From our perspective , till the time we do not sell, or we do not trade , we do not offset any kind of long -term or short -term capital gain on our equity investments .

Akshay Jain: Understood Sir. Thank you.

Moderator : Thank you. The next question is from the line of Krunal Shah from Enam Investment . Please go ahead.

Krunal Shah: Thank you Sir. Most of my questions have been answered . Just one question. What are the blended yields in ETF?

Prateek Jain: ETF would be in the range of 11 to 12 basis points.

Krunal Shah: Okay , done . Thank you so much .

Nippon Life India Asset Management Limited

July 28 , 2022

Page 13 of 14 Moderator : Thank you. The next question is from the line of Mohit Surana from CLSA . Please go ahead.

Mohit Surana: On one of the previous answers that you gave on your share in gross inflows of various distribution channels , if you could also , if you have the data handy , you could also tell us your share on gross direct inflows which is like non -distributed and also your share on redemptions ?

Prateek Jain: Mohit apologies but what has been disclosing in our investor presentation is what we can comment on , at this point of time . However , as and when we believe that such data needs to be disclosed , we will definitely take up the lead and start disclosing it . But, at this point of time, we do not disclose the individual shares of gross flows from particular segments in terms of distribution . However , total distributed asset as well as our share of assets from IFAs, bank distributors and national distributors has already been provided in our presentation .

Mohit Surana: Understood Sir, and the second question is with regards to the operating expense . Now you have mentioned in one of your previous responses that there are some increases on account of higher activity , etc. So do we assume this is a kind of a new normal and a new steady state and if there is any outlook that you want to share for the full year growth and operating expenses ? That is all from me.

Prateek Jain: From an employee expenses perspective, all was supposed to be accounted in Q1 itself because the increments and the provisioning , etc. If you have seen, we have been consistent and will continue to be consistent , so this will be the steady run rate unless there is a significant change in our profitability . Based on that , if it is a good year , we may decide to share some more variable or if it is not a good year , which as you have seen in the past , we may work on our variable payout . So that is the one case . But that lever has always remained with us and that is completely contingent on what kind of profit we make . But at this point of time on our anticipated profit basis , we have already provided adequately, and we do not see a significant change in the numbers going forward. In terms of the other expenses , there has been a marginal increase in terms of two broad regions . One is the marketing spend . We will continue to invest into marketing because we are seeing good traction and our performance has been good and , these are the right times for an investor to invest . So obviously , we will reach out. We have seen good traction of new investors coming in and , therefore , we will continue to invest into the marketing spend and barring that, for all the other non -discretionary spend , we will continue to keep tighter controls and we will try to see that how much we can squeeze out of it or at least not let them grow from here on.

Prateek Jain: We will continue to invest into marketing because we are seeing good traction and our performance has been good and , these are the right times for an investor to invest . So obviously , we will reach out. We have seen good traction of new investors coming in and , therefore , we will continue to invest into the marketing spend and barring that, for all the other non -discretionary spend , we will continue to keep tighter controls and we will try to see that how much we can squeeze out of it or at least not let them grow from here on.

Nippon Life India Asset Management Limited

July 28 , 2022

Page 14 of 14 Mohit Surana: Okay understood , and just a follow up, do you foresee any seasonality in terms of spends across the quarter ?

Prateek Jain: As I told you , there are only two things , which we have said in the past , that we will continue to invest in the future . So, one is marketing , given the traction and given how our scheme continues to do and how we want to spend , so that is one area . The second area is digital . We have seen significant i ncrease in the activity on digital and , that is one area , we believe that we will keep investing . But in case of all these investments , while as a part of conservative accounting we have accounted in the same quarter where we spend, the benefit is likely t o accrue in future as well . So this is how you have to see and , the details of these expenses are also available on our annual report . So you can see that how we have been spending and , going forward also , these are the two areas where some higher allocati on may happen .

Mohit Surana: Understood Sir. Thank you.

Moderator : Thank you. The next question is from the line of Abhijeet from Kotak Mahindra AMC . Please go ahead.

Abhijeet: Good evening. I have one question of the new retained E TF customers that you ar e seeing for the last one year . Would you have a sense of how many of these are starting their mutual fund investments through the E TF group or these are largely sort of already existing investors and sort of now experimenting with an ETF product as well ?

Sundeep Sikka : At this point of time , we may not have that kind of a color , but we clearly see an opportunity going forward where we can cross sell and upsell va rious products . But it is very difficult , at this point of time , to give this answer . But our s trategy will be to cross sell various other products .

Abhijeet: Sure got it. Thank you so much.

Moderator : Thank you. As that was the last question for today on behalf of InCred Equities that concludes this conference . Thank you for joining us . You may now disconnect your lines.

## Call: Oct 2022

October 27, 2022

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended September 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended September 30, 2022 conducted after the meeting of Board of Directors held on October 19, 2022, for your information and records.

The above information is also available on the website of the Company:

<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q2-FY-2023.pdf>

Thanking you, Yours faithfully,

For Nippon Life India Asset Management Limited

Nilufer Shekhawat  
Company Secretary & Compliance Officer NILUFER  
GAURAV  
SHEKHAWAT Digitally signed by  
NILUFER GAURAV SHEKHAWAT  
Date: 2022.10.27  
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Page 1 of 14 Nippon Life India Asset Management Limited  
Q2 FY23 Earnings Conference Call

October 19, 2022

Moderator: Mr. Jignesh Shial - InCred Equities

Management: Mr. Sundeep Sikka - ED & Chief Executive Officer  
Mr. Prateek Jain - Chief Financial Officer  
Mr. Saugata Chatterjee - Co-Chief Business Officer  
Mr. Aashwin Dugal - Co-Chief Business Officer  
Mr. Arpanarghya Saha - Chief Digital Officer  
Mr. Hiroshi Fujikake - Chief Planning & Business  
Excellence Officer

Nippon Life India Asset Management Limited  
October 19, 2022

Page 2 of 14 Moderator : Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Limited Earnings Conference Call for 2Q FY2023 hosted by InCred Equities . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from InCred Equities . Thank you and over to you Sir!  
Jignesh Shial : Thank you Tanvi . Good evening everyone. On behalf of InCred Equities, I welcome all to Nippon Life India Asset Management Limited 2Q FY2023 earnings conference call . We have along with us Mr. Sundeep Sikka ED and CEO along with the top management team

of Nippon Life India Asset Management . I would like to hand over to Mr. Sikka, for his opening remarks . Over to you Sir!

Sundeep Sikka: Thanks Jignesh . Good evening everyone and welcome to our Q 2 FY2023 earnings conference call. We have with us , our Chief Financial Officer Prateek Jain, Chief Business Officer s Mr. Saugata Chatterjee and Mr. Ashwin Dugal, Chief Digital Officer Arpanarghya Saha and Fujikake -san, representative from Nippon Life. Our detailed investor presentation and press release have been uploaded on the exchanges as well as on our websites .

Before we take your questions , let me share some comments on the recent industry trends and our quarterly performance . In Q2 , equity markets rebounded from the lows of June 2022. However, it ended on a volatile note due to the ongoing geopolitical concerns, global inflationary trends and weaker INR to USD movement . Despite the mixed overall outlook , Indian asset management industry maintained its growth momentum driven by higher retail awareness. The industry assets rose by 3% in this quarter mainly driven by higher equity and ETF assets. However as we look back , the industry assets have seen 4x growth in last 10 years. Yet we believe that the significant growth potential still remains unrealized.

Currently less than 3% of the population invests in mutual funds. In the last 24 months alone , the base of unique investors grew to 36 million - an increase of 69%. Monthly SIP flows touched all time high of Rs. 130 billion - an increase of 67% , while SIP folios increased to 58 million - a rise of 75%. The growth in investor base and consistently higher SIP flows clearly indicate investors ' preference for mutual funds to achieve their long-term goals. Formalization of the economy, digitalization, and higher share of mutual funds in housing savings are expected to be the key drivers for the growth of the industry going forward. At Nippon India Mutual Fund , our priority is to be 'future ready ' and capture this long-term opportunity. In Q2 , our industry ranking moved to fourth position on quarterly average AUM basis. AUM increased by 7% to Rs. 2,851 billion. At Nippon India Mutual Fund , investor's interest remains our only constant. We added 1.6 million folios in H1 and Nippon Life India Asset Management Limited

October 19 , 2022

Page 3 of 14 continue to have the largest base in the mutual fund industry. Our share of industry's unique investors was stable at 37% with a base of more than 13 million investors. Systematic flows are a stable and key driver for industry's long term equity flow. Nippon India Mutual Fund annualised systematic transaction book is at Rs. 108 billion . Quarterly flows increased by 36% to Rs. 26 billion. On a gross basis , over 481,000 systematic folios were added in Q2. Our systematic AUM rose by 11% to Rs . 555 billion . 53% of our SIP AUM has continued for over five years vis -à-vis 22% for the industry. Also in volatile markets , folios with lower ticket size have demonstrated longer vintage and better stickiness. 14% of our SIP folios have continued for more than five years as against industry average of 10%. Today Nippon India Mutual Fund offers industry-best product suite in the passive category. With strong growth in industry's passive assets , our ETF ecosystem is already in place and far ahead of peers, in terms of investor base and mind share . In this segment , we manage an AUM of Rs. 638 billion and have a market share of 14 % . Excluding the EPFO allocation which goes to two specific AMC s, we would be the largest ETF player in the country . The gold ETF is the biggest fund in the category with having Rs. 66 billion under assets under management. Our share in industry' s ETF folios rose to 60%. In Q2, we added 1,08,000 investors and accounted for 92% of the total industry 's ETF additions . We have 71% share of ETF volumes on NSE and BSE. Our ETF average daily volumes across key funds remain far higher than the rest of the industry . Our digital -centric strategy is also one of the keystones of our long-term growth and sustainability. We continue to enable new age and experienced investors , as well as our partners , with a cutting -edge digital solutions . In Q2, digital platforms contributed to 56% of our total new purchase transactions . Over 7,66,000 purchases were executed through our digital assets - an increase of 4%. Nippon India Mutual Fund has a well -diversified and nimble distribution base and , a wide presence through 275 locations across the country . As of September 2022 , we have over 87,200 distributors empanelled with us . The MFT base rose to 87,000, with addition of nearly 1,700 distributors in this quarter.

Now on our financial performance. For this quarter ended September 30, 2022, profit after tax was Rs. 2.1 billion - an increase of 81 % against Q1 FY2023 . Operating profit was at Rs. 1.9 billion . Operating profit , as a ratio of average assets under management , was 26 basis points in Q2 FY2023 as compared to 25 basis points in Q1 FY2023. In the past , the company has followed a consistent dividend policy . In FY2022 , N

AM India distributed its

highest ever dividend with a payout ratio of 96 % . Over the last eight financial years , NAM

India has distributed a cumulative dividend of Rs. 34 billion . In today's meeting , the board has approved an interim dividend of Rs. 4 per share. As we grow organically through physical and online channels , we remain open to evaluate investments and strategic opportunities that add to the profitability or complement our existing businesses and , ultimately are in interest of minority shareholders .  
Nippon Life India Asset Management Limited  
October 19 , 2022

Page 4 of 14 As a signatory to UN-PRI, we have already begun to integrate ESG aspects into our area of strategy , business operation , investment management , and governance . We have chosen to prioritize issues such as climate action, diversity, inclusion, corporate governance, business ethics and responsible investment for immediate strategy formulation , execution and disclosure purposes. Through a combination of responsible investment approaches of screening ESG integration and active ownership , we aim to build a resilient portfolio that will not only provide sustainable returns to our investors but will also provide a positive environment and social impact . To sum up , I would like to reiterate that, at NAM India , investor centricity remains a key theme . We strive to deliver a superior experience and sustainable returns to our investors and in the process , add value to all our stakeholders . We are confident to continue our trend of profitable growth in coming quarters . With these comments , we are happy to take your questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session . The first question is from the line of Kunal Thanvi from Banyan Tree Advisors Private Limited.  
Please go ahead.

Kunal Thanvi: Hi thanks for the opportunity. So I had two questions . First was on the debt side of the business . So, if you look at the entire industry and even for NAM India , that has been degrowth for the last two quarters . I wanted to understand what is happening there . Is it due to performance or is it because of shift from active debt to passive debt . What are the factors that are driving the decline in the debt AUM for the industry and NAM India , and secondly , if you see sequentially , our realization has improved on overall basis and that has resulted in improvement in our core operating profits as well. Also , can you throw some light, what are the factors that helped us improve the realization ? Is that the competition is easing out or the distribution margins are softening up or it is just one quarter wherein we saw higher share of equity in the realizations. These are my two questions.

Aashwin Dugal : Thanks for your question . Regarding the debt flows that have reduced . First, at the industry level and that is quite evident because of the overall deteriorating macros , whereas the central bank action worldwide and also being followed by the central bank in India , which is to increase interest rates . The yields across the curve , both in short term and long term , have gone up quite substantially , especially at the shorter end and , hence, we have seen outflows from the debt funds into overnight and liquid schemes. If you see the trend , you would see in the last six months , our debt funds have lost money , but money has come back into either overnight fund or liquid funds. At NAM India , there has been a marginal decline mainly because our growth , over the last two years , was on the back of fixed income flows and partially from some corporates. We have seen one or two institutional investors who exited for the time being who had a higher share with us and , from the industry as well , we had a slightly higher share . Hence, we have seen some difference of market share for us.

Nippon Life India Asset Management Limited  
October 19 , 2022

Page 5 of 14 Prateek Jain: Hi Kunal. So in terms of realization , there are mixed factors. It is not one off. We have been maintaining that outlook. It would be hovering around this levels , unless there is a drastic change in the asset mix. Here , two or three things played out for the quarter. We had a better share of equity , that was one. Secondly , in terms of flow and in terms of our fixed income realization , there has been a marginal increase. We have mentioned , in the past as well, that the yield keeps growing in the fixed income scheme. So , dissect this from the fact that the assets are going out , but more importantly , yields in these fixed income schemes are going up. As the yields go up in these categories , our propensity to charge slightly higher , improves and , so we have rationalized some of our TERs into the debt schemes and we have been able to improve our realization out there. Besides on the ETF side, we have seen slight improvement in the realization due to some regulatory interventions of requiring only one basis point to be kept aside for the investor education . So, these are the couple of factors . These are not one off , but these are sustainable ones , which have helped us in this quarter to improve our realization.

Kunal Thanvi: Sure, got it. Like historically , we have been suggesting that over medium to long term , the realization would keep on tapering off because of the new assets coming in . That continues to be the case , right ?

Prateek Jain: That is right. As the old asset versus the new assets change happens , then obviously , you

will see some decline . But, as I mentioned in this call , as you see money coming into the fixed income asset and the yields are at an elevated level , as what we are seeing right now, our propensity to charge is higher . Also when the cycle will turn , you will see returns which is 8.5 to 9%. At that point of time , our propensity to charge will be even higher. We will have the AUMs in place because money would have moved into these categories . Also the yields will be higher and , therefore , you will get the double impact . I am sure that will be able to offset the realization dip in the equity assets.

Kunal Thanvi: Just one more question if I can squeeze in. So , if you look at our asset mix and our market share over the last two to three years , on overall basis , the market share is quite stable between 7.2% to 7.4%, but within that , segments like equity and debt have not gained market share or have been losing market share . For example , in debt , we gained some market share last year and now we are again losing it back . But two segments that have been gaining market share are liquid and others . That is where we have gained market share and we continue to gain . But from an overall profitability , business point of view , these are low yielding assets. How do we look at this from a longer -term perspective , because this will mean like increasing market share in categories , which are lower yielding , resulting into, of course , lower profitability for us ?

Prateek Jain: I would not have to read too much into fixed income. I think that is more because of the overall environment that we had seen investors changing to the shorter end of the curve .

Nippon Life India Asset Management Limited

October 19 , 2022

Page 6 of 14 This will keep happening , and I do not see any loss because this is all fungible across liquid , short term, long term. Investors will keep changing across different cycles , so I am not too worried about that. I think as far as the equity is concerned , clearly, from our perspective , the green shoots are there. As you are aware , we had certain challenges in equity , a couple of years back. At this point of time , the majority of our funds , from a one-year perspective ,

are in quartile one or two . Some of our funds are already , on a three -year rolling basis , moving into quartile one and , the increase in SIP numbers and folios tell you that new investors and flows have already started coming into equity . So, maybe couple of quarters down the line , you will also start seeing the lag effect of this positive activities that is happening on ground and the equity market share should also move up.

Kunal Thanvi: Sure. Thank you. I will get back in the queue . All the best.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo : Good evening Sir. Thank you for the opportunity. Sir my question on the distribution side.

If we see the banking challenge , like one year ago , the share of AUM which was coming through the bank channel was about 10% . However it has declined like 8.5 -8.7% in this quarter. Now with majority of our schemes now performing in quarter 1 and quarter 2 , so what is the outlook over there and how is the response we are getting from the banking channel.

Prateek Jain: Banks, for us was about 9% in overall scheme of things and , if I take the direct out , it was about 18 to 20% . So, even if that declines, it does not really mean much for us . However , I would ask Chaty to talk about how he sees flows going forward.

Saugata Chatterjee: In case of the banking channel , what was our handicap earlier were the approvals. Since the equity performance has come back , good part is that in most of the channels and the banks , we have the approvals in place. The approvals are now getting converted into business volumes for us on the equity side. We have a bit of catch up on the debt side in some of the banks , but most of the banks are either equity players or SIP players , where the approvals which have come in the last two or three quarters , are going to help us. Majority of our funds are approved in most of the retail and wealth banks . The numbers will start reflecting as we go ahead , because equity comes with a lag. SIP numbers have started coming in. The net sales is improving. Hopefully, these ratios will start improving in the next two quarters from hereon.

Lalit Deo : Thank you Sir.

Nippon Life India Asset Management Limited

October 19 , 2022

Page 7 of 14 Moderator : Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi this is Prayesh Jain. Just three questions. Firstly if you look at how the redemption have shaped up on the equity side for the industry . Those have been kind of increasing in the last couple of months , any early trends to catch there. There is some profit taking or some issues out there where there are increased redemptions ? Secondly , on the fee and commission expenses , we have seen an increase . What is that pertaining to and , thirdly , from other

income perspective, do you think that the current run rate what you have achieved in this quarter, given if the yields remain where they are and, possibly the equity market kind of sees steady returns, do you see these kind of other income sustainable. Those are my three questions.

Prateek Jain: As I mentioned in the call that the fee and commission expenses are pertaining to our AIF and PMS business. So, in AIF, we pay up front commission. If you get larger amount of assets in the quarter, you will see marginal increase in terms of fee, but obviously, the corresponding revenue will come with a lag effect. So that is the expenses, fee and commission side of it. In terms of realization, as I mentioned, these are more sustainable at this point of time. If we see the interest rate peaking up from here, then a lot of money will come into the fixed income category. All the money, which has gone out, will come back to the fixed income category.

from the corporate and institutional investors and, then they will ride on to the fact that when the interest rates goes down, as part of the cycle, higher yields will be made into these products. When there are high yields, our propensity to charge will be higher. So, overall, on the fixed income side, two things have happened. One, in the last two and half years, lot of money has gone out from the longer duration, credit funds and come into the shorter end of the curve into liquid and other money market funds. The second part is that, in these funds also, the returns were fairly low. They were sub 5.5%. Therefore, our propensity to charge expenses were lower. But our average yields on these products are likely to go up in the coming quarters.

Prayesh Jain: Prateek, my question was more on the other income that we have reported in this quarter. Whether that is sustainable, given the way the yields are moving and equity market return.

Prateek Jain: See, these are all mark-to-market and, as shared in the past, of the total cash flow available, 82% has been invested into our own MF schemes. Of that, barring the seed capital investment which we made into equity, remaining are into our fixed income schemes across the category. So, obviously, as the yields go up, our realization will increase from hereon. But we do not give any kind of forward guidance on our other income. There are no major assets, which are into the riskier category, at this point of time.

Nippon Life India Asset Management Limited  
October 19, 2022

Page 8 of 14 Aashwin Dugal: As far as the redemptions are concerned, the net equity flow, in the industry ex-arbitrage, for the past quarters have been 28,000, 20,000 and 23,000. Broadly they been in the same range. From our perspective, one thing is very critical. Is there any early trend of redemption? Clearly whenever the markets are volatile, it is HNI investors and the bulk money, which moves out fast and, comes in when their movement is faster. We focus more on granular business, retail business, and SIP, which is a lot more sticky. So, from our perspective, we have not witnessed any kind of redemption at this point of time and, for us, the trend could be little different from the industry because our business is very, very retail.

Prayesh Jain: I just have one more question there. From a flow perspective, while you do not give any data as such about flows, is there a trend of increasing flow market share for Nippon India on the equity side in the last couple of quarters?

Saugata Chatterjee: Over last many quarters, I think we have seen the trend getting positive. If I was to look over a trend line for last 36 months, from a net negative, we have moved to net positive.

Prayesh Jain: But the market share has obviously been going up. Is it there in line with overall equity market share or is it lower than that?

Saugata Chatterjee: So the net sales market share is inching up towards the equity market share. So that is the reason why the month-on-month equity market share is also now improving.

Prayesh Jain: All right thank you so much.

Moderator: Thank you. The next question is from the line of Manjeet Buaria from Solidarity Investment. Please go ahead.

Manjeet Buaria: Thank you for taking my question. I wanted to understand as the competitive intensity in the industry goes up, different players have to pay more commissions to the distribution partners, as we have seen in some NFOs. How easy is it to close at these commission levels? Once the higher levels are given, it stays that way permanently?

Sundeep Sikka: Manjeet, we have always been very clear that long term business model can not be made by paying higher brokerages. So we have been pretty conscious on it. We would not like to do something which is not sustainable from a long-term point

of view. We have never gone

overboard, wherein we will have to undo things later.

Manjeet Buaria: Okay thank you.

Moderator: Thank you. The next question is from the line of Aditya Dilip from Metaverse Equity Fund. Please go ahead.

Nippon Life India Asset Management Limited

October 19 , 202 2

Page 9 of 14 Aditya Dilip : Thank you. My question is NAM has collaborated with DWS group to provide portfolio management and advisory services in European market for Indian government bond . So as far as the current situation is concerned , the recession part , what would be the upcoming plan from Nippon and is Indian businesses showing stable growth as compared to the European market , that is my question ?

Sundeep Sikka : The launch of product with DWS is in line with our strategy to grow our non -mutual fund business and offshore business. As we have mentioned in the past , we closely work with the Nippon Life team globally to look at opportunities , where we can collaborate with the various group companies of Nippon Life. There are many more such initiatives where work is in progress. This fund was launched just about a month back. At this point of time , it has just started and there will be couple of other products which will be launched across the global . But the focus will remain to get more money into India.

Aditya Dilip : Okay thank you Sir.

Moderator : Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi this is Prayesh here again. Just your thoughts on the hybrid segment. The industry has seen a lot of outflows in the past few months and , is there any particular reason for that ?

Saugata Chatterjee : Prior to the volatility in the market , there was more flows coming into the large cap, mid cap categories. Like you are rightly saying , in the last six months , we have started seeing more flows in hybrid . As the volatility increases , the trend shifts towards balance fund, hybrid fund , so we are seeing that trend happening today. Even if the volatility continues for the next 6 to 12 months , this category will start growing and that should be a good thing for the industry because these are stable long-term assets , which come in to balance funds.

Prayesh Jain: My question is we were actually witnessing outflow , not inflows ?

Saugata Chatterjee : Outflows in hybrids are not happening this time. In the last three to four months, the net flow is positive. It can be due to some NFO , which might lead to outflow in certain particular part of the quarter , but the trend is still positive. You have to add the hybrid categories. It includes equity hybrid fund. It includes balance advantage funds, it includes asset allocation fund , so the category is very large. It is not only one particular category which comes under hybrid.

Prayesh Jain: And what are the plans for future launches with regards to all the scheme categories?

Nippon Life India Asset Management Limited

October 19 , 202 2

Page 10 of 14 Sundeep Sikka : We broadly feel our portfolio is complete. We will not be launching any funds just to come out with new NFOs. I think where you will see more launches , will be in international or passive.

Prayesh Jain: Alright thank you so much.

Moderator : Thank you. The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal : Hi good evening everyone. There is some improvement in the equity yields , right ? So, is this something structural ? Is the improvement structural in nature , is it sustainable ? Second , there was some dip in the staff cost, so any colour on this and , third was on your channel mix. So there is some sharp dip in the share of banks , if you could throw some colour there as well. I am sorry if you have already these questions . I joined the call a bit late.

Prateek Jain : N

o issues. In terms of yields , the overall yields are marginally up as compared to the previous quarter and , as I explained in the past that this is predominantly because we have improved our realization on the fixed income scheme and , I have given a detailed explanation for that. Also , our asset mix has marginally improved in terms of overall longer term high yielding assets and, these are pretty sustainable and not one off . Also , as Sundeep was mentioning , we will keep working in terms of our product offering, the distribution commission which are sustainable and will not go overboard , in terms of extending higher distribution commission for faster growth. In terms of staff cost , this is marginally lower, and these are related to certain provisions , etc., and there is no structural thing , which I can see up here. With regards to the channel mix again , if I see the last few quarters , overall share including direct etc. , used to contribute about 10% and now they are 9% . So again there , I see a very marginal decline and that is because , from the industry perspective also, the bank share has come down.

Aashwin Dugal : I just like to add to what Prateek mentioned , is the fact that in the last few months , we have seen some bit of institutional money that had been mobilized , some of that has moved out at the industry level , but the SIP business continues to come in.

Sahej Mittal : On the staff cost what you did just said. There is just dip sequentially , so is there some reversal in this line. Is there some reversal in the staff cost ?



Prateek Jain : In the first quarter there were certain incentives etc ., which got paid out and if you see the standalone results , there is nothing . But it is do with our subsidiary , so certain PLI expenses which booked into the first quarter and , therefore , there is a marginal decline in staff cost.  
Nippon Life India Asset Management Limited  
October 19 , 2022

Page 11 of 14 Sahej Mittal : In terms of your yield on the debts, so yield on the debt scheme have improved . So is there a change in the mix towards the credit risk or those sort s?

Prateek Jain : While assets may change , what we have done is we have gone and improved our realization by changing T ER, which we dynamically keep evaluating. What is the return a fund is generating and what is the expenses and what competition is charging , what is our performance with our competition . Based on all these factors , we keep evaluating, what is the expense we should charge on our debt schemes and , what we have done is we have changed realization in some of our schemes , which has resulted in better realization. These are two different strategies . While money may or may not come , but overall yields have gone up because of the underlying return generated by the papers . Therefore , we have been able to increase our expenses.

Sahej Mittal : And any colour on the yields ? how they are shaping up on the equity side?

Prateek Jain : Again we have not seen significant change out there. Our sharing remains pretty much the same as what we were paying earlier and , obviously as I mentioned , the more new money replaces the old assets , then obviously we will see some decline . So over a period of time , we may see two to three basis points of decline , if this money gets replaced by the new assets.

Sahej Mittal : The equity yields are still depleted . That is the correct understanding , right?

Prateek Jain : On the existing , it may not , but if the new AUM comes and the old asset keeps going down , then obviously , you will see some decline in the equity yields.

Sahej Mittal : In Q2 , given the flow in the equity scheme for the industry was a bit soft , for us , how have the flows been. Did we witness net outflow or net inflow?

Prateek Jain : We were net positive in terms of inflow and this was broadly in the range of our quarter one.

Sahej Mittal : Any colour on the market share in terms of net flow?

Prateek Jain : We do not disclose those numbers.

Sahej Mittal : Okay , those will be my question.

Moderator : Thank you. The next question is from the line of Dipanjan Ghosh from Citi corp. Please go ahead.

Nippon Life India Asset Management Limited  
October 19 , 2022

Page 12 of 14 Dipanjan Ghosh: Hi good evening. There are three questions from my side. One has been the previous discussion. Would you like to quantify the differential between your existing and new business from yield perspective ? Second question will be on the SIP business . If you can give some colour on what is the key distribution channel or origination channel for the SIP ? Is it more direct or fintech -led or through the distribution and , third question is, from the industry perspective , what we have witnessed , there has been significant amount of flows that is going into the NFO . It seems that the incumbents are already present, but they are not able to garner the flow similar to that of more NFOs that has come in . So how do you want to see this from a medium term perspective given that a lot of key AMCs are also in the pipeline ? That will be all from my side.

Prateek Jain : Dipanjan , if can you just repeat your first question ?

Dipanjan Ghosh: In the previous discussion you mentioned that the new yields continue to be lower than the existing yield . So would you like to kind of quantify, what is the differential outlook ?

Prateek Jain : On the old assets , our average distribution commission paid was 50 to 60 basis points. However , now it is more on a T ER sharing basis . So, obviously , for different distributors we share different amount of fees and , it ranges between 55 to 70% of our T ER. We share distributable TER with our distributors. So that is the difference , because in the past , on the old assets , we have paid higher upfront commission which are no longer allowed and , therefore it is entirely on trail . Therefore , the sharing mechanism has come in and we share almost 55 to 70% to our various categories of distributors.

Saugata Chatterjee : So on the SIP mix, the mix of business as we have seen in the last two to three quarters , the digital and the fintech partners have started contributing decently to our overall mix. Right now, as we speak , 60% of the business is coming from MFDs , and some of the banking channel partners have started giving us money. The remaining , around 35 to 40% is coming through the fintech partners . So, that is broadly the mix of SIP numbers which are coming to us and , what we are witnessing is that we are also increasing the absolute count on a month-on-month basis . So, right from ratio point of view as well as absolute numbers , both

are seeing growth. The third question was on NFO. You asked something on NFO . What was that if you can repeat?

Dipanjan Ghosh: Basically from an industry perspective , let us say the incumbents have particular fees in midcap, large cap, flexicap, but then you see NFOs coming in from the smaller players in similar categories where the flows are probably a bit higher than the combined of what the incumbents are garnering in a particular month or quarter . So, from that stand point , within that a lot of newer AMC s and there are also new AMC s in the pipeline , so how do you kind of think of the opportunity loss in new flows in existing schemes for larger players like yourselves ?

Nippon Life India Asset Management Limited  
October 19 , 202 2

Page 13 of 14 Sundeep Sikka: Broadly, in case of a ny new or old AMC or any new fund launched , until the time , it adds value to the portfolio in the long run , investors will keep investing. Any new NFO that is coming on whether higher brokerage or capability to pay. From a long-term point of view , that is not sustainable. Ultimately , th

ese are all open -ended schemes . One can garner 'x' asset t hrough an NFO . For these assets to be sticky , it needs to add value to the investors from a performance point of view and , the more important thing is, it has to be very , very granular and sticky . Because we have seen that when this bulk money comes , it goes out also at the same speed. So , from our perspective , our focus is not to get distracted with the new NFOs which are coming in the industry and , we will continu e focus ing on our existing schemes and , whenever we see any vacuum or an opportunity for us to launch new products , which can add v alue to the investors , we will do that . Otherwise I think our focus will be only on the open and existing schemes.

Dipanjan Ghosh: Sir one follow up on the second answer . You mentioned 40% of SIP are coming in through the digital or fintech platform. Could you shed some colour on the quality of customers in terms of retention or t enure or in terms of redemption for the SIP or from geography . On each perspective , if you could shed some colour on that particular portion of the SIP business that is coming in.

Sundeep Sikka: I think it will be very difficult to give these kind of detail s. But we continue evolving. We continue to evaluate. Whether it is coming from an offline channel , even if coming from distributors, IF As or whether banking or fintech , we contin ue to evaluate the stickiness of the asset . Which distributors, which channel we will promote more and , again from a geography point of view , it will be very difficult to pinpoint how a particular pocket , whether geographically or channel wise , works . Our endeavo ur is, as we mentioned earlier , that the sticky asset is 50%. As I mentioned in my opening address also today , if you look at the stickiness of the SIPs that we have today , 53% SIP AUMs are there for more than five years . That is our focus and we ar e using a lot of artificial intelligence and business analytics to continue both to upsell as well as to continue to increase the longevity of the SIPs.

Dipanjan Ghosh: Thanks for the answers and all the best.

Moderator : Thank you. The next question is fro m the line of Rahul Picha from Multi Act. Please go ahead.

Rahul Picha : Yes thanks for the opportunity. Sir just wanted a couple of data points. What is your current blended yield on your equity book and what is the yield on the new flows that you are getting.

Prateek Jain: So, we do not give product wise yields and what was your second question?

Nippon Life India Asset Management Limited  
October 19 , 202 2

Page 14 of 14 Rahul Picha : Second question was I wanted the yield on the new flows . But if you cannot give specific yields , even if you can give out the differential between you r current book and the new , that will also be fine.

Prateek Jain: On the old assets , the average distribution commission paid out will be in the range of 50 to 60 basis point s and, on the new money , which we are receiving post the change in the regulation , we share almost 55% to 70% , on an average , of our T ERs with various distributors in different categories.

Rahul Picha : And this 55% to 70% , in terms of basis points , how much would that be?

Prateek Jain: Each different scheme has a different T ER. So nowadays, from a SEBI perspective , there is a calculation of T ER. Post that , we remove the scheme related expenses to arrive at distributable T ER. Of the distributable T ER, we share this money.

Rahul Picha : Okay fine.

Moderator : Thank you. That was the last que stion for today . On behalf of InCred Equities that concludes this conference . Thank you for joining us and y ou may now disconnect your lines.

## Call: Feb 2023

February 06, 2023

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended December 31, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended December 31, 2022, conducted after the meeting of Board of Directors held on January 30, 2023, for your information and records.

The above information is also available on the website of the Company:

<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q3-FY-2023.pdf>

Thanking you, Yours faithfully,

For Nippon Life India Asset Management Limited

Nilufer Shekhawat

Company Secretary & Compliance Officer NILUFER

GAURAV

SHEKHAWAT Digitally signed by NILUFER GAURAV SHEKHAWAT DN: c=IN, postalCode=400093, st=MAHARASHTRA, street=MUMBAI, l=MUMBAI, o=Personal, serialNumber=7c17697263e997f44e2102c196063c44f0ba011d0fd4a08a289b57c91d8c4950, pseudonym=f3ed98b0318c41efaa4452c776849bca, 2.5.4.20=9b0fa4a072018735af050f8b71163837eb845764eab67409c9a594adc5f56cd1, email=NILUFER1234@GMAIL.COM, cn=NILUFER GAURAV SHEKHAWAT Date: 2023.02.06 11:21:41 +05'30'

Page 1 of 10

Q3 FY23 Earnings Conference Call

January 30, 2023

Moderator: Mr. Prayesh Jain - Motilal Oswal Financial Services

Management: Mr. Sundeep Sikka - ED & Chief Executive Officer

Mr. Prateek Jain - Chief Financial Officer

Mr. Saugata Chatterjee - Co-Chief Business Officer

Mr. Aashwin Dugal - Co-Chief Business Officer

Mr. Arpanarghya Saha - Chief Digital Officer

Mr. Hiroshi Fujikake - Chief Planning & Business

Excellence Officer

Nippon Life India Asset Management Limited

January 30, 2023

Page 2 of 10

Moderator: Ladies and gentlemen, good day, and welcome to Nippon Life India Asset Management Limited Q3 FY '23 Earnings Conference Call hosted by Motilal Oswal Financial Services. As a reminder all participants lines will in the listen -only mode, there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference,

please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prayesh Jain from Motilal Oswal Financial Services.

Thank you, and over to you, sir.

Prayesh Jain: Yes. Thank you, Aman. Good evening, everyone. On behalf of Motilal Oswal Financial Services, I welcome you all to Nippon Life India Asset Management Limited 3Q FY '23 Earnings Conference Call. We have along with us Mr. Sundeep Sikka, ED and CEO, along with the top management team of Nippon Life India Asset Management. I would like to hand over to Mr. Sikka for his opening remarks. Over to you, sir.

Sundeep Sikka: Thanks, Prayesh. Good evening, and welcome to our Q3 FY23 Earnings Conference Call. We have with us our CFO, Prateek Jain; Chief Business Officers, Saugata Chatterjee and Aashwin Dugal; Chief Digital Officer, Arpanarghya Saha; and Fujikake -San, Nominee of Nippon Life (Japan). Our detailed investor presentation and press release has been uploaded on the exchanges as well as our website. Before we take your questions, let me share some comments on the recent industry trends and our quarterly performance. In Q3, Indian equity markets remain range bound with a positive bias driven by strong corporate earnings, superior growth, economic growth versus peers and, peaking of inflation expectations. However, ongoing global uncertainties, FII outflow and a weak INR USD outlook also impacted the growth momentum and led to some volatility. Despite the mixed overall outlook, the asset management industry maintained its growth momentum, driven by higher retail awareness and improved access of mutual fund products across the length and breadth of the company. The industry assets rose by 5%, mainly driven by higher equity and ETF assets. The base for unique investors grew by 20% to 37 million. Monthly SIPs touched an all-time high of INR 136 billion - an increase of 20%, while SIP folios rose by 25% to 61 million. The consistent expansion of investor base and growth in AUM, driven by SIP and ETF flows indicate the investors' diverse needs and the industry superior capability to fulfill them, vis-a-vis, other financial products. Growing financial awareness, differentiated and transparent product suite and, innovative digital strategies are expected to be the key drivers for the growth of the industry in future as well. At Nippon India Mutual Fund, our priority is to be future-ready and capture the long-term opportunity. In Q3, Nippon India Mutual Fund maintained its industry ranking of 4th position. In this quarter, AUM increased by 3% to INR 2,928 billion. At Nippon India Mutual Fund, our core focus remains in on investors' interest. We added 2 million folios the last 9 months and continue to have the largest base in the mutual fund industry. Our share of industry unique investors was largely stable at 36% with a base of more than 13 million investors. Our annualized systematic transaction book is at INR 123 billion. Quarterly flows increased by 45% to INR 29 billion. On a gross basis, 561,000 systematic folios were added in Q3. Our systematic AUM rose by 15% Nippon Life India Asset Management Limited  
January 30, 2023

Page 3 of 10

to INR 583 billion. 56% of our SIP AUM has continued for over 5 years vis-a-vis, 23% for the industry. Also, in volatile markets, folios with lower ticket size have demon

strated longer

vintage and better stickiness. 14% of our SIP folios have continued for more than 5 years against industry is 11%. Today, Nippon India Mutual Fund offers industry's best suite of products in the passive category. With strong growth in industry's passive assets, our ETF ecosystem is already in place and far ahead of its peers, in terms of investor base and mind share. In this segment, we manage an AUM INR 683 billion and have a market share of 14%. Excluding ETF allocations, which goes to 2 specific mutual funds, we would be the largest ETF player in the country. The Gold ETF is the biggest fund in this category with AUM of INR 67 billion in assets. Our share in industry's ETF folios rose to 61%. In Q3, we added 137,000 investors and accounted for 99% of the total ETF folio additions in the industry. We have 69% share of ETF volumes on BSE and NSE. Our ETF average daily volumes across key funds remain far higher than the rest of the industry. Our digital-centric strategies are also the keystone for sustainable growth and profitability. Along with several digital initiatives such as cart buying, which we took to enhance our partners and invest experience in Q3, we also rolled out the Nippon India Mutual Fund WhatsApp Channel, a real-time comprehensive transaction and service suite for our investors. The Business Easy 2.0 app is aimed at driving more meaningful engagement, attention and growth through advisory, detailed analytics and smart insights. In Q3, the digital platform contributed to 59% of our total new purchase transactions. Over 902,000 purchases were executed through digital assets - an increase of 19%. Nippon India Mutual Fund has a well-diversified enabled distribution base with a wide presence through 270 locations across the country. As of December 2022, we had over 89,000 distributors empaneled with us. The MFD base rose to over 88,800 with an addition of nearly 1,900 distributors in this quarter. Now on our financial performance. For the quarter ended December 31, 2022, profit after tax was INR

2.1 billion - an increase of 18%. Operating profit was at INR 2 billion. Operating profit, as a ratio of average assets under management, was 28 basis points in Q3 FY23 as compared to 26 basis points in Q2 FY23. In the past, the company has followed a consistent dividend policy. In FY22, NAM India distributed its highest ever dividend with a payout ratio of 96%. Over the last 8 financial years, NAM India has distributed a cumulative dividend of INR 36 billion. As we grow organically through our physical and online channels, we remain open to evaluate investments and strategic opportunities that add to the profitability or complement our existing business and ultimately are in the interest of minority shareholders. As signatory to UN -PRI, we have already begun to integrate ESG aspects into various areas of planning, operation, fund management, risk and governance. Our goal is to encourage higher adoption of ESG principles within the asset management industry. As a responsible investor manager, we are building a resilient portfolio that will not only provide sustainable returns to our investors but will also have a positive environmental and social impact. We will also seek at and relevant disclosures in ESG matters from our various investee companies. To sum up, I would like to reiterate that NAM India investor centricity remains the key theme. We strive to deliver a superior experience and sustainable returns to our investors and in the process, add value to our shareholders. We are confident to continue our trend of profitable growth in coming quarters. With these comments, we are happy to take your questions. Thank you.

Moderator: The first question is from the line of Kunal Thanvi from Banyan Tree Advisors.

Nippon Life India Asset Management Limited

January 30, 2023

Page 4 of 10

Kunal Thanvi: I had

three questions. The first one was on the yields. We saw improvement in the yields both on a Q-o-Q basis and like kind of flattish on a Y-o-Y basis. Can you help us understand the key reasons for the same? And how sustainable the improvement would be given the natural decline in the yield because of the increase in size? That is number one. Second is on the debt side of the business. Again, the industry continued to see outflows during the quarter and our outflows were even higher than that, and we saw market share fall. Can you run us through what's happening in the industry and how we, as a company, are kind of dealing with this? Because what we remember, in last quarter, we have said that we have taken some increase in sizing, like kind of increased the TER, so where we are there in that journey? And finally, there was this news article regarding SEBI's study on the TER for mutual fund industry. So is the regulator thinking of moving from a scheme-based TER to AMC-based overall AUM based TER? Any thoughts on same would be helpful.

Sundeep Sikka: Thanks, Kunal. I think I'll start with your third question and then give it to my colleagues, Prateek and Aashwin, for the income of yields and debt outflow. With regard to the recent news article regarding addition of TER, discussions are still underway. We await the final draft of the regulations. And in this regard, we'll avoid making any comment or speculation at this stage. With respect to the yields, Prateek, if you could just take that.

Prateek Jain: Yes. Thanks. So Kunal, we have been maintaining about the yield outlook, if the asset mix remains the same. And also, in terms of the debt returns, as and when it increases, we'll be having the probability to increase the TER as well. And also on the ETF side, we'll keep looking at opportunities if we can further improvise on yields. So all the three things, the composition has remained more or less the same, or rather it has improved on the equity side. We have been able to marginally increase our yields on the debt and the ETF side, which has helped us to maintain the run rate, vis-à-vis, the last quarter or vis-à-vis the corresponding quarter.

Aashwin Dugal: Kunal, regarding the outflows, first what's happening in the industry. So the macroeconomic scenario is changing across the world and central banks are tightening yields. We have seen yields move up quite substantially, all over the world, including India. Hence, we've seen outflows from debt funds across the industry, one, to avoid any MTM losses that may rise out of returns, and second, there is some competition from bank deposits because bank deposit rates have moved up. So there is some money, especially short-term money, which is 1 year, 6 months, 12 months, 18 months, 1 year, that has moved there. And thirdly, because of the rising interest rates, a lot of corporate treasuries have preferred to repay their loan credits to the banks. So a combination of these three factors has led to industry outflows. However, we have seen slightly higher outflow for Nippon because, over the last 2 years, we also had a fairly robust buildup in fixed income assets and so some of that money has now moved out. And we are fairly confident that as things settle down and yields stabilize over the next one or two quarters, we should see some of those flows come back into the system.

Kunal Thanvi: Sure, sure. If I can ask two follow-ups. One was on the increase in the yield for debt and the ETFs. How does one think about the market share impact of the same, like over a medium to long-term, like when we talk with other players, we haven't seen any other players talking about increasing the TERs and we have done that. How does that reflect into market share? And how

we think about it over a longer term? And

the second is for the equity side . For the new money

that we received from the distributors, have you seen any improvement in the net realization, which was very bad, say, in 2021 . Have you seen any improvement there?

Prateek Jain: So Kunal, in terms of the yields , there were no NFOs, which can have a significant impact on the overall equity yields. The money has come in the existing schemes. And we have been maintaining that we'll continue to make profitable growth. So we have maintained our payout ratios there. As regards the debt yields, what we continuously monitor is, what is the return generated from our scheme vis-à-vis the competition . And what is the net yield in the hands of the investors. And appropriately, we take decisions. The recent redemption has got nothing to do with our increase in the TER. And also, wherever we have increased the TER, it is barely 1 or 2 basis points. So I don't see that can be attributed to any kind of change in market share.

Moderator: The next question is from the line of Sahej Mittal from HDFC Securities.

Sahej Mittal: Sir, two questions from my side. So firstly, on yield, right? So if I look at the segment -wise yields , even if you have increased your TER for ETFs or debt, even then the equity segment has seen some improvement and material improvement. This is not a small improvement, so about 1.5 basis point improvement on a sequential basis. So what is driving that? Is this an aberration or some lower commission payout, some adjustment to commission payouts done in this quarter, what is actually driving this? And are these kind of yields sustainable? That is one. Second , you talked about using Business Easy 2.0 for data analytics. So I mean, how are you using this? And if you can give us some insights, how is this helping us in better customer retention or improving customer journey? And the third is around our operating expenses. So the expenses have shot up quite materially in this quarter. So what is driving that?

Prateek Jain: Yes. In terms of the yields, one is the composition of our AUM. Second, the size of the scheme. Third, the competitive environment. And fourth, how do you receive your new flows. So if you receive your new flows from IFAs and from B30 cities, those are more profitable , more sticky and more granular AUMs where we make slightly more margin. And it is the combination of these effects, and that most of our money has come from B30 cities , from our partners. And that's why our realization is up on the equity side. With regards to the expenses, there has been some one-off expense on the IT spend. So that's not a regular feature. Of the increment that we are seeing , 30% to 40% is related to the one-off spend. Further, we have also consolidated our office in the last quarter. So we have shifted and have closed down one of our offices at Nariman Point . The sales office , which used to be at Nariman Point , is now in the same place where our corporate office is. So that also has led to some increased expenditure . But these are non-recurring. Besides that, now that we have completely opened up, and seeing good traction in terms of our equity performance, there has been increased travel and activities in terms of our distribution mix, etc. So this is all about the difference in the expenses.

Arpanarghya Saha : This is Arpan. So quickly giving you an insight on the Business Easy 2.0. As we know, data is the new fuel for any kind of work or operations. Business Easy , by itself , is a very smart and intelligent asset that we have developed in-house, which allows our partners to give the best of the choices to their consumers and which also revolves around real-time market movements. So

those are particular aspects when they come in and , the ease of doing business completely paperless

allows them to connect to a larger denominator of consumers who would want to do things at the click of a button. It's a completely app-to-web or a web-to-web or an app-to-app interface which works together at the same point of time, ensuring that the best of advisory, best of insights and analytics are passed on to the consumer through basic execution and delivery.

Thank you.

Sahej Mittal: So one follow-up maybe. So ex of the mix change, which has happened, right, towards equity.

So even ex of those changes, yields seem to have improved in equity. So I couldn't quite get that.

The share of Banca has increased, right, if you're saying that IFAs are more profitable ones ?

Saugata Chatterjee : So, we have not changed. Saugata Chatterjee this side. The flows which are coming to us, in equity, like Prateek mentioned, it's cutting across the B30 market. Like you mentioned, the B-30 share rise is also a reason for us. We are seeing an increase in flows across the distribution categories, whether MFD or banks or the national distributor. The good part is most of these

banks also have very deep penetration in B30 market. We are strong there, and we are getting a lot of retail flows coming in from those branches, which are spread across the B30 markets of India. The distribution of equity flows is quite fragmented. Historically, it has been fragmented. Along with that, we also have this big sort of delta, which has come in through SIP. As you know, SIP is a very strong category which we have built up. We have also shared in our initial talk about how the SIP book has grown from roughly around INR 650 crores to more than INR 1,000 crores per month. So all those things aggregate into equity sales. And of course, the margin expansion is happening because of that.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Just wanted to understand on this SIP flow movement. So sir, if I look at for this quarter, we have received about INR 29 billion in funds in this quarter. Now if we see the movement of AUM, then the AUM seems to be flattish now. So just wanted to understand, have you seen enough redemptions in the SIP book? Or is there like a mark-to-market losses, which we have seen in this SIP AUM?

Saugata Chatterjee: I'll take this. You're right on the market share. The equity market share has flattened for us. Rather, it has started inching up. If you take March, April market share, the March market share and current market share has moved from 6.12% to 6.18%. It's a small jump which has happened. But the result is because of the SIPs increasing every month. Like we have been mentioning in previous quarterly calls also, till the time the net sales will not cross the 6-6.25%, our market share jump will be limited. Happy to share that the net sales growth every month has started moving up. And currently, as we speak, month-on-month basis, the net sales has now started moving towards the 6% mark. So it's the combination of both SIP inflows plus lumpsum inflows coming in, which is contributing to net sales. We still have some margin of growth to take place, which would help us to grow the market share.

Nippon Life India Asset Management Limited

January 30, 2023

Page 7 of 10

Lalit Deo: Sure, sir. And sir, can you tell us about what kind of yield do we make currently on the ETF side? Sir mentioned that we are looking to increase the TERs in that segment. So how do we see that yield spanning over in the next 2-3 years? Like how much can we increase in that segment?

Prateek Jain: We have been maintaining that we make about 9 to 10 basis points, net, on the ETF side. We'll continue to explore products where we have a unique proposition available and where our market acceptability is better than the competition. We'll keep increasing our margins because, as our overall ethos remains that

we need to do a profitable growth. However, ETF is a vanilla product, and there is not much we can do beyond a point. And therefore, it will be broadly in line with the industry. But wherever we have opportunity, we will try to improve the net realization.

Sundeep Sikka: And just to add to it, taking into account the liquidity we have on the stock exchanges, we're in a far better position to increase the yield wherever it is required compared to the competition.

Prateek Jain: Just as a clarification, when I spoke about ETF, this was including our CPSE but excludes gold. Just in case if you are putting into the model, because the gold is much higher. Also, CPSE is a government mandate. There, the yields are governed by what is allowed by the Ministry.

Moderator: The next question is from the line of Mohit from BOB Capital.

Mohit: My first question is basically the unique customers declined during the quarter from 13.4 to 13.2. Just wanted to know what has happened over there.

Prateek Jain: Those can be, obviously, as we saw some outflows which have happened on the fixed income side, as Aashwin was mentioning. Also on the equity side, some redemptions would have happened on the lump sum. But I will give you some data point, which would be interesting. On the SIP gross folio share, we used to be at 5.4% of the industry, we are now 8.5%. On a net basis, we almost have 12% incremental folio share. So this decline could be marginal.

Sundeep Sikka: Also SIPs were discontinued across the industry. But overall, the good thing is overall folios continue to grow.

Mohit: All right. Understood. My second question is just towards the equity market share. So I mean while we understand that we have maintained 7.3% market share overall. But if I look at equity, I mean, overall, if I look at like 10 to 12 quarters, we have lost market share. So any clarity on that in terms of the equity of an industry is growing faster than us. So any clarity on that?

Sundeep Sikka: You're right. We were seeing some redemptions coming in. About the last 12 months, with the performance coming back, we have seen the redemption has almost slowed down and new incremental flow is increasing. And as we mentioned earlier, we started this calendar year, with a SIP book of INR 650 crores which, on an annualized basis, is about INR 8,000 crores. And now on a monthly basis, we closed at INR 1,020 crores, which would be about INR 13,000 crores. So I think equity will go up with a lag effect. But we are far more comfortable and confident as we talk now.

Moderator: The next question is from the line of Akshat Hariya from MultiAct PMS.

Akshat Hariya: My question again is on yields. So basically, if we see our yield sequentially also has improved by about 3 to 4 basis points. And while you've already explained the increase that we've seen on the debt and ETF side, what I really wanted to confirm is whether there is any one-off revenue from specially managed accounts or advisory accounts which we've booked in this quarter? And if you could get that number? And also, what would be the comparable number for the previous quarter and the same quarter last year?

Prateek Jain: Our blended gross realization has been 43 basis points in the Q3 FY23, and it was 42 basis points last quarter. So I think it has more or less remains the same. While on a 9-month basis, we are currently trending at 42 basis points versus 44 basis points. So there has been a marginal decline of 2 basis points on a 9-month basis. And it is 1 basis point higher than the sequential quarter.

Akshat Hariya: So any one-off revenue which we have booked for the specially managed accounts?

Prateek Jain : No, no, there is nothing. There is no one-off. As I mentioned in the last call also, as and when the opportunity arise

s, we'll be improving our expense ratios on the fixed income as well as the ETF side, and that is why, in this quarter, there has been increased realization on fixed income and ETF, which has helped to improve our overall realization.

Akshat Hariya: And sir, my second question was on the yield differential on the stock versus flow. Earlier, when we started this discussion, it used to be around 20 basis points. And in one of the previous calls, we also mentioned that almost 2/3 of our AUM has now shifted to the newer yield, the lower yield. So what would be this differential now? And what percentage of our AUM, which used to be 2/3 is now on newer yields. If you could give some color on that?

Prateek Jain: In this year, the gross flow has not been as significant, but whatever the newer gross flows have come in, those are all basically at the lower rate on the equity side. So earlier, it was 2/3, now 70% of those assets would be on the newer rates.

Moderator: The next question is from the line of Prayesh Jain.

Prayesh Jain: Firstly, just a broader question for the industry. So the profit growth for most of the players has been kind of flattish or declining, in the last 1 or 2 years. And that obviously has been because of the pressure on yields. How do you see the profitability for the industry, in the next 2 to 3 years, do we ever see the profit growth coming in for the industry or for players like us? How do you see this really panning out?

Sundeep Sikka: So I'll take this one. From our perspective, asset management industry is ultimately a volume game. I think it's not just about that 1 basis point, what is going to be the yield. It's going to be how well we execute and how well you can scale it up. So, as there was the opening question, regulatory changes will keep coming up. But we believe that the key to long-term profitability is going to be execution and building scale. And our focus will be on that.

Prayesh Jain: And if you look at the last couple of years as well, there has been a pretty strong volume growth wherein the SIP counts haven't reached new highs while debt has been kind of on the negative side for the last 6 months to a year. But the volumes would still have been healthy on the equity

side, but still we haven't seen any profit growth coming in for the industry. So even going ahead with volumes kind of being strong, do we see the profitability? I'm saying that the other metrics which contribute to profitability, basically the yield can be at levels which can offset the or support the profit growth.

Sundeep Sikka: When I talk about volume, it's not only the volume, it is also the quality of business that you built up. The earlier question when Saugata talked about the granular business, the small ticket size, all these things, the stickiness is going to be very, very critical. And we strongly believe, the long-term business models cannot be built only on higher fees, higher brokerages. Ultimately, we have to keep adding value to the investor. And we continue maintaining that there may be a little pressure on the yields in the short-term, because of disruption, because of some competition or some of the new players becoming very, very aggressive. But this is always short-lived. From a long term point of view, execution and the quality of business remains important.

Prayesh Jain: Yes. And secondly, if we look at the debt business, there has been increased flows towards the index funds and the ETFs, the passive side. So how do you see this panning out over the next 3 years when we are expecting actually the long duration or the medium duration assets to gain traction. So in a way, I'm asking is whether the actives will grow faster, or do you see the passives, on the debt side, kind of maintaining the momentum what they have



seen ? We see the

yields on the debt also kind of staying weak ?

Sundeep Sikka: It's very difficult to make a prediction, whether it's going to be active or passive. But we believe that the kind of volume growth that we have seen in the equity passive, the same kind of trend will not be seen in fixed income. In fixed income, active will continue to play a bigger role. We are ready on both the sides as we have a strong portfolio on the passive side, on the debt side.

But time will tell whether active will play a far bigger role than passive in fixed income.

Moderator: The next question is from the line of Sahej Mittal from HDFC Securities.

Sahej Mittal: Just one clarification. So if MF AUM mix remains the same on a Q-o-Q basis for the next quarter, then should we expect similar yields and same yields or even in the next quarter?

Prateek Jain: Yes. Of course. There is no one-off.

Sahej Mittal: I'll just clarify because the kind of jumps which we have seen in yields in this quarter -- it seems like there is some maybe one-off this or maybe there is some improvement in terms of what we negotiate with our distributors, something of that sort. Yes.

Prateek Jain: No, no. There is only 1 basis point increase in the yield compared to the last quarter. Also, you are saying that AUM remains the same. But let me share with you that certain of our schemes where our AUMs have grown, and this also goes to answer what Prayesh was asking that what is happening when the size of the scheme goes up. We, as a larger AMC, tend to lose a significant amount of our earnings because on the entire stock, our TER or our chargeability goes down. But we cannot go and renegotiate the total distribution cost on this thing. And therefore, for example, if you look at our small cap fund, which has doubled in the last 2 to 3 years, the total Nippon Life India Asset Management Limited  
January 30, 2023

Page 10 of 10

TER drop because of this reverse telescopic rates, our TER chargeability has gone down by 15 basis points. So one is the size of the scheme. The asset mix and also where it is coming from because, obviously, you share larger proportion, compared to IFAs, with the NDs and BNDs. So that composition also matters. And also earlier NFOs were the ones who were bringing it down. If this AUM comes more granularly into our existing schemes, broadly, this realization should continue in the next quarter as well. And of course, one has to keep in mind that the regulatory intervention has helped.

Sahej Mittal: Right. So in 4Q, given that we are seeing a drop in AUM, right, because of the mark-to-market, then ideally we should see because the TERs should increase from here on in the next quarter.

And hence, our yields should improve even further in the next quarter, right?

Sundeep Sikka: Yes.

Sahej Mittal: Got it. And just to get a sense on a SIP flow. So what percentage of our SIP flows have a vintage of less than 2 years?

Prateek Jain: We don't have that data readily available with us. We can discuss separately.

Sahej Mittal: Sure. And on our opex, so could you quantify the one-off for this quarter? And on a sustainable basis, what kind of opex can we expect?

Prateek Jain: The total difference is not that significant. And almost 60% of that is one-off. 40% of that is one-off in IT and the remaining is on the office shift from Nariman Point to Lower Parel. So broadly, the difference, of which 60% amount is one-off, has happened due to IT spend and office movement.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

# Call: Apr 2023

Page 1 of 17

"Nippon Life India Asset Management Limited  
Q4 FY2023 Conference Call "  
April 26 , 2023

ANALYST : MR. SWARNABHA MUKHERJEE – BATLIVALA  
& KARANI SECURITIES INDIA PRIVATE  
LIMITED  
MANAGEMENT : MR. SUNDEEP SIKKA - EXECUTIVE DIRECTOR  
& CHIEF EXECUTIVE OFFICER - NIPPON LIFE  
INDIA ASSET MANAGEMENT LIMITED  
MR. PRATEEK JAIN – CHIEF FINANCIAL  
OFFICER – NIPPON LIFE INDIA ASSET  
MANAGEMENT LIMITED  
MR. SAUGATA CHATTERJEE – CO BUSINESS  
OFFICER – NIPPON LIFE INDIA ASSET  
MANAGEMENT LIMITED  
MR. AASHWIN DUGAL – CO BUSINE SS  
OFFICER – NIPPON LIFE INDIA ASSET  
MANAGEMENT LIMITED  
MR. ARPANARGHYA SAHA – CHIEF DIGITAL  
OFFICE R – NIPPON LIFE INDIA ASSET  
MANAGEMENT LIMITED  
MR. ARUN SUNDARESAN – HEAD OF PRODUCT  
MANAGEMENT & INVESTOR RELATION S –  
NIPPON LIFE INDIA ASSET MANAGEMENT  
LIMITED  
MR. SHIN MATSUI - NOMINEE – NIPPON LIFE –  
JAPAN  
Nippon Life India Asset Management  
April 26 , 2023

Page 2 of 17 Moderator: Ladies and gentlemen, g ood day and welcome to the Nippon Life India Asset Management 's Q4 FY2023 conference call hosted by Batlivala & Karani Securities India Private Limited. As a r eminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “\*” then “0” on your t ouchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Swarnabha Mukherjee from Batlivala & Karani Securities India Private Limited . Thank you and over to you Sir!

Swarnabha Mukherjee : Thank yo u Zico. Good morning, everyone. On behalf of Batlivala & Karani Securities, I welcome you all to Nippon Life India Asset Management Limited 's Q4 FY2023 earnings conference call . We have along with us Mr. Sundeep Sikka, Executive Director & CEO along with the top manage ment team of Nippon Life India Asset Management. I would like to hand over to Mr. Sikka for his opening remarks. Over to you Sir!

Sundeep Sikka: Thanks. Good morning and welcome to our Q4 FY2023 earnings conference call . We have with us our CFO , Mr. Pratee k Jain; Co Business Officer , Mr. Saugata Chatterjee ; Co Business Officer, Mr. Aashwin Dugal ; Chief Digital Office r, Mr. Arpanarghya Saha , Head of Product Management and Investor Relation s Arun Sundaresan and Shin Matsui San Nominee of Nippon Life Japan. Our detailed presentation and press release have been uploaded on the exchanges as well as on our website. I would like to break my comments into three parts, one industry overview, two about our performance and three way fo rward. Since this is only the financial yea r end most of the commentary would be for the whole year. For the fiscal year equity markets were volatile and ended the year almost flat. S&P BSE Sensex returned 0.7%, s mall cap returned negative 7%. The re was an increase of 250 basis point s based on repo rate while the 10 -year GSEC yield went up by 50 basis points. Despite the mixed overall outlook in the beginning of the year the subsequent lacka daisical market returns. The asset managem ent industry maintain s its growth momentum driven by increase in financialization, higher awareness and improved access to mutual fund products across the length and breadth of the country . The industry AUM grew by 5.5% in the year

and is currently at Rs.4 0.51 lakh Crores historic high. The equity category including ind ex and excluding arbitrage funds witnessed a gross inflow of Rs.5.72 lakh Crores and net inflow of Rs.2.52 lakh Crores. Investor interest in investing through systematic investment plans was very high with the SIP contribution for the year being at Rs.1.5 6 lakh Crores, 25% higher than last year . The monthly SIPs touched an all -time high of Rs.14276 Crores per month while the SIP folios were at

63 .6 million, rising by 20% . Debt funds on the other hand witnessed an outflow of nearly Rs.1.5 lakh Crores on the back of rising interest rates. ETF flows were healthy at nearly Rs.60000 Crores of net flows during the year. The consistent expansion of investor base and growth in the AUM driven by SIP and E TF flows indicate investors interest in the industry superior capability to fulfill them vis-à-vis other financial products. Growing financial awareness, differentiated and transparent product Nippon Life India Asset Management  
April 26 , 2023

Page 3 of 17 suite and innovative digital strategies are expected to be the key drivers for industry growth in future as well.

At Nippon India Mutual Fund our priority is to be feature ready and capture this long -term opportunity . As on March 31, 2023, NAM India assets and the management were Rs.3,62,981 Crores that is \$44.2 billion. This includes mutual funds, managed accounts, and offshore funds. For the quarter ending March 31, 2023, our mutual fund quarterly average assets were at Rs.2,93,159 Crores, this is a flat quarter -on-quarter and increase of 3.5% year-on-year. In the previous meetings I emphasized on our equity market share. I am happy to share with you our equity market share excluding ETF has been stable for the least three quarters and is currently at 6. 19%. Share of equity assets rose to 44% of our total assets compared to 42% last year. We added 9.6 lakh folios in this segment . With our strong on-ground presence and healthy management performance we hope to increase our equity market share in the coming days. At Nippon India Mutual Fund our core remains on investors ' interest. We added 2.6 million folios in the year and continue to have the largest base in the mutual fund industry at 13.5 billion investors. We have one of the largest retail assets in the industry at Rs.85 ,361 Crores. The retail assets contribute 29% of Nippon India's AUM compared to industry average of 25%. Our B30 AUM is at Rs.55 ,680 Crores which has increased by 16.4% year-on-year. This segment from 19% of Nippon India Mutual Funds AUM compared to industry average of 17%. In individual AUM, that is a mix of retail and HNIs is at Rs.1,62,651 Crores an increase of 17% year -on-year. This segment contributes 56% of the Nippon India Mutual Fund AUM.

One of the areas of improvement I have highlighted in the previous calls has been our market share in the HNI category . I am happy to inform you that our HNI AUM increased from Rs.77 ,289 Crores up by Rs. 15594 Crores which is 25% up year -on-year and our market share increased by 66 basis points. Systematic flows are stable and key driver for industry's long -term equity flows. I am happy to share that over the last few quarters Nippon India Mutual Fund has seen strong growth and systematic investment flows and this has led to a sequential increase in folios and value market share. Our systematic book grows by 52% year -on-year to Rs.1 ,115 Crores. This increase results in an annualized systematic book of Rs.13 ,380 Crores. 60% of our SIP AUM has continued for over five years compared to 24% for the industry. Also, in volatile markets folios with lower ticket size have devastated longer vintage and better stickiness. 15% of our SIP folios have continued for more than five years against an industry average of 11% . At Nippon India Mutual Fund we offer best -in -suite of products in the passive category . With strong growth in industry with passive our ETF ecosystem is already in place and far ahead of its peers in terms of investor base and mind share . We continue to be the largest ETF player with an AUM of Rs.70 ,024 Crores with a market share of 13.74%. Gold ETF is the biggest fund in the category and during this period even silver fund we are the largest in the industry. Our share in the industry ETF folios is 61%. We have a 70% share of ETF volume

on both NSE and  
Nippon Life India Asset Management  
April 26 , 2023

Page 4 of 17 BSE. Our ETF 's daily volumes across key funds remain far higher than the rest of the industry. Under Nippon India AIF we offer category two and category three alternative investment funds and have a commitment of Rs.5615 Crores across various schemes . Our digital centric strategy is one of the key stones for sustainable growth and profitability. Amongst various digital initiatives such as cart-buying which we took to enhance our partners and investor experience. We have rolled out Nippon India Mutual Fund WhatsApp channel a real time comprehensive transaction and service suite for our investors. Business

Easy 2.0 App is aimed in driving more meaningful engagement, retention, and growth through advisories, detailed analytics, and smart insight. Digital purchase transactions rose to 33 lakhs, up from 30 lakhs last year. Digital channels contribute 57% of our new purchase transactions. While I talked about digital infrastructure at Nippon India Mutual Fund we have a well diversified physical distribution base, a wide presence to 270 locations across the country. We have over 91,000 distributors empanelled with us. The MFD base rose to over 90,800 an addition of 6,700 distributors during the year.

Now on the financial performance, for the quarter ended March 31, 2023, profit after tax is Rs.1.98 billion an increase of 13% year-on-year. The operating profit is at 1.99 billion which is flat year-on-year. In the past the company has followed a consistent dividend policy and we have followed last year's dividend payout which was 96% of PAT ratio and this year the ratio has gone to 100% of PAT for the current financial year. Over the last nine financial years NAM India has distributed a cumulative dividend of Rs. 41 billion. As we grow organically through our physical and online channels, we remain open to evaluate investments and strategic opportunities that add to the profitability and complement our existing businesses and ultimately in the interest of the minority shareholders. As a signatory to UN-PRI, we are integrating ESG aspects to the various areas of planning, operations, fund management and risk governance. Our goal is to encourage higher adoption of ESG principles within the asset management industry. As a responsible investment manager, we are building a resilient portfolio that will not only provide sustainable return to our investors but will also have a positive environmental and social impact. We will also seek appropriate disclosures on ESG matters from our investee companies.

To sum up I would like to reiterate at Nippon India investor centricity remains the key theme. We strive to deliver superior experience and sustainable returns to our investors and in the process add value to our stakeholders. Our endeavor is to provide sustained profitable growth in the coming quarters. We do hope that the interest rate scenario globally and domestically will be closer to peeking out if not already peeked out. This may be a positive scenario for capital market investments in both equity and fixed income asset classes and will encourage further reach of our investments. With these comments we are happy to take your questions.

Nippon Life India Asset Management

April 26, 2023

Page 5 of 17 Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question is from the line of Mohit Surana from CLSA. Please go ahead.

Mohit Surana: Good morning, Sir. One question from my side. When we look at your equity scheme performance Nippon Mutual Fund has done quite well across top categories, but we have not seen that being reflected in market share as you said market share remains flattish so any

thoughts on when the improved scheme performance starts to show up in higher market share?

Sundeep Sikka: Thanks Mohit. The way I would like to see it typically good performance I think there is always going to be a lag in performance in the inflows. From our perspective I would like to give you two data points which will help you to understand. Because our focus is highly on retail I think our systematic flows have already increased 50% during the year and from almost Rs.650 Crores have gone it is stretching more than Rs.1100 Crores on a monthly basis so all this will have a lag effect for the incremental net inflows into the company and also if you were to look at it throughout the year the market share was flat but for the last one or two quarters the net sale numbers are higher than the market share so both these indicate in the coming quarters slowly and steadily the market share will keep increasing.

Mohit Surana: Got it. Thank you, Sir.

Moderator: Thank you. Our next question is from the line of Prayesh Jain with Motilal Oswal. Please go ahead.

Prayesh Jain: Good morning, everyone. Firstly, on the yields front the sequential decline is just because of product mix or is there anything else that you would like to highlight out there?

Sundeep Sikka: Prayesh I will request Prateek to take that question please.

Prateek Jain: Prayesh in terms of the sequential quarters I think the yields are more or less flat but in terms of the overall if you look at the full year it has moved down from 44 basis points to 42 basis points on the NAV side which is typically we have been mentioning that it is because of the three factors which we have said in the past about the replacement of old asset by new assets, the cost of acquisition of the newer assets is higher as compared to the older assets and third is the increase in sizes; however, the pace of this decline which used to be higher earlier has come down for two reasons. One of course we are seeing a lesser churn now given we believe our equity performance has been good and the bulk of the

replacement has already happened. The other thing is that we have also seen the competitiveness or the payout ratios to the distributors has now moderated what used to be in the last years with the slew of NFOs, etc., that has also moderated and therefore we have

Nippon Life India Asset Management  
April 26, 2023

Page 6 of 17 been able to contain this decline and that is where we see ourselves continuing. That is all from my side.

Prayesh Jain: Like in the past I think we have kind of alluded to the churn as the churn impacting the equity is the one or two basis points on annual basis do you think that is still there or we should assume that is kind of gone away and now it should be say much lesser and it should be more of an impact of the increase in AUM size rather than anything else?

Prateek Jain: As we said the again Prayesh that there will be a marginal decline which keeps happening; however, if you look at the debt yields that will see some kind of an uplift because the net return to the investors have gone up from what was about 4.5% overall returns on the shorter duration funds to about 6.5% this year obviously there is a flexibility for us to charge marginally higher and therefore you will see that the yield improvement on the fixed income side.

Prayesh Jain: Okay got that and just continuing on the debt part what you mentioned how do you read the impact of the taxation that was levied by the government of India, do you see that there is an opportunity in a certain hybrid category where the equity portion could be between 35% to 65% and how do you see the overall debt kind of close moving in terms of the near term?

Prateek Jain: What I will do is I will ask my colleague Aashwin to answer that but from a tax perspective if you just ask me the mutual funds still remain

a superior product as compared to any other product in the market because of the flexibility by which one could redeem and get the money back and at the same time it provides a higher return to the investor and the taxation is also at the end when the person is kind of redeeming it. Therefore, during the holding period there is no taxation involved so there are few things which from a tax arbitrage perspective there still remains and I will ask Aashwin to talk about how he sees flows from the investors.

Aashwin Dugal: Thanks Prateek. So largely the shorter end of the curve which is up to one year essentially in our view will remain unaffected from flows, it is the value of the curve and beyond which is three, four years and beyond where we were seeing bulk of investments coming in from savers there we will be competing with some of the other savings products; however, taking a cue from what Prateek mentioned there are two very essential features of debt mutual funds one is diversification so with a very small ticket today the essential benefit of exposure into multiple debt instruments that can be derived from investment in a mutual fund scheme that continues to be a big benefit to investors. Number two tax deferments which Prateek mentioned I think that is one unique benefit that only mutual funds provide and that over a long investment period for retail or an individual investor can be very meaningful so I think some of these benefits will continue to be inherent to our mutual funds. Any which ways the population of investors who were getting tax benefits were

Nippon Life India Asset Management  
April 26, 2023

Page 7 of 17 smaller and I believe that once AMC's now focus on explaining these benefits of diversification and more importantly tax deferment in the medium term, we should continue to see large flow, so very, very confident of debt funds getting now longer-term AUM than what they have got in the last three years.

Prayesh Jain: That is helpful. Just a question on the financials here. The employee cost is down sequentially and Y-o-Y basis both what is this related to, and can you break down the full year expense in terms of ESOP and non-ESOP expenses and what is the outlook for say FY2024?

Aashwin Dugal: From our perspective we have not given any ESOP for the last two-and-a-half years and the bulk of that has been accounted for because in terms of ESOP accounting the cost is front loaded. As far as the decline is concerned it is because of our expectation in terms of growth and profit so we have been continuing maintaining certain provisions for the P&L and that has somewhat moderated from what our expectation were and therefore the numbers are slightly lower.

Prateek Jain: We like to highlight as a company we continue working on operational efficiency with a lot of digitalization that is happening at the backend, so we are clearly seeing an advantage of that also playing out.

Prayesh Jain: Just last question - any reason for the other income fall in this quarter because is there yield impact?

Sundeep Sikka: Yes, this was purely the mark-to-market. We carry almost Rs.2200 Crores of our network

into our fixed income schemes and this was predominantly the mark-to-market on these schemes as on date .

Prayesh Jain: Got that. Thank you so much and all the best.

Moderator: Thank you. Our next question is from the line of Lalit Deo with Equirus Securities . Please go ahead.

Lalit Deo: Good morning, everyone . Sir, just two questions. We have seen strong additions in our passive fund folios so like how incrementally are we looking to do something in terms of cross sell to these existing investors to like where they can subscribe to our equities schemes also and then we can see probably some increase in market share also?

Sundeep Sikka: Lalit you are right our focus has been to acquire newer invest

ors. We strongly believe this

long-term success of the industry or for any company will be if we are able to increase our investor base so by design, we are adding more and more investors and there is at the back

Nippon Life India Asset Management

April 26 , 2023

Page 8 of 17 end a lot of initiatives are being taken using DI and various initiatives have been done to cross sell and upsell different products .

Lalit Deo: Sure, Sir and secondly the question is on the yield side could you give us that segment wise yield as on March 2023?

Prateek Jain : Historically we have not been sharing the yields on a product basis but as in the past maintained that the equity yields are in the range of close to about high 70s to early 80s and on the debt side it has been because the most part of the debt has been on the ultra short - term categories so that has been around 23 to 30 basis points somewhere in that range and on the liquid it has been around close to about 15 to 20 basis points so this is where the overall yields have been.

Lalit Deo : Like last quarter we highlighted that we have seen some increase in yields in our passive funds so like are those yields holding up and do we see any other areas also to increase those yields?

Sundeep Sikka: Lalit , we keep evaluating wherever we can wherever there is a scope you have to juggle between how you are adding value to the investor , wherever we feel there is a scope we will do that so it will be very difficult to give a long -term projection how we will go ahead but whenever we see there is an opportunity we will keep working on it.

Lalit Deo: New SIP registrations which happened during the quarter ?

Sundeep Sikka: Lalit we published this data about total systematic investments not only SIP because this is also structural in nature so for the month of March it was Rs.11 15 Crores and for the quarter Rs.3200 Crores.

Lalit Deo: Yes, but in terms of folios ?

Sundeep Sikka: Folios for entire year we have added 26 lakh total folios out of that systematic investment plan is we are adding about 120000 approximately plus or minus a little here and there. I think Arun can share this data with you, but I think it is for the full year about 12 lakhs to 14 lakhs kind of a number but exact number I think Arun will get back to you.

Lalit Deo: Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Swarnabha Mukherjee with Batlivala & Karani Securities . Please go ahead.

Swarnabha Mukherjee: Yes, thank you. My first question is you have mentioned that the yields are flattish sequentially which is the case for the mutual fund business but if I look at it on a

Nippon Life India Asset Management

April 26 , 2023

Page 9 of 17 consolidated basis, we do see some amount of compression there so just wanted to understand anything which has played out on maybe the managed account side which is outside the mutual fund business?

Arun Sundaresan : No, it is broadly from our perspective outside the mutual fund business there has not been much growth . We saw some of our existing funds and they had to close down because they got matured and new fund launches got a little delayed but this is a temporary nature so I think we already have a certain new fund launches lined up and in the coming one or two years again you will see that picking up .

Swarnabha Mukherjee: Got it. In terms of this yield when we try to think about how it will play out over the next two to three years just wanted to understand how much of your old assets have already gotten churned into newer assets or may be if you can break up your current say on the equity side the asset mix between capex holdings and three years and your relatively newer assets if you can give a ballpark number it will help us understand ?

Prateek Jain: We only have about 30% of the old assets now which are in the old price

ng, rest all already

have churned so more than three -year-old asset would be about 30% of our total equity asset and most of it as Arun mentioned is part of our SIP book. The continuing SIP book so we do not see much of a change happening at that end.

Swarnabha Mukherjee: Sir would it be fair to assume that the realization that we are making on the stock is now relatively closer to the low levels right now in terms of mix ?

Arun Sundaresan : As I mentioned to you that look the flows also depend on which category we are seeing the inflows and in certain categories our propensity to charge is slightly higher as compared to some of the other products. We said it is a function of competition or performance as well as the size of our scheme. As Sundeep mentioned, we keep evaluating all the opportunities available in terms of transforming the growth as well as at the same time maximizing our revenue.

Swarnabha Mukherjee: Last question I wanted to ask from the gold ETF side so how have the flows been post this taxation norms were announced in non -equity mutual funds ?

Sundeep Sikka: Broadly the way we have to see this is that our gold ETF has been the largest in the country for about many years now. A lot of different investors come for short term tactical views and for long term there are different treasuries. This is too early to say what will be the impact but majority of the investors who have been coming for short term are less than three years and nothing changes for them. Overall, we clearly see gold and silver more allocations coming into it and one more trend that we have seen is a lot of HNIs family Nippon Life India Asset Management  
April 26 , 2023

Page 10 of 17 offices they keep taking tactical calls on gold and their silver and because of the volumes that we have ours is one of the most preferred ETF.

Swarnabha Mukherjee: Thank you so much Sir.

Moderator: Thank you. Our next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead .

Sahej Mittal : Hi good morning all and thanks for the opportunity. Sir one question which is on the market share what seems to be likely the reason for diverging trends in SIP flows versus your lump sum flows, so on SIP side we are consistently seeing improvement in market share but on the lump sum flows there seems to be huge outflows so what seems to be the likely reason ?

Sundeep Sikka : It is very simple. As an organization for us we have always been very strong in retail. There was a period when our fund performance was not so strong after the fund performance got stronger, we have seen the SIP number as you mentioned have been strong. To answer one of the earlier questions which had come 19 lakh SIP during the year was a number at that time the number was not available with us and that will definitely add value on a monthly basis if you are adding 1000 Crores, so this is technically speaking now we analyze the book. It is about 13000 Crores incremental inflows that will come into the company. If you go to the last five to six calls, we have been saying that we have been relatively weak, we were weak on HNI and now that is also improving. We have seen our HNI market share go up by 66 basis points, there has been an overall increase in AUM of 25% compared to the industry AUM of 11% so it will be the lag effect nothing specific. Once their basic core is in place it is all about execution but overall, the trend that we have seen in SIPs which started a little earlier you will see start seeing lump sum also and we remain positive with the next four to six quarters you will see equity market share going up.

Sahej Mittal: Got it. That is all from my side. Thanks for answering my question.

Moderator: Thank you. Our next question is from the line of Mr. Mohit from BoB Capital . Please go ahead .

Mohit : Thanks for the opportunity. Couple of questions.

First if I look at SIP it has declined

sequentially from 583 billion to 580 billion so what explains that ?

Sundeep Sikka : It has been mark -to-market nothing else. Overall, the monthly numbers have been increasing it would be just that nothing else. Both the number of overall monthly registrations, number of new investors and monthly inflow all have been increasing. As I mentioned earlier it has almost gone up by 50 % in the last 12 months.

Nippon Life India Asset Management

April 26 , 2023

Page 11 of 17 Mohit : Alright perfect. Second is in terms of the dividend payout side for the last two years we have given more than 90% but I believe that it will moderate going further or do you intend to make it more than 90% consistently ?

Sundeep Sikka : This year we have gone for 100% almost , as per our present dividend policy anything between 60 to 100% depending on how the Board evaluates going forward decision will be taken but broadly the thought process is that we want to share the profits of the company with the shareholders, the minority shareholders. We cannot give a futuristic thing but as dividend policy and going with the past trend we will be similar to where we are today.

Mohit : Alright and my last question is in terms of the tax, if I look at the effective tax rate it is around 17% for the quarter primarily because of the deferred tax credit and even if I look at the entire year we had a deferred tax credit so prudent to assume that we will take this deferred tax credit going forward or a 25% tax rebate is something that we can assume for the future ?

Prateek Jain : Mohit on our fixed income investments we get the long term benefit and as and when they turn long term so what we do when we invest with them and whatever gain is there we provide on the basis of short term rates till the time they become long term so the moment they become long term both on equity and fixed income we have to do the assessment of our tax calculation once again ; however, even if we do not realize we have to do this adjustment and therefore you see the changes in the deferred tax. Significant part of our investments during the year has turned long term and on that the tax liability has to be adjusted based on the long term tax rate as compared to the short term and therefore you see in the fourth quarter there has been lower provision for the taxation ; however, what we expect there is a part of our income which comes from other income so we expect our effective tax rate to be somewhere around 20 to 23% as against 25%.

Mohit : Alright perfect. Thank you and wish you all the best.

Sundeep Sikka : Your question on the SIP numbers have gone down. If you see slide number 29 of the presentation , actually the systematic book has grown from 50,000 Crores to 58,000 Crores so maybe for further clarification Arun will be in touch with you but slide number 29 gives you that data .

Moderator: Thank you Sir! Our next question is from the line of Abhijeet Sakhare from Kotak . Please go ahead .

Abhijeet Sakhare : Hi good morning. Is it possible to share your net flow market share for the last couple of years?

Nippon Life India Asset Management  
April 26 , 2023

Page 12 of 17 Prateek Jain : Abhijeet we do not disclose the net flow market share; however, if you see in the last few quarters our decline on the market share has stabilized so we are seeing some positive inflows , our net sales are higher than our existing market share and you will see in coming quarters we will be able to improve the trajectory.

Abhijeet Sakhare : The flow market share is higher than the current AUM market share in the same period ?

Prateek Jain : That is right.

Abhijeet Sakhare : The second one was a broad colour if you can share any colour on type of investors and channels that are bringing those investors between let us say the active equity versus the passive equity book

ok that we have ?

Sundeep Jain : From the investors point of view as we mentioned majority of our investors are retail even from AUM point of view while the industry has an average of 40% our institutional AUM the retail is the dominant one which is individual plus and HNI so that is one. So, majority of the investors which are coming are individual investors coming from across the country we continue because of our digital infrastructure , we are having nine purchase transactions per minute so there is a mix of digital savvy investors as well as investors coming from small cities and towns. As far as the channel mix is concerned the channel mix between active versus passive if I was to say in passive, we have seen many investors are coming direct, many or most investors are coming direct and many of these are also family offices, in active very high percentage still keep coming through IFA and national distributors.

Abhijeet Sakhare : Sorry are you also saying on the passive side are you also able to track if these new set of investors are first time investors in mutual funds or this is probably their second, third product on the mutual fund side which is becoming a passive product ?

Sundeep Sikka : We will not be able to have that data but our sense says that many of the investors who are coming into ETF industry they are first time investors that is again like I said I do not want to put because these are some of the new investors which are coming , the fact that we have 70% of market share in ETF and one out of three investors in Indian mutual fund stays with us so the trend would be likely the first court of call for any new investors typically is Nippon whether it is ETF or this and there is value addition to the industry.

Abhijeet Sakhare : Got it. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Bhavya Sanghvi with Fortress Group. Please go ahead .

Bhavya Sanghvi : My question is on the non -mutual fund piece , so I wanted to understand the business model although I get some flavor on the yields and the kind of margins that you make on managed

Nippon Life India Asset Management  
April 26 , 2023

Page 13 of 17 AUM which I think is reported at 673 billion there was an idea about the traction and the



size of opportunity in this space and how is it different from the mutual fund piece in terms of operating numbers ? Thanks.

Sundeeep Sikka : We have already discussed a lot more in the mutual fund business and we clearly believe as far as the mutual fund business is concerned it is the scale of infrastructure and it is the execution capability that we have built up we clearly believe we should grow in line or a little better than the industry going forward. From the non-mutual fund business, yes, this financial year has not been very good for us. It is a mix of multiple reasons like I said some of our funds which were there, and they were close ended funds, they matured. Then after that we also went slow on real estate offerings and two to three new funds which are getting launched got delayed. From our perspective this opportunity is going to be divided in three parts, the domestic fund raising in the non-mutual fund, which is going to be both A real estate, B is going to be long short funds, B is going to be the international funds I think which we are working closely with Nippon Life to see the opportunity, get the investors into India from Japan. We already have three funds, two bond funds in Japan, one equity fund in Japan then two real estate funds in Japan. I think we are exploring how and what more we can do. There has been a little delay and I should admit this is something which has been a little slower than we thought but a lot of all that is happening and in the coming quarters you will see a lot of traction. As we have been mentioning in the past, we continue exploring opportunities for

or inorganic opportunities. We also continue looking at acquiring skill sets that complement our existing businesses to start new product offerings which we do not have at this point of time so the next three to four years as a company there will be higher focus on non-mutual fund business.

Bhavya Sanghvi : Sir can you give us a sense on the yields that you would make on this kind of business, retentions on mutual fund business or just a proportion would it be double of what you make on mutual funds and impact on the margins going ahead through this business ?

Prateek Jain : We need to break this up into two parts, one is there is a government business which is the postal life business which accounts for almost 60000 Crores of assets where there is a very little margin of fees I would say that is a government mandate; however, on the PMS, AIF and the offshore businesses which accounts for almost like the offshore business is close to about \$1.8 billion and on the AIF side the commitment which will be about 800 odd million so there I think what we make is on the AIF and PMS our net retention is close to about 100 basis points and on the offshore piece this would range about between 33 basis points to 67 basis points depending on whether we are sub-advising or where we are managing and these are mostly institutional mandates what we are currently running. On the retail side and on the offshore side also we have net realization which is in excess of 100 basis points.

Bhavya Sanghvi : Sir \$1.8 billion was for offshore business ?

Nippon Life India Asset Management

April 26, 2023

Page 14 of 17 Prateek Jain : Yes.

Bhavya Sanghvi : Thank you Sir got it.

Moderator: Thank you. Our next question is from the line of Pritesh Chheda from Lucky Investments Managers. Please go ahead.

Pritesh Chheda : Sorry Sir if this question is repetitive but I just wanted to understand your directions on yields especially in context of the last full year whether for the industry as a whole as well where we had multiple challenges on yield whether with respect to mix or NFOs so any comment in terms of yield direction ?

Prateek Jain : Frankly speaking it will be difficult to tell about the industry but as we have been maintaining that look we would like to continue to maintain the current levels going forward as well so wherein our net yields are in the range of about 40 to 45 basis points and there we clearly see scope because in the past few years we have seen a sharp decline in our fixed income yields because of the lower net carry to the investors; however, now the carry is higher. I think we will be able to and as an industry we will be able to improve our net realization on the fixed income side of it and that will give us some kind of a flip. On the other side equity we will continue to see some marginal decline going forward as well because now this is linked to the size of the scheme as well as the old assets getting churned out so I think broadly our endeavor would be to maintain the current yields which I think in the last year also we had said that look the decline would be in the range of two to three basis points while we do not give any kind of projections for the future but for the next coming years also we would see that it would be in the similar range.

Pritesh Chheda : My second question is any comments on the competitive pressure on the NFO side if any in terms of easing or still remaining the same ?

Prateek Jain : So you would have seen that look typically NFOs are not being there and also the regulations are very clear that you can launch only one scheme in each category and also I think from a distributor perspective or the investor perspective they have mostly realized

that look because most of the fund which they launched big bang and somewhere in August of 2021 what had happened is that they went through a cycle where the return to the

investors were not so positive so on the peak of the market when the funds were raised they have not given the expected returns and therefore both investors and distributors have learned this and they have been investing into the more established and performing category so we will see investor chasing returns in the categories where performance of the fund house has been good.

Nippon Life India Asset Management  
April 26, 2023

Page 15 of 17 Sund eep Sikka : As a company we will not be as a philosophy we do not want to come out with too many NFOs. The whole last year we have not come out with any NFO, and our focus will be to consolidate, to build scale on back of good performance of our funds and scale them up.

Pritesh Chheda : Do you have your presence in the multi cap which was the last category launch ?

Sund eep Sikka : We have a multi cap fund. We are the largest multi -cap fund which the industry has.

Pritesh Chheda : Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Aniket from BMSPL . Please go ahead .

Aniket : Good morning. Thank you for the opportunity. My question was on the debt side and the regulations which have come into place previously on this call you said that you do not expect a large impact on debt funds in the longer term, but a lot of independent consultants have been telling us the business on the debt side has dried up.

Aashwin Dugal : I will just explain what I said earlier so what I have explained earlier was that the change in regulations have been mainly for investments that would complete three years and beyond so what I said was the shorter end of the debt curve which is investments which are essentially close to about one year they will remain unaffected and if you see the April flow thus far we have seen the flows have been close to about 60 000 odd Crores at the industry level so very similar to what we saw last year in same period; however, what I had mentioned was that at the longer end we have some benefits that mutual funds enjoy diversification and tax deferment where we as an industry will have to make efforts to educate our stakeholders like investors and distributors to explain them in greater detail so what I mentioned was that in the medium to long term we feel that on these premises and strength some of the debt funds should be able to compete much better so that is our view on the longer end of the curve .

Prateek Jain : So Aniket this is yet getting digested, this has come just about a month back and also what you see immediately post the announcement lot of debt flows happened in the longer term to go and catch up the last minute tax breaks so there has been a good amount of money which has already got invested into longer term and therefore the amount available with the investors may not be much and as Ashwin mentioned that we have some as a mutual fund product we have lot of inherent advantages and I think just from a distributor or advisor whom you are talking about they just need to go and talk this to their end investors.

Aniket : Alright. Thank you for taking my question.

Moderator: Thank you. Our next question is from the line of Prayesh Jain from Motilal Oswal . Please go ahead .

Nippon Life India Asset Management  
April 26, 2023

Page 16 of 17 Prayesh Jain : Hi thanks again. Just on the debt index fund that segment has really picked up in the last one year so where are we standing there and how do you kind of see this in terms of yields in the debt segment or what is our outlook on this segment ?

Aashwin Dugal: Prayesh on the roll-down products that you are talking about yes they have scaled up well in the recent past but going forward I think our focus will continue to be on active funds because we feel that in the longer run we are able to perform better; however, it is a growing category and even though last year we were slightly late in

entering that category

the last three months we have scaled up there as well so in the nutshell we will focus on active funds but we will continue to be present in the passive debt segment as well.

Sund eep Sikka : I would just like to add one thing to it. Unlike equity in debt a lot of the passive funds were on the backdrop of the tax advantage which was there so actually the way we see is debt will move back to active funds and organizations and companies which have a long - term track record of managing active and debt will benefit so that is the way we need to see how things play out but our first reaction is it is not going to be because of the tax changes it is going to be the AMCs which were highly dependent on roll down of passive strategy in fixed income they may get impacted but the AMCs which have a long term track record on active in fixed income may not be as much impacted.

Moderator: Thank you. Our next question is from the line of Nilesh Jethani from Bank of India Mutual Funds . Please go ahead .

Nilesh Jethani : Hi, good morning and thanks for the opportunity. Sir few questions on the fee and commission and other expenses I just wanted to understand with the impending issues with regard to TER on various aspects from GST, brokerages, etc., I wanted to understand your view with regards to fee and commission do we have any scope to squeeze this going forward and similarly on the other expenses the percentages of AUM what direction can we give on that side considering most of the NFOs, etc., are already out so next year are we expecting any further NFOs and any direction on the other expenses on the overall AUM?

Prateek Jain: In terms of the fee and commission expenses this predominantly pertains to our area of business where we used to pay upfront and I believe there are regulations going forward these will not be allowed and most of this will be paid from the scheme as a trail so therefore this line item will not exist going forward and also in terms of the NFOs as Sundeep mentioned that look as and when there is an opportunity to come out with a unique product where we can give a differentiated return to the investors we will work it out otherwise just for the sake of raising capital we will not be coming out with any kind of NFOs. As regard our overall other expenses those are in the range of about 17 to 18 basis points of our current AUM and as we expect our AUM to grow much faster than our expense growth so typically our expense growth has been in the range of 6 to 7% and that is Nippon Life India Asset Management  
April 26 , 2023

Page 17 of 17 what we expect going forward as well in line with the inflation and if we increase our AUM more than the expense rate then the operating leverage will come into play and you will see on our BPS basis this will trend downwards.

Nilesh Jethani : Got it Sir. Sir my question on this impending impact on the GST and brokerages, etc., to be included in TER any direction you can give us with regards to what could be our share or what industry could share and what could be reflected or passed on to the bottomline of the business?

Prateek Jain : These are certain things which we have also learned from the newspapers. I think these regulations are yet to come out and we would refrain at this point of time from commenting on those; however, if you go by the past whenever these changes have come our AMC has been more adaptable and flexible. We will pivot according to whatever regulation comes and we will work out a business model or it would be best for all our stakeholders.

Nilesh Jethani : That was really helpful . Thank you so much.

Moderator : Thank you . As there are no further questions from the participants, I now hand the conference over to Mr. Sundeep Sikka for closing remarks.

Sundeep Sikka : Thank you everyone. Thank you for being there. If there are any further

queries, please be

in touch with Arun and from our perspective our focus remains on long -term profitable growth . Thank you very much.

Moderator : On behalf of Batli vala & Karani Securities that concludes this conference . Thank you for joining us . You may now disconnect your lines.

## Call: Nov 2023

November 2, 2023

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended September 30, 2023, conducted after the meeting of Board of Directors held on October 30, 2023, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q2-FY-2024.pdf>

Thanking you,

Yours faithfully,

For Nippon Life India Asset Management Limited

Nilufer Shekhawat  
Company Secretary & Compliance Officer

Page 1 of 16

Nippon Life India Asset Management Limited  
Q2 FY24 Earnings Conference Call

October 30, 2023

MANAGEMENT : MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO,  
NIPPON LIFE INDIA ASSET MANAGEMENT LIMITED  
MR. PRATEEK JAIN – CHIEF FINANCIAL OFFICER ,  
NIPPON LIFE INDIA ASSET MANAGEMENT LIMITED  
MR. SAUGATA CHATTERJEE – CHIEF BUSINESS  
OFFICER , NIPPON LIFE INDIA ASSET MANAGEMENT  
LIMITED  
MR. ARPAN SAHA – CHIEF DIGITAL OFFICER , NIPPON  
LIFE INDIA ASSET MANAGEMENT LIMITED  
MR. ARUN SUNDARESAN – HEAD OF PRODUCT & IR,  
NIPPON LIFE INDIA ASSET MANAGEMENT LIMITED  
MR. SHIN MATSUI -SAN – NOMINEE OF NIPPON LIFE  
INSURANCE , JAPAN

MODERATOR : MR. ANSU MAN DEB – ICICI SECURITIES LIMITED

Nippon Life India Asset Management Limited  
October 30 , 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Limited Q2 FY24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansuman Deb from ICICI Securities Limited. Thank you and over to you, sir.

Ansuman Deb : Good evening, ladies, and gentlemen. On behalf of ICICI Securities, it is our privilege to host the Q2 FY 24 Results Conference Call of Nippon Life India Asset Management. We will have an initial management commentary followed by a Q&A.

Without further ado, I now hand over the call to Mr. Sundeep Sikka - Executive Director and CEO. Over to you, sir.

Sundeep Sikka : Thanks. Good evening and welcome to our Q2 FY 24 Earnings Conference Call.

We have with us our Chief Financial Officer – Prateek Jain ; Chief Business Officer – Saugata Chatterjee ; Chief Digital Officer – Arpan Saha ; Head of Product and IR, Arun Sundaresan, and Matsui-San – Nominee of Nippon Life Insurance, Japan.

Our detailed "Investor Presentation and Press Release " have been uploaded on the exchanges as well as on our website.

I will break my comments in three parts :

- 1) Industry Overview .
- 2) Performance .
- 3) The Way Forward .

Starting off with the markets :

Equity markets of Q2 FY24 show ed divergent performance while the Nifty 50 increased only 2%, Nifty mid cap and small cap indices rose by 13% and 16% respectively. RBI held the repo rate steady at 6.5% while the 10 -year G -Sec yield increased by 10 basis points quarter -on-quarter with 7.22% .

Coming to the data on Mutual Fund Industry:

The industry grew by 9% quarter -on-quarter in Q2 FY24 to INR 47 trillion. This is the highest quarterly growth since Q2 FY22. On a year-on-year basis, the quarterly average AUM grew by 20.3%.

Nippon Life India Asset Management Limited  
October 30 , 2023

Page 3 of 16

Moving to Flows:

- 1) The equity category excluding index and arbitrage witnessed a gross inflow of INR 1.55 trillion and a net inflow of INR 492 billion. Both gross and net flows were higher on quarter -on-quarter basis. Strong inflows were witnessed in sectoral , thematic, small cap, flexi, and mid cap category.
- 2) Investor interest in investing through systematic investment plans has further increased with the SIP contribution to the quarter being INR 471 billion, 25% higher than Q2 FY23 and 9% higher than Q1 FY24.
- 3) Monthly SIP flows in September 2023 stood at INR 160 billion, which was an all -time high. The SIP folios increased 7% quarter -on-quarter to 71.3 million.
- 4) Arbitrage funds also witnessed strong inflows of INR 297 billion .
- 5) The fixed income category that is debt plus liquid witnessed a net outflow of INR 594 billion after large inflow we witnessed in Q1 FY24.
- 6) ETF flows were moderate at INR 49 billion.

At the end of the quarter, unique investors in the mutual fund industry increased to 40 .4 billion, while the industry folios increased to 157 .1 million i ncreasing financialization, higher awareness, better reach through new -age tech platforms and distribution networks should see continued growth for the industry going forward.

Now , moving to our Business Performance:

- 1) We closed the quarter with assets under management of INR 4.35 trillion. This includes mutual funds, managed accounts, and offshore funds.
- 2) Our mutual funds quarterly average AUM grew 12% quarter -on-quarter and 23% year-on-year to reach INR 3.51 trillion.

I would now like to share a few highl

ights for the quarter :

- 1) Starting with the Market Share . Our market share increased 18 basis points quarter -on-quarter to 7.46 % with the market share increasing across most asset categories.
  - 2) During the quarter, we moved up one position to 5th in terms of total equity AUM, our equity share also continues to grow. It has increased from a low of 6.18 % to 6.53%, of which there was a 26-basis point improvement in Q2 FY24. It is important to note that this market share improvement has happened even after we stopped lump sum inflows into a small cap fund in July 2023 in investor 's interest .
  - 3) Apart from equity, we also gained market share in other segments including 33 basis points quarter -on-quarter improvement in the liquid segment and 16 basis point s quarter -on-quarter improvement in ETF segment.
  - 4) We continue with balance growth both in terms of asset class as well as investor categor y. On the segment al front , our individual AUM , which consists of retail , HN I AUM , saw market share improvement for the seventh straight quarter . Individual
- Nippon Life India Asset Management Limited  
October 30 , 2023

Page 4 of 16

AUM grew 14% quarter -on-quarter to INR 2 ,094 billion , market share increased 29 basis points quarter -on-quarter to 7. 45%.

- 5) Our B -30 AUM grew 13.9% quarter -on-quarter to INR 719 billion, which keeps us amongst the fastest growing large AMC s in B -30 locations. Our market share improved 25 basis points quarter -on-quarter to 8.5 8%. This segment forms 20% of our AUM versus 18% for the industry.
  - 6) The performance of our large equity schemes remain ed strong and this, along with our distribution network, digital capability, and strong risk management, helped us deliver a double -digit market share in net sales , in equity plus hybrid segment in Q2 FY24.
  - 7) We a dded 1.2 million investor folios in the quarter and continue to have the largest base in the mutual fund industry with 14.6 million unique investors. We are humbled to have one out of three mutual fund investors in India.
  - 8) During the quarter , we also completed the NFO of Nippon India Innovation Fund as at the end of the quarter, the AU M in this fund stood at INR 9.6 billion.
- I would now also like to touch upon the important aspects of our systematic book :
- 1) The systematic flows are a stable and a key driver for industr y's long term equity flows. I am happy to share that there have been a continued up tick in our systematic flows over the last 9 quarters, which has led to increase in our market share.
  - 2) Our monthly systematic book rose by 42% to INR 17.3 billion for September 2023 over June 2023. This resulted in an analyzed systematic book of INR 208 billion .
  - 3) Number of systematic transactions for the quarter increased by 20% quarter -on-quarter to more than 12.8 million.
  - 4) 64% of our SIP AUM has continued for over 5 years versus 26% for the industry. This bodes well for the volatile markets where folios with low ticket size have demonstrated longer vintage and better stickiness . 16% of our SIP folios have continued for more than 5 years against an industry average of 12%.

Moving on briefly to the ETF Segment:

- 1) At Nippon India Mutual Fund, we offer an industry best suite of passive funds with an ETF ecosystem, which is already in place and far ahead of the peers in terms of investor base and mind s hare. We continue to be one of the largest ETF players with an AUM of INR 808 billion and a market share of 14%. The Gold ETF fund is the largest in the category, having assets of INR 78 billion.
- 2) Our share in the industry's ETF folios is 61%. We have a 67% share of ETF volumes on NSE and BSE . Our ETF's average daily volumes across key funds remain far higher than the rest of the industry.
- 3) Last quarter , NAM India was appointed as one of the four AMCs for managing EPFO corpus for ETF investments . These investments commenced

in the beginning of July

2023, and we are seeing approximately one-fourth of the incremental EPO flows going forward .

Nippon Life India Asset Management Limited  
October 30 , 2023

Page 5 of 16

Moving on to a strong Distribution Franchise:

- 1) Our digital strategy remains focused towards enabling better reach and leveraging technology advancements to provide frictionless experience.
- 2) As digital and technological landscape is continuously evolving, the perpetual beta thought process has led to constantly strengthening our digital ecosystem and enabled

simple and easy investment experience across the ecosystem for our investors and partners.

3) Digital purchase transactions rose to 2.55 million in H1 FY24, up 64% year-on-year. We have witnessed close to 50% jump in Q2 FY24 compared to Q1 FY24. The digital channel contributed 56% of the total new purchase transactions for H1 FY24.

4) Our physical distribution base is well diversified and with a wide presence through 265 locations across the country.

5) We have over 95,600 distributors in total and added roughly 2,600 new distributors during this quarter.

Now, I would like to briefly update you on our subsidiaries, namely AIF and Singapore subsidiary:

1) Starting with the Nippon India AIF. As mentioned in past, AIF continues to be an important focus area for NAM India.

2) Last quarter, we appointed the new Head of AIF business, Mr. Ashish Chugani. This quarter, further, to strengthen the AIF business, we have internally moved a Senior Resource, Mr. Ashwin Dugal as a Deputy Head of the business.

3) Under Nippon India AIF, we offer category 2 and category 3, alternate investment funds and have commitment of INR 57.8 billion across schemes.

4) We had launched our Tech Fund of Fund in 2020, which was anchored by large Japanese institutional and corporate investors. The fund is in the advanced stage of deployment.

5) The Company has started getting into multiple business lines. Towards this end, we have recently launched our Credit AIF and a Long Only Equity AIF for which the fundraising is in progress.

6) On the offshore front, we will continue to focus on fundraising from international markets, looking at business opportunities with subsidiaries, associates, and large network of Nippon Life Japan. Nippon Life Japan remains committed in supporting NAM India's offshore business.

7) We continue to see interest for India not only from the conventional markets but are also getting initial positive inflows and interest from LATAM market.

In terms of regulatory environment, not much has changed since the prior quarter. SEBI had come up with the consultation paper in May 2023 regarding the review of the year charged by the AMCs. We continue to await details regarding the revised paper post incorporating industry feedback.

Nippon Life India Asset Management Limited

October 30, 2023

Page 6 of 16

Now, on our Financial Performance:

1) For Q2 FY24, revenue stood at INR 3.97 billion, up 20% year-on-year.

2) Other income stood at INR 0.78 billion, down 5% year-on-year.

3) Operating profits stood at INR 2.33 billion, up 25% year-on-year and 20% quarter-on-quarter.

4) Profits after tax stood at INR 2.44 billion, an increase of 19% year-on-year and 4% quarter-on-quarter.

As a part of our capital allocation strategy, we would like to reiterate that we have a stated dividend policy to distribute 60% to 90% of our profits to our shareholders. In FY23, we distributed 100% of our profits. Further, the Board of Directors has declared an interim dividend of Rs. 5.5 per share along with the Q2 FY24 results today. In addition, we also remain open to evaluate investments in strategic opportunities that can add profitability or complement our existing businesses.

Briefly, moving onto ESG:

1) As a signatory to UN-PRI, we are integrating ESG spreads into v

arious aspects of

planning, operations, fund management, risk, and governance.

2) Our ESG ratings are amongst the best in the financial services industry with NAM India now rated 'Low Risk' as per Sustainalytics.

3) As a responsible investment manager, we are building a resilient portfolio that will provide sustainable returns to our investors and have a positive environmental and social impact.

In Conclusion:

We remain excited about the business opportunities going forward. This includes both domestic markets, where mutual funds have become a preferred investment route as well as global markets where we would be aided by the network of Nippon Life Japan. We continue to focus on sustainable profitable growth for our shareholders in the backlog of our distribution network, institutionalized processes, and strong risk management.

With these comments, we are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Swarnabh Mukherjee from B &K Securities. Please go ahead.

Swarnabh Mukherjee : Sir, my first question is related to the yields, I just wanted to understand that, sir, when I look at the standalone business, I see that there has been slight sequential dilution in this, while at a consolidated level there has been expansion in the yields, so if you could highlight what would be the reason for this and what impacted the mutual fund business because of which there is a slight reduction in this and whether outside the MF business we are seeing higher level business?

That would be my first question. Secondly in terms of gross inflow if you could highlight how

Nippon Life India Asset Management Limited

October 30, 2023

Page 7 of 16

our market share is shaping up because you provided these two numbers compared to the industry flows, I think we have seen a very strong expansion in that number if the market share is coming close to 10%, so how are we in terms of gross flows given that we have stopped the lump sum investments in the small cap fund? So, how is that shaping up overall? And the second question, probably in terms of the equity of inflows, so if you could highlight what is the quantum of inflows we are receiving every month or every quarter and what is the economics of scale in terms of how are the realizations and how much of that is going into the bottom-line and how should we think about the yield trajectory from this perspective given that this is related to lower margin product compared to there are other products? So, how should we think about the blended yields going forward?

Sundeep Sikka : You have three questions. I will request Prateek to take the question on the yields and then Saugata Chatterjee on the gross flows, but I would like to just touch on the last part on what you talked about the EPFO. Broadly, EPFO would be investing about Rs. 15,000 crores, per annum per AMC. This is going to be coming into distinct funds, so whatever the fees that we have been charging even before the EPFO mandate that will continue. It is right now coming in Nifty ETF, and we are at this point of time charging ~4 basis points. To your other question, the blended yield will come down going forward. I would request you not to see as a blended yield. The EPFO money will be coming separately, and you should not mix it up with the overall yield because that may not give you the right picture. So, broadly from our perspective, if you do the rough calculation, EPFO mandate will give us approximately Rs. 15,000 crores per annum and the bottom line of net about Rs. 5-6 crores per annum. Prateek, if you could take the question on yields.

Prateek Jain : So, Swarnabh, in terms of the overall yields, broadly, it has remained the same as we had mentioned in the last quarter. Despite the change

in mix, which has slightly improved, but

overall, our size of the equity AUM has grown and what we have seen is our growth on the quarter-on-quarter basis is almost 17% and half yearly basis is 26%. This is both because of the higher inflows which I will ask Chatty to share with you both in SIP as well as on the lump sum basis, but also in terms of the total new increase of the assets, what you see this year itself what we have seen is our annualized run rate net sales for this quarter was almost 3X of what we have done in the entire last financial year. Therefore, our assets have been growing much faster and because of this SEBI related formula, there has been some compression out there and therefore if you see, the yields have not moved up, but the thing is that on an average basis, we are at the same realization what it was the last quarter. In terms of our other lines of businesses, as we mentioned that those businesses, we operate more from a profitability perspective and those rates are more in line and are better than the competition. There are various asset classes where we are present and the yields are very different, but more importantly, the net yields are in the range of 66 basis to 100 basis points.

Swarnabh Mukherjee : Sir, I just want to follow up on this, if you could call out the category level yields which you share every time and for equity, stock versus flow?

Nippon Life India Asset Management Limited

October 30, 2023

Page 8 of 16

Prateek Jain : Yes, we don't give the yields on the net new flows, but on the segment wise yield in terms of our book, we are almost about 70 odd basis point on the equity, debt would be in the range of 25 to 30 basis point, liquid in the range of 20 to 15 basis point and ETF in the range of 15 to 20 basis points. This includes gold, so yes.

Saugata Chatterjee : Just to continue the question on flows, for this quarter what we find is our gross flows is in the range of 7% and from a net perspective, we are around 11% if you take the last quarter flows, it keeps varying every month, but we are in the double-digit net sales every month. So, what happens is if our net sales are better than the market share, we tend to grow our market share and that is the way the trend is being seen for the last 3 quarters. Even on the SIP side, our market



share is higher, when it comes to the number of SIP's and the contribution to the net incremental SIP book, which is happening in the industry. So, both these components add up to the overall net sales growth in equity.

Swarnabha Mukherjee : This flows that you shared, this is for the equity category, right?

Saugata Chatterjee : Yes, overall equity category.

Moderator : Thank you. Next question is from the line of Madhukar Ladha from Nuva ma Wealth Management. Please go ahead.

Madhukar Ladha : Just wanted to get a sense on quarter -on-quarter basis, has there been any significant movement in the yields across categories, so that is one thing I just want to get a sense on that?

Prateek Jain : So, as mentioned, there has not been a significant movement on the yield side of it. The overall yield has remained about 41 basis points and on the segmental one as I mentioned to you that because of the size impact and because of the new flow impact on the equity, there has been a decline in sum for the overall equity realization. This is because this is governed more by the SEBI formula because if you see Quarter 2 itself our annualized net sales is 3X of what we did in FY23. So, we are getting a very disproportionately high share of net sales and the overall AUM has also grown about 17.5%. So, both of this has accounted for the higher AUM and getting into the newer slab and hence because of the new slab rates our yields are lower. However, from our perspective, we have not made any changes to our distribution commission in

terms of payout, etc.

Madhukar Ladha : Just wanted to also understand what has driven other income this quarter?

Prateek Jain : It is purely mark to market for our total investment surplus. As you are aware the company has a total net capital of about Rs. 3,500 crores, which has been deployed in our own mutual fund schemes broadly about 85% of that has been invested in our own mutual fund scheme. There are another into FD's and tax saving bonds and this is entirely based on mark to market impact on these investments, 92% of this net worth is invested into financials or other financial investments, which are our own schemes as well as FDs and bonds.

Madhukar Ladha : There is no unusual element in it, right? No one off?

Nippon Life India Asset Management Limited

October 30, 2023

Page 9 of 16

Prateek Jain : No one off.

Moderator : Thank you. Next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo : Sir, I just have one question on the distribution side, so like as you mentioned that we are seeing like about 7% market share on the gross flows, so but across channels could you give us more color like where we are seeing the highest pickup in this flows and which are the segments where we want to see more pickup in this distribution channel?

Sundeep Sikka : Broadly, it is across the board we are seeing the increase in market share, but from our point of view, as always, we have articulated our strength lies in retail and it also makes economic sense because retail flows are stickier. So, we continue focusing on segments which can give us sticky assets and typically what we have seen smaller ticket size and SIPs have been stickier, but broadly our market share increase across all these segments have been equal.

Lalit Deo : And sir, just two data keeping questions, so like you mentioned that this quarter we have a net addition of 70 basis points on the equity, so like what was it during the last quarter, could you quantify?

Prateek Jain : Yes, so it was in the range of about 74 to 75 basis point because as I said, because of the size issue and because of the inflow's issues, we have seen some contraction in terms of the yields.

Lalit Deo : And sir, like what would be the new SIP registrations during the quarter.

Saugata Chatterjee : For us, we are doing on an average of 4.5 lakh SIPs every month gross, so roughly about 12-13 lakh SIPs we are getting every quarter.

Moderator : Thank you. Next question is from the line of Abhijeet Sakhare, please proceed.

Abhijeet Sakhare : The first question is, is it possible to give some color on the mix of the SIP book in terms of how spread out it is compared to your overall portfolio mix? Just asking this in the context of last few months or quarters seeing extraordinary activity in the small and mid-cap fund categories as such?

Saugata Chatterjee : So, the good part is in our case, we have more or less equal distribution amongst the 5 market caps, large cap, multi cap, mid cap, small cap, and the flexi category. So, we have a quite equal spread because what we have seen is our fund performance in the last 1-2 years has been across the market caps and hence the de-risking of our business is quite visible from the SIP flows which are coming into our fund.

Abhijeet Sakhare : And just again from the perspective of flows, the observation is that our representation or market share in some of the larger categories such as large cap, balance advantage, we are a little bit under-represented, so just any thoughts on improving share of those schemes across different distribution counters as well?

Nippon Life India Asset Management Limited

October 30 , 2023

Page 10 of 16

Sundeep Sikka : As a money manager, our thought process is to continue producing best quality returns and let the investors decide . From our perspective large cap, mul

ti cap , small cap , growth, all are doing

very well. Hybrids i s a growing category, and every asset management company has found a different niche that t hey want to grow , but to answer your question, we would like to be represented equally. Wherever we feel our market sha re is a little lower, we will continue building upon that.

Abhijeet Sakhare : Last one, just a question on OpEx , like this quarter , we had the benefit of strong operating leverage despite double digit expense growth , but looking ahead, do you see any possibilities of cutting back on expense line if the AUM growth turns out to be a little more volatile for the next 12 months and subsequently any guidance or indication on projected cost growth as well ?

Prateek Jain : So, Abhij eet if you look at it from a quarter -on-quarter perspective, it is quite flat. If you look at our employee expenses for the last 5 years, it has been pretty flattish and it is just that as I mentioned last time around to future proof ourselves, we have upped our investment into 3 or 4 areas, specifically, marketing spends , you would have seen we are more visible in terms of our marketing . We have increased our spending in terms of IT , we mentioned that we are working on developing Data Lake around which entire artificial intelligence will work on . The third part is that we have been outsourcing some of our processes . We have been keeping a tab on our employee cost , therefore there is some spillover of that is on to our other outsource d or other consultant cost. So, these are the three areas which has contributed largely to this increase which are predominantly I would say that can be switched off on a tap , if things are not moving right, if the market corrects sharply , then these are the ones which are more discretionary and which can be switched off on tap a nd then there have been a few one off expenses , last quarter we had some few one -off and this year also we have some one -off cases which also are very discretionary. Those cost s can be again as and when we do not want to spend them, we can cut them off. So, I would say tha t largely the increase what you a re saying is on the discretionary spend, we are very conscious of increasing any kind of fixed expenses including our employee cost that as we have mentioned in the past.

Moderator : Thank you. Next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Sir, I had a question on following up with the last question , on the employee expense and the employee count , so probably if you can help us understand there has been a reduction in the employee count and is it correct that the outsourcing of the process that you are talking about has led to the reduction in employee count , just a clarification on that ?

Prateek Jain : No, there has not been a significant reduction . If you see from the peak , we were about 1200 odd people , it was in 2018 -19, w e are now about 985 , 15-20 people here and there. So, that is from last year to now , so we have not had any significant increase or decrease in our total employees. When it comes to outsourcing , any kind of non -core work instead of hiring people if we can put it out and give it to an outsource d agency to carry out that is how we have been working on . It is not related to the significant reduction in that cost.

Nippon Life India Asset Management Limited

October 30 , 2023

Page 11 of 16

Sundeep Sikka : From our perspective, there has not been any conscious effort to reduce the headcount , rather, we continue investing in our people with a lot of digitalization that has taken place across and this leveraging technology , definitely the backend there have been certain processes which are more efficient with the higher use of technology . So, the reduction in numbers is more, which is one of the reasons which is also helping us to increase

our operating leverage.

Shreya Shivani : So, I am just clarifying that the reduction in employee count is also the outsourcing of the processes and the digitalization which reduces the need for people, right need for manpower ?

Sundeep Sikka : Perfect. You got it right.

Moderator : Thank you. Next question is from the line of Mohit from B ob Capital. Please go ahead.

Mohit Mangal : Sir, just to reiterate, I was just seeing your presentation and now you are present in 265 locations versus 275 last year in Q2 and 270 , so this is also a result of digita lization or is something else?

Sundeep Sikka : There is no change in strategy. We have articulated in past also , we strongly believe both digital and physical will remain our strength going forward. We do not want to have a strategy of only digital. We believe physical is going to support our digital business. So, you will continue seeing our size of branches plus minus and it could be whatever reason clubbing of branches, there could also be g oing to a bigger , having multiple branches in one city and clubbing them together , so there coul d be different reasons for that , but broadly the strategy remains as in the physical part remains a very important of our long -term strategy.

Mohit Mangal : My next question is towards the unique investors , we have got 36% market share over there, so in your experience, just wanted to understand how is the behavior of these customers are they very sticky and what age group they are, if you could just throw some light on that, that would be very helpful ?

Sundeep Sikka : As Prateek mentioned, we are investing a lot in Data Lake , trying to understand the behavior of the investor. One of the earlier questions which was there , the expense going up is exactly we are investing a lot on data science, understanding the behavior of people . We will not be able to touch too much because every investor is unique, but broadly what we have seen is the young investors who are coming in, the starting point for them is systematic investment plan . The other part is basically what we have seen is smaller the ticket size the more sticky it is , but at this point of time, we will not be able to share with you a lot of analytics that we are working on our data because today the fact remains it is having 20 million investors and for some of these investors, we have a history of more than 10 , 15, 20 years , this is going to be a very important part of our strategy going forward how do we put this data to use .

Moderator : Thank you. Next question is from the line of Jignesh Shial from Incred Capital. Please go ahead.

Jignesh Shial : I just had one more like a macro kind of a question , there had been a change in the tax norms for these insurance companies and thereby the non-PAR which is a savings product can be now being executed to what mutual fund or typical FDs would be, are you seeing flows shifting, Nippon Life India Asset Management Limited  
October 30 , 2023

Page 12 of 16

broad level, do you see that kind of flows which will be shifting or the investor minds are shifting or getting more linear towards mutual funds with long-term mutual fund investments and all , just as your thoughts if you have any ? That is the only thing I wanted to know?

Prateek Jain : So, Jignesh, see if you go by the initial assessment this has come in , I think industry has not witnessed too much money coming into the debt segment while ultra short term and liquid has seen some money coming in , but on the longer term , the money has not come in, so here they are understanding and grabbing is because here the tax break has been taken away. On the other side, if you would have seen that there is a good amount of money which has gone into the senior citizen saving scheme, so obviously as Sundeep mentioned that this is also to be seen in a longer - term context rather than just in a

short view , but what we understand is in the last 6 months , also what you will see that money getting into the hybrid funds category. From an industry perspective, it would be both from a realization , from investor 's long -term benefit perspective, it is much better that he comes into hybrid category and takes the advantage of indexation as well, therefore, you will see some diversification happening, however, HNI as well as the senior citizens beyond their investment into FDs, they will keep coming into the longer -term. Also, the market has been bit volatile, therefore industry is also not going and pushing that hard, so this is combination of all of these things .

Moderator : Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : A couple of questions , firstly , on the outlook on yields, can you give some outlook on yields, so how could the yields have moved from here in the second half or specifically, you have a steady kind of a market scenario ? Secondly, on the NFO yields - how has been the market behavior and what is your product line up for the second half?

Sundeep Sikka : If I understood Prayesh your question because your voice was not very clear outlook on yield and the other one is our own pipeline for NFO?

Prayesh Jain : Yes.

Prateek Jain : I would say that the competitive pressure which was there once on the yields have reduced and we are seeing higher revenue on the new NFOs , like these are in excess of our current book as well, what we are earning on the new NFOs . Also, with regards to the trajectory going forward , it will be a bit difficult because if we continue to get this kind of significant flows, then obviously the yield compression can be as high as what we have seen in the last quarter , but I am sure this will not remain as high and I could say jokingly that look last one month has been something where market has corrected . Once the AUM goes down , we start earning slightly higher, so I would say that looks difficult to predict per se, but if you go, in a longer term as we said that look there would be some 2-3 basis point yield compression which will happen on an average basis on every year basis. This will continue for the next 3-4 years before the yields get stabilized. In terms of product line up, we have been consciously not been coming out with large new NFOs as Sundeep in his conversation has mentioned last time also that we will only bring in NFO when we believe that it is a very good opportunity for an investor, and it is something Nippon Life India Asset Management Limited  
October 30 , 2023

Page 13 of 16

which is unique . Hence per se, we do not have too many products lined-up but would request

Chatty if we want to add something.

Saugata Chatterjee : No, nothing.

Prayesh Jain : Can I just slip in one more , so just on the international flows into India, typically Nippon Life support to the AMC, what kind of growth it would be preferred, whether that GIFT City route would be preferred, or direct investment would be preferred or what is the outlook there , when can we expect real sales coming there?

Sundeep Sikka : So, broadly, to answer that it is difficult to specify which route you prefer. Just to clarify, we are not talking about Nippon Life investing in India. What we are highlighting is Nippon Life helping us to get flows from other investors across the globe and Nippon Life other companies associates , example like we have launched with the company in Europe, we have launched India Bond fund. We have a couple of funds in Japan, so some are advisory, some are coming , all funds or institutions are different and then they are taking a different route to come to India. Again, I would like to clarify so that it is not misunderstood , nowhere in the discussion we have mentioned Nippon Life will be investing , it is Nipp

on Life helping N AM India to get a global distribution strategy to get flows from different companies where we have invested or where we have a ny strong relationship.

Moderator : Thank you. Next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain : Just a follow up on the previous question around systematic flows, when we say it is equally spread , do we mean it is equally spread across the 5 schemes of large, mid , small , multi cap, flexi cap is one? And second, given it is a 38% quarter -on-quarter growth on systematic flows, is there an element of small cap , lump sum having moved, and this number expected to see a dip eventually if people decide to stop small cap, etc., and also if you can help us understand the SI P STP split here , sir?

Sundeep Sikka : So, while we cannot give data on individual funds , these top 5 funds are getting 80% of the sale. We will not try to get into the individual category which is coming or not and as you have seen our business model whether it is at the investor, whether it is a fund level, it is a devious business model where we do not want any city, any distributor, any particular fund to get disproportionate shares. So, broadly we can say , as I mentioned top 5 funds get 80% of assets .

Arun Sundaresan : And Gaurav, small cap stopped in July, b ut despite that this quarter overall systematic flows have been strong, which we have noted that is number one . Second , apart from small cap, the other strategies like mid cap , large cap, multi cap, some of the hybrids are also getting flow s. Yes, historically small cap has been the larger contributor, but over a period it is spreading across other funds as well.

Nippon Life India Asset Management Limited  
October 30 , 2023

Page 14 of 16

Moderator : Thank you. Next question is from the line of Saurabh Patwa from Quest Investment Advisors Private Limited. Please go ahead.

Saurabh Patwa : On in dustry linked question, the last few quarters have seen the larger bank led you are the only one who has been d oing exceptionally well in terms of performance and with the merger of one of your peers with parent bank, which was not the case historically, how do you see the competitive intensity moving on?

Sundeep Sikka : So, broadly the way we see it , we have never been sponsored by a bank and we have always believed it is all about execution. It is a reality w e are not sponsored by other b anks, but that is also a positive for us. We have an open architecture with all the banks in the country. So, all the bank s sell us , we have a very granular IFA network. The Indian Mutual Fund is very highly underpenetrated while we have about now roughly about 50 players , there could be scope for another 50 or 100 a nd ultimately, it is not about whether you have sponsored or you are part of the bank, because there have also been some bank led as per our AMCs which could not scale up. The key lies in the execution and our focus wil l continue to be on execution and execution for profitable growth.

Saurabh Patwa : And sir, s econd question was on the Passive , we have been the leader in that due to liquidity , but how are you seeing the other AMCs coming into that and it is like more differentiated or with a broader universe, how do you see that panning out?

Sundeep Sikka : Saurabh, the execution is the key. As and when regulations allow, we will also continue expanding our product suite in the ETF. The only difference I woul d like to give you is just seeing the global trend unlike active wherein you always have a lot of segmented players .

Globally , if you look at the passive business, typically the top 2 -3 have a substantial market share and then there is a very long tail. So, we need to see how it works out, but like any business, it is going to be the execution and the key is to keep responding to the needs of

the investors and

as and when differentiated products are allowed by the regulator, we will also co ntinuously be

focusing on it.

Moderator : Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth : Sir, in earlier question, when replying on the declining yield, so you said that is it fair understanding that increase in AUM because of new net inflow as well as increase due to the market related activity also?

Prateek Jain : Yes, both. You are right, absolutely.

Bharat Sheth : So, in that slab, so at what slab we are, I mean when we are saying that pressure will remain for 4-5 years, so which slab we are, if you can give, suppose our inflow increased substantially, then decrease in the yield will be much faster?

Nippon Life India Asset Management Limited

October 30, 2023

Page 15 of 16

Prateek Jain : No if you look at it that every Rs. 1,000 crore of AUM increase, you lose 1 basis point and till the time your scheme reaches Rs. 1,00,000 crores, you will keep losing it out. And, it works on your total book. So, your book is at X and then it suddenly becomes X+1000, you will lose out on 1 and that impact will be on the entire value, entire basket. So, that is one. So, secondly, if this keeps going up, the reason for going up could be either your net sales or due to market appreciation. Both these combinations will lead to higher increase AUM and because of the increased AUM, you will have lower chargeable TER and because of the lower chargeable TER, you will be earning less.

Moderator : Thank you. Next question is from the line of Arushi Shah from Sushil Finance. Please go ahead.

Arushi Shah : So, I just wanted some clarity, when you said that the hybrid funds are now going to gain more traction, so the hybrid fund yields are more like the active fund yields or more on the ETF side like and going further, how could the yield for the hybrid fund shape up?

Prateek Jain : When we say this, so one I am saying in the context of Jignesh's question on a macro basis because the tax break has been taken away on the debt side of it and therefore, we will see more money coming over the period on the hybrid side. As far as the hybrids are concerned, those we earn on an equity slab, so those are considered anything which is having more than 65% equity or earning on an equity slab basis.

Moderator : We have lost the line of the current questioner, so we will move to our last question of the day from the line of Anthony John, an Individual Investor. Please go ahead.

Anthony John : Sir, I would like to know is that towards the end of your statement, you have said some strategic sale could be there in the offing, in the future, could you just explain on that?

Sundeep Sikka : What I mentioned was that we continue to remain open for strategic opportunities, wherever it adds value to our existing businesses and is accretive from profitability point of view. It is again clarified nothing to do with sales, it is about acquisition.

Anthony John : So, which means you would be looking into acquisition of some AMCs?

Sundeep Sikka : I would not like to qualify that, we remain open for any acquisition which adds value, whether it is on the business, AMC, mutual fund, or any other part of the business that the regulation allows, which can increase the ROE for the business.

Anthony John : So, is there any timeline for that, sir?

Sundeep Sikka : We keep evaluating various opportunities. As and when we have something, we will be coming to and informing through this Stock Exchange.

Moderator : Thank you very much. Ladies and gentlemen, this was the last question of the day. I would now like to hand the conference over to the management for the closing comments.

Nippon Life India Asset Management Limited

October 30, 2023

Page 16 of 16

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Sundeep Sikka : So, thank you all for joining this call. We call it an end to this conference. Thank you so much.

Moderator : Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

## Call: Feb 2024

February 02, 2024

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended December 31, 2023, conducted on January 30, 2024, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q3-FY-2024.pdf>

Thanking you,

Yours faithfully,

For Nippon Life India Asset Management Limited

Nilufer Shekhawat  
Company Secretary & Compliance Officer  
Page 1 of 22

Nippon Life India Asset Management Limited  
Q3 FY2024 Earnings Conference Call

January 30, 2024

ANALYST : MR. ANSUMAN DEB – ICICI SECURITIES

MANAGEMENT :

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – INTERIM -CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI-SAN - NOMINEE OF NIPPON LIFE

INSURANCE, JAPAN  
Q3 FY24 Earnings Call

Page 2 of 22 Moderator : Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Limited Q3 FY2024 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "\*" then "0" on your

touch tone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Ansuman Deb from ICICI Securities . Thank you and over to you .

Ansuman Deb : Good morning , ladies, and gentlemen. On behalf of ICICI Securities , we welcome you all to the Q3 FY2024 results conference call of Nippon Life India Asset Management Limited . I now hand over the call to Mr. Sundeep Sikka , Executive Director and CEO for his initial remarks post which we will open the floor for Q&A . Over to you .

Sundeep Sikka: Good morning and welcome to our Q3 FY24 earnings conference call. We have with us, Chief Business Officer - Saugata Chatterjee , Interim - Chief Financial Officer - Amol Bilagi , Chief Digital Officer - Arpan Saha , Head ETF - Arun Sundaresan , Head AIF - Ashish Chugani , Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan) .

Our detailed investor presentation and press release have been uploaded on the exchanges as well as our website. I would like to share some comments on the recent industry trends and our performance, prior to addressing your questions.

I would like to start by mentioning that in Q3 FY24, NAM India has achieved its highest ever quarterly Operating Profit at INR 2.51 bn as well as Profit After Tax at INR 2.84 bn. Importantly, our Equity Net Sales market share and SIP market share remain well above our Equity AUM market share. This is the result of consistent efforts on the part of the business teams. At the same time, we also continue to focus on Q3 FY24 Earnings Call

Page 3

of 22 diversification with specific focus on Fixed Income, Alternatives and Offshore businesses.

Beginning with the markets:

Equity markets in Q3 FY24 showed a robust performance . The NIFTY moved up by 11% QoQ , while the NIFTY Mid & Small Cap indices rose by 13 & 15% respectively. The RBI held the repo-rate steady at 6.50%, while the 10 Year G-Sec yield moderated by 5 bps QoQ to 7.17%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 5% QoQ in Q3 FY24 to INR 49.2 trillion . This reflects a YoY growth of 22%.
2. Strong momentum in the Equity segment sustained, as the share of Equity in overall AUM continued to increase , ending at ~56% for Q3 FY24.

Now, moving to flows:

- 1) The Equity category (excluding index funds and arbitrage funds ) witnessed a gross inflow of INR 1.61 trillion and a net inflow of INR 578 bn – both gross and net inflows were higher on a QoQ basis . Strong inflows were witnessed across most major categories, led by the Small Cap and Sectoral/Thematic categories.
- 2) Investments via the SIP route further increased , with the SIP contribution for the quarter being INR 516 bn, up 29% YoY and 10% QoQ .
- 3) Monthly SIP flows in Dec-2023 stood at INR 176 bn, which was an all-time high. SIP folios increased 7% QoQ to 76.4 mn.
- 4) The Fixed Income category i.e. (debt + liquid), witnessed a net outflow of INR 291 bn . Majority of the outflow was in shorter duration funds.
- 5) The ETF category had a net inflow of INR 71 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 42 mn, while industry folios increased to 164.9 mn.

Q3 FY24 Earnings Call

Page 4 of 22 Now moving to our business performance :

1) We closed the quarter with total assets under management of INR 4.81 trillion . This includes Mutual Funds, Managed Accounts and Offshore Funds.

2) Our Mutual Fund QAAUM grew 8% QoQ & 29% YoY to reach INR 3.78 trillion . On a YTD basis , we have been the fastest growing AMC among the Top -10 players with 29% growth over March 2023 .

I would now like to share a few key highlights for the quarter:

1) Starting with market share - Our market share increased 21 bps QoQ to 7.67% with market share increases across most asset categories . This is the third successive quarter of market share increase that we have witnessed.

2) Our Equity market share also continues to improve . It increased from a low of 6.18% to 6.67%, of which there was a 15 bps improvement in Q 3 FY24.

3) The share of Equity AUM in our overall AUM continued to increase and stood at 48.6% for Q3 FY24 , up from 46.8% as of Q2 FY24 .

4) Performance of most of our Equity schemes remained strong , and this along with our distribution network, digital capabilities and strong risk management helped to again deliver a double -digit market share in net sales in the Equity + Hybrid segment in Q 3 FY24.

5) On the segmental front – Our Individual AUM , which consists of Retail & HNI AUM, saw further market share improvement . Individual AUM grew 12% QoQ to INR 2,352 bn. Market share increased 21 bps QoQ to 7.66%.

6) Our B-30 AUM grew 10% QoQ to INR 791 bn, which keeps us amongst the fastest growing large AMC s in B30 locations . Our market share improved 13 bps QoQ to 8.71%. This segment forms 20% of our AUM versus 18% for the Industry.

7) We continue to have the largest base in the Mutual Fund industry, with 15.5 mn unique investors . We are humbled to have over 1 in 3 mutual fund investors invest with us.

#### Q3 FY24 Earnings Call

Page 5 of 22 I would also like to touch upon some important aspects

of our

Systematic Book :

1) I am happy to share that there has been a continued uptick in our systematic flows over the last 10 quarters , which has led to an increase in market share.

2) Of the incremental SIP flows in the quarter, we had a market share of almost 18%.

3) SIP market share increased by roughly 260 bps over March 2023 to December 2023, ending at 8.7% .

4) Our monthly systematic book rose by 21% to INR 21 bn for December 2023 over September 2023 . This resulted in an annualized systematic book of INR 252 bn.

5) On a YTD basis, the monthly systematic book grew by 88% over March 2023 as against 23% growth for the Industry.

6) Number of systematic transactions for the quarter increased 18% QoQ - to roughly 15.2 mn.

7) 63% of our SIP AUM has continued for over 5 years versus 27% for the Industry .

Moving on briefly to the ETF Segment:

1) We continue to be one of the largest ETF players with AUM of INR 929 bn and a market share of 15.4% (which increased by 134 bps QoQ) . The Gold and Silver ETFs remain the biggest funds in their categories.

2) Overall Passive AUM , which includes ETFs and Index Funds, crossed INR 1 trillion in the quarter.

3) Our share in the industry's ETF folios is 61%. We have 64% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry .

Moving on to our distribution franchise:

1) Our digital strategy is continuing to deliver better results with a clear emphasis on increasing reach and taking advantage of technological



innovations to deliver a smooth user experience.

Q3 FY24 Earnings Call

Page 6 of 22 2) The Perpetual Beta approach has enabled us to continually strengthen our digital ecosystem and provide an easy & straightforward investment experience for our investors and partners .

3) Digital purchase transactions rose to 4.25 mn in 9M FY24 , up 76% YoY . We have witnessed close to a 14% increase in Q3 FY24 compared to Q 2 FY24. The digital channel also contributed 58% to total new purchase transactions in 9M FY24 .

4) Our physical distribution base is well diversified , with a wide presence in 260 locations across the country .

5) We have over 98,000 distributors in total and added roughly 2,400 distributors in the quarter .

Now, I would like to briefly update you on our subsidiaries - namely the AIF & Singapore subsidiaries:

1) Starting off with AIF - As mentioned in the past, AIF continues to be an important focus area for NAM India.

2) Under, Nippon India AIF, we offer Category II and Category III Alternative Investment Funds and have a total commitment of INR 60.3 bn across various schemes.

3) The company has started broadening its focus across asset classes. Towards this end, we have recently launched a Credit AIF and a Long Only Equity AIF . Fundraising is currently underway, and both funds have undertaken their initial closing.

4) During the quarter, we successfully achieved final closing of its 8th Category III Long only Equity AIF Nippon India Equity Opportunities AIF Scheme 8.

5) We had launched a Tech FoF in 2020 which was anchored by large Japanese institutional and corporate investors. The fund is in the advanced stage of deployment with nearly 80% of commitment raised having been deployed across 12 Tech/VC funds.

6) On the Offshore front - We have witnessed decent inflows in the quarter from various geographies and we are positive that this trend will continue in the future.

Q3 FY24 Earnings Call

Page 7 of 22 7) We will remain focused on fundraising from international markets and looking at business opportunities with subsidiaries, associates,

and the

larger network of Nippon Life. Nippon Life, Japan also remains committed in supporting NAM India's Offshore operations .

8) We continue to see interest for India , from conventional markets like Europe, Middle East , Japan and from unconventional markets like LATAM, Thailand, Korea etc.

Now on to our Financial Performance :

- For Q 3 FY24, Revenue stood at INR 4.23 bn, up 20% YoY and 7% QoQ .
- Other Income stood at INR 1.07 bn, up 73% YoY and 37% QoQ .
- Operating Profit stood at INR 2.51 bn, up 23% YoY and 8% QoQ .
- Profit after tax stood at INR 2.84 bn - an increase of 39% YoY and 16% QoQ.

Lastly, in line with our philosophy of promoting internal talent, Arun Sundaresan who has been with the Company for 20 years , has been promoted to take charge as Head ETF and Amol Bilagi who has been with the Company for 10 years, has taken charge as Interim -CFO.

With this, I would like to conclude my remarks and open the floor for questions .

Moderator : We will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles . The first question is from the line of Swarnabha Mukherjee from B&K Securities . Please go ahead .

Swarnabha Mukherjee: Good morning. Thank you for the opportunity and congrats on a good set

of numbers . My first question was on the yield side. So the yield dilution that we are seeing this quarter first on the standalone business could you highlight what resulted in that because it looks slightly more sharper considering the fact that I understand maybe there has been some fund size increases which could have resulted in lower realizations in those schemes, Q3 FY24 Earnings Call  
Page 8 of 22 but the equity mix have also moved significantly so could you maybe break down the impacts generally across these heads , which have been the major factors for dilution so that is the first one and on that also at the consolidated level the dilution looks slightly more so I just wanted to understand that in our other subsidiaries apart from the mutual fund business has there been any kind of impact on the yields or some capital we have received on which we are not earning . Can you throw some light on these two factors ? I have couple of more questions and we will ask them after this .

Sundeep Sikka: I will request Amol to take this question please.

Amol Bilagi: Yes, thanks Sundeep . So on a blended basis , there has been a decline in mutual fund yield by around 0.4 basis points QoQ . This is in line with what we have stated in the past , that we could see a two to three basis points compression in blended yields on a YoY basis . This is mainly due to the increase in the size of the equity AUM . This is because of telescopic pricing formula of the SEBI defined slabs and this is also due to the increase in the share of new assets which come at a higher cost of acquisition compared to the older assets . Our net sales in equity excluding index & Arbitrage for nine months is almost 2.2 x the net sales for the entire last year and net sales run-rate for Q3 is almost four times that of the last financial year . So these are the main reasons why there has been a decrease in yield. Apart from that , on other asset classes there has not been any consolidation of yields. Only in equity we have seen a decline in yields . The yield on equity would be in the range of mid -60s as of now and on debt yields continue to be around 25 to 28 basis points . On liquid , we continue to have 10 to 12 basis points of yields and on ETF we continue to have 15 to 20 basis points of yield .

Swarnabha Mukherjee: You are saying on a stock basis .

Amol Bilagi: Yes.

Q3 FY24 E

arnings Call

Page 9 of 22 Swarnabha Mukherjee: Would it be fair to assume that the flow yield should be lower than this on the equity side ?

Sundeep Sikka: It could be slightly , not major .

Amol Bilagi: Just to add , if you exclude ETF segment , the blended has actually increased QoQ .

Swarnabha Mukherjee: Okay , understood . On the ETF side , I just wanted to understand you have given that December quarterly average AUM of ETF is around INR 93,000 Crores . Out of that how much is the EPFO for assets , could you highlight ?

Sundeep Sikka: The EPFO assets just started recently in July , so it would not be a very big number .

Swarnabha Mukherjee: Understood . Would it be somewhere in the range of around close to INR 4,000 Crores or something ; would that be a fair estimate ?

Sundeep Sikka : We will not be able to give the exact numbers because of the confidentiality . As we have mentioned in past , roughly EPFO will be investing around INR 15,000 Crores per annum , but exact numbers will be very difficult for us to share .

Swarnabha Mukherjee: Okay understood. Also could you give some color on how to read the

employee expense increase that we have seen in this quarter?

Sundeep Sikka : Employee expense overall remains the same. The increase is because of increase in provision for PL I due to the alignment of interest . As the company profits go up , the PL Is will also go up , so it is just in line with that. So there is no additional cost . This is the provision for the PLI, which has been created .

Swarnabha Mukherjee: Okay . Understood . Assuming that how the markets have done, etc., everything , should we see a similar run rate in the Q4 also?

Q3 FY24 Earnings Call

Page 10 of 22

Sundeep Sikka : It is difficult to predict. None of us are in a position to say that, but overall the good thing is the level of business that we have built up is seeing very strong momentum and the new investors coming from small cities and towns especially , and our digital ecosystem that we have built up , we believe we will be in a better position compared to the industry to see the flows going forward .

Swarnabha Mukherjee: Understood okay thank you so much. I will get back in the queue.

Moderator : The next question is from line of Prayesh Jain from Motilal Oswal . Please go ahead .

Prayesh Jain: Firstly, on the yield bit again ; you have been maintaining this two -three basis points fall which is likely to continue , how long could we expect this or at what level do we see this kind of coming down to something like one basis point kind of a fall because the transition from old assets to new assets , I would have assumed that it would have very less impact now given that it has been there for some time . What level we would be with respect to old assets versus new assets if some directional number you can share out here ?

Sundeep Sikka : In line with our approach of being conservative , we will say this can continue for three to four years more. Can this come to one , let it be a positive surprise for everybody, we like to be conservative and give a guidance that this can continue for three to four years more.

Prayesh Jain: Any thoughts on the share of old asset versus new assets ?

Sundeep Sikka : Around 30% old assets are there.

Prayesh Jain: Okay , got that and secondly with regards to the net inflows that you would have seen in this quarter or for the nine months , would you give some understanding as to how much of it was in the small cap fund and how

Q3 FY24 Earnings Call

Page 11 of 22 much is the rest or is it quite distributed or it is driven largely by small cap fund or the midcap funds?

Sundeep Sikka : From our perspective , we

continue to maintain a very diversified portfolio .

As you are aware , a few months back we stopped lumpsum inflows into our small cap fund so technically speaking only incremental systematic flows can come there. We are continuously seeing flows coming across our categories the large cap, midcap, growth fund and focused fund so we are seeing clear flow across all categories, so it will not be skewed towards one. The biggest thing that we have been working on is to build a very granular distribution system and which has come to a point where we happy to share with you , - at this point of time ~75% of our SIPs by value have a ticket -size below INR 10,000 and we are spread across various categories and in amount terms and number of invest or terms it goes in excess of 90% so the idea is to have a granular approach have a well-diversified and de-risked portfolio .

Prayesh Jain: Okay . In this customer base how many of your customers would have more than one scheme of Nippon and how do you plan to increase that ?

Sundeep Sikka : Very difficult currently to say, but we are in advanced deployment of AI and trying to work on multiple things to increase the penetration. As we talk today it is something between 1.5 to 1.8 .

Prayesh Jain: Okay . My last question is on the distribution side . We do have tie-ups with many , many banks, national distributors , but still what would you attribute the way we have seen the improved performance some of the market share increase seems to be lesser . We could have possibly more market share given the fund performance has been consistently improving , what would you attribute that to and how can you change that to see further market share gains?

Sundeep Sikka : It depends how you see it . From our perspective one thing is clear . We want to have more sustainable growth , so we are building a strong

Q3 FY24 Earnings Call

Page 12 of 22 foundation across . Market share can increase by getting higher AUMs or higher ticket size of SIPs, but our focus continues on smaller ticket size.

Our average ticket size of SIP is ~INR 2800 by transaction count and like I mentioned earlier about 90% + of our SIPs by count are below INR 10,000 and we continue to have our focus on smaller business which means business will grow slowly but will be more stable and predictable.

Prayesh Jain: Any particular measures that you are taking on the distribution side that you can highlight ?

Sundeep Sikka : It is a continuous journey. It is very difficult to say that one particular thing . The idea is to continue to increase productivity, increase efficiency and use the quality of engagement and reach.

Prayesh Jain: All right thank you .

Moderator : The next question is from line of Abhijeet Sakhare from Kotak Securities . Please go ahead .

Abhijeet Sakhare: Good morning, everyone . The first question is can you share the net flow market share for the quarter gone by ; 2Q was about 11% .

Sundeep Sikka : I will request Chatty to take this question .

Saugata Chatterjee: The net sales market share is in excess of 10%. We continue to be in double digit month on month and for the quarter as an average .

Abhijeet Sakhare: Got it and within the SIP pool of money , what could be the share of the largest category or the top three categories ?

Sundeep Sikka : We individually do not give the category; the top five funds are about 80% for us.

Q3 FY24 Earnings Call

Page 13 of 22 Abhijeet Sakhare: Got it and again some similar color on the SIP flows in terms of the improvement that has happened can you qualitatively or with some numbers give us a sense of where it is coming from whether it is banks, national distributors, MFDs, or Fintech

channels?

Saugata Chatterjee: The most important part and which is what Sundeep also did allude earlier that we believe in fragmented business approach . If you see the number of locations where we operate - close to 280 locations , we have majority of our business coming from mutual fund distributors . The digital Fintech platforms also have a very strong inflow of retail applications which come to us and also the other categories which we cater to are these PSU Banks and the national distributors, so we have a very large franchise and distribution network , hence it is not focused on a particular category which gives us business. Also it is very important for us to note that we do not do NFOs and hence it is a natural flow of business which is coming into all

our products . The other side is the SIP if we are incrementally increasing the SIP book that itself shows that very strong inflow is coming from B30 market. We have a very strong market share in the B30 space and that too is adding to the granularity of the incremental flows , which are coming in .

Abhijeet Sakhare: One follow up there . Can you give us some sense on what has been the trend recent trend on SIP closures as well if you have seen people also booking profits or closing their SIPs given the market levels ?

Saugata Chatterjee : Industry data is published, and one can refer to it, but, in our case, the net accretion of SIPs every month is much better than the industry data . We have over 30% to 35% of the SIPs that are closing , so we have a 70% net retention in the monthly SIPs which come to us, which is much better.

Abhijeet Sakhare: This on amount basis 70% retention?

Saugata Chatterjee : In the count .

Q3 FY24 Earnings Call

Page 14 of 22 Abhijeet Sakhare: Okay . Last one data question is do you have the closing equity AUM handy if possible ?

Sundeep Sikka : Maybe Arash can share with you offline after this.

Abhijeet Sakhare: Got it. Thanks a lot.

Sundeep Sikka : Just to clarify on the SIP granularity. The smaller the ticket size ; we have seen it is always most sticky and that is the reason 63% of SIP AUM has continued for five years compared to the industry of 27% . I just thought I mentioned earlier but it will give you a little color and one small correction - the total number of SIP below INR 10,000 is 75% by value .

Moderator : The next question is from line of Lalit Deo from Equirus Securities . Please go ahead .

Lalit Deo: Good morning, everyone. Firstly on the yields side, like as you mentioned that the equity yield is around in the mid 60s so we have seen a sharp decline over the past two quarters like it has gone down from mid 70s to mid 60s so can you qualitatively highlight the difference between the stock yield and the flow yield like what is the current status over there ?

Amol Bilagi : Sorry we do not share those numbers.

Lalit Deo: Sure and second one on the ETF side so like in the volume market share , we have seen some decline in the overall volume market share in the ETF side. In the industry level we are seeing that there are a lot of players who have been launching ETFs and lot of schemes on the ETF side, what are the ways we are trying to do to maintain this kind of a market share going ahead? Could you give us some sense over there ?

Sundeep Sikka : Broadly , I will break it in two parts. We have been a dominant player in ETF on volumes on the stock exchanges , two thirds is ours and definitely new players coming , I mean there can be a little plus or minus in volume .

Q3 FY24 Earnings Call

Page 15 of 22 But one thing that we must understand is unlike mutual funds, in ETF two things remain very important - volume on the stock exchange and liquidity .

These two things drive future growth so from our perspective we believe we are in a very strong position , but new competition can come and will come and there could be a plus or minus on our percentage of volumes on the stock exchanges but from our point of view the focus continues on profitable growth . We do not plan to continue launching ETFs at low cost because we do not believe that can increase volume . It is tracking error and the liquidity which are the most important things and we feel we are in a very strong position there .

Lalit Deo: Sure and one last data keeping question . Could you give us the new SIP registrations done during the quarter?

Sundeep Sikka : New folios is 4.6 Lakh month ly.

Lalit Deo: Thank you.

Moderator : The next question is from line of Sahej Mittal from 3P Investment Managers . Please go ahead .

Sahej Mittal: Good morning and congratulations on a good set of numbers. Just two questions . What would be our unique SIP customers or unique SIP folios of the 68 lakhs which we have ?

Sundeep Sik ka: We will not have that number . The total number remains about 68 lakhs .

Sahej Mittal: I was just trying to understand the overlap in SIP.

Sundeep Sikka : I understand . The total number of folios is 2.2 Crores, and 68 lakhs is the count o f systematic folios.

Sahej Mittal: Got you and what would be the average age of new SIP customers , who are coming in just some qualitative comment on that .

Q3 FY24 Earnings Call

Page 16 of 22

Sundeep Sikka : Difficult to put a number to it because most of the SIPs which are bei ng signed up are five to 10 years plus. But that is not important . The idea is how many of them stay , and as I mentioned earlier because of the regular business that we run and very small ticket size wh at we have seen is stickiness is much higher . The smaller ticket size is the reason 63% of a SIP AUM has remained with us for more than five years compared to the industry which is about 27% .

Sahej Mittal: I understand . The reason I am asking this question is that is because the kind of frenzy which we are seeing in the market right now and given that the young millennial crowd is moving to direct equities so what would be the average age of new SIP customers ? Is it that the new millennial customers are also coming to mutual funds via the SIP route or is it only the customers over 35 years of age?

Sund eep Sikka : It is a mix and we have seen a very positive trend . New investors also young investors are also coming through SIPs. I would say SIP is becoming , across t he industry preferred route of investment rather than lumpsum .

Sahej Mittal: Got you. T hanks and all the best.

Moderator : The next question is from line of Viraj Sanghavi from Banyan Tree Advisors . Please go ahead .

Viraj Sanghavi: I wanted to understand the mix of equity and debt in our investment book and investment versus cash balance in the investment book.

Sundeep Sikka : Sure I will request Amol to take this question Viraj.

Amol Bilagi: In terms of equity , it would be 10% of our net wo rth invested in the equity and that is more because of the seed capital requirements that we have

Q3 FY24 Earnings Call

Page 17 of 22 invested in the equity schemes . Otherwise most ly it is in the debt schemes only.

Viraj Sanghavi: This is 10% of your net worth?

Amol Bilagi : Yes.

Viraj Sanghavi: Okay and out of that 10% most of that equity part will be invested in your

own Nippon scheme s, right?

Sundeep Sikka : They are 100% invested in Nippon schemes .

Viraj Sanghavi: Okay got it thank you .

Moderator : The next question is from line of Parth Agrawal from Bastion Research .  
Please go ahead .

Parth Agrawal:

Thank you for the opportunity and good set of numbers . I had just one question on the number of bank distributors , which suddenly increased from 77 in September quarter to 88 in the current quarter . Is there any reclassification or can you help me understand this number ?

Arash Arethna : There has been a reclassification this quarter and there is no other change .  
We can connect offline for that .

Parth Agrawal: Sure thank you. That is all from my side.

Moderator : The next question is from line of Arushi Shah from Sushil Financial Services . Please go ahead .

Arushi Shah: Thank you for taking my question. Number one ; could you just give me a brief idea on the blended yield and when is it expected to flatten out and start increasing a brief timeline or something and second question is based Q3 FY24 Earnings Call

Page 18 of 22 on like our other income has shot up tremendously in the current quarter ; Is it going to be prevalent or is it a onetime thing ?

Sundeep Sikka : I will request Amol to take this please.

Amol Bilagi: As I mentioned , the blended mutual fund yield stands at around 4.0 basis points . We have maintained that we will see two to three basis points compression every year . Having said that , we have seen disproportionately higher net sales compared to the industry peers and as per the telescopic pricing formula this is impacting our equity yields and would like to mention that the new assets coming at higher cost of acquisition versus the old asset has had some impact on the yields as well . However I would just like to add that we have rationalized distribution cost in one of our flagship schemes in December in line with the lower TER given the increase in size . We will continue evaluating opportunity for similar rationalization in other flagship schemes to stem the flow of compression of equity yields.

Arushi Shah: Okay as of now we still expect certain compression for next foreseeable future, right ?

Amol Bilagi: Yes, as we have maintained in the past at least for next three to four years we will see compression in the overall blended yields going forward .

Arushi Shah: Yes, and how would that impact our margins per se ?

Amol Bilagi: It will be difficult to predict because it all depends on the flows and category of schemes , so it is very difficult to predict . But as I mentioned , we are working on various initiatives to arrest the decline in the yield.

Arushi Shah: Okay . Could you just address the other income which is like it is about INR 107 Crores this quarter and our run -rate has been quite less comparatively in previous quarters . Is it going to be prevalent or how is it going to be ?

Q3 FY24 Earnings Call

Page 19 of 22

Amol Bilagi : The other income is mainly due to the mark to market movement . We have our investments across the mutual fund schemes, so this depends on the capital market performance . This quarter the market has been very good

that is why there is higher other income . But it all depends on how the market goes and it could fluctuate in the future as well.

Arushi Shah: What is our growth driver going to remain and what would be your weakness which would really restrict us from the same?

Sundeep Sikka : From a growth driver point of view , the industry offers an enormous opportunity. The key lies in execution and this business is a scale business . Today our biggest strength is retail and our biggest strength is small ticket size and all these things as we go ahead and as the country 's economy moves from 3 trillion to 5 trillion to 7 trillion as the per capita income goes up, more money will be coming into savings and we believe we have a very strong platform

that we have created and we will continue gaining as the country grows and mutual funds become the preferred mode of investment.

Arushi Shah: Okay and any weakness which we see which would restrain us from capitalizing on these opportunities ?

Sundeep Sikka : With this business , the weakness to say we have to execute and we have to continue creating wealth for investors , and continue working with a very strong risk management framework . These are the things we have to focus on. I will not call them weakness . As we move forward , I mean there must be a very strong focus on risk management because the investors are trusting us with their money, and we need to continue creating wealth for them.

Arushi Shah: Correct. Thank you, so much and good luck .

Q3 FY24 Earnings Call

Page 20 of 22 Moderator : The next question is from line of Sanjay Kumar from Ithought Financial Consulting . Please go ahead .

Sanjay Kumar : The first question within equity , can you give the growth in AUM net of mid and small cap ? Just trying to understand how much of the growth is market driven .

Saugata Chatterjee : Some broad numbers I can share with you that when we categorize the net sales growth across large cap, big cap, small cap, and the various other market caps. From our perspective currently about 25% is coming from the large cap category and that is growing for us for the last six months , which clearly shows that we have also de-risked our flows across the asset classes and remaining categories obviously get the remaining 75% of flows .

Sanjay Kumar: Do you have that figure from the industry as well?

Saugata Chatterjee : Industry , you can refer to the AMFI data, but the large cap category just turned positive in the month of December. Till December , the large cap category was negative in the industry .

Sanjay Kumar: Okay and just an extension . Are we doing any counter cyclical investment either on the large cap side or on the debt side that could be a trade on duration given the rate cycle which will help us broaden our business and de-risk away from mid and small ?

Sundeep Sikka : Could you repeat that question please .

Sanjay Kumar: Are we doing any investment say marketing investment or on the employee side on the debt side and the large cap side ?

Sundeep Sikka : This is a continuous endeavor to de-risk our business not only from within equity and say multiple schemes in equity but also from different asset classes and further extending it to from mutual fund business to other businesses . So the company continues focusing on de-risking every

Q3 FY24 Earnings Call



Page 21 of 22 product line, asset category and business line so we are making efforts towards that.

Sanjay Kumar: Great and last question how do you look at employee cost going forward 17% YoY while revenue is up 20%? How much of it is linked to revenue growth or in a market correction, will this impact our P&L?

Sundeep Sikka: Broadly from our perspective, we do not see any substantial change in our employee cost. PLI is the only variable thing which is in line with percentage of the profits typically and over and above that as and when ESOPs are issued because that is important for the alignment of interest from the employee and also from the stability of the team, I mean that will be an expense that can come but broadly we not expect any major change.

Sanjay Kumar: Okay thank you and all the best.

Sundeep Sikka: Also just to add to this even if we were to further expand our teams in more branches in smaller cities and town, the incremental cost is not going to be much.

Moderator: The next question is from line of Lester Poon from Pedder Street Investment

Management Limited. Please go ahead.

Lester Poon: I have one question. I read that your market share has been increasing in the past few quarters. Is that quite influenced by the investment performance of your mutual funds?

Sundeep Sikka: It is always a mix of multiple things. Investment performance must be there. After that it is about execution, distribution and digital. Multiple things put together but needless to say in this industry, performance is the starting point.

Lester Poon: I understand because of the total expenses ratio the equity start when the waiting has gone up you face some compression but at the same time there Q3 FY24 Earnings Call

Page 22 of 22 is a big difference in the yield between equity fund and the other say fixed income fund so the mix the improvement in mix should have helped your yield that is why I do not fully understand why the a higher equity weighting in your portfolio should necessarily lead to a yield compression?

Amol Bilagi: As per the SEBI formula for TER which is based on telescopic pricing, as the equity AUM goes up, the ability to charge the TER goes down and that impacts the overall equity yield, so even though the proportion of equity goes up the overall blended yield comes down and hence you have seen the marginal decline in the yields for the quarter.

Lester Poon: Okay, I see so a marginal increase in the inflow cannot offset the overall compression is that what you mean?

Amol Bilagi: It will not have so much impact because the new money comes in at the latest rate and the cost of acquisition is higher so probably when you look at the overall blended it will not have a major impact.

Lester Poon: I see. Okay that is all my questions. Thank you very much.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Amol Bilagi: Thank you all for joining the call.

Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Apr 2024

April 29 , 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai 400 001

BSE Scrip Code: 540767 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra Kurla Complex,

Bandra (East), Mumbai 400 051

NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended March 31, 2024, conducted on April 24, 2024, for your information and records.

The above information is also available on the website of the Company:

<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q4-FY-2024.pdf>

Thanking you,

Yours faithfully,

For Nippon Life India Asset Management Limited

Nilufer Shekhawat

Company Secretary & Compliance Officer

Page 1 of 20

Nippon Life India Asset Management Limited

Q4 FY2024 Earnings Conference Call

April 24, 2024

### MANAGEMENT :

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – INTERIM -CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI-SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. SWARNABHA MUKHERJEE - BATLIVALA & KARANI SECURITIES INDIA PRIVATE LIMITED

### Q4 FY24 Earnings Call

Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to the Nippon Life India Asset Management Limited Q4 FY24 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "\*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Swarnabha Mukherjee from Batlivala & Karani Securities India Private Limited. Thank you and over

to you, sir.

Swarnabha Mukherjee: Thank you, Dorwin. Good evening, ladies, and gentlemen. On behalf of Batlivala & Karani Securities, I welcome you all to the Q4 FY2024 Earnings Conference Call of Nippon Life India Asset Management Limited.

We have with us, Mr. Sundeep Sikka, Executive Director and CEO, along with the top management team of Nippon Life India Asset Management Limited.

I would now like to hand the conference over to Mr. Sikka for his opening remarks. Over to you, sir.

Sundeep Sikka: Good evening and welcome to our Q4 FY24 earnings conference call.

We have with us, Chief Business Officer - Saugata Chatterjee, Interim - Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

#### Q4 FY24 Earnings Call

Page 3 of 20 Our detailed investor presentation and press release have been uploaded on the exchanges as well as our website. I would like to share some comments on the recent industry trends and our performance, prior to addressing your questions.

I would like to start by mentioning that in FY24, NAM India has achieved its highest ever Operating Profit at INR 9.58 bn (up 26% YoY) as well as Profit After Tax at INR 11.07 bn (up 53% YoY). Further, in Q4 FY24, NAM India has achieved its highest ever quarterly Operating Profit at INR 2.82 bn

as well as Profit After Tax at INR 3.43 bn. Further, as stated previously as well, our Equity Net Sales market share and SIP market share remain well above our Equity AUM market share, owing to the consistent efforts of the business teams. We also continue to focus on diversification with specific focus on Fixed Income, Alternatives and Offshore businesses.

Beginning with the markets:

Equity markets in Q4 FY24 showed a more moderate performance as compared with the prior quarter. The NIFTY moved up by 3% QoQ, while the NIFTY Mid & Small Cap indices rose by 4% & 2% respectively. The RBI held the repo -rate steady at 6.50%, while the 10 Year G -Sec yield moderated by 11 bps QoQ to 7.06%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 10% QoQ and 34% YoY in Q4 FY24 to INR 54.1 trillion.
2. Strong momentum in the Equity segment sustained, as the share of Equity in overall AUM continued to increase, ending at 58% for Q4 FY24, up from 52% for Q4 FY23.

Now, moving to Industry flows:

- 1) The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 1.94 trillion and a net inflow of INR 798 bn – both gross and net inflows were higher on a QoQ basis. Strong Q4 FY24 Earnings Call

Page 4 of 20 inflows were witnessed across Sectoral/Thematic funds, Multi Asset Allocation funds and Large & Midcap Funds, while inflows in the Small & Mid Cap funds were lower sequentially.

- 2) Investments via the SIP route further increased, with the SIP contribution for the quarter being INR 573 bn, up 37% YoY and 11% QoQ.
- 3) Monthly SIP flows in Mar -2024 stood at INR 193 bn, which was another all-time high. SIP folios increased 10% QoQ to 84.0 mn.
- 4) The Fixed Income category i.e. (debt + liquid), witnessed a net outflow of INR 464 bn in a seasonally weak quarter.
- 5) The ETF category had a net inflow of INR 196 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry

increased to 44.6 mn i.e. an increase of 20% YoY, while industry folios increased to 177.9 mn.

Now moving to our business performance:

1) We closed the quarter with total assets under management of INR 5.24 trillion. This includes Mutual Funds, Managed Accounts and Offshore Funds.

2) Our Mutual Fund QAAUM grew 14% QoQ & 47% YoY to reach INR 4.31 trillion. We have had the highest increase in QAAUM market share both QoQ at 30 bps and YoY at 73 bps among all AMCs. Further, on a YoY basis, we have been the fastest growing AMC among the Top -10 players.

I would now like to share a few key highlights for the quarter:

1) Starting with market share - Our market share increased 30 bps QoQ to 7.97% with market share increases across all asset categories. This is the fourth successive quarter of market share increase that we have witnessed.

2) Our Equity market share also continues to improve. It increased to 6.76%, of which there was a 9 bps improvement in Q4 FY24 and a 58 bps improvement in FY24.

Q4 FY24 Earnings Call

Page 5 of 20 3) Through the course of FY24, we moved up two positions to 4th in terms of total Equity AUM - excluding Arbitrage.

4) The share of Equity AUM in our overall AUM continued to increase and stood at 49.2% for Q4 FY24, up from 48.6% as of Q3 FY24.

5) Performance of most of our Equity schemes remained strong, and this along with our distribution network, digital capabilities and strong risk management helped to deliver a near double -digit market share in net sales in the Equity + Hybrid segment in Q4 FY24.

6) On the segmental front – Our Individual AUM, which consists of Retail & HNI AUM, saw further market share improvement. Individual AUM grew 10% QoQ to INR 2,578 bn. Market share increased 8 bps QoQ to 7.74%.

7) Our Corporate AUM grew 16% QoQ to INR 1,842 bn. We have started to regain wallet shar

e with large Institutional clients and this led to market share improvement of 70 bps QoQ to 8.49%. This is our highest market share in the Corporate segment since June 2020.

8) Our B -30 AUM grew 9% QoQ to INR 862 bn, which keeps us amongst the fastest growing large AMCs in B30 locations. Our market share improved 6 bps QoQ to 8.77%. This segment forms 20% of our AUM versus 18% for the Industry.

9) We continue to have the largest base in the Mutual Fund industry, with 16.5 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book:

1) I am happy to share that there has been a continued uptick in our systematic flows over the last 11 quarters, which has led to an increase in market share.

2) Of the incremental SIP flows in the quarter, we had a market share of above 15%.

3) SIP market share increased by 305 bps over March 2023 to March 2024, ending at 9.1%.

Q4 FY24 Earnings Call

Page 6 of 20 4) Our monthly systematic book rose by 11% to INR 23.3 bn for March 2024 over December 2023. This resulted in an annualized systematic book of INR 280 bn.

5) On a YoY basis, the monthly systematic book grew by 109% over March 2023 when it was INR 11.2 bn, as against 35% growth for the Industry.

6) Number of systematic transactions for the quarter increased 19% QoQ - to roughly 18.1 mn.

7) 62% of our SIP AUM has continued for over 5 years versus 28% for the Industry.

Moving on briefly to the ETF Segment:

- 1) We continue to be one of the largest ETF players with AUM of INR 1,115 bn and a market share of 16.7% (which increased by 135 bps QoQ). The Gold ETF remains the biggest fund in its category.
- 2) Our share in the industry's ETF folios is 60%. We have 61% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.
- 3) During the quarter we launched 2 new products to further strengthen our passive offering, namely – i) NIPPON INDIA NIFTY BANK INDEX FUND and ii) NIPPON INDIA NIFTY IT INDEX FUND.

Moving on to our distribution franchise:

- 1) Building a robust digital strategy has been a strong focus for NIMF. We are leveraging the ever -changing digital horizon to stay relevant and in - lines with the growing consumer expectations.
  - 2) The engrained digital focus that we have built at NIMF has enabled us to continuously enhance our digital aspirations, be future ready and yet provide a lucid online experience for our investors and franchise.
  - 3) Digital purchase transactions rose to 6.6 mn in FY24, up 100% YoY. We have witnessed close to a 40% increase in Q4 FY24 compared to Q3 FY24. The digital channel also contributed 60% to total new purchase transactions in FY24.
- Q4 FY24 Earnings Call
- Page 7 of 20 4) Our physical distribution base is well diversified, with a wide presence in 263 locations across the country.
- 5) We have over 1,01,400 distributors in total and added roughly 3,400 distributors in the quarter.

Now, I would like to briefly update you on our subsidiaries - namely the AIF & Singapore subsidiaries:

- 1) Starting off with AIF - As mentioned in the past, AIF continues to be an important focus area for NAM India.
- 2) Under, Nippon India AIF, we offer Category II and Category III Alternative Investment Funds and have a total commitment of INR 61.9 bn across various schemes.
- 3) The company has started broadening its focus across asset classes and strategies. Towards this end, we have recently launched a Performing Credit AIF and a Long Only Small Cap Equity AIF. Fundraising is currently underway, and both have undertaken their initial closing.
- 4) During the quarter, we have undertaken first closing of our Tech/VC AIF 'Nippon India Digital Innovation AIF Scheme 2A

' - a direct Venture

Capital fund targeting investments in early to growth stage start -ups.

- 5) Also, our Tech/VC FoF launched in 2020 is in the advanced stage of deployment with nearly 80% of commitment raised having been deployed across 12 Tech/VC funds.
- 6) On the Offshore front - We have witnessed good inflows in the quarter from various international geographies and we remain positive that this trend will continue in the future.
- 7) We will remain focused on fundraising from international markets and are looking at business opportunities with subsidiaries, associates, and the larger network of Nippon Life. Nippon Life, Japan also remains committed in supporting NAM India's Offshore operations.
- 8) We continue to see interest for India, from conventional markets like Europe, Middle East, Japan and from unconventional markets like LATAM, Thailand, Korea etc.

Q4 FY24 Earnings Call

Page 8 of 20 Now on to our Financial Performance:

- For Q4 FY24, Revenue stood at INR 4.68 bn, up 34% YoY and 11% QoQ.
- Other Income stood at INR 0.92 bn, up 132% YoY and down 14% QoQ.
- Operating Profit stood at INR 2.82 bn, up 41% YoY and 12% QoQ.

- Profit After Tax stood at INR 3.43 bn - an increase of 73% YoY and 21% QoQ.
- On a full year basis for FY24 - Operating Profit grew 26% YoY to INR 9.58 bn and Profit After Tax grew 53% YoY to INR 11.07 bn.
- As mentioned in the past, we have a stated dividend policy to distribute 60-90% of our profits to shareholders. For FY24, the Board of Directors have declared a Dividend Payout of INR 16.50 per share i.e. ~99% of net profit – this includes proposed Final Dividend of INR 11.00 per share.

Overall FY24 has been a strong year for the MF Industry and more so for our Company. We now look forward to FY25 and hope to achieve another positive performance.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: The first question was on, so like in this quarter with the strong growth on the AIF side, so we have seen some reduction in yield. So, could you give us a broad breakup of yield by segment and the reason for lower tax rates during the quarter?

Sundeep Sikka: Lalit, I will request my colleague Amol to answer this question, please.

Amol Bilagi: So, on the yield side, Lalit, we are seeing a 1 basis point quarter -on-quarter decline in the yield. If you exclude the ETF, the blended decline has been marginal at 0.5 basis point quarter -on-quarter . Segment wise Q4 FY24 Earnings Call

Page 9 of 20 yields, for equity - the yield stands at 63 basis points. On debt, we would be around 25 basis point s. On liquid, in the range of 10 to 12 basis point s. And on ETF, it would be around 15 basis point s.

Lalit Deo: Yes, so on the tax benefit.

Amol Bilagi: Yes, on the tax front, lower tax rate for the quarter was primarily due to movement of some of the investment from short term to long term, which has resulted in the reduction of tax rates, and there has been a reversal of provision for previous years post the completion of the tax assessments. So, these are two factors which have affected the lower tax rates for the quarter.

Lalit Deo: And this ETF, 15 basis point includes your gold ETF also in it and the newer one which is coming on the ETFO side as well.

Amol Bilagi: Yes.

Lalit Deo: And this quarter we have done really well on the employee expenses side and there are some other expenses . So, going ahead for FY25 and FY26, what is our outlook on the expenses side?

Amol Bilagi: So, on the expenses side, very difficult to predict, but probably growth should be in the range of 8% to 10% excluding the ESOP cost

for the fresh stock granted.

Lalit Deo: Are there any new plans for ESOPs on this?

Amol Bilagi: Yes. So, today the Board has approved a grant of some ESOPs and that cost would come over a period of four years, it would be around in the range of 85crores to 90 crores in total .

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: So, two questions . First on the ESOP cost that you just mentioned of about 85 crores, 90 crores over a four -year period. Can you give me a Q4 FY24 Earnings Call

Page 10 of 20 split over the next four years? Second, admin and other opex has seen a sharp jump both on a YoY and on a QoQ basis. So, what is happening over there? And similarly, even the fee and commission expenses. So, some sense on what the normalized run rate of them would be, that would be helpful. And third, even our other income this quarter, we didn't have any big movement in equity. So, we have been fairly sort of just about the 2.8% move on the NIFTY. And the yield have also been fairly stable. So, what has driven such a strong performance even on the other income? Some color of there would be helpful.

Amol Bilagi: Thanks, Madhukar, for the question. So, on the ESOP cost, we are

expecting about 50% of the cost to come in the first year i.e. FY25, and then will taper down over the following financial years. In terms of admin expenses, out of the incremental cost QoQ, about 30-35% cost will be one-off expenses and the rest would be in normal course of business on account of marketing that we are marketing, IT spends that we are doing.

On the fee and commission part, this is directly linked to the business, including alternates and the PMS business. So, as the revenue grows, it also results in the increase in the brokerage cost.

And the last question was on the other income. So, other income is purely mark-to-market. There is no one-off or nothing to add on that.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: So, firstly, you know, if you look at your expense ratios to the basis points of AUM, that's come out pretty strong and pretty healthy in this quarter and this fiscal. How should we think about this from a, say two to three-year standpoint as basis points of AUM? How would the trajectory be in terms of spending and which element of the business are we really investing into kind of see any elevated expenses?

Q4 FY24 Earnings Call

Page 11 of 20 Sundeep Sikka: So, Prayesh, broadly from our perspective, we have been seeing in past also more operating leverage. As the AUMs grow, we do not expect any significant increase in expenses. Broadly, the only area where we will keep investing is going to be digital. We are investing. We will be investing substantially in digital and the brand. These are only two areas. The other area that you may see us investing will be in the alternate business, which is at the consol level, not in our AIF where we remain open to acquiring new skill set wherever acquired. So, that again will be more on the human capital side.

Prayesh Jain: And sir, just as you alluded to the alternate fees, how do you see this business scaling up to say in the next three years' time frame? What AUM aspirations you would have for this segment?

Sundeep Sikka: Prayesh, it will be difficult to put a number for an AUM. Today about 90% of the revenue of the overall company comes from mutual fund so how do we keep reducing that and that will help by increasing the overall business coming from AIF and offshore. As we have been talking for in these quarterly calls, whether in mutual fund or AIF, we do not want to target AUM. Our focus will remain on profitability.

Prayesh Jain: And sir, on offshore

piece, where are we in terms of different geographies? And what is the scale up that we can expect in ours? Are we in advanced stages in any of the geographies to launch new products? Where are we in that sense?

Sundeep Sikka: In offshore, let me admit, you know, while we have seen a very strong performance on the mutual fund side, a lot of new things happening on AIF. Offshore has taken a little more time than we thought. But there is a lot of work that is happening, and we believe over the next two, three years you will see some positive things because there is a lot of offshore, the returns become a binary 0, 1. It takes more time.

But from a geographical point of view we will continue highly focusing on our home base, which is Japan, trying to get more Japanese money

Q4 FY24 Earnings Call

Page 12 of 20 into India. That will be our main focus area. Even the new fund that we mentioned about the AIF, the tech fund, the majority of the LPs that we are talking to are from Japan. So, Japan will remain as one of our focus areas. But other than that, India continues to track money from various markets. We have seen some money coming from LATAM this quarter and overall offshore AUM grew 52% in this financial year.

Prayesh Jain: And last question, out of the current SIP run rate, how much would be said, via the non-Nippon digital route? So, in a way, sourced not from Nippon's website but from outside. How much of the SIPs would be coming from that?

Sundeep Sikka: I will request my colleague Arpan to take this question, but I will just say as a philosophy, we do not want to differentiate between what is coming from our side and others because the idea is we want to create an ecosystem for the investor to have a good digital experience with us. But

having said that, Arpan, if you could please take this.

Arpan Saha: So, the way we look at our digital over here at Nippon is that when we work with our partners, we have integrations in play and what happens with the integrations is, we always understand what is the platform of choice that the consumer wants to buy on, right. So, we have the storefront philosophy where we ensure that if our consumer is going to say X, Nippon products should be available on the storefront versus if the customer comes on our website, anyway, he is getting all the Nippon products. So, it's a proper 360 embedded philosophy where we believe that there is no single reason why a consumer would want to come to a website or would want to go to an integrated partner. It is all connected.

Moderator: Thank you. We have the next question from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: So, three questions from my side. First of all, just wanted to understand that the restrictions that we have put in terms of the SIPs and the STPs for the Small Cap fund towards the end of March, so do we see for Q1 Q4 FY24 Earnings Call

Page 13 of 20 going ahead, would we see any kind of change in dynamics in terms of the SIP flow considering that that particular fund would have been attracting a considerable amount of flows? So, wanted to understand from that point of view, how should we think about going ahead on our overall say SIP flow book? That is the first one.

Second is in terms of the competitive intensity in the industry, how are we seeing the payout levels? In order to garner business, do we require to pay out a little bit more to the distributors? If you could share what the current, what are you seeing in the landscape right now and if you could also give some color on where would be the flow yield vis -à-vis the stock yield particularly in the growth -oriented segment?

And thirdly, also given that we have been focusing on the H NI segment and that in this particular segment, the distribution happens through

slightly larger distributions in distributors in several cases, can that also have an impact on our overall realizations as we go through them? So, these three questions.

Sundeep Sikka: So, I will request Saugata Chatterjee to take the first question on the SIP from the Small Cap and the competitive advantage point, I will come back to that after that.

Saugata Chatterjee: So, on the Small Cap piece, you know, though we are putting restrictions and twice we have brought in restrictions now, the good part is in the past and even after the second limit introduction, our SIP inflows have primarily been in the less than INR 10,000 bracket perpetually, wherein 75% to 80% of our SIP flows come from transactions in that space. And hence, after the introduction of the new limit also, we haven't seen any sizeable reduction in our flows which is what has been our strength historically. You know, whenever we have built this SIP book in our system, especially in the Small Cap fund, it has been in the smaller ticket space.

Q4 FY24 Earnings Call

Page 14 of 20 And on the other side, like we had mentioned in the previous call, we are seeing sizable inflows in our other schemes, like the Multi Cap fund, Large Cap fund. We have the value fund. There are multiple funds wherein we are getting now good inflows which is sort of de-risking our till towards Small Cap. And going forward this will be the way we will plan our business on the SIP side.

Sundeep Sikka: The second one, the competitive pressure coming because of new AMC is doing higher brokerages and all, the way we see it, as stated in past, our focus remains on profitable growth. We do not want to get into any price war. We are very clear that for us overall AUM, while it is important, but profitable AUM is more critical. And that's exactly the reason to also mix it with the second question. We will continue focusing on retail part even more. While HNI market share continues to grow for us, but retail we believe is more sticky and more profitable and more difficult to build .

Since we talked about the Small Cap fund earlier on this, so you will be happy to know , while there have been restrictions on Small Cap fund across the industry and for the month of March, February over March industry saw an outflow of about 4,000 crores . But while we are at ~19%



of the industry size, what the outflow that we saw was only 2% of the industry because we have very, very highly retail and the top 10 investors in our Small Cap fund constitute less than 1%. So, retail adds stickiness and profitability, and our focus will remain to execute to go the difficult way of building business, which is retail, small ticket size, more sticky and more profitable for the long term point of view.

Swarnabha Mukherjee: Sir, any indication on the flow versus stock realization, what we are seeing right now?

Amol Bilagi: So, we do not disclose this data, but you can safely assume that the yields on the stock would be higher compared to the flows.

Q4 FY24 Earnings Call

Page 15 of 20 Swarnabha Mukherjee: Just to suggest, I think that has been the trend over the last few quarters. Just wanted to understand how the delta has moved, has it kind of widened or narrowed? If you could explain this?

Amol Bilagi: See, for us as Sundeep mentioned that we want to be on a profitable side of business. So, probably we have not increased the payouts as such. So, our yields on the new business have remained constant. And as mentioned last quarter also, we have rationalized our distribution cost in one of our larger schemes and this would help us in maintaining our margins on the new cost.

Saugata Chatterjee: Just to add, you know, if you see the behavior of our net sales, which is what we articulated in the opening speech, we have a much healthier net sales than the industry a

nd hence our old assets are still intact which is giving us better margins always.

Swarnabha Mukherjee: Sir, just last one quick question. When you mentioned about the HNI segment in your disclosures, is that on the basis of how MFI defines the HNI segment?

Saugata Chatterjee: Yes, very much.

Sundeep Sikka: Yes.

Saugata Chatterjee: 2 lakhs plus.

Moderator: Thank you. We have the next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Most of my questions have been answered. I just wanted clarity on the staff cost, did you mention that it's the major increase that will happen next year onwards will be on account of ESOPs and not really any addition to the staff counts, right? I should assume the staff count to remain at the 1,000 level for the next foreseeable future. Or will there be some additions on that side as well?

Q4 FY24 Earnings Call

Page 16 of 20 Sundeep Sikka: Yes, your understanding is correct. Broadly the number of staff will not increase substantially other than the fact that in our subsidiaries, we may add some more to grow our business to invest or acquire certain skill sets. But broadly, your understanding is correct and the overall mutual fund business together at 1,000 plus, that number will not change substantially.

Shreya Shivani: And just also on the admin cost, is there anything? The pickup for the last two years has been strong on this cost. Is this in line with the growth in business or was there anything incremental that has happened?

Amol Bilagi: Hi, Shreya. Amol here. So, just going back on that employee cost, so there would be normal increment that you would see in the employee cost. So, that would be there. On the admin cost, probably the net run rate would continue, and this is mainly due to the investment that we are making in our digital assets. And probably we may add some branches in this financial year, but that would not have a major impact on our overall.

Sundeep Sikka: Because it will be the smaller cities and towns. We are already 263 locations. So, the smaller cities and towns, the cost will not be high.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just one correction. Like what will be the ESOP cost for this year and in this quarter as well?

Sundeep Sikka: Are you talking about ESOP cost?

Lalit Deo: Yes. What was the ESOP cost for FY24 and as well as quarter four?

Amol Bilagi: So, what I mentioned the expected cost of the ESOP over a period is going to be in the range of 85 to 90 crores. Of that 50% of the cost would

come in this financial year FY25 .

Q4 FY24 Earnings Call

Page 17 of 20 Lalit Deo: No, that one is for FY25. I was asking for FY24, like in the current year cost.

Amol Bilagi: So, in FY24, the ESOP cost was around 7 crores.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Can you comment a little bit about our slow market share, how that has been? Q2 was very strong. In Q3, there was a little bit of moderation. So, Q4, I wanted to just get a sense of whether that is sustaining or not? And you just mentioned the ESOP cost number for this. So, can you just repeat that actually?

Saugata Chatterjee: So, yes, on the flow side, Madhukar, after Q3, Q4 continues to be in the similar range. So, from equity net sales point of view, we are in the double -digit space still and like we had mentioned earlier and Sundeep did mention small cap, large cap, you know, these are certain categories where we have been able to continue to have double -digit net sales. When you take the entire year FY24 into aggregate - we conclude the year with the double -digit net sales market share .

Madhukar Ladha: Congratulations again. A

nd on the ESOP cost number for FY24, can you repeat that?

Saugata Chatterjee: Just to clarify, all these net sales what we mentioned is ex of arbitrage.

Amol Bilagi: So, Madhukar, on the ESOP cost, there are two or three things that we need to consider. First is that we have come up with the ESOP grant after three years of period. Three years. So, the last ESOP was in 2021. So, that's why the ESOP cost for FY24 was only 7 crores. However, this year it would be substantially higher given that there is a fresh grant that is happening. And also this would help us in retaining the talent and that would help us in ensuring the fixed cost does not increase beyond a certain limit.

Q4 FY24 Earnings Call

Page 18 of 20 Moderator: Thank you. We have the next question from the line of Raunak Singhi, an individual investor. Please go ahead.

Raunak Singhi: Congratulations for achieving this highest operating profit this year. So, my first question is that given the increased marketing spend in that attracting the younger generation alongside with your growing investment in maintaining the data base and all in the artificial intelligence space to analyze the investors behavior, I would greatly appreciate if you could provide a breakdown of the SIP contributions by each group, young versus old generation? Because I am interested in understanding the percentage of HNI contributions coming from the young investors versus the old investors since this marketing campaign, it's being targeted towards the younger generation more.

Sundeep Sikka: Raunak, if I could understand, your voice was a little faint, but I would like to just share with you a lot of things that you mentioned, we are using internally the artificial intelligence, demographic features and how to market to investors. And one of the reasons for a strong sales and digital presence is that because that cannot happen manually. So, we have been using a lot of these tools internally. And to the earlier question which was asked by one of the to the earlier questions regarding future investments, this is an area we will continue investing for in future also. We do not give breakup of the age, background of this of all our investors and SIPs in the presentation, but I want to share with you we use it for business for sure.

Raunak Singhi: So, my next question will be, sir, since you said the number of staff has been increased, but I can see the slight reduction in the employee expense cost on Q oQ basis. So, is it due to outsourcing?

Amol Bilagi: So, it is mainly due to the PLI provision that we keep on doing on QoQ basis. So, that could be the reason for that.

Sundeep Sikka: Reversal of provision.

Raunak Singhi: Pardon, sir. I cannot hear you.

Q4 FY24 Earnings Call

Page 19 of 20 Amol Bilagi: So, we keep on reviewing our performance incentive QoQ and based on the number, we keep on adjusting the provision. So, the downside could be because of that.

Raunak Singhi: I just want to clarify what provision we were talking about because of the reduction in the internal expense cost basis?

Amol Bilagi: So, this is basically the performance incentive or the bonus that we give out to the employees. So, we keep on reviewing QoQ basis and based on the management estimate, we keep on adjusting for that. So, the decline QoQ is due to that reason.

Moderator: Thank you. The next question comes from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Just wanted to understand what sort of growth are we looking at both in the MF space and in terms of alternate space as well in terms of the numbers, if you could give out in terms of AUM growth?

Sundeep Sikka: Bhavin, we would not like to comment on the future growth. We believe we are in the sunrise industry. The industry will continue to do well. As a

management team, we believe our job is to continue to execute and our focus will be on profitable growth. So, I do not want to, you know, because it would be unfair to put numbers at this point of time, because ultimately this business is also cyclical because of the capital markets, a lot of things keep changing. And the purpose, the reason of saying this is because when we are very good for the future, we should be conscious of the fact that market cycles also have an impact. Market-to-market revenue, everything that we do has, you know, so this share of the business has been good. There has been a very strong tailwind of the markets and we have been executing well. So, we will continue focusing on our execution and focus on profitable growth.

Bhavin Pande: Secondly, in terms of product offerings, is there anything on cards, both especially on the MF side product to maybe offer more products in large or mid category?

Q4 FY24 Earnings Call

Page 20 of 20 Sundeep Sikka: So, from our product suite point of view, we have a very good product suite at this point of time. If you have seen over the last three, four years, we have not been coming out with NFOs. We believe in focusing on our existing schemes and scaling them up. Having said that, in the passage we will continue launching a few themes, which we believe can help the investors from a long-term point of view. But pure active mutual funds, our focus will be to scale up and capitalize on the great fund performance and the track record that we have and build on the existing schemes.

Moderator: Thank you. We have no further questions, ladies, and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Amol Bilagi: Thank you for coming for the call.

Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

## Call: Jul 2024

July 22, 2024  
BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767 National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2024, conducted after the meeting of Board of Directors held on July 19, 2024, for your information and records.

The above information is also available on the website of the Company:

<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q1-FY-2025.pdf>

Thanking you,

Yours faithfully,

For Nippon Life India Asset Management Limited

Valde Varghese

Company Secretary & Compliance Officer

Encl. as above

Page 1 of 22

Nippon Life India Asset Management Limited  
Q1 FY2025 Earnings Conference Call

July 19, 2024

Management:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – INTERIM -CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. SWARNABHA MUKHERJEE - BATLIVALA &  
KARANI SECURITIES INDIA PRIVATE LIMITED

Q1 FY25 Earnings Call

Page 2 of 22

Moderator: Ladies and gentlemen, good day, and welcome to Nippon Life India Asset Management Limited Q1 FY 25 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Swarnabha Mukherjee from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Swarnabha Mukherjee : Thank you, Steve. Good evening, ladies, and gentlemen. On behalf of Batlivala & Karani Securities, I welcome you all to the Q1 FY 2025 Earnings

Conference Call of Nippon Life India Asset Management Limited. Today, we have with us Mr. Sundeeep Sikka, Executive Director and CEO, along with top management team of Nippon Life India Asset Management Limited. I would now like to hand the conference over to Mr. Sikka for his opening remarks. Over to you, sir.

Sundeeep Sikka: Good evening and welcome to our Q1 FY25 earnings conference call . We have with us, Chief Business Officer - Saugata Chatterjee , Interim -Chief Financial Officer - Amol Bilagi , Chief Digital Officer - Arpan Saha , Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani , Deputy Head AIF - Aashwin Dugal and Shin Matsui -San, nominee from Nippon Life Insurance (Japan).

Our detailed investor presentation and press release have been uploaded on the exchanges as well as our website. I would like to share some comments on the recent Industry trends and our performance, prior to addressing your questions.

I would like to start by mentioning that in Q1 FY25, NAM India has achieved a Profit After Tax of INR 3.32 bn as well as its highest ever quarterly Operating Profit at INR 3.08 bn. Further, owing to the consistent efforts of the business teams, our Equity Net Sales market share and SIP market share remain well above our Equity AUM market share .

#### Q1 FY25 Earnings Call

Page 3 of 22

Beginning with the markets:

Equity markets in Q1 FY25 displayed a strong performance overall. The NIFTY moved up by 7.5% QoQ, while the NIFTY Mid & Small Cap indices rose by 17% & 19%, respectively. The RBI held the repo -rate steady at 6.50%, while the 10 Year G -Sec yield moderated b y 5 bps QoQ to 7.01%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 9% QoQ and 37% YoY in Q1 FY25 to INR 59 trillion.
2. Strong momentum in the Equity segment sustained, as the share of Equity in overall AUM continued to increase, ending at 59.4% for Q1 FY25, up from 51.8% for Q1 FY24.

Now, moving to Industry flows:

- 1) The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.54 trillion and a net inflow of INR 1.10 trillion – both gross and net inflows were higher on a QoQ basis for a fourth successive quarter.
- 2) Strong inflows were witnessed across Sectoral/Thematic funds, Multi Cap and Multi Asset Allocation funds, and inflows in the Small & Mid Cap funds were higher sequentially.
- 3) While Sectoral/Thematic funds, witnessed high inflows on the back of a large number of NFOs, NAM India has opted to stay away from this trend. We believe that a large share of such inflow into these funds that comes on the back of a market tailwind, may no t be in the best interest of the investors and is typically not very sticky. We would like to continue to focus on scaling -up our existing products which have a long -term track record. That being said, we will continue to launch newer products on the Passi ve side – both Index Funds & ETFs, as and wh

en required.

- 4) Moving on to SIP - Investments via the SIP route further increased, with the SIP contribution for the quarter being INR 625 bn, up 45% YoY and 9% QoQ.
- 5) Monthly SIP flows in Jun -2024 stood at INR 213 bn, which was another all -time high. SIP folios increased 7% QoQ to 89.9 mn.
- 6) The Fixed Income category i.e. (debt + liquid), witnessed a net inflow of INR 123 bn after the outflow in the previous quarter.
- 7) The ETF category had a net inflow of INR 267 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 46.9 mn i.e., an increase of 22% YoY, while industry folios increased to 191.0 mn.

Now moving to our business performance:

- 1) We closed the quarter with total assets under management of INR 6.04 trillion. This includes Mutual Funds, Managed Accounts and Offshore Funds.
- 2) Our Mutual Fund QAAUM grew 12% QoQ & 54% YoY to reach INR 4.84 trillion. We have had the highest increase in QAAUM market share on a YoY basis among all AMCs and second highest increase QoQ. Further, on a QoQ basis, we have been the fastest growing AMC among the Top -10 players.

I would now like to share a few key highlights for the quarter:

- 1) Starting with market share - Our market share increased 24 bps QoQ and 93 bps YoY to 8.20% with market share increases across all asset categories. This is the fifth successive quarter of market share increase that we have witnessed.
- 2) Our Equity market share also continues to improve. It increased by 12 bps QoQ and 62 bps YoY to 6.88%. This is our highest Equity market share post Dec - 2020.
- 3) The share of Equity AUM in our overall AUM continued to increase and stood at 49.8% for Q1 FY25, up from 49.2% as of Q4 FY24.
- 4) Performance of most of our Equity schemes remained strong, and this along with our distribution network, digital capabilities and strong risk management helped to deliver a near double -digit market share in net sales in the Equity + Hybrid segment in Q1 FY25.
- 5) On the segmental front – Our Individual AUM, which consists of Retail & HNI AUM, saw further market share improvement. Individual AUM grew 16% QoQ to INR 2.98 trillion. Market share increased 21 bps QoQ to 7.95%.
- 6) Our Corporate AUM grew 15% QoQ to INR 2.11 trillion. This led to market share improvement of 37 bps QoQ to 8.86%.
- 7) Our B -30 AUM grew 16% QoQ to INR 1.00 trillion, which keeps us amongst the fastest growing large AMCs in B30 locations. Our market share improved 20 bps QoQ to 8.98%. This segment forms 20% of our AUM versus 18% for the Industry.
- 8) We continue to have the largest base in the Mutual Fund industry, with 17.5 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

Q1 FY25 Earnings Call

I would also like to touch upon some important aspects of our Systematic Book:

- 1) I am happy to share that there has been a continued uptick in our systematic flows over the last 12 quarters, which has led to an increase in market share.
- 2) Of the incremental SIP flows in the quarter, we had a market share of ~11%.
- 3) SIP market share increased by 28 bps over March 2024 to June 2024, ending at 9.36%.
- 4) Our monthly systematic book rose by 11% to INR 25.8 bn for June 2024 over March 2024. This resulted in an annualized systematic book of INR 310 bn.
- 5) On a YoY basis, the monthly systematic book grew by 111% over June 2023 when it was INR 12.2 bn, as against 44% growth for the Industry.
- 6) 59% of our SIP AUM has continued for over 5 years versus 28% for the Industry.

I would now like to update you on the increase in headcount witnessed in the quarter:

- 1) As some of you may have noticed from the presentation, we have increased our employee headcount by ~45 employees in Q1 FY25. Further we have also in

ducted ~50 management trainees in July -2024 leading to a total headcount increase of ~95 employees.

2) Of the total increase, majority is on account of the Sales & Distribution function and AIF.

3) As mentioned in the past, we will continue to invest in our future growth, whether it be on talent, technology, or other areas.

Moving on briefly to the ETF Segment:

1) We continue to be one of the largest ETF players with AUM of INR 1.3 trillion and a market share of 17.8% (which increased by 108 bps QoQ).

2) Our share in the industry's ETF folios is ~60%. We have 61% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.

3) Passive AUM, which includes ETFs and Index Funds, crossed the milestone of INR 1.5 trillion in the quarter.

## Q1 FY25 Earnings Call

Page 6 of 22

Moving on to our distribution franchise:

1) Digital Transformation has always been a strong focus for NIMF. Our Digital Roadmap is in line with consumer expectations crafted around innovation and ease. The NIMF digital transformation journey factors in consumers across all segments starting from the new Gen Z to the experienced investors bringing in need based relevance and personalized touch.

2) The digital focus at NIMF has been on a future ready stance and to provide a lucid online experience for our investors and franchise. The NIMF Digital Stack has ensured that the users always experience Frictionless solutions in this information first economy. This has led NIMF to become a prime choice for the Online Customers where every two seconds we have 30 consumers purchasing a NIMF product digitally across our digital ecosystem

3) Digital purchase transactions rose to 2.82 million in Q1 FY25, up 170% YoY. In the month of June -2024, NIMF Digital crossed 1 million new purchase transactions. Digital Business contributed 68% of the total new purchase transactions Q1 FY25.

4) Our physical distribution base is well diversified, with a wide presence in 263 locations across the country.

5) We have over 1,04,300 distributors in total and added roughly 2,900 distributors in the quarter.

Now, I would like to briefly update you on our subsidiaries - namely the AIF & Singapore subsidiaries:

1) Starting off with AIF - As mentioned in the past, AIF continues to be an important focus area for NAM India.

2) Under, Nippon India AIF, we offer Category II and Category III Alternative Investment Funds and have a total commitment of INR 65.1 bn across various schemes.

3) The company has started broadening its focus across asset classes and strategies. Towards this end, we have recently launched a Performing Credit AIF and a Long Only Small Cap Equity AIF. Fundraising is currently underway, and both have undertaken their initial closing.

4) We have recently undertaken first closing of our Tech/VC AIF 'Nippon India Digital Innovation AIF Scheme 2A' - a direct Venture Capital fund targeting investments in early to growth stage start-ups.

Q1 FY25 Earnings Call

Page 7 of 22

5) Also, our Tech/VC FoF launched in 2020 is in the advanced stage of deployment with nearly 84% of commitment raised having been deployed across 12 Tech/VC funds.

6) On the Offshore front - We have witnessed good equity inflows in the quarter from various international geographies and we remain positive for this trend to continue in the future as well.

7) We will remain focused on fundraising from international markets and are looking at business opportunities with subsidiaries, associates, and the larger network of Nippon Life. Nippon Life, Japan also remains committed in supporting NAM India's Offshore operations and growth.

8) We continue to see interest for India, from conventional markets like Europe, Middle East, Japan and from unconventional markets like LATAM, Thailand, Korea etc.

Now on to our Financial Performance:

- For Q1 FY25, Revenue stood at INR 5.05 bn, up 43% YoY and 8% QoQ.
- Other Income stood at INR 1.31 bn, up 12% YoY and 42% QoQ.
- Operating Profit stood at INR 3.08 bn, up 59% YoY and 9% QoQ.
- Profit After Tax stood at INR 3.32 bn - an increase of 41% YoY.

Overall Q1 FY25 has been another strong quarter for the MF Industry as well as for NAM India and we hope this trend continues going forward.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: The first question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Congratulations on a good set of numbers. So just two questions. So firstly, with respect to the consultation paper which SEBI has come up with, could you share the comments around the same like what -- how are we looking at this on the new asset class? So that will be my first question.

Sundeep Sikka: Yes, do you want to go ahead with the second question also? Then we can try to combine it together.

Q1 FY25 Earnings Call

Page 8 of 22

Lalit Deo: Yes. The second question is like so during the quarter like we have seen some compression on the yield side. So what were the reasons for the same? And like also could you give us yields on the asset class wise, like equity, debt, liquid?

Sundeep Sikka: Let me take the first question and the second one, I will request my colleague, Amol, to take it. With respect to the new consultation paper, we are still evaluating the paper, given it is out only recently. I think the opportunity could be big. We must also be cautious on the new kind of risk associated with the new asset class and not get carried away with it. All options are currently open, and we are trying to see how we can take advantage of it. But we want to remain cautious.

While the minimum ticket size what is mentioned is INR 10 lakh, we may evaluate to launch products which will be higher than INR 10 lakhs at the entry level, because we want investors who are really, really understand the risk associated with it to come into such products. But like I said, these are the initial days, it just has come two days back. Maybe in the next quarterly call, we'll be able to give you better clarity.

Amol Bilagi: Yes. Thanks, Sundeep. So on the yield part, for the quarter, we have seen a QoQ growth in equity AUM of almost 14%. And as you are aware, due to telescopic pricing, there would be pressure on the yield as the yield contracts as the AUM grows. So that is the main reason why we have seen a contraction in the yield. So on a QoQ basis, if you look at it, there is 1 basis point compression in the yield.

On the asset class wise, the yields - on equity stands at around 60 basis points. On debt, it's around 25 basis points. On liquid, it's around 10 to 12 basis points. And on ETF, it's around 8 to 10 basis points.

Lalit Deo : Sure, sure. And sir, in your opening remarks, you also highlighted the fact that



you would be staying out of launching products on the sectoral and thematic side, whereas in the industry, we are looking at a lot of AMCs are looking to launch products on the same, and they are mobilizing funds also. So like what is our thought process on that?

Q1 FY25 Earnings Call

Page 9 of 22

Sundeep Sikka: From our point of view, a lot of these products are being launched only with the tailwind of the markets doing well. And past many of the thematic funds which get launched are not able to do so well for a long period of time. Our strategy would be to remain restricted to some of our core flagship products and scale them up.

If you were to deep dive into portfolios of some of the thematic funds which have come, 70% to 80% are similar to most of the diversified funds. S

o we will

stay away from launching -- getting into such themes which, seem to be very seasonal in nature. And we'll try to continue focusing on our regular large cap, small cap, mid cap or true -to-label sector al funds, which the investor understands what he's getting into.

Moderator: The next question is from the line of Shubham Bhatra from ICICI Prudential AMC.

Shubham Bhatra: Congratulations on a great set of numbers. I had a question regarding your FY24 numbers. So if I look at your consolidated financials, the PMS revenue comes out to around INR 29 crores, whereas in the standalone, it is INR 42 crores. Why is it the consolidated revenue lower than the standalone?

Sundeep Sikka: Yes. So we have to check that what you're referring to probably, then we can get back to you.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha : Congratulations on a great set of numbers. So just a couple of quick questions. One, why has staff cost gone up so sharply? And so from INR 89 crores last year in Q4, we've gone to INR 105 crores. And even on a YoY basis, the jump is very material. So wanted to understand that. And what should we sort of be building in for the rest of the year?

And second, the AUM is growing really rapidly. And incrementally, are we able to pass on the lower sort of TER in terms of lower distribution cost to our customers? Or are we losing out in terms of incrementally what we are able to

Q1 FY25 Earnings Call

Page 10 of 22

keep for us? We are, obviously, but is there any way to stabilize those yields? What's the thought process on that?

Amol Bilagi: Okay. Thanks, Madhukar, for the question. So the reason for the increase in employee costs are manifold. Basically, first of all, is the fresh ESOPs granted during the quarter 1, that has resulted in a P&L hit of around INR 8.3 crores, which has added to that. Another part is the increment that we had for this year, which was higher than the average past increment. So the increment was in the range of 12%, 13%. That is why you see that.

Also, the provision for the variable pay that we have made in quarter 1 would be comparatively higher compared to what we did in Q1 of last year, so that's another reason why you will see the higher variance. And also this year, there was a comparatively higher spend toward the annual employee engagement activity. And so these are some of the reasons why cumulatively, the costs have gone up for the quarter.

And if you look at the year, excluding employee costs, probably you can see an increment of around 12% to 13% over the full year. So as Sundeep mentioned, that we have already added 100 employees during the quarter, and we will keep on investing -- wherever we feel necessary, we'll keep on adding resources.

Madhukar Ladha : You said excluding employee costs, the other costs will go up 12%, 13%. I didn't get...

Amol Bilagi: No, excluding ESOP cost, the overall employee cost will go up 12%, 13%.

Madhukar Ladha : Excluding ESOP cost, got it, got it. Okay. Understood, understood. And on the other question on the yield...

Saugata Chatterjee: So in the past, you would have heard from us that we had reduced the brokerage in one of our largest funds, and that continues to be one of the practice which we are doing. We, on a QoQ basis for all new business, what we garner, as per the TER movement, we proportionately reduce the brokerages. And that's been our practice, and we will continue to do that as we go ahead.

Q1 FY25 Earnings Call

Page 11 of 22

It does not impact our business that much because the granularity of our business is very different. We have a very strong retail franchise, and we believe in building assets through SIP, and that's probably the reason why we continue

to maintain our net sales growth on a QoQ basis.

Madhukar Ladha : Understood. And just one follow-up question on the employee cost. What should be billed as ESOP cost for the year?

Amol Bilagi: So the ESOP question would be roughly around INR 45 crores for the full year.

Madhukar Ladha : And next couple of years, like?

Amol Bilagi: So it will taper down. So as I mentioned, first, normally, whenever an ESOP is granted, the first year, almost 50% get accounted in the first year and then it tapers down to 25%, 26% in the next year and then it reduces further in the third and fourth year .

Madhukar Ladha : Understood. Got it. And all the best.

Amol Bilagi: Thank you, Madhukar.

Moderator: The next question is from the line of Ranjeet Bhalrao , an individual investor.

Ranjeet Bhalrao: This is more of a suggestion or a request than a question. The reports that are published and reported to the exchange, will the amounts be mentioned in lakhs and crores instead of millions and billions? Most of the people in India are more familiar with the former than the latter.

Amol Bilagi: Sure, Ranjeet, we can definitely, surely look into that.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Service.

Prayesh Jain: Congrats on a good set of numbers. Firstly, if we think about the strategy with respect to branch expansion or deepening your presence, further presence into the country, what are your thoughts there, what are your strategies there? You

Q1 FY25 Earnings Call

Page 12 of 22

added some 2,900 distributors in the quarter . So what is the strategy there?  
That would be my first question.

And related to that, second question as to how should we think about your other expenses growing in this year where you guided for the employee cost, but from other expenses standpoint, how do we see this increasing? And coming back to the employee cost of it, addition of employees at the sales and distribution level, do you think that this should continue? Or are we reaching an optimal stage whether you invested enough for the next 1 or 2 years? Or is it that you still will continue to add?

Sundeep Sikka: Actually, both the questions are linked to each other. I'll try to club it together. Presently, we are present in 263 locations and 70% of our branches are in B30 locations. So we'll continue evaluating some of our branches. We were relooking at changing, making them bigger.

As the penetration and the scale of businesses there is increasing in the cities and towns, will we go really deep and add a lot more branches? Answer is no. I mean, even if there would be, there could be 10, 15 branches in a year. But there'll not be much, because we are also seeing a lot of these B30 locations, the new business, as it was mentioned in the presentation, a lot of this business is coming through digital.

So it will be a hub -and-spoke model, but to your question, will we add a lot more branches, having one of the largest branch franchise, I don't think so that we will add too many more branches. It could be maybe 5, 10 branches in a year. That's the kind of trend at this point of time we see.

As far as adding employees is concerned, I think, yes, we have added about 94 employees in all, total. ~45 were added in Q1 and 50 have been added after that. Some are in sales and distribution. And also very high percentage of them are basically the new talent and the new skill set we are acquiring for our alternative investment businesses.

So will this trend continue? Based on how the penetration is increasing in the country and how the smaller cities are contributing, about 10% addition can happen, I think, for the next 3 to 4 years also. So about 100 more people can  
Q1 FY25 Earnings Call

Page 13 of 22

be added. I mean most

broadly, many of them will be at entry level. Few could be new skill set that we'll require for our alternative business.

And regarding the other costs, other than ex of employee cost, we believe it will be in the range of about -- you can expect about 12% to 13% increase every year.

Prayesh Jain: 12% to 13% increase and a large portion of that would be in what, because generally, there should be a good scale benefits. So a large portion of this increase would come in from what element, the digital, advertisement, what would kind of take away a large portion of this increase?

Sundeep Sikka: Majority of this will be technically investments for future, you're right. It could be digital, advertising, building the brand. Because as we go up, because there's a lot of operating leverage at the fund today, as we have grown from INR 3 lakh crores to touching almost INR5 lakh crores, the basic costs don't go up. So I mean, some of these are inflation -related costs, but majority of the costs are going to be investments for future.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a good set of numbers. I had a question on the SIP flows. And is there any color that you guys gave out on which is your segment where majority of the flows come into, not in terms of the tenure or anything that

comes out in the B30 but in terms of the product segment? And any color on how those -- has there been any change or any need in that segment where the SIP flows were coming? Has that shifted to any other direction? Any of those -- any color on that will be useful.

Saugata Chatterjee: If you see the SIP flows which are coming to the industry and to us. For us, the good part is we have de-risked our SIP flows across the various funds which we have today. Earlier, probably 2 years back, it was probably small cap was anchoring the entire SIP flows. Today, the dispersion of the SIP flows have moved towards small cap, large cap, mid-cap. And we are also seeing a lot of flows now coming into the sectoral funds. So that's the way the SIP book is now building for us. It is quite de-risked at this point in time.

Q1 FY25 Earnings Call

Page 14 of 22

And the other part is the retail franchise, which we have built, along with the digital strength which we have, we are getting a lot of inflows coming in from the B30 market. The reason why our B30 market share is much more than our share of assets in B30 is much higher than the industry average.

So that is the way the flow is coming. Even our average ticket size is increasing. So today, because investors want to stay longer with us, they are ready to commit a higher average ticket size, which is also an area of improvement, which we have seen in the last 6 to 12 months.

Shreya Shivani: Sure, sir, and just that you mentioned B30, so should we expect whatever market share you have in B30 market, similar would be the trend with SIP flow or how should we look at that one then?

Saugata Chatterjee: Yes. So we have a higher -- because B30 market share is now increasing, the SIP flow book always is higher and then the market share moves in tandem to the SIP market share. So if SIP market share, as an example, if it is, say, 10%, our B30 market share maybe 8%, then it starts catching up as we -- as the SIP book starts building.

Moderator: The next question is from the line of Swarnabha Mukherjee from BK Securities.

Swarnabha Mukherjee: Just following up on the previous participant's question in terms of the distribution in B30. So sir, if I see your distributed assets, I can see that over the last few quarters, your MFD share in the stock has kind of slipped by maybe 100 basis points, which has been taken up by the bank side. So I just wanted to understand why would that B30 growth be reflecting in the distribute

d asset

mix? Are we reaching out to customers through the banking channel? What is happening?

And secondly, as a ramification on our yields, because as banks see some increase in share in the mix and it being a higher-cost channel, is it also putting a slight pressure on the headline numbers that we are seeing, which we have been discussing that there has been a slight squeeze in that? So that is one.

Q1 FY25 Earnings Call

Page 15 of 22

And thirdly, in terms of the flows, so I think the schemes that you have mentioned, I think the larger schemes continue to still -- while the flow is de-risked, but the larger schemes continue to see higher share of flow. Sir, any mitigation strategies which can result in the smaller schemes also maybe getting even more and more share, which can kind of help us maintain some stability in the yields? So these are my two questions.

Saugata Chatterjee: Yes. So I'll just take this answer. So on the B30 side, like Sundeep also

mentioned during the initial comments, there's a plethora of NFOs which have come in the industry. And typically, what happens, the B30 market tends to participate more in the NFOs. And hence, your B30 market share in IFA might have slipped a bit. But what we do, we are also de-risking our business in the sense if we have to broad-base, we have to go to other channels.

So for us, banks are not only the private sector banks, we have a very strong PSU bank ties which we run in the company, which is also does give us protection on yields. And that's the way we are trying to build our volumes in these markets.

On top of that, the digital penetration in B30 is also very strong for us. So if you combine all the three aspects, we tend to get our fair share of wallet. And we are continuously accessing channels, which will keep giving us inroads to new investors. So that is the strategy which we work with. And that's the first part of the question.

Second part is when it comes to de-risking from a scheme perspective, like I mentioned, small cap obviously has reduced. We have moved the flows into mid-cap, multi-cap large-cap, sectoral funds. The entire narrative, which is happening in the industry around sectoral funds, we are capturing it through SIP because it's good to build the book through SIPs rather than having lump-sum because there are cyclical trends in these sort of schemes.

So you'll find sequentially as we move ahead, we'll start having more trends in these products. And hopefully, the mix will keep improving as we go ahead from here on. Currently, as we speak, almost 1/4 of the flows are coming from our large cap and multi-cap funds each. So that's again a de-risking strategy, which has helped us. And as I mentioned, it is an ongoing thing.

Q1 FY25 Earnings Call

Page 16 of 22

Swarnabha Mukherjee : Understood, sir. Very helpful. Is it possible to give some indication of how -- maybe to what yield level the flow shares are coming vis-a-vis that on the stock equity?

Amol Bilagi: So we don't include that number, Swarnabha, but safer to say that the yield on a new business would be lower than the stock.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: So the first is a data question. I wanted to know what would be the closing equity book? I think the average is about INR 2.4 trillion.

Sundeep Sikka: We have about INR 2.6 trillion.

Abhijeet Sakhare: And then sort of coming back to Chatterjee -sir on question on yields. So in one of the earlier questions around the current level of commission payouts, you were sort of giving a sense that it doesn't seem to be a matter of too much concern. We've seen almost, I think, 10 basis points sort of a correction on the equity yields on a YoY basis.

But I guess, the pass

-through for the distributor hasn't been to a similar extent.

So what is your thought process around this? Where you're planning for the rest of the year or maybe 1 to 2 years, when would you kind of think about passing slightly higher share to the distributor as well?

Saugata Chatterjee: So at least for us, as I mentioned, the telescopic TER movement, which we had seen in every fund, we try to replicate that in the brokerage structure to quite an extent. And the reason why QoQ, the brokerage structures do tend to follow the glide path.

The previous question which has come in, we have a ratio which has old assets

as well as new assets. So we get protection from the old assets too. And as we progress, and we -- so there is an equation where if you are bringing down the new business brokerage and the old assets continue to probably remain with us, the blended yield for us will gradually go down. It will not go down in proportion to the TER movement.

Q1 FY25 Earnings Call

Page 17 of 22

Amol Bilagi: And just to add to it, having said that, we have various levers that we will keep working on to ensure that a decline in yield is not very steep.

Abhijeet Sakhare: Okay. And then just a clarification, the commission payouts on SIP versus lump sum, is there a difference in how you structured the overall commission structure?

Saugata Chatterjee: No, it is similar. It is both for lump-sum and SIP, we have the same structure.

Abhijeet Sakhare: Got it. And sorry, one last thing, just again, a qualitative sense. Given that we are staying out of the NFO market and we are sort of preferring to bring more money through the SIP route versus lump sum, how does it work with the distributor, right? Because for him, generally, it seems like there is lots of opportunity when it comes to pushing your products versus others.

So do we read this as just the performance sort of doing the heavy lifting? Or is there some other way we are sort of keeping ourselves relevant in the market?

Amol Bilagi: So it's not an SIP versus lump sum. There are enough number of distributors who also believe in the same strategy as ours that it is important to be -- it's far better for the investor to get into averaging to SIPs rather than lump-sum. So I would not say that -- I will not paint all distributors in the same brush that they want only lump-sum.

The other trend we have seen is very different. A lot of distributors and AMCs thinking in the interest of the investors prefer the SIP route. So I don't think so we have to make an extra effort for it. It's a question of like-minded thought process, that it works good for the investor, if it works good for the investor, it's good for the distributor and good for the AMC.

Moderator: The next question is from the line of Jignesh Shial from InCred Research.

Jignesh Shial: Just wanted to check, it's more of curiosity I'm asking. You are seeing that your overall market share ex ETF and equity is also 6.88%, which is roughly 12 bps higher, right? So -- and even your market share, your ETFs have also seen a

Q1 FY25 Earnings Call

Page 18 of 22

significant improvement sequentially. So with ETF also, if you see like what other large AMC gives ....

Sundeep Sikka: Jignesh, can you repeat your question?

Jignesh Shial: Yes. So your equity market share, excluding ETF, is 6.88%, correct, which is 12 bps kind of a rise sequentially?

Amol Bilagi: Yes, correct.

Jignesh Shial: So if you put -- with ETF also, we will be seeing a significant improvement only, right? I just wanted to reconfirm because I see sequentially, your ETF market share also has gone up.

Amol Bilagi: Correct, you're right. And secondly, we tried to give it different, this is separately. But your understanding is correct, if you were to see both ETF and

e

quity, the market share has gone up sort of from 12 basis point and more than 100 basis point in ETF.

Jignesh Shial: We have seen a significant improvement on the corporate segment side. Retail and HNI had anyhow been decent, but corporate is also right now doing good for us.

And direct channel has also seen a significant improvement. So anything specific you want to mention for this particular segment because once the debt market opens up, which we are seeing now, the flow is improving, the corporate plays an important role. Anything worth highlighting that would be here or something that you want to comment upon? That is the only thing I wanted to understand.

Sundeep Sikka: Broadly, if you would have seen, there has been an improvement in all segments, retail, HNI, corporate and all asset classes. I will not attribute to anything specific that we have done in the last quarter, but a lot of things we've done in the last 5 or 6 years. And I believe a lot of these things come with a lag effect.

Q1 FY25 Earnings Call

Page 19 of 22

So definitely, things are falling in place. And we see structurally, across all segments of asset classes, that we have done and the way the company is positioned, we will benefit with higher inflows and higher market share in times to come.

Jignesh Shial: Just roughly one more thing. With the almost 90% profit we are distributing as dividend, so roughly around 90%. Our ROE has been significantly improving, up to somewhere around 30% now But do we know that number will continue to go with our dividend? Is still policy remaining at the similar level? Can we assume that the ROEs can even cross 40% plus over a period of next one or two years, is that a fair assumption? Just an assumption I'm asking for.

Sundeep Sikka: No, I will not be able to give a futuristic thing. I'm sure you can put it in the spreadsheet and see how it will look like. But from our perspective, the Board of the company has a very clear view to keep sharing the profits of the company with all shareholders, including the minority shareholders, and we'll continue with that trend.

But ROE, this business has high operating leverage. As AUM increase, expenses do not go up the same way. And -- but we'll not be able to give a number to it. But yes, for this quarter, the ROE was 32%.

Moderator: The next question is from the line of Bhavin Pande from Athena Investments.

Bhavin Pande: Congratulations on a wonderful set of numbers. I just wanted to draw your attention to Slide 44 regarding operating leverage. Of course, assets are a factor of how markets do and profits in turn would be a manifestation of that. But looking at variables which are controllable, do we think that if things sort of go in tandem, we could see some sort of accretion happening on per branch and per employ yee basis?

Amol Bilagi: Amol here. Thanks for the question. So if you look at our expenses, like almost 53% of our expenses come from the employee cost . Of this, almost 25% would be a variable component of it . So whenever there are tough times already that is -- which is directly into the profit of the company, right? So as and when there's internal profitability, that component which automatically coming down.

Q1 FY25 Earnings Call

Page 20 of 22

On the other expenses part, the majority of the expenses would be fixed in nature, except for some part of marketing and everything that are variable and that can be depending on the market situation that can be tapered down a little bit. But excluding that, I say, most of the expenses are fixed, and they will continue.

Sundeep Sikka: The discretionary expenses, depending on the market conditions, one can take a call on them. But having said that, as we have always said, we see this business from a long-term point of view. We would

not like to cut down short-term cost and investments which can give us long-term benefits.

Bhavin Pande: Okay. Sir, secondly, on the -- expanding on the employee expenses front, of course, variable payouts and head count addition, they are sort of cyclical in nature and would keep happening for business cycles. But we have seen this kind of spending on employee engagement. So do you think this will also continue or it's more of a cyclical thing that's prevailing right now?

Sundeep Sikka : No, I will not say this is cyclical, but post-COVID and all has happened for the first time. But broadly, it will continue. Whether the expense amount will be the same or not, that is still a question mark, but employee engagement remains a very important part of the strategy of the company because ultimately, you have 1,000 plus employees, I mean small cities and towns, you have to engage with them, get them together. So all those things still important too, but employee engagement will continue. Amount will be difficult to ascertain at this point of time.

Bhavin Pande: And just lastly, on adjustment of commission on account of the TER formula with the distribution partners. Of course, their TER on an absolute basis would also go down, probably their share of TER would go down. So do you think the industry -- why the spread of this activity would happen? Has it always started happening but other AMCs are sort of adjusting payout with the distributors?

Sundeep Sikka: I will not be able to comment on behalf of the industry in this call. It will depend on which AMC wants to work on top line or bottom line. For us, again, Q1 FY25 Earnings Call

Page 21 of 22

as I mentioned in the earlier question, our focus is again on profitable growth, and rather than just being about the top line.

Bhavin Pande: Mr. Sikka, congratulations to you and your team for the wonderful quarter and good luck.

Sundeep Sikka: Thank you very much.

Moderator: This will be the last question for today's conference call. It's from the line of Pradeep, an individual investor.

Pradeep: Congratulations for the great set of results, and I hope it continues going forward. My question is on AIF. I was seeing on the website on AIF, we are taking stakes in these companies who are doing AIFs or we are doing mix of both?

Amol Bilagi: Can you repeat the question, please?

Pradeep: My major question is on AIF. I just want to ask that I was seeing on the website that we have some funds which we are taking stakes in. So these are the companies which we're taking stakes in who are doing AIF or it's a mix of both there? We have our own AIFs and we are doing some via some other companies as well?

Sundeep Sikka: I'll just try to clarify. I think this is in reference to our tech fund of fund or our



venture fund, which was launched in 2020. That fund, actually, we consider it as a fund of fund and it was about INR 183 million was invested from investors in Japan. And that has invested in 12 different funds.

So our idea is not to take stake. We maintain all these based on the constitution of the fund and with the RFPs what has been decided. So we have not bought stake in this. We are investors in this.

Amol Bilagi: Yes. I just wanted to add on the earlier question. So there was a question from Shubham on why the PMS revenue in the stand -alone is higher than your consol. So I just wanted to clarify on that.

Q1 FY25 Earnings Call

Page 22 of 22

So if you look at on a stand -alone basis, that contains -- includes option advisory fees that we receive from our Singapore subsidiary. So when we do the consolidation, that gets eliminated, and that's why the figure in the consolidated numbers are below the numbers on the stand -alone numbers.

And also, there was a question on the closing AU

Ms. So just wanted to provide the numbers. So on the equity, the closing AUM is around INR 2,598 billion. on the debt side, it's INR 733 billion, on liquid it's INR 336 billion and on the ETF, it is INR 1,402 billion. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Amol Bilagi: Yes. Thank you all for joining the call. Have a happy weekend.

Moderator: On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

## Call: Oct 2024

October 28, 2024

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767 National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051 NSE Scrip Symbol: NAM -INDIA  
Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended September 30, 2024, conducted after the meeting of Board of Directors held on October 24, 2024, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q2-FY-2025.pdf>

Thanking you,  
Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer  
Encl: A/a

Page 1 of 20  
Data Classification: Public

Nippon Life India Asset Management Limited  
Q2 FY2025 Earnings Conference Call

October 24, 2024

Management:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. JIGNESH SHIAL – INCRED EQUITIES

Q2 FY25 Earnings Call  
Page 2 of 20

Data Classification: Public

Moderator: Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Q2 FY '25 Earnings Conference Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you and over to you, sir.

Jignesh Shial: Yes. Thank you, Steve and good evening, everyone. On behalf of InCred Equities, I welcome all to Nippon Life India Asset Management Q2 FY '25 Earnings Conference Call. We have along with us Mr. Sundeep Sikka, Executive Director and CEO, Mr. Parag Joglekar, the Chief Financial Officer, and the senior management team of Nippon Life India Asset Management. We are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep Sikka, Executive Director and CEO of Nippon Life India Asset Management for his opening remarks. Over to you, sir.

Sundeep Sikka: Good evening and welcome to our Q2 FY25 earnings conference call. We have with us, Chief Financial Officer – Parag Joglekar who has joined us recently, Chief Business Officer - Saugata Chatterjee, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would like to share some comments on the recent Industry trends and our performance, prior to addressing your questions.

I would like to start by mentioning that in Q2 FY25, NAM India has achieved its highest ever quarterly Profit After Tax of INR 3.60 bn as well as its highest ever quarterly Operating Profit at INR 3.65 bn. Further, our Equity Net Sales market share and SIP market share remain well above our Equity AUM market share.

## Q2 FY25 Earnings Call

Page 3 of 20

Data Classification: Public  
Beginning with the markets:

Equity markets in Q2 FY25 displayed another strong performance overall. The NIFTY moved up 7.5% QoQ, while the NIFTY Mid & Small Cap indices rose by 7.1% & 7.6%, respectively. RBI held the repo -rate steady at 6.50%, while the 10 Year G-Sec yield moderated by 26 bps QoQ to 6.75%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 12% QoQ and 41% YoY in Q2 FY25 to INR 66.2 trillion.
2. Strong momentum in the Equity segment sustained, as the share of Equity in overall AUM continued to increase, ending at 60.9% for Q2 FY25, up from 53.5% for Q2 FY24.

Now, moving to Industry flows:

- 1) The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.78 trillion and a net inflow of INR 1.32 trillion – both gross and net inflows were higher on a QoQ basis for a fifth successive quarter.
- 2) Categories with the highest inflows were Sectoral/Thematic funds, Multi Cap and Multi Asset Allocation funds.
- 3) Moving on to SIP - Investments via the SIP route further increased, with the SIP contribution for the quarter being INR 714 bn, up 52% YoY and 14% QoQ.
- 4) Monthly SIP flows in Sep-2024 stood at INR 245 bn, which was another all-time high.
- 5) The Fixed Income category i.e. (debt + liquid), witnessed a net inflow of INR 507 bn which was lower on a QoQ basis.
- 6) The ETF category had a net inflow of INR 204 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry

increased to 50.1 mn i.e., an increase of 2.4% YoY .

Now moving to o

ur business performance :

1) We closed the quarter with total assets under management of INR 6.54 trillion . This includes Mutual Funds, Managed Accounts and Offshore Funds.

2) Our Mutual Fund QAAUM grew 14% QoQ & 57% YoY to reach INR 5.49 trillion . This made us the fastest growing AMC among the Top -5 AMCs

Q2 FY25 Earnings Call

Page 4 of 20

Data Classification: Public

over a 6 month, 1 year and 3 year time frame . We also had the highest increase in QAAUM market share on a YoY basis among all AMCs .

I would now like to share a few key highlights for the quarter:

1) Starting with market share - Our market share increased 9 bps QoQ and 83 bps YoY to 8.29% with market share increases across most asset categories . This is the sixth successive quarter of market share increase that we have witnessed.

2) Our Equity market share also continues to improve . It increased by 8 bps QoQ and 43 bps YoY to 6.96%. This is our highest Equity market share post Dec-2020.

3) The share of Equity AUM in our overall AUM continued to increase and stood at 51.1% for Q 2 FY25, up from 49.8% as of Q 1 FY25.

4) We achieved a high single -digit market share in net sales in the Equity + Hybrid segment in Q 2 FY25. However, excluding NFOs our market share would be in double digits.

5) We continue to have the largest base in the Mutual Fund industry, with 18.9 mn unique investors . We are humbled to have over 1 in 3 mutual fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book :

1) I am happy to share that there has been a continued uptick in our systematic flows over the last 13 quarters , which has led to an increase in market share.

2) SIP market share increased by 52 bps to 9.88% over June 2024 to September 2024. This also represents an increase of 385 bps over March 2023 when our SIP market share was ~6%.

3) Our monthly systematic book rose by 22% QoQ and 81% YoY to INR 31.4 bn for September 2024. This resulted in an annualized systematic book of INR 376 bn.

I would now like to update you on the increase in headcount witnessed in the quarter:

1) Our employee headcount increased by ~85 employees in Q2 FY25.

2) As stated on the previous call, we had inducted ~55 management trainees in July-2024.

Q2 FY25 Earnings Call

Page 5 of 20

Data Classification: Public

3) As AIF remains an important focus area for us, we have also added resources on this front.

4) We will continue to invest in our future growth , including talent, technology, and other areas.

Moving on briefly to the ETF Segment:

1) We continue to be one of the largest ETF players with AUM of INR 1.48 trillion and a market share of 18.2% (which increased by 37 bps QoQ and 414 bps YoY ).

2) Our share in the industry's ETF folios is 57%. We have 56% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry .

3) Further, our Gold ETF, is the 11th largest Passive Gold Fund in terms of AUM globally.

4) To further augment our Passive offerings, we launched 2 New Products in the Index Funds Category in the quarter, namely the Nippon India Nifty 500 Equal Weight Index Fund and Nippon India Nifty 500 Momentum 50 Index Fund.

Moving on to our digital franchise:

1) Digital purchase transactions rose to 3.97 million in Q2 FY25, up 160% YoY. Digital Business contributed 70% of the total new purchase transactions Q2 FY25.

2) ONDC is one of the major initiatives undertaken by the Government of India towards financial inclusion. NIMF was part of the first ever Mutual Fund transaction on ONDC platform that happened at the Global Fintech Fest, in August 2024.

Now, I would like to briefly update

you on our subsidiaries - namely the

AIF & Singapore subsidiaries:

1) Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have a total commitment of INR 67.7 bn across various schemes.

2) Fundraising is currently underway for our Listed Equity AIF, Performing Credit AIF, and Direct VC Fund.

Q2 FY25 Earnings Call

Page 6 of 20

Data Classification: Public

3) During the quarter we have undertaken final closing of one of our Real Estate Credit AIFs - a follow-on fund to an existing Real Estate mandate from Japanese Investors.

4) On the Offshore front - We have witnessed good equity inflows in the quarter from various international geographies. Offshore AUM grew 56% YoY to INR 172 bn.

5) Our UCITS Equity Fund has now crossed an AUM of USD 500 mn and we continue to explore new and niche offerings in the Indian Equity space for International Investors.

Now on to our Financial Performance :

- For Q2 FY25, Revenue stood at INR 5.71 bn, up 44% YoY and 13% QoQ.
- Other Income stood at INR 1.21 bn, up 55% YoY and down 8% QoQ.
- Operating Profit stood at INR 3.65 bn, up 57% YoY and 19% QoQ.
- Profit After Tax stood at INR 3.60 bn - up 47% YoY and 8% QoQ.
- The Tax component in the quarter includes a one-off impact owing to changes in tax regime post the Budget i.e., i) removal of indexation benefit on Debt Mutual Funds invested prior to March 31, 2023 and ii) increase in Short Term and Long Term Capital Gains Tax on Equity Mutual Funds.
- For H1 FY25, Operating Profit grew by 58% YoY, Profit After Tax grew by 44% YoY.
- Further, the Board of Directors has declared an Interim Dividend of INR 8.00 per share along with the Q2 FY25 results.

To conclude, I would like to again mention that we have been the fastest growing AMC over 6 months, 1 year and 3 years and we will endeavour to continue our journey of profitable growth going forward as well.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Krupanshu from Thinkwise Wealth. Please go ahead.

Q2 FY25 Earnings Call

Page 7 of 20

Data Classification: Public

Krupanshu : Yes. Sir, you mentioned that ONDC we had a first transaction. So I just wanted

to understand how is ONDC helping you and the industry at large basically?  
And if you could just speak about ONDC in general, I just wanted to understand that one thing.

Sundeep Sikka: Sure. I will request my colleague, Arpan to give some inputs on this. But I'd just like to give an initial comment. ONDC is Government of India's largest initiative equivalent to or bigger than UPI, and it will help a lot for financial inclusion in India. Our transaction is in spirit of continuous innovation that we plan to do and launch new products and try to keep exploring new avenues to reach small investors in small cities and towns. In line with that, I'll request Arpan if he wants to add anything else.

Arpan Saha: Thank you Sundeep and thank you for the question. So the Open Network for Digital Commerce is as Sundeep mentioned an initiative by the Government of India. The objective is to democratize digital commerce to reach out to the numerous sellers and buyers across the last mile in this country. Also as part of our digital strategy, we believe that in order to have inclusion of new customers for the mutual fund industry it's important to go beyond BFSI partnerships and touch upon the retail space where people have still not got etched on the mutual fund industry. And we believe that ONDC would be a great platform, which will gain a lot of momentum in the years to come.

And each and every Indian customer who would be able to invest in Nippon India Mutual

Fund along with the rest of the asset management industry, especially the huge base of B2C customers in Tier 3, 4 locations and the pin codes where internet has penetrated, but mutual fund is just starting to gather momentum. It is the right time to do that. And Nippon, in fact, was the first asset management company to partner and get an opportunity with ONDC to start the mutual fund business on this platform for the consumer. Thank you.

Krupanshu Shah: So just one follow-up on that. So are we like paying ONDC for some kind of a data analysis on that sense for those cities where we cannot have reach? Just wanted to understand that.

Arpan Saha: No, we are not in any kind of payment structure because we believe that both ONDC and Nippon have the same vision of inclusivity for the digital  
Q2 FY25 Earnings Call  
Page 8 of 20

Data Classification: Public  
commerce space, and therefore, it is important that we jointly get customers to the mutual fund for us. So that's the overall vision that we have jointly.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Congratulations on the good quarter. Sir, just 2 questions. Firstly, on the SIP flows. So we have gained about more than 50 basis points of market share on a sequential basis. I just wanted to understand, like which of the categories we are seeing a huge improvement in the SIP flows. And also you can talk -- could you talk about the different channels where we have been gaining market share?

Sundeep Sikka: So Lalit I'll request my colleague Saugata Chatterjee to answer this question.

Saugata Chatterjee: Thanks Lalit for this question. Yes. So SIP for us, like we have been mentioning in the previous calls, it's a very, very important part of our strategy. And when we are trying to acquire these SIPs from the various parts of India. We use multiple channels. For us, digital is a big channel. We also use the feet-on-street model where our mutual fund distributors, the bank and various stock broking arms, they are all -- they have all onboarded our funds. And through the retail channels, we acquire these SIPs in the market. The good part is we have a very strong franchise of beyond 30 channels who are participating in our SIP growth.

So it's a cumulative effort of digital, physical efforts which we are putting on the ground to increase the SIP book. We also do a lot of digital marketing activities using all our existing client base to enhance the SIP book as well as to ensure that multiple products are acquired through the digital channel. That's the way we are increasing our SIP book.

Lalit Deo: Sure, sir. And second, on the yield side. So our calculation suggest that revenue yields have broadly been remained stable on a QoQ basis in the standalone business. But despite the strong growth in the overall AUM. So could you give us the segment -wise yields like have you seen any pressure on the -- across different segments?

Q2 FY25 Earnings Call  
Page 9 of 20

Data Classification: Public

Amol Bilagi: Amol here. So on the yield side, because of telescope pricing at the AUM growth, I think the pressure on the yield would continue as we have been maintaining same over the call. So for the current quarter, the yield stood at around 37 basis points, a drop of around 0.5 basis point QoQ. As far as asset class wise is concerned, the yield on the equity stood at around 58 basis points. On debt, it stood around 25 basis points, on liquid around 12 basis points and on ETF around 15 basis points.

Lalit Deo: Sure. And sir, another thing was like one of our competitive peer has probably cut distribution -- has cut yields on the back book of the distributors. So going ahead, do we see any similar kind of reaction from our side just to protect our revenue yield?

Sundeep Sikka: As a process, we continue to always keep evaluating wherever there's an opportunity. As I mentioned in closing remarks, we will continue focusing on profitable growth. And as a part of that, we have it in past also, we looked at the brokerages, and we will continue doing that irrespective of what the competition does or not do. Our focus remains, while we have seen a lot of increase in our market share. But between market share, top line and bottom line, our focus has always been on bottom line.

Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: So just wanted to check on the tax that has come in. So whatever was the excess that we would have incurred because of the change from March '23 till now, we've taken all of it 2Q, and we should not expect anything higher than this coming up in the coming quarters. I'm just asking because this tax rate was a big question mark for this quarter and your tax rate and what probably your peer has reported is very different. And I understand the mix is very different and so many things could be different for the calculation of it, but I just wanted a clarification on that.

Second, I wanted to check that on the employee addition, you mentioned -- you had mentioned 55 management trainees had joined in July. And had you also mentioned about 45 new employees' addition in this financial year? So is it like there are 90 people added in FY '25? This is my second question.

Q2 FY25 Earnings Call  
Page 10 of 20

Data Classification: Public

And my third question is just something that I was wondering that on your small and mid -cap fund, so I understand that if I take Nippon small and mid -cap fund as a market share of the total small and mid -cap industry, it's been -- it dipped a little back to about 13% or so. Do we internally keep any market share limits over here or any market share limits in the non -- in the other large caps, et cetera, because there, you've significantly gained market share in the small and mid -cap equity portfolio. So do we internally keep any limits, any

ranges that we want to be in? Those are my 3 questions.

Amol Bilagi: Yes. Thanks, Shreya for the question. So I would take the tax part of it and then probably other colleagues can take the other part. So on the tax front, see, how we go about when we provide for taxes on a yearly basis, what is the effective tax rate that we foresee that is going to happen. So on that basis, what we force is the tax rate for the year is as of now tax rate forecast is 25.7% of - - roughly 26%. And that is what you will see in the half yearly results tax rate if you look at it.

So we -- that is how we posted as mentioned. So we have taken the full impact of the change in the tax rate and the indexation benefit that is 1. We have taken the full impact of that in this quarter.

Sundeep Sikka: So on the other 2 questions on the employees. We have added 130 employees in H1, 45 were added in Q1 and 85 were added in Q2. We broadly feel for this financial year, this number will not go up maybe by about another 10, 15, but we have finished our recruitment for this year. That is point number one of the employees.

Coming to the other question on the small cap and market share. We do not like to approach it like from a market share of a segment point of view. Our focus is very simple that we'll continue every fund, every category is important for us. We will ensure that we continue to deliver superior returns and let the investor decide where he wants to come rather than put individual market share targets in a subcategory. We feel that is not a very customer -centric approach. Let customers take the decision whether he wants to come based on risk appetite.

Q2 FY25 Earnings Call  
Page 11 of 20

Data Classification

n: Public

From our perspective, overall, as a portfolio, every fund remains equally important. It's not that small cap is more important than others. And as we have mentioned in the past, the inflows for us, even after we put a cap on the small cap, inflows we are seeing across the various funds. I hope this answers your question.

Shreya Shivani: Yes. That's useful. One more question, if I can add is on your managed account. That book -- okay, I'm not very sure of this, but that includes your AIF business, right, the INR825 billion?

Sundeep Sikka: Yes, that includes.

Shreya Shivani: Yes. So I was just trying to understand that book has been largely flat between June and September. So any color around that? What has happened and some color on that would be useful ?

Sundeep Sikka: So you're right, it's broadly been flat. There has been some fund raise, but there's also some maturities. There are some funds which have matured, I think, and they have seen an outflow. From our perspective, as I mentioned earlier, we are currently underway in our fund raise for our listed equity AIF, performing credit AIF and a direct venture fund .

So as you can understand unlike mutual funds, many of these things - some of these are also foreign flows they take a little time, and they are more binary. We believe we are building up a strong foundation. And even maybe in the next quarter or two also you might see it relatively flat because it will take a little time. But all I can say is this is going to be an important business for us.

Shreya Shivani: Got it. So should I interpret it as it is an account whether inflow outflow can be chunky. That bit is correct, right? If the money can come in huge amounts and then exit in huge amounts, right?



Sundeep Sikka: So there are two parts to it. I mean, definitely when you look at the offshore mandates and all, they are chunky. But I want to also clarify, what you're seeing in the managed account, a very large is the Postal Life Insurance mandate that we manage. And so that also has a reflection of mark -to-market their flows and inflows.

Q2 FY25 Earnings Call  
Page 12 of 20

Data Classification: Public

But on your bigger question on - is that AIF remains very critical for us. In fact, when I talked about recruitment also head count, as specifically mentioned we are adding a lot more senior resources in AIF business. And we're building a strong foundation for future.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Firstly, I just wanted to understand the behaviour of the customers especially coming in from the digital players like Groww, Angel One and those kind of digital customers. Is it that a lion's share comes to the top three schemes -- top rank three schemes the category and the lower schemes get a much lower share. So basically trying to understand whether the quartile -- importance of quartile is kind of receding, and the top three rank is kind of holding up better? That would be my first question?

Sundeep Sikka: I would not like to go for the customers of a particular channel, coming through ABC distribution on its digital partner. But broadly, what we have seen is digital, investors which are coming through digital are also in offline. There can be divided in 2 different categories. There are investors who are especially some of the first-time investors for whom the returns become a very, very important thing. they look at the only the returns. But what we have seen as investors mature and they try to see a longer track record of the companies, which have been -- how they have performed in different market cycles. And no two investors are the same.

So these are the investors, there will be investors who like to see funds which have a track record of 20 years. For

them, the -- some investors that could be a very important thing. For some investors, performance of the last quarter forget 1 year could also be important. So there's no single trend that we can figure out from digital channels, but one thing that you must see that works whether it is digital or offline, funds having the long -term track record and have performed through different market cycles, they tend to get away with the lion's share, irrespective in one or two quarters, you can see a little bit of slip here or there, but consistency over a long period of time is what gets rewarded.

Q2 FY25 Earnings Call  
Page 13 of 20

Data Classification: Public

Prayesh Jain: Got that. Secondly, on the international fundraising - what are the recent developments? And what are the things that you guys have planned for the next couple of years?

Sundeep Sikka: There are two parts to it. I'll break it down Japan and ex -Japan. So as a regular day-to-day basis, because of our UCITS structure, and we have come some advisory mandates globally, which keeps happening. But we've also seen a lot of interest from Japan. At this point of time, while I won't be able to give specifics. But over the next 6 to 9 months, you will see a couple of new funds, India dedicated funds getting launched in Japan, which will be managed by us.

Prayesh Jain: And Japan?

Sundeep Sikka: In next 6 to 9 months.

Prayesh Jain: So you said a couple of schemes in Japan in the next 6 to 9 months, right?

Sundeep Sikka: Yes.

Prayesh Jain: And what about ex -Japan?

Sundeep Sikka: Japan is like our home country, we're very strong there. But other than that, also there are a couple of Middle Eastern sovereign wealth funds that we are managing. We are seeing flow coming from Europe also. But in Japan, we have a distinct advantage being the home country for us. We are very bullish on that.

Prayesh Jain: Okay. And last question is on the commission structure you mentioned that you make corrective actions here and there. But is it a trend that you basically to protect the further fall in yields from here on with respect to the growth in AUM, would you want to kind of link to the commission structure to the TERs and rather protect your yield as well by not passing on -- by passing on the hit of the TER to the distributors? Is that a thought that we are working with so that our yields kind of get protected in further falling TERs because of the telescopic structure?

Sundeep Sikka: I won't get into the nitty -gritty, but my sense is you will see industry moving towards that.

Q2 FY25 Earnings Call  
Page 14 of 20

Data Classification: Public

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Congratulations on a great set of numbers. So just a couple of questions from my side. I don't know whether you've already addressed this because I missed a little bit of the call. First, is there some reduction in Q -o-Q equity yields? And I just wanted to get a sense of what is driving that? And if you could also give your segment -wise yield, that would be useful.

Second, what is driving such a strong other income? And third, even if I adjust your tax amount by the INR 29.5 crores of that deferred tax liability, our tax rate for the quarter is still quite low. So what is happening there? If you could help us with that.

Sundeep Sikka: Madhukar, I'll request Parag and Amol to take this question.

Parag Joglekar: So Madhukar, I think, Amol covered the realization which we have. So there is a slight drop because due to the telescopic pricing in equity, it has dropped to from 60-odd to 58 around. And so that is there. So as telescopic pricing, there will be some more movement in the yields will happen on equity. Debt remained

in the range of around 24, 25 basis and liquid remain in the range of around 12 basis.

Madhukar Ladha: Got it.

Amol Bilagi: Yes. On the other income front, Madhukar, it is more due to mark -to-market. There's nothing -- anything one -off or something like that. It is clearly mark -to-market. It is on the investment that we have in the mutual fund equity debt scheme.

Madhukar Ladha: That's why the tax rate is low because...

Amol Bilagi: Yes. Tax definitely the higher the other income, it would have a positively impact on the overall tax rate.

Q2 FY25 Earnings Call  
Page 15 of 20

Data Classification: Public

Moderator: Thank you. The next question is from the line of Darshan Shah from Multi -Act Equity. Please go ahead.

Darshan Shah: My question is on the commission rationalization part. So on what percentage of AUM have you rationalized the commission? And have we seen the full impact in this quarter?

Saugata Chatterjee: Yes. Darshan, this is Saugata. So commission rationalization, like we have mentioned in our earlier calls. So we had done in our small -cap fund, which was the largest fund of ours. We have done the entire -- on the book, the commission rationalization was done, which continues to fall in place because we have now set up a system whereas per the T ER movement, the commercials keep going down in case of small cap fund. The similar logic has been applied to all the new businesses which come in all the funds.

So depending on the telescopic pricing, the new brokerage structure on the new flows continues to move in that direction. So we are technically, it's a pass-through what is happening at this point in time.

Darshan Shah: But there is no change in the back book commission side, except for the small cap fund?

Saugata Chatterjee: On the entire book, of course, it was the small -cap fund, and we are evaluating. As you progress, we will definitely keep assessing opportunities to look at the entire book on certain funds.

Moderator: Thank you. The next question is from the line of Santosh Keshri from SKK HUF. Please go ahead.

Santosh Keshri: Actually, a few queries from the financials. Like, I can see that our revenue QoQ went up by 13%, whereas the PBT is up only by 10.78%. Now in this kind of business, the operating metrics is more in favour of the business, it should not -- it should be more than the percentage of revenue that it went up by. So may I know the reason? Is this because of ESOP cost?

Q2 FY25 Earnings Call  
Page 16 of 20

Data Classification: Public

Amol Bilagi: So if you look at it -- you're right, the revenue from operation has gone over 13%, but the other income is down 8%. So that is also having an impact on the PBT level. So that's why the PBT is up by 11%.

Santosh Keshri: Okay. And what is the impact of ESOP cost in this quarter? And how long it will continue if you can just give full numbers?

Amol Bilagi: So the ESOP for the quarter, it would be around INR 11-12 crores. And for this year, as we have maintained that for this year, the ESOP hit on account of the ESOP granted would be around in the range of INR 42-45 crores.

Santosh Keshri: And second thing is from the business point of view, I guess we haven't launched any new ETF or new fund for fund for subscription by the investors. But even then, we can see that the fees and commission line is going up, like we have seen an increase of almost 7% QoQ and 23% YoY. So what's the reason that the fees and commission will go up while we are not launching any new fund?

Sundeep Sikka: So Santosh this is not only for the mutual fund, but also on the AIF side. That is why there is a slight increase on the fees and commission.

Santosh Keshri: What you're seeing is a consolidated basis.

Sundeep Sikka: Yes, not mutual fund.

Santosh Ke

shri: And any reason, sir, we are not launching new funds because our competition is launching new funds, and they are collecting money in buckets. And most of the subscriptions are hugely successful, a lot of funds are coming in and their profits are also -- even though they are quite large, their profits are much more appreciating QoQ increment is much more than us. So any reason we're averse to launching new funds?

Sundeep Sikka: So Santosh, I think, as we have mentioned in the past, we would not like to launch multiple NFOs. We like to focus scaling up our existing schemes, and wherever we have good performance, continue creating wealth for investors and scale it up. We do not believe in launching NFOs which is more asset gathering strategy. From our point of view, the two principles guide us.

Q2 FY25 Earnings Call

Page 17 of 20

Data Classification: Public

Number one is to create wealth for investors, we focus on the existing schemes. And for the shareholders, the focus will be on profitable growth. So we do not want to be distracted by short-term increase in AUM, which comes with NFOs, which may or may not be sticky or sustainable from long-term point of view.

Santosh Keshri: Okay. So that's the biggest call we have taken.

Saugata Chatterjee: And also Santosh. Just a reference point should be that our net sales growth is very consistent over the last 1 year, month-on-month. So we don't get impacted by these NFOs, because there's a lot of churn money which keeps coming in NFOs. We are looking at fresh flows which keeps giving us growth.

Sundeep Sikka: So what you should see is basically our SIP book has almost doubled. And the market share has doubled in last 3, 4 years. And we believe it is slow growth, but consistent and stable growth.

Moderator: Thank you. The next question is from the line of Amit Gupta, an Individual Investor. Please go ahead.

Amit Gupta: Most of the questions have been answered. But one question which I've been looking to ask is like we are the leading player in the ETF and ETF segment. But we are not launching any innovative products like triple ETF, triple leverage ETFs, which are like in U.S.? Are we not allowed to do launch such ETFs in India, or we have not pushed those to -- SEBI to introduce such ETFs India?

Sundeep Sikka: Mr. Amit, broadly, we continue, like we mentioned in the opening address, we launched two new products this time in this quarter, which was Nippon India Nifty 500 Equal Weight and Nippon India 500 Momentum 50 Index Fund. Some of these are industry first. We continue evaluating various products. Some of the products that you mentioned right now, some are not allowed by the regulator and some we have a very strong view. Overall, we like to launch products such as simple and easy for investors to understand.

We do not want to get into complex products, which basically is difficult for investors to understand. And while in the short-term, they look very exciting. But from a long-term point of view, they may or may not be good for investor.

Q2 FY25 Earnings Call

Page 18 of 20

Data Classification: Public

But we'll continue evaluating. I would also like to share with you our ETF and passive product suite is one of the largest in the industry. And this also gets reflected in the number of investors and the total market share we have.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: I just have one number question. What would be your realizations or yields in the pension in the offshore business?

Amol Bilagi : Generally, we don't give out that number. So it would be in the range -- actually you see on the government , it will be on the lower side, but on the AI F and other businesses it could be in the range of 0.5 %

to 1.5 %.

Abhijeet Sakhare: Got it. And just one more, if you can share any outlook on expense growth for the next 6 to 12 months?

Sundeep Sikka: So Abhijeet, the expense growth we are looking at except ESOP should be in the range of around 15 %-odd that should be the outlook we are looking at.

Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Congrats on the quarter. So two questions from my side. One is a slightly broader question. I mean also according to the industry, I mean, not only you guys, but last 2 -odd years we have seen elevated commissions, elevated payouts which is sort of normalizing right across some of the AMCs . So could this trend continue for 1.5, 2 years? I mean, how should we look at it? That's number one?

And secondly, what would be the impact on net sales overall for the industry and especially for the players that are doing well?

Sundeep Sikka: So it will be very difficult to answer it for the industry. But one thing is very clear. If you were to see in any industry, there will be different players depending on what the Board and the shareholder s guide, whether you want to work for top line or bottom line. What you are seeing is basically -- I mean Q2 FY25 Earnings Call  
Page 19 of 20

Data Classification: Public  
there will be industry players who will continue to pay higher commissions for whom the market share is more important. As over multiple quarters and including the address earlier I mentioned, as a company we will focus on growth, but it will be profitable growth.

While we have seen market share go up, but if ever it's a question between market top line and bottom line, it will be the bottom line that will guide us. So for us that will be the guiding principle.

Gaurav Jani: So, Sundeep, what I understand is certain amount of flows can be compromised?

Sundeep Sikka: If it's incremental, they do not add to the profitability, yes, we will.

Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Congratulations on a great set of numbers. I just had one question regarding the filing that we had done last month in which we spoke about investments made by erstwhile promoters. So has there been any measurable progress on that front?

Sundeep Sikka: We continue working with the regulator. There's no new update. the last update, which has been informed to the stock exchanges, there's no further update after that. And if there is any, I think, we'll keep you informed.

Moderator: Thank you. The next question is from the line of Jatin, an individual investor. Please go ahead.

Jatin: My question is like whether Nippon India Mutual Fund will look to expand in other verticals like health insurance or life insurance in near future?

Sundeep Sikka: So, Jatin as mentioned earlier, our focus will remain on profitable growth within the regulatory framework that we can do. As per Section 24, we can

only continue focusing on asset management businesses. So we will continue focusing and expanding our businesses and continuously evaluate both growing organically and acquiring any business that is related to asset management.  
Q2 FY25 Earnings Call  
Page 20 of 20

Data Classification: Public  
management. And as when there is anything further update, we'll be in touch with you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for their closing comments.

Sundeep Sikka: So thank you very much. As mentioned earlier, the management team will continue focusing on profitable growth. Thank you very much and wishing all of you very Happy Diwali.

Moderator: On behalf of InCred Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Jan 2025

January 27, 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort, Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor, Plot No. C/1,  
G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),  
Sub.: Transcript of the earnings conference call for the quarter ended December 31, 2024  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter  
ended December 31, 2024, conducted after the meeting of Board of Directors held on January 23,  
2025 , for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference- Call-Transcript -for-Q3-FY-2025.pdf>  
Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 21  
Data Classification: Public

Nippon Life India Asset Management Limited  
Q3 FY2025 Earnings Conference Call

January 23, 2025

### MANAGEMENT :

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. JIGNESH SHIAL – INCRED EQUITIES

Q3 FY25 Earnings Call  
Page 2 of 21

Data Classification: Public

Moderator: Ladies and gentlemen , good day and welcome to Nippon Life Asset Management Q3 FY '25 Earnings Conference Call hosted by InCred Equities.  
As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you, sir.

Jignesh Shial: Yes. Thanks, Manav and good evening, everyone. On behalf of InCred Equities, I welcome all to Nippon Life India Asset Management, Q3 FY '25 Earnings Conference Call. We have along with us, Mr. Sundeep Sikka, Executive Director and CEO and the senior management team of Nippon Life India Asset Management. We are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep Sikka, Executive Director and CEO of Nippon Life India Asset Management for his opening remarks. Over to you, sir.

Sundeep Sikka: Thanks, Jignesh. Good evening and welcome to our Q3 FY25 earnings conference call. We have with us, Chief Financial Officer – Parag Joglekar, Chief Business Officer - Saugata Chatterjee, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance in the quarter and post that I will hand -over to Parag, to speak in greater detail on the recent Industry trends as well as our performance, post which we will move on to QnA.

Coming to the Key Highlights:

1. I would like to start by mentioning that as of Q3 FY25, NAM India was the fastest growing AMC among the Top -10 AMCs on a YTD basis, as well as over a 1, 2 year and 3 year period.
2. This led to a continued increase in our Overall AUM & Equity AUM market share.

Q3 FY25 Earnings Call

Page 3 of 21

Data Classification: Public

3. Further, our Equity Net Sales market share and SIP market share remained well above our Equity AUM market share.
4. We achieved a high -single digit market share in terms of Equity Net Sales, while our SIP market share moved into double -digits in the quarter.
5. Further NAM India has achieved its highest ever quarterly Operating Profit at INR 3.76 bn.
6. I would also like to share that; Nippon Life India Asset Management Ltd. has set up a branch in GIFT City and has taken a Fund Management Entity (FME) license to manage funds.
7. The first GIFT fund - Nippon India Large Cap Fund GIFT was launched in Jan -2025. This feeder fund will invest in our existing large cap mutual fund which has a long and proven track record.
8. More fund launches are in the pipeline and will likely happen later during the calendar year.
9. Lastly, to conclude my comments, I would like to state that we will endeavour to continue our journey of profitable growth going forward, including the scaling -up of our non -MF businesses.

Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar : Thank you, Sundeep and good evening to everybody.

Let me start off with the markets:

Equity markets in Q3 FY25 witnessed a drop from prior quarter levels. The NIFTY declined by 8.4% QoQ, while the NIFTY Mid & Small Cap indices declined by 5.2% & 3.6%, respectively. RBI held the repo -rate steady at 6.50%, while the 10 Year G -Sec yield increased marginally by 1 bp QoQ to 6.76%.



Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 3.6% QoQ and 39% YoY in Q3 FY25 to INR 68.6 trillion.
2. The share of Equity i

n overall AUM remained relatively flat QoQ, ending at 60.8% for Q3 FY25.

Now, moving to Industry flows:

Q3 FY25 Earnings Call

Page 4 of 21

Data Classification: Public

1. The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.53 trillion and a net inflow of INR 1.39 trillion. Gross inflows were lower QoQ, however net inflows were higher for a sixth successive quarter.
2. Categories with the highest inflows were Sectoral/Thematic funds, Multi Cap and Flexi Cap funds.
3. Moving on to SIP - Investments via the SIP route further increased, with the SIP contribution for the quarter being INR 771 bn, up 49% YoY and 8% QoQ.
4. Monthly SIP flows in Dec -2024 stood at INR 265 bn, which was another all -time high.
5. The Fixed Income category i.e. (Debt + Liquid), witnessed a net inflow of INR 438 bn which was lower on a QoQ basis.
6. The ETF category had a net inflow of INR 143 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 52.6 mn i.e., an increase of 25% YoY.

Now moving to our business performance:

1. We closed the quarter with total assets under management of INR 6.56 trillion. This includes Mutual Funds, Managed Accounts and Offshore Funds.
2. Our Mutual Fund QAAUM grew 3.8% QoQ & 51% YoY to reach INR 5.70 trillion. We had the highest increase in QAAUM market share on a YoY basis among all AMCs.

I would now like to share a few key highlights for the quarter:

1. Starting with market share - Our market share increased 1 bp QoQ and 63 bps YoY to 8.31%. This is the seventh successive quarter of market share increase that we have witnessed.
2. Our Equity market share also continues to improve. It increased by 3 bps QoQ and 31 bps YoY to 6.99%. This is our highest Equity market share post Dec -2020.
3. The share of Equity AUM in our overall AUM was flat QoQ at 51.1% for Q3 FY25.

Q3 FY25 Earnings Call

Page 5 of 21

Data Classification: Public

4. We achieved a high single -digit market share in net sales in the Equity + Hybrid segment in Q3 FY25. However, excluding NFOs our market share would be in double digits.
5. We continue to have the largest base in the Mutual Fund industry, with 20.0 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book:

1. I am happy to share that there has been a continued uptick in our systematic flows over the last 14 quarters, which has led to an increase in market share.
2. SIP market share increased by 12 bps to 10.00% over September 2024 to December 2024. This also represents an increase of 396 bps over

March 2023 when our SIP market share was ~6%.

3. Our monthly systematic book rose by 7% QoQ and 60% YoY to INR 33.6 bn for December 2024. This resulted in an annualized systematic book of INR 404 bn.

Moving on briefly to the ETF Segment:

1. We continue to be one of the largest ETF players with AUM of INR 1.50 trillion and a market share of 18.14% (which increased by 278 bps YoY).
2. Our share in the industry's ETF folios is 55%. We also have 55% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.
3. To further augment our Passive offerings, we launched 2 New Products in the Index Funds Category in the quarter, namely the Nippon India Nifty Realty Index Fund and Nippon India Nifty Auto Index Fund.

Moving on to our digital franchise:

1. Digital purchase transactions rose to 4.08 million in Q3 FY25, up 141% YoY. Digital Business contributed 73% of the total new purchase transactions Q3 FY25.

Q3 FY25 Earnings Call

Page 6 of 21

Data Classification: Public

2. We are delighted to announce a groundbreaking feature on our Mutual Fund Android App - Voice Integration - aimed at making investing

easier, inclusive, and empowering for all. This feature has been thoughtfully designed to enable seamless transactions through voice commands, introducing the power of conversational commerce to redefine how investors interact. With this innovation, every investor, including differently abled individuals, can experience independence and ease in managing their investments.

Now, I would like to briefly update you on our subsidiaries - namely the AIF & Singapore subsidiaries:

1. Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have a total commitment of INR 69.8 bn across various schemes.
2. Fundraising is currently underway for our Listed Equity AIF, Performing Credit AIF, and Direct VC Fund.
3. Fund deployment across all the strategies was robust in Q3 FY25, with 5 active investments in Performing Credit, and full deployment in our Tech/VC FoF.
4. The team has been strengthened across functions which positions us well for future growth.
5. On the Offshore front - We continued to witness good equity inflows in the quarter from various international geographies. Offshore AUM grew 34% YoY to INR 167 bn with our UCITS Equity Fund reaching an AUM of ~USD 530 mn.
6. We continue to expand our footprint in the Japanese Institutional space in conjunction with Nissay Asset Management, Japan.
7. A new offering in the Indian Mid & Small Cap space, which has been our forte in the domestic market, has now been made available to international investors, providing additional options for the investors to invest into Indian Equities.
8. We continue to work with Nissay Asset Management, Japan on this new offering and market it in the Japanese retail space.

Q3 FY25 Earnings Call

Page 7 of 21

Data Classification: Public

Now on to our Financial Performance:

1. For Q3 FY25, Revenue stood at INR 5.88 bn, up 39% YoY and 3% QoQ.
2. Other Income stood at INR 0.15 bn, down 86% YoY and 87% QoQ.
3. Movement in Other Income was on account of Mark To Market impact on the Investment Book and was impacted by adverse capital market movement during the quarter.
4. Operating Expenses stood at INR 2.12 bn, up 23% YoY and 3% QoQ.
5. Excluding the impact of ESOPs, Operating Expenses grew 17% YoY for Q3 and 19% YoY for 9M FY25 - driven mainly by investments in talent, non -MF businesses and technology infrastructure.
6. Operating Profit stood at INR 3.76 bn, up 50% YoY and 3% QoQ.
7. Profit After Tax stood at INR 2.95 bn - up 4% YoY and down 18% QoQ.
8. For 9M FY25, Operating Profit grew by 55% YoY, Profit After Tax grew by 29% YoY.

We would also like to mention that we have rationalized distribution costs for existing AUM in our Large Cap & Multi Cap schemes in the quarter, which have a combined AUM of approximately INR 760 bn, while also moving to a proportionate sharing model on these schemes going forward. We will continue evaluating opportunities for similar rationalization in other schemes as well.

With this, I would like to conclude my remarks and open the floor for questions .

Moderator: Thank you very much. We will now begin the question and answer session. We have a first question from the line of Swarnabh a Mukherjee from B&K Securities. Please go ahead.

Swarnabh a Mukherjee: Hi sir. Thank you for the opportunity and c ongrats on a great set of numbers. Three questions from my side. Firstly, I wanted to understand in this first few days of this quarter, how are you seeing in te rms of flows spanning out in your organization? Is there any kind of pressure coming because of the market performance?

Q3 FY25 Earnings Call  
Page 8 of 21

Data Classification: Public

So just wanted to understand how the flows are panning out. Of course, in December, we have seen that the SIP flow numbe rs are very steady for you guys, it has in fact increased QoQ , but I wanted to get that co

lor for January.

So sir that would be my first question. Second is if you could elaborate a little bit on the rationalization that you have done the propo rtional sharing how it has impact on the yields for the equity segment?

And when exactly in t he quarter, you have done that a nd should we expect some favorable impact on the yields in the coming quarter as well? And thirdly, sir, in terms of the other expenses, so just wanted to understand that given the market movement and maybe near term the equity even growth might not be like what we have seen in the earlier quarters. How should we read the other expenses numb er going forward?

Should we be planning to curtail on our vari able expenses? So these are my three questions. And also if you could also share the yields of the different asset classes that would be very helpful?

Parag Joglekar : Sure, Swarnabh a. So thank you for the question. I'll take the other expenses question first and then I will hand it over to Saugata for the clos ing question. So other expenses, there is slightly an increase mainly due to the investment which we have done in technology and our AIF business. But our endeavour

is to keep the overall expenses ex of ESOP in the range of around 15% to 16% to 17% range only.

That is our endeavour over going forward and futuristic also. So that is the one. And on the yield question, the equity yield in the range of around 57 basis, the debt yield is in the range of around 25 basis, liquid remain s more or less 10 to 12 basis flattish. ETF is 15 basis and the blended yield is 37 basis.

Saugata Chhaterjee : On the flows side, at least the early trends in the month of January does not indicate any sort of distortion. We are more or less at par with the December numbers, b ut we'll wait and see how it goes, how the behavior of the SIP and the HNI investors come in as we go ahead from here on because the trends are quite volatile, but initial trends do not indicate any major shift of flows from a December comparison.

Q3 FY25 Earnings Call  
Page 9 of 21

Data Classification: Public

Sundeep Sikka : The only thing I'd like to also add is that whenever we have seen in past markets are volatile, it is the HNI flows which slow down. The retail and SIPs, they continue to add stability. So we do not expect unless and until it is a very prolonged 12 months to 18 months kind of a volatility continues from here. We do not expect the retail SIPs to slowdown.

Parag Joglekar : And Swarnabh a on the rationalization question you asked. So, yes, we have recently done in almost fag end of the quarter. So the impact may not be seen in the current quarter. There will be some impact going forward. But on the overall AUM, it will be very flattish on miniscule. And going forward, it will help us to a certain extent to streamline the yield. That is the only thing I can comment.

Swarnabh a Mukherjee: Sir, the proportional sharing method would that imply that it will allow you to consistently pass on the reduction in tier on the back book going forward?

Sundeep Sikka : Yes, your understanding is correct.

Swarnabh a Mukherjee: So does that mean that should the equity yield dilution that we have seen so far would be at a lower level than what we have seen like -- maybe we remaining in this mid -50s kind of a number, even if the AUM growth is there? Would that be a fair estimation?

Sundeep Sikka : I think we won't like to be able to give the number, but as we said directionally that's the objective of the proportionate sharing.

Swarnabh a Mukherjee: Right sir. Understood. Very helpful. Thank you so much and all the best.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Sir, just on this extending the point on the adjustments that you've done to the commissions. And so -- why did this chose thes

e two schemes and why not some of the other large schemes like a small cap, probably it has one of the largest AU Ms. So why not on that as well o r do you think that you're probably going down the road, you would start doing it for the entire space. Are there  
Q3 FY25 Earnings Call  
Page 10 of 21

Data Classification: Public

any initial signs where the distributors have kind of raised some concerns around it a nd whether the entire industry is kind of moving towards it?

Sundeep Sikka : I'll take the second part of the question . I will not be able to comment on behalf of the industry because as mentioned many times in the past, every company shareholders will have a different objective. From our point of view profitable

growth is the key, which is point number one. You have question, why scheme A, why not scheme B? I think the way you should see small cap has already been done.

Large cap and Multi cap have been done now. All the three schemes put together; the average AUM is about 45% to 50%. So directionally, you can understand which way we are going.

Prayesh Jain : Got that. Sir, second question was on the SIP closures and the SIP run rate that people have been and media has been alluding to the number of SIP closures are going up significantly in the past couple of months. Whether that is reflective of the kind of growth we saw 3 years ago when there's like some -- Zerodha Growth, Angel One kind of -- right now started their mutual fund operations and started scaling up. Is that kind of tenure closure that's happening or what is the kind of trajectory we should be seeing here now?

Saugata Chatterjee : So Prayesh, Industry has seen a higher percentage of discontinuation in the month of December which is around 70s in the mid -70s. But what happens these are again cyclical stuff. We'll have to keep seeing like Sundeep mentioned, we have seen in the past the SIP customer of the past and in the last 2 years , 3 years are more resilient.

Hopefully, these percentages may not be the norm as we go ahead. In our case, we have percentage discontinuation is much lesser than the industry numbers. So which again shows that if we have been able to get to more retail customers, more fragmented customers, that's our business model. We have better retention in our SIP book. We'll have to wait and see how it goes, but our SIP behavior should be much better than the industry behavior.

Q3 FY25 Earnings Call  
Page 11 of 21

Data Classification: Public

Sundeep Sikka : But the past trend whenever there's a volatility tells us, higher the ticket size of SIP I mean they are the ones they get discontinued, more retail you have the better it is , they are more sticky.

Prayesh Jain : Okay. Got that. And the other bit and the last question is on the international business. Any thoughts that you can share as to what is your 3 -year kind of targets or any aspirations in terms of AUM size and revenue potential out of that business that can accrue to the company?

Sundeep Sikka : As we have mentioned in the past also, widely the focus for the company has been to raise more offshore money. But the last 4 years , 5 years, it was important for us to consolidate our position on the mutual fund side and that was where a lot of energies were put. With the mutual fund business doing well now market share increasing.

At this time, we are working closely with Nippon Life Japan, Nissay Asset Management Japan and other associate companies of Nippon across the globe. It will be difficult for us to give a number. But all I can say is at this point of time, we are more positive than ever before because a lot of funds are getting launched, a lot of dialogues are on. And as and when we have more numbers to report, we'll keep coming to you. But directionally, you can expect more positive flows come into an addition top line and bottom line.

Prayesh Jain:

Great. Thank you so much. That helps and all the best.

Moderator: Thank you. We have our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi, thank you for taking my question. Sir most of my questions have been answered. I just have one question on the other income. So we've seen a very sharp drop in other income, but when I look at your exposure to equities that's much lower. So, for example, it's at about INR500 crores of a total book of

INR3,300 crores. So can you give a little bit of color on the breakup of this mark -to-market movement? How much of it is equity and debt, if you have that split?

Q3 FY25 Earnings Call  
Page 12 of 21

Data Classification: Public

Parag Joglekar : So Madhukar, I will just give you the broader picture. So basically , we have our alternate asset business also, where we have to put a lot of money in the seed capital of the schemes which we have launched, which is mainly in category 3, which are all equity schemes. And there we invest in listed equity. So there we have seen a lot of movement because there the majority money goes in equity. And in the NAM side, whatever seed capital requirement which we have to do, which we have done, which has some impact due to mark -to-market losses on the equity in the market.

Madhukar Ladha: But this is largely only driven by equity?

Sundeep Sikka : Yes, largely equity in AIF.

Parag Joglekar : And it is getting bit impacted in the consolidated.

Sundeep Sikka: Yes.

Madhukar Ladha: Understood. Got it. All the best.

Moderator: Thank you. We have our next question from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal : Thanks for the opportunity. First thing I wanted to ask in terms of the total number of branches, while we have seen your competition opening a little -- lot more branches. We are not very keen on that side in terms of expansion. So just wanted to know your thoughts in terms of the next 10 months to 12 months are you intending to expand?

Sundeep Sikka : So just from our perspective , I don't think you'll see us opening substantial number of branches. There could be -- even if it is, it will not be like competition. We believe in increasing the efficiency of the existing branches, we already have a big number of the largest network. And we believe leveraging technology to get more efficiency from both physically as well as online and offline part of our business. So we will not -- we do not intend to open multiple branches.

Q3 FY25 Earnings Call  
Page 13 of 21

Data Classification: Public

Mohit Mangal : Okay. Got it. And in terms of the product pipeline, I mean, you told they have launched a couple of the things in the passive side are now say going next two to three quarters, do you have any product pipeline?

Sundeep Sikka : So we'll continue launching some as mentioned in the last few quarterly calls, we will continue launching a few schemes in our passive business. Having said that, we have taken an internal view that we will not be launching any active mega NFOs. Broadly, the strategy of the company will be to keep launching funds, have them build up a track record and gradually let business come.

We believe NFOs distract the company and impact the overall flows, which are much more stable. So we'll continue focusing on ongoing sales, SIPs, only new launches that you will see will be in our passive. And even if there is a scope for us to launch a scheme in active, we will not go for mega NFO.

Mohit Mangal : All right. Got it. Just one clarification that we continue to maintain double - digit market share in the equity and hybrid schemes in the flows segment?

Sundeep Sikka : Yes – double -digit ex of NFOs .

Mohit Mangal: All right. Thank you and wish you all the best.

Moderator: Thank you. We have our next question from th

e line of Manas Agrawal from  
Sanford C. Bernstein. Please go ahead.

Manas Agrawal: Yes, I had two questions. One , is can you help us understand , what is the management fee or expense ratio for the GIFT feeder fund. What I want to understand is, is pricing better at a consol e level for the entity if money comes in from this route?

Sundeep Sikka : It's going to be feeding into the existing fund. So it's more to do with the volumes. It gives us an access to international investors to invest. So a certain set of investors who could not invest or it was not easy for them to invest, they will have access to come into large cap fund, b ut the pricing of the underlying remains the same.

Q3 FY25 Earnings Call  
Page 14 of 21

Data Classification: Public

Manas Agrawal : Underlying is same. O kay, understood. The other thing I wanted to understand is this year, industry flows from mainly households into active equity trending 2x of previous year? Now a lot of this is lump sum, I understand, b ut how should one think about growth in flows from here because markets have also cooled down. I wanted some understanding on that, how you are thinking or how the industry would think about this?

Sundeep Sikka : I wish I had the answer for that. I cannot predict future how things will be. But from our point of view what the way we see it is, over the last 5 years, you are seeing a very strong focus on SIPs. We strongly believe lump sum will always get impacted whenever the markets are volatile, to the extent our SIP market share has gone up from ~5% to 10% in the last 24 months and is moving up faster.

So which gives us a cushion, even if the markets were to slow down or the incremental flows were to slow down. So from our point of view, it will be more qualitative growth. We will not be worried too much about lump sum. But for sure, we are a part of the industry. If markets turn volatile or negative, it definitely impacts the sentiment and there could be a slowdown compared to where the flows have been coming down.

Manas Agrawal: Understood. Thank you , sir.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good evening. See t he first question is again coming back to the commission cuts. Is it possible to give an indication of what would be the basis point impact on the opening book for these two schemes starting 4Q?

Parag Joglekar : So Abhijeet, it's very difficult to specifically mention on that, but the idea that the slowdown in the overall yield should have some reduction. That is the idea because we keep on getting new flows and the AUM keep s on growing. So it is difficult to mention on it, b ut overall basis it will be very small because the overall impact will be not much on the overall equity yields.

Sundeep Sikka : So Abhijeet, what it shows is the direction in which we are going.  
Q3 FY25 Earnings Call  
Page 15 of 21

Data Classification: Public

Abhijeet Sakhare: Got it. So the way to look at it would be that because these schemes are

gathering a lot of flows. So instead of the usual decline in yields, you would probably target the yields to remain flat over the next few quarters?

Sundeep Sikka : So the idea is basically to slow down the pace of the fall in yields basically.

Abhijeet Sakhare: Got it. And then again sorry, sticking to the same point. So now you have kind of cut commissions on large cap, small and multi -cap like these would be the three largest schemes for you? And then in your initial remarks, you mentioned that you would look at continuing some of these measures going ahead. So would you look at these same set of schemes because any commission cuts elsewhere probably would not have a similar impact?

Sundeep Sikka : The team continues evaluating depending on the market conditions, situations, and t

he environment. So it will be difficult to give us an answer. But directionally we will keep rationalizing and be conscious that the fall is arrested.

Abhijeet Sakhare: Got it. And second question was it possible to give the number for ESOP costs in 3Q?

Amol Bilagi : INR 11 crores. Overall 9 months is INR 31-odd crores.

Abhijeet Sakhare: Got it. And Parag sir your guidance on opex, you stripped out ESOP. So I just wanted to ensure if there is anything to look forward to over the next 12 months that could move the overall opex line beyond that 17% number you mentioned?

Parag Joglekar: I don't see anything specific. But obviously, as I mentioned earlier that we will keep on investing in technology and other things. And we will keep on investing in our alternate business and other subsidiaries. So that we will keep on doing. But there is nothing specific we can see.

Abhijeet Sakhare: Got it. Thank you so much.

Moderator: Thank you. We have our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.  
Q3 FY25 Earnings Call  
Page 16 of 21

Data Classification: Public

Madhukar Ladha : Thank you for taking my question again. So just coming back to the distributor commission rationalization. So 50% of the AUM has been done. Now do you envisage that the other 50% will also be sort of -- you will also be taking measures on that over the next few quarters. Could you give some outlook on that? Yes, that's the only thing?

Sundeep Sikka : So Madhukar, at this point of time, we may not have specifics to share, but whether the reduction will continue in the existing schemes or we'll extend it to all other schemes. As I mentioned earlier, we'll continue evaluating. But the guidance that we are giving is the directional approach is that we'll try to arrest the downfall that was there in yield .

Madhukar Ladha: Understood. Thank you , sir.

Moderator: Thank you. We have a question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Thank you for the opportunity again. Just on this cash balance we were at around INR 4,300 -odd crores at the end of June. Now we are at around INR 3,300 crores is primarily dividend nothing else?

Amol Bilagi : So it's on account of two factors, one is, as you rightly mentioned, dividend and another that have invested in our corporate office space. So these are the two reasons why there is a drop in the investment assets.



Prayesh Jain : Okay. And just another clarification there. When you say the AIF seed fund and all this is sitting in other assets, right? The breakup that you've given on the contribution of financial effects, the seed funds of AIF that you would have invested that would be sitting in other assets category?

Sundeep Sikka : Yes, you're right. Yes.

Prayesh Jain : So that is sitting there in other assets, right?

Sundeep Sikka : Yes.

Q3 FY25 Earnings Call  
Page 17 of 21

Data Classification: Public

Moderator: Thank you. We have our next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Thank you for the opportunity. I have -- my question is on the offshore business. So just wanted to understand if you could help us understand this book usually is not volatile, usually picks up pace and continues. I mean maybe here and there; I can see a decline. This time sequentially there's been a decline. So just trying to understand what exactly plays out in terms of book declining at this pace?

I get that you've given the mix between managed and advisory, but even there, there can be -- there is a slight bit of decline. I just want to understand what happens in this business that it can change directions at this stage?

Amol Bilagi : So the movement in the asset that you're looking at is mainly due to mark -to-market majorly getting in the flow of the assets.

Sh

reya Shivani : Okay. So this may not be reflective of lack of -- like not reflective of redemptions, more to do with mark -to-markets ?

Amol Bilagi : Yes.

Shreya Shivani : But there can be like higher redemptions also that can come through, if my understanding is correct?

Sundeep Sikka : Nobody can predict redemptions, but at this point of time for the results that we've declared, we have not seen any redemptions.

Shreya Shivani: Okay. Got it. That's useful. Thank you so much.

Moderator: Thank you. The next question is from the line of Yashodhan Nerurkar from Ionic Wealth. Please go ahead.

Yashodhan Nerurkar: Thank you so much for giving me the opportunity to have a question. So the first question that I had was on the ETF business. So we have seen a sharp scale up from, say, FY 2018 levels to 2024. As a percentage of your total AUM has

Q3 FY25 Earnings Call  
Page 18 of 21

Data Classification: Public

gone up to somewhere around 26%, 27%. And if I consider -- I mean, amongst the passives the retentions are higher than liquid funds as well. So what plans do you have in terms of scaling this part of the business as well? Because as I see -- I mean it has got a tremendous potential, you already have significant head start in terms of the volumes, in terms of the market share. So how do you see this business how lucrative is it for you? And what do you see the growth for this business?

Sundeep Sikka : So Yashodhan , broadly you're right. We have a head start. We were one of the early ones to invest into this business. And we clearly believe both active and

passive will continue to grow. There are different set of investors who will continue investing in active and in passive. Our objective is to help these clients in the center and -- whatever decision investor wants to do, whether he wants to come to active or passive, we'll try to offer the best in both to them.

Coming to future, we remain very optimistic about the passive business. And the pace that it is growing, clearly -- it's already demonstrated in the numbers. About our future plans, we clearly as mentioned earlier, we may launch certain new schemes. But one good thing about this business is if you look at globally also this business normally, the top two, three players continue commanding higher market share because of liquidity, low tracking error and various other parameters.

Unlike mutual funds, typically where an investor will invest in five to six different schemes, because in ETFs and passive the underlying is the same. We do not over diversify. So we believe we'll continue building on the head start that we have and continue building other products soon. At this point of time, we have 48 passive products. We may launch a couple of more, but this business is all about scale.

And from a more than basis points we believe with the kind of AUM that we have and the basis that we're earning, it is now adding substantially to our bottom line.

Yashodhan Nerurkar: All right. Perfect. That's helpful. And another question that I had was on the SIP discontinuation that you have faced. You already said that the discontinuation is lower than the industry. But I mean, is there any efforts taken  
Q3 FY25 Earnings Call  
Page 19 of 21

Data Classification: Public  
from your end to minimize the discontinuations or the cancellation, because I'm sure there would be people who will be pausing SIP for a month or two.

So are there any initiatives from your end that you might be reaching out to the investors and trying to somehow make sure the cancellations will go through?

Sundeep Sikka : Let me answer it in two ways. First, definitely there is an ongoing effort from the company by reaching out. We have basically created in the portfolio while we have roughly about 3 crorefolios. We try to segment investors into different categories based that artificial intelligence and data is used and a different kind of handholding, centralized handholding is done, the kind of creates better than that is one part.

But I'll go a step back a little. It's more -- it's not about what we do after we acquired the investor. The quality of sourcing depends is a very important thing. If you are trying to get investors which are more, HNI, they typically are little more volatile.

And -- but when we are sourcing, lower the SIP size, getting smaller citizen towns. We have seen these SIPs are more stable and they do not discontinue when the markets are volatile. So it's a mix of both the things, both while sourcing also as well as continuous efforts are done by the digital team.

Yashodhan Nerurkar: Okay. All right. And just a last question that I had on -- was on total AUM. So if I consider just the equity AUM, roughly half of it has contributed by just 3 to 4 schemes, the larger ones. And you said that you don't want to launch any newer schemes and your focus remains towards scaling the existing ones.

But I mean, most of the schemes that are there in equity, they are still below say INR 10,000, INR 5,000 crores of AUM. So what -- I mean, how do you intend to scale those up? And what are your plans for those schemes?

Sundeep Sikka : So you're right, a couple of schemes are below INR 10,000 crores. We do not want to aggressively push any particular scheme - that we have stayed away

from . We've seen in the industry; the thematic funds have been getting a lot of allocations. We do not want to push funds where we do not believe. We believe  
Q3 FY25 Earnings Call  
Page 20 of 21

Data Classification: Public  
majority of the investors should be in the -- vanilla products, large cap, small cap, mid cap, rather than thematic funds.

So we are in no hurry to scale up the schemes because these are niche schemes - the sectoral funds and all. We let the advisers and investors take the call. But from our perspective, what we've mentioned, we will not launch schemes.

Please read the schemes as NFOs. We may continue adding schemes, but we do not want to launch mega NFOs, which we believe the assets are not sticky.

Yashodhan Nerurkar : Right. So basically, it's going to be an approach where any investor -- so you have all the options open, so any investor that he chooses right option for him, he can go towards this. So that's the kind of thought process that you have towards the investors?

Sundeep Sikka : Perfect. You're right.

Yashodhan Nerurkar: All right. Thank you so much for that.

Moderator: Thank you. We have next question from the line of Ankit Bihani from Nomura. Please go ahead.

Ankit Bihani : Congrats on a good set of numbers. So my question is on the performance of the two top equity schemes that you have small and multi -cap, which have seen a slight softness in performance over the 6 months to 9 months. So are you seeing any slowdown of inflows into these schemes given that mutual fund distributors, while pushing their scheme, recent performance may be a 6 months or 1 -year performance becomes a selling point for them?

Saugata Chatterjee : Yes. So Ankit, I'll take this question. Our method of getting equity assets in our company has always been retail, has always been explaining to the distributors that you should look at 3 -year, 5 -year, it's not longer performance. Even if the 6 months, 9 -month performance has slightly dipped, the 3-year, 5 years makes sense.

So it's continuous education, communication, telling them about the processes, what we have built in this company. That's what probably is helping us to keep  
Q3 FY25 Earnings Call  
Page 21 of 21

Data Classification: Public  
retain the flows and moving the direction of the distraction from near term performance to long -term performance.

Ankit Bihani : So what do you mean to say is the flows are resilient in these schemes, you have not seen any slowdown?

Sundeep Sikka : Yes. broadly, your understanding is correct. One more thing I'd like to mention, this is not only about our schemes. What we've seen is the distributors and the investors have matured a lot. They understand equities 6 months , 9 months is nothing. I mean you'll always have this glitch; you're not investing in fixed income. So I don't think so they react to it the way they used to react about 5 years back or 10 years back.

So it is not only for us. Going forward you'll see schemes which have a long -term track record even if there's a blip for 6 months, 1 year, you will not see the kind of reaction what you used to see in the past, because investors are also understanding and appreciating an equity has to be a long -term view. And 3 years to 5 years is what needs to be looked at not 6 months of 1 year.

Ankit Bihani: Okay. Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Jignesh Shial for closing comments. Over to you, sir.

Jignesh Shial : Yes. Thank you, everyone. On behalf of InCred Equities, I would like to once again thank the management.

Amol Bilagi : Thank you for joining the call.

Moderator: On behalf of InCred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Apr 2025

April 30, 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended March 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended March 31, 2025, conducted after the meeting of Board of Directors held on April 28, 2025, for your information and records .

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q4-FY-2025.pdf>

Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 22 Data Classification: Public

Nippon Life India Asset Management Limited  
Q4 FY2025 Earnings Conference Call

April 28, 2025

### MANAGEMENT:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. ASHISH CHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MS. MEGHNA LUTHRA – INCRED EQUITIES

Q4 FY25 Earnings Call

Page 2 of 22

Data Classification: Public

Moderator : Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management Q4 and FY '25 Earnings Conference Call hosted by InCred Equities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Meghna Luthra from InCred Equities. Thank you and over to you, ma'am.

Meghna Luthra: Thank you and good evening, everyone. On behalf of InCred Equities, I welcome all to Nippon Life India Asset Management 4th quarter FY '25 Earnings Conference Call.

We have along with us Mr. Sundeep Sikka - Executive Director and CEO along with the Senior Management Team.

We are thankful to the Management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep Sikka for his "Opening Remarks". Over to you, sir.

Sundeep Sikka: Good evening and welcome to our Q4 FY25 earnings conference call. We have with us, Chief Financial Officer – Parag Joglekar, Chief Business Officer - Saugata Chatterjee, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand-over to Parag, to speak in greater detail on the recent industry trends as well as our performance, post which we will move on to QnA.

Q4 FY25 Earnings Call

Page 3 of 22

Data Classification: Public

Coming to the Key Highlights:

- 1) I would like to start by mentioning that NAM India is among the fastest growing AMCs in the Top -10 AMCs on a 1, 2 and 3 year basis, and we also had the highest increase in AUM market share in the industry on a 2 year basis.
- 2) Further, our Equity Net Sales market share and SIP market share both improved QoQ and remained well above our Equity AUM market share.
- 3) We achieved a high -single digit market share in terms of Equity Net Sales, while our SIP market share was >10% in March 2025.
- 4) SIP market share has effectively doubled in a span of 3 years from 5.15% in March 2022 to 10.16% in March 2025 and this should form a strong foundation for our future growth.
- 5) On the financial front, NAM India has achieved its highest ever Annual Profit After Tax at INR 12.86 bn (a growth of 16% YoY), as well as highest ever Operating Profit at INR 14.04 bn (a growth of 47% YoY).
- 6) We have a stated dividend policy to distribute 60 -90% of our profits to shareholders. For FY25, the Board of Directors have declared a Dividend Payout of INR 18.00 per share i.e., ~91% of net profit – this includes proposed Final Dividend of INR 10.00 per share.
- 7) I would also like to address a recent cyber -attack on our IT infrastructure, which we notified to the exchanges on April 10, 2025.

As a precautionary measure to prevent the spread of malware, all systems were isolated or powered down as soon as the threat alerts were received from monitoring systems.

8) All critical applications have now been restored. The fund management system was restored on next working day itself. The mobile app and website are also back to normal. During this period, customers were redirected to alternate channels which remained completely unaffected. Hence, there was minimal business impact due to this. We believe that company and investor data is fully safe and secure.

9) As mentioned in the past, we also continue to focus on our Non -MF businesses.

Q4 FY25 Earnings Call

Page 4 of 22

Data Classification

: Public

10) In-line with this, to offer Japanese investors greater access to the Indian equity markets through the NISA scheme in Japan, we launched the 'Nippon India ETF Nifty 50 BeES GIFT' Fund which will feed into Nippon India ETF Nifty 50 Bees. This launch is in collaboration with our partner Nissay Asset Management Corporation, Japan (wholly owned by Nippon Life Insurance Company), which has launched Nissay India Equity Fund in Japan to feed into this GIFT Fund.

11) This comes after our first GIFT fund - Nippon India Large Cap Fund GIFT, which we launched in Jan -2025 to provide global investors access to our flagship Large Cap Fund.

12) Our future product pipeline includes – i) Long Short Equity Fund and ii) our second Fund of Funds which shall invest in India -focused venture capital funds.

13) Lastly, on the SIF front, we have appointed industry veteran Andrew Holland as the Head – New Asset Class. We believe that this offering presents significant growth potential going forward.

14) In conclusion, I would like to state that FY25 has been another strong year for NAM India and we are hopeful of sustaining this in the years to come.

Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar : Thank you, S undeeep. Good evening , everybody.

Let me start off with the markets:

Equity markets in Q4 FY25 witnessed a drop from prior quarter levels. The NIFTY declined by 0.5% QoQ, while the NIFTY Mid & Small Cap indices declined by 9.6% & 14.9%, respectively. RBI cut the repo -rate by 25 bps to 6.25%, while the 10 Year G -Sec yield decreased by 18 bps QoQ to 6.58%. On a YoY basis, the NIFTY grew 5.3%, while the Mid & Small Cap indices grew 7.6% and 5.4%, respectively.

Q4 FY25 Earnings Call

Page 5 of 22

Data Classification: Public

Coming to data on the Mutual Fund industry:

1) Industry QAAUM grew by 24.6% YoY but declined 1.7% QoQ in Q4 FY25 to INR 67.4 trillion.

2) The share of Equity in overall AUM declined QoQ, ending at 60.0% for Q4 FY25, from 60.8% in Q3 FY25.

Now, moving to Industry flows:

1) The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.13 trillion and a net inflow of INR 1.04 trillion. Both gross and net inflows were lower QoQ.

2) Categories with the highest inflows were Sectoral/Thematic funds,

Flexi Cap and Small Cap funds.

3) Moving on to SIP - Investments via the SIP route further increased, with the SIP contribution for the quarter being INR 783 bn, up 37% YoY and 2% QoQ.

4) Monthly SIP flows in Mar -2025 stood at INR 259 bn, only 2% below the all -time high of INR 265 bn achieved in Dec -2024.

5) The Fixed Income category i.e. (Debt + Liquid), witnessed a net outflow of INR 809 bn in the quarter.

6) The ETF category had a net inflow of INR 216 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 54.2 mn i.e., an increase of 22% YoY.

Now moving to our business performance:

1) We closed the quarter with total assets under management of INR 6.54 trillion. This includes Mutual Funds, Managed Accounts, Offshore Funds and GIFT City.

2) Our Mutual Fund QAAUM grew 29.2% YoY to reach INR 5.57 trillion. We were the fastest growing AMC in the Top -10 in FY25 and had the highest increase in QAAUM market share on a 2 year basis among all AMCs.

I would now like to share a few key highlights for the quarter:

1) Starting with market share - Our market share increased 30 bps YoY to 8.26%.

Q4 FY25 Earnings Call

Page 6 of 22

Data Classification: Public

2) Our Equity market share increased by 10 bps YoY to 6.86%.

Excluding Arbitrage, Equity market share increased by 22 bps YoY to 6.92%.

3) The share of Equity AUM in our overall AUM decreased by 1.3% QoQ to 49.8% for Q4 FY25.

4) We achieved a high single -digit market share in net sales in the Equity

+ Hybrid segment in Q4 FY25. However, excluding NFOs our market share would be in double digits.

5) We continue to have the largest investor base in the Mutual Fund industry, with 20.8 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

6) During the quarter, we also completed the NFO of the Nippon India Active Momentum Fund. As at the end of the quarter, the AUM in this fund stood at INR 1.2 bn.

I would also like to touch upon some important aspects of our Systematic Book:

1) I am happy to share that there has been continued momentum in our systematic flows, which has led to an increase in market share.

2) SIP market share increased by 17 bps to 10.16% over Dec -2024 to Mar-2025.

3) Our monthly systematic book rose by 37% YoY to INR 31.8 bn for Mar-2025. This resulted in an annualized systematic book of INR 382 bn.

Moving on briefly to the ETF Segment:

1) We continue to be one of the largest ETF players with AUM of INR 1.54 trillion and a market share of 19.07%, which increased by 236 bps YoY.

2) Our share in the industry's ETF folios is 53%. We also have 53% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.



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Moving on to our digital franchise:

- 1) Digital purchase transactions rose to 3.54 million in Q4 FY25, up 49% YoY. Digital Business contributed 74% of the total new purchase transactions Q4 FY25.
- 2) For FY25, Digital purchase transactions stood at 14.4 million – a two - fold increase compared to FY24.
- 3) By harnessing the power of digital innovation and executing a well - crafted strategy, NIMF has breached an inflection point, achieving accelerated growth, enhanced efficiency, and a distinct, competitive edge. NIMF's best -in-class digital assets, strong dig ital distribution framework and efficient campaign management strategies reinforce its leadership in the online space.

Now, I would like to briefly update you on our subsidiaries - namely the AIF & Singapore subsidiaries:

- 1) Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 74.1 bn across various schemes.
- 2) FY25 marked our highest ever incremental annual fund raise of INR 13 bn, which is 2.2x of commitments raised in FY24.
- 3) During the quarter, we launched our 10th Fund under our Long -Only Equity series. Fundraising is currently underway for two of our Listed Equity AIFs, Performing Credit AIF, and Direct VC Fund.
- 4) Fund deployment across all the strategies was robust in Q4 FY25, with 8 active investments in Performing Credit, and full deployment in our Tech/VC FoF, across 14 funds, with underlying exposure to 380+ companies.
- 5) The teams across all functions have been strengthened as well.
- 6) On the Offshore front - We continued to witness good equity inflows in the quarter from various international geographies. Offshore AUM grew 13% YoY to INR 152 bn with our UCITS Equity Fund reaching an AUM of ~USD 483 mn.
- 7) We continue to expand our footprint in the Japanese Institutional and Retail space in conjunction with Nissay Asset Management Corporation, Japan.

Q4 FY25 Earnings Call

Page 8 of 22

Data Classification: Public

- 8) We also continue to expand our footprint in new geographies in the European region.

Now on to our Financial Performance:

- 1) For Q4 FY25, Revenue stood at INR 5.67 bn, up 21% YoY.
- 2) Other Income stood at INR 0.23 bn, down 75% YoY and up 50% QoQ.
- 3) Operating Expenses stood at INR 2.12 bn, up 14% YoY and flat QoQ.
- 4) Excluding the impact of ESOPs, Operating Expenses grew 8% YoY for Q4 and 16% YoY for FY25 which was in -line with our guidance - driven mainly by investments in talent, non -MF businesses and technology infrastructure.
- 5) Opera

ting Profit stood at INR 3.55 bn, up 26% YoY.

- 6) Profit After Tax stood at INR 2.99 bn - down 13% YoY and up 1% QoQ.
- 7) For FY25, Operating Profit grew by 47% YoY to INR 14.04 bn and Profit After Tax grew by 16% YoY to INR 12.86 bn. Profit After Tax is impacted by lower Other Income and a Higher Tax Rate YoY.
- 8) As Sundeep mentioned earlier, for FY25, the Board of Directors have declared a Dividend Payout of INR 18.00 per share i.e., ~91% of net profit – this includes proposed Final Dividend of INR 10.00 per share.
- 9) Lastly, the Board of Directors in their meeting today, have approved the following, based on the recommendation of the Nomination and Remuneration Committee:
  - o Grant of 4,16,972 stock units under the 'Nippon Life India Asset Management Limited –Performance linked Stock Unit Scheme 2023' ("PSU 2023") at INR 10.00 per stock unit.

o Grant of 17,23,149 stock options under the 'Nippon Life India Asset Management Limited – Employee Stock Option Scheme 2023' ("ESOP 2023") at INR 577.79 per stock option.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session.

We have our first question from the line of Prayesh Jain from Motilal Oswal.

Please go ahead.

Q4 FY25 Earnings Call

Page 9 of 22

Data Classification: Public

Prayesh Jain: Hi, good evening everyone. Just a few questions. How do you see the SIP trajectory for the industry and for Nippon as such going ahead, we have been hearing a lot of closures and the incremental account openings have been weaker, how do you see the trend in this space, say over the medium term? Second is, you mentioned about the expenses being in line with your guidance, how do you see our expenses in FY '26 and it would be great if you could split up the employee cost into what kind of ESOP expenses we could see going ahead? And lastly on the Offshore business, I see a drop in sequentially in your managed assets from about 16,700 odd crores to about INR 15,200 odd crores sequentially. Is it only mark-to-market or has there been some outflows? How should we see this and do you see Offshore given that Japan you have recently launched a new scheme? Do you see this contributing meaningfully over say next 3-5 years and those would be my 3 questions?

Sundeep Sikka: So let me start by the last part of the question and then I will request Saugata to answer on SIP and Parag on expenses. Firstly, offshore, whatever you are seeing is just the mark-to-market reduction, nothing else. Point number 2, we are very excited about the launch of the new scheme that we have launched in Japan, which is under the NISA scheme, which allows access to Japanese investors to invest into India. NISA scheme is a scheme which is the government of Japan is promoting our Japanese retail investors to invest outside of Japan and we benefit given our Japanese parentage. We see ourselves to be a great beneficiary of this. We will not be able to give a futuristic number what it can contribute, but for sure directionally over the next 1 or 2 years, Japanese retail money coming into India will become big and you will see us playing a bigger role in that. Saugata, if you could answer on SIP, please.

Saugata Chatterjee: With regard to SIP, what we are seeing in the last say, 3 months, this quarter gone by, of course at an industry level, you have seen the SIP book has started now sort of becoming flattish. It happens whenever there is market volatility. We are seeing some higher percentage of stoppages which are happening at an industry. Those are temporary phenomena which we feel will go by as the market corrects and more education starts happening from an industry perspective. But when it comes to our business, what we are seeing that in this particular last quarter, our flows have been much better than

the industry flows.

Q4 FY25 Earnings Call

Page 10 of 22

Data Classification: Public

Our net flows actually in case of, in SIPs, the net book growth, what we are seeing is much better than the industry trend and our stoppages are also much better than the industry trend. So what can happen from here on, though the overall volume has come down, time has come to diversify the SIP book into multiple categories, which will probably give a better experience to the investor as they go ahead and that is our endeavor. As a team, we are trying to even if the volumes go down, we will be more focused on diversifying the SIP book into multiple categories and build products around SIP which will give more stability to the SIP book as we go ahead from here on.

Parag Joglekar: So good evening, Prayesh. On the cost side, we will keep on investing in the future. So we are expecting a cost increase roughly in the range of around 15% ex of ESOP. Employee cost will be also in the similar range maybe 14% ex of

ESOP . And ESOP expense for the current quarter is around INR 11 crores and for the full year is in the range of around INR 43 crores .

Prayesh Jain: Just a couple of bookkeeping questions. For the full year , what kind of ESOP cost should we build for FY '26? Secondly, could you give us the yields across the asset classes ? And lastly, the tax rate has been significantly lower in this quarter. What were the reasons and how should we kind of model for FY '26? Those would be my questions ?

Parag Joglekar : So the ESOP cost will be in the range of around INR 48-INR 49 crore s next year. Yields - equity is 57 basis points, debt remain s 25. Liquid is in the range of around 10-12 basis points and ETF remain ed 15 basis points . Total yield, blended yield is a round 37 bas is. The tax rate is slightly lower due to some of the assessment got over and we got some reversal on that. Otherwise , the tax rate should remain in the normally 24 %-25% which is normal tax rate.

Prayesh Jain: Got it, sir. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Kushagra Go el from CLSA. Please go ahead.

Q4 FY25 Earnings Call

Page 11 of 22

Data Classification: Public

Kushagra Goel: Hi, sir. Thank you for taking my question. Just one question sir, in your balance sheet number, the property, plant and equipment assets have increased quite a bit. You just wanted to understand what was that? That is all?

Parag Joglekar : So around last quarter , we purchased a corporate office in Parel area. So that is what the cost which we incurred and that has been capitalized in that.

Kushagra Goel: Got it. Thank you.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi. Good evening , everyone. My first question is for Saugata , across your top 3-4 funds which attract highest share of flows , can you comment how recent performance trends would have impacted those numbers. Any stabilization or dip that you are witnessing there or continue s to remain very strong? That is the first question , please ?

Saugata Chatterjee : So whatever has happened in the market for the last one or two quarters , there is no direct linkage of that the performance on the flow of the business. We clearly believe the Indian investors overall; it is not only for us. Short-term performance dips in one or two quarters do not make any difference. We continue to see the same inflows in the top 5 funds and the trend has been the same for the last 4 or 5 quarters.

Abhijeet Sakhare: Got it. And then s ir, secondly, just to follow up , like we used to have very strong Small Cap, Mid-Cap franchise and over the last 12 months , we have tried to divert flows into some of the other larger categories as well, how has been the experience in terms of

being able to create the accounts in those categories as against lump sum and the point of view here is that just to get a better handle on stability of flows in for the newer flows that we have been getting in the last 6 -12 months ?

Saugata Chatterjee: Well, then it is not that w e had a strong franchise. We continue to have a strong franchise in Small and Mid-Cap. That is part number one. The idea of have been diverting the funds to other schemes, it is a part of it. The idea is to keep

Q4 FY25 Earnings Call

Page 12 of 22

Data Classification: Public

getting allocation across categories. I don't think so it is a cost one as to other , from our perspective the way we see is from a long term point of view , we need

to be basically across the three or four bigger categories in the industry, whether it is Small Cap, whether it is Large Cap, Flexi Cap, we want to be in the top 3 or top 5. So it is a planned strategy to get a market share across all big categories.

Abhijeet Sakhare: Got that and just a number question, if you could give the breakup of other income between debt and equity gains ?

Parag Joglekar : Abhijeet, we don't disclose that.

Abhijeet Sakhare: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Raghvesh from JM Financials. Please go ahead. Mr. Raghvesh, are you there?

Raghvesh: Yes. Hi, sir. Congrats on the strong set of numbers. So getting back to limit set in the Mid and Small Cap funds, so we have restricted the set limits in these funds. So given the markets have been weak in these segments and have corrected, are we considering opening it up to more investors in the near future and secondly, our market kind of follow up on that, our SIP market share is already at 10.2 even when we have restricted some of the inflows. How do we look at that? Had we not restricted and what would be your sustainable number if I am looking at it from a FY '27 point of view?

Sundeep Sikka: As we have mentioned in the past, we see this business from a long-term point of view and it should be sustainable. It is not about QoQ. So for sure, at this point of time, we have not taken any view to remove the Cap or to take more money into Small Cap. As and when we do it, we will make it public, but the only thing I can share, having said that if that is the question that you had, has we not stopped, could this 10.1 or 10 plus could have been more? It is speculative thing, very difficult to comment on it. We believe by doing that and getting in flows into all other schemes. We are making the foundation even stronger.

Q4 FY25 Earnings Call

Page 13 of 22

Data Classification: Public

Raghvesh: And sir, just a follow up. Have we considered where are we on the entire distribution payout restructuring that we had done in the last couple of quarters? What percentage of our AUMs has been replaced in terms of distributor commissions and what more we are looking to do in the near future?

Saugata Chatterjee : Yes. So 45%-50% of our existing equity book has been repriced and we need to stabilize this as we go ahead from here on. And as business dynamics evolve from here on, we will see how we can look at further opportunities, but as of now, I think the majority of the major part of the AUM has been repriced.

Raghvesh: Thank you, sir.

Moderator: Thank you. We have our next question from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: Yes. Thanks for the opportunity and congratulations on a good set of numbers. So first is in terms of investor segment wise breakup of AUM, so we are actually looking at last 3-4 year's data and I looked retail plus HNI going forward and say Corporate which was around 50 % odd of the total AUM now is around 39 %-40% odd. So going forward as per your analysis, do you think this corporate number will sink further and retail plus HNI will grow from here?

Sundeep Sikka: Our focus continues on retail. The retail will continue when we believe when that is where the biggest opportunity is. So all of the efforts across the Company, across branches, across our digital properties and ecosystem continue to be in retail and HNI. That does not mean we will not focus on corporate, but corporate is not something which you can directly control. But

we clearly believe that going forward both when it comes to equity, 90% plus of the business will be from retail and HNI.

Mohit Mangal: Understood. Next is in terms of the number of employees, I think we added about 160 odd employees in the last one year. Going forward, do you think this number of 1,165 will grow with the same run rate?

Q4 FY25 Earnings Call

Page 14 of 22

Data Classification: Public

Sundeep Sikka: Not really. We were flat for the last couple of years prior to FY25, so maybe next year we may add about 75-100.

Mohit Mangal: So that the run rate will come down?

Sundeep Sikka: Yes.

Mohit Mangal: Thanks and wish you all the best.

Sundeep Sikka: Thank you.

Moderator: Thank you. We have our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Good evening, everyone. Thank you for taking my question and actually congratulations for a great set of numbers. So just two questions. First, I think you mentioned earlier that we have not participated in the new Thematic / Sectoral sort of fund launches and still we have managed a high single digit market share in net sales and if we exclude the NFO money, then our market share is actually in double digits. So is there any rethink in this strategy and going forward, should we see new fund launches from you and why are we not sort of doing that? Some thought process around that because it definitely helps us build scale and they are losing out on that additional flow that we could get? Second, just on your staff cost, maybe I missed this because the line has kept disconnecting today for some reason, the ESOP costs, what are the ESOP costs in this year and how should we think about ESOP costs going into next year and what would be sort of your expense guidance on an overall basis over the next couple of years? That will help me. Thanks.

Sundeep Sikka: So Madhukar, I will take the first question on the NFO, then I will request Parag to give you answer on the ESOP cost. So let me clarify first, our strategy over the last 2-3 years has been not to launch new big mega NFOs / Thematic funds and it is by design. Well, on the passive side, we will continue launching wherever there are new themes, where let the investor take the decision whenever he wants to enter in the particular theme in passive funds, but for NFOs, we have our internal view that launching Mega NFOs gives the short -

Q4 FY25 Earnings Call

Page 15 of 22

Data Classification: Public

term kick, gives a short-term AUM, but for the long-term stability point of view, if you do a deep dive into these numbers, a lot of this AUM gets shifted from Scheme A to scheme B within the same AMC or from other schemes of other AMCs. And our historical data shows us that NFO investors typically are not very sticky. We believe continue scaling up our existing products, get investors who come because of the track record of the scheme rather than coming because of the hope of returns, so that is the big strategy and also what we want is NFOs many time distracts the Company, distracts the sales team, everyone starts working on it. We continue focusing, as I mentioned in the past, on building a strong foundation which is scalable in long run. Immediate short NFOs doing INR 5,000-INR 10,000 crores for the scale and size that we have, it is very easy, but it requires a lot of conviction

to say that we are not going to be participating in short-term gain but continue really gaining money from a long-term point of view. So that is the answer on the NFO's. Having said that, One more thing I would like to touch is since you asked are we losing out a big pool of money? The answer is no. If you see the investor pool, our investor

base continues to grow faster than the industry and that is a reflection of the fact that investors actually prefer schemes with long-term track record. Selling NFOs with the hope of return in short term may be a good strategy, but from a long-term point of view, we ourselves are not convinced.

Parag Joglekar: Madhukar, the cost on the ESOP in the current year, the expense is around INR 43 crores, in current quarter is around INR 11 crores. Next year, we are expecting something in the range of around INR 48-INR 49 crore with both the ESOP schemes. Our guidance for expenses growth is around 15% for next year ex of ESOP.

Madhukar Ladha: That is on overall cost?

Parag Joglekar: Yes.

Madhukar Ladha: 15% growth on overall costs, is it so?

Parag Joglekar: Yes.

Q4 FY25 Earnings Call

Page 16 of 22

Data Classification: Public

Madhukar Ladha: Thank you and great performance, excellent performance and all the best for the future.

Sundeep Sikka: Thank you, Madhukar.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Thanks for the follow up. I have a question on yield. So if I recall correctly, I think last quarter as well, our equity yields were about 57 odd basis points and if that number is correct, how has the recent commission cuts impacted the overall yields, given that the equity AUMs are also down QoQ?

Parag Joglekar: So Abhijeet, the overall impact on the yield basis may not be very great. It will be part of the overall yield and this 57 last quarter maybe on the basis points in decimals might have changed. So the overall yields remain more or less in the line. There may be some decimal changes.

Abhijeet Sakhare: Understood. And that the entire commission cut is all in the base, right? There is no more pending impact will be taken, right?

Parag Joglekar: No.

Abhijeet Sakhare: Alright. Thank you so much.

Moderator: Thank you. We have a follow-up question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a couple of years back or a year back, we had 70% volume share on exchanges in terms of ETF, now down to 53%, is there anything to read into it? I know it is still a very meaningful market share, but the drop has also been quite meaningful, anything to read into it and how do you kind of protect this? That would be my first question right now, yes?

Arun Sundaresan: Arun here. So first of all, you will appreciate that if you look at other numbers like net sales for example and even this current volume is way higher when

Q4 FY25 Earnings Call

Page 17 of 22

Data Classification: Public

compared to our current market share. But the volume per se, it is part of the pie, right, with more players coming and that as a percentage might look a little on the lower side and in some categories, we are consciously not present, for example, some of the smart beta, etc., where the liquidity can be on the lower side, which could impact investors negatively, we may have decided not to

launch ETFs at this point in time. That also could affect margins at the periphery . But having said that, this number fairly is a high number and within that some categories like for example NIFTY , we command 73% of the volume . Much of the net sales also happens in categories like NIFTY , Gold and Silver where particularly our volumes are fairly high and much higher than our current market share.

Prayesh Jain: Got that

. And a broader question on the debt side, we are heading in, we have already seen one rate cut and possibly we will see more rate cuts going ahead. The debt segment well, how do you see the trends there? Do you think that it can revive, and you can see significant inflows there going ahead? How should we kind of look at this segment as such?

Saugata Chatterjee : Yes, I think you have analyzed it, right? What we are seeing in the last 2 months, the liquidity in the Mutual Fund industry has gone up in expectation of a moderate rate scenario. And also we have to also remember the fact that a lot of these FDs, which the banks had mobilized in the last couple of years, are now coming from maturity. The rollovers will be at a lower yield and hence the mutual fund schemes start becoming the first code of call for investors and we are seeing in the month of April and in the month of March, there was a good flow into the shorter end and the medium duration products and hence if the soft rate regime continues , which we feel will be the scenario as we go ahead, there will be sort of inflow into these categories for sure .

Prayesh Jain: Just one last question on the offshore business , what kind of yields we make on the offshore business and how is the trajectory there?

Parag Joglekar : Around 6 -100 basis points, depending on the product.

Sundeep Sikka: And also like we mentioned earlier, we have our digital fund , again which you mentioned which is a venture fund which comes under our A IF subsidiary . For Q4 FY25 Earnings Call

Page 18 of 22

Data Classification: Public

that also there comes a carry to come into play after a certain time but that is still a long time away.

Prayesh Jain: Any other geographies that you are looking to grow the offshore business apart from Japan in the near future?

Sundeep Sikka: From our perspective, we continue leveraging the global network of Nippon Life. Till now, if you see where most of our business that is coming, international business is coming – you can look at slide in the presentation , whether it is coming through DWS, whether it is from the GENKAI which is Japan, BBLAM which is Bangkok Life Asset Management and Cathay, which is Taiwan . All these are companies where Nippon Life has strategic interest. So we will continue. We don't want to reinvent the wheel and neither we have the direct capability. We do not want to go out anywhere in the world and start afresh. So we will piggyback on Nippon Life network , but what you will see Japan will continue to be our core.

Prayesh Jain: Got that. Thank you.

Moderator: Thank you. We have our next question from the line of Gaurav Jani from Prabhudas Liladher. Please go ahead.

Gaurav Jani: Thank you for taking my question. Firstly, I wanted to check on blended yields and the related equity yields and distribute the pay offs given that we had already rationalized commissions for the few funds since with effect from February 1 st, would there be any benefit through the next quarter, what is your assessment on that?

Parag Joglekar : So the blended is around 37 basis, the equity yield is 57 basis and the cut which has happened in the current quarter which is already part of the yields and this will continue.

Gaurav Jani: So I was asking on a net basis, would that benefit also in the next quarter or all the benefit is included ?

Parag Joglekar : Yes. So it is already part of this and so that will continue.

Q4 FY25 Earnings Call

Page 19 of 22

Data Classification: Public

Amol Bilagi : So Gaurav , just to add to that t he blended yield is also affected by the AUM mix. So if the ETF business grows at a faster pace, then the yield will show a decline on blended basis. But as we have been g uiding in the past, we expect 2-3 basis point s blended yield decline YoY going forward as well .

Gaurav Jani: And la

stly, on ESOP, right. So I believe there was a fresh issue because I guess the ESOP trajectory that we originally estimated there is an increase in that. So can you just tell out as to what would be the cost in 26 and 27 put together ?

Parag Joglekar : In the current year, it was around INR 43 crores. Next year , we are expecting in the range of around INR 48-INR 49 crore s.

Gaurav Jani: And FY ' 27?

Parag Joglekar : FY '27 wi ll be lower than the number because it will go down . So Gaurav, I don't have a number right now. I will let you know offline.

Gaurav Jani: Sure. Thanks a lot. That is it.

Moderator: Thank you. We have our next question from the line of Krishna Mundra from NJ Invest. Please go ahead.

Krishna Mundra: Thanks for the opportunity . On the SIP side , I just wanted to know your perspective like can we assume that going forward given the direct tax limits being increased to 12 lakhs for individuals and 12,75,000 for salaried individuals , more dis posable income coming in the hands of individuals , basically more of salaried individuals , so will that disposable income can it come into mutual funds through SIP or majorly this will go into consumer discretionary segments. J ust wanted to know your analysis from the past basically when such limits were raised.

Sundeep Sikka: So it is very difficult to have a direct c orrelation between when analyzing the disposable income increases , whether that will directly flow into consumption or into Mutual Funds . Clearly , we see that the awareness about Mutual Funds is increasing . The culture to invest in SIPs is increasing and whatever is going

Q4 FY25 Earnings Call

Page 20 of 22

Data Classification: Public

to be the disposable income when it increases in your hand, you will see a part of that coming. Surely , part of that will be coming into SIP . Will that entire amount come , I think it is very difficult to predict , but definitely Mutual Fund industry and players like us who are very active in retail SIP is very important for us will benefit from this taxation change.

Krishna Mundra: Thank you.

Moderator: Thank you. We have our next question from the line of Sayeed Jeffrey from Ajanta Capital. Please go ahead.

Sayeed Jeffrey : Yes. Good evening, gentlemen. Thanks for the opportunity. I just had a couple of book -keeping questions. Now, cou ld you just share the net inflow members for the equity and the ETF segment for the fourth quarter and for the full year?

Parag Joglekar : We don't disclose the net sales number specifically for us . Industry number , we have mentioned as a part of our speech and part of our deck. We are roughly in the higher single digit or just about double digit in net sales.



Sayed Jeffrey : I missed that.

Parag Joglekar : So our net sales are higher single digit and ex of NFO higher double digit .

Sayed Jeffrey : Would you give out the closing AUM sequence for the segments?

Parag Joglekar : So the closing overall around INR 5,54,000 crore s. For Equity, i t is around INR 2,76,000 crores . ETF, it is 1,65,000. Liquid is around 33,000 and debt is around 80,500.

Sayed Jeffrey : Sir, just last question . On the SIP book, now, sir in terms of the mix of this SIP book, wh at proportion would be towards the S mall and Mid-Cap sir, any flavor if you can just give?

Sundeep Sikka: So for us the top 5 funds are 80% of the funds. We do not give the breakup by scheme.

Q4 FY25 Earnings Call

Page 21 of 22

Data Classification: Public

Sayed Jeffrey : And for the last quarter or so ? Has there been any change in that? Because I see the book has been relatively stable, but has there been a change in that book over the last 3 months?

Sundeep Sikka: Broadly been the same. There is nothing significant to report.

Sayed Jeffrey : Alright, sir. Thank you so much for this.

Moderator: Thank you. We h

ave our next question from the line of Bhav in Pande from Trust Platus Wealth Managers. Please go ahead.

Bhavin Pande : Hi, good evening. Congratulations team on a wonderful set of numbers and a wonderful FY '25 . I just wanted to touch upon the structuring of passive products in ETF is the whole purpose just to minimize the basis risk or we also look at expanding our offering for an investor could have a repertoire of product s. It should also enhance returns from a diversification perspective.

Sundeep Sikka: Your voice was not clear, could you r epeat that please ?

Bhavin Pande: Sure, I hope I am clear now.

Sundeep Sikka: This is much better, yes.

Bhavin Pande: So when we look at the structuring of products in the ETF and passive bucket, so the sole purpose is it just to minimize the basis risk or we look at expanding our offerings in a way where an investor would have a reperto ire of products which would enhance returns as well ?

Sundeep Sikka: From our point of view, we need to offer different type of funds, different styles, different categories of funds and passives to the investors and let the investor make a decision. We do not do it with the intent what is good for us? We do not want to do it with the inten t that the investor will make a better return. The reason why we do not do active funds big NFOs out there our strategy is very different , but for passives, our approach is to keep launching products, keep them available on the shelf and let the investor with the help of it, the advisor decide which one he wants to invest.

Q4 FY25 Earnings Call

Page 22 of 22

Data Classification: Public

Bhavin Pande : And any conscious effort is there to minimize the tracking error ?

Sundeep Sikka: The tracking error . No, it is a conscious . There is a lot of science and art behind it. It is definitely that is the core of the whole business. As we have mentioned

in past, ultimately many times when the markets are not matured, investors feel that the only thing that matters is the expense , but in reality , the liquidity and the tracking error are the two most important things and our majority of our focus is to keep have lower tracking error and higher liquidity. So the impact cost for the investor is not there.

Bhavin Pande: That was helpful. Thank you, Mr. Sikka . Congrats to you, Parag and the entire team for a wonderful year.

Sundeep Sikka: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints that would be our last question, and I now hand the conference over to the management for closing comments.

Parag Joglekar : So thank you all for joining the conference call and wishing you a happy new financial year. Thank you.

Moderator: On behalf of InCred Equities, that concludes the conference. Thank you for joining us and you may now disconnect your lines.

## Call: Jul 2025

July 31, 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended June 30 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30 , 2025, conducted after the meeting of Board of Directors held on July 28, 2025, for your information and records .

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference -Call-Transcript -for-Q1-FY-2026.pdf>

Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 17 Data Classification: Internal Use Only

Nippon Life India Asset Management Limited  
Q1 FY2026 Earnings Conference Call

July 28, 2025

### MANAGEMENT:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MS. MEGHNA LUTHRA – INCRED EQUITIES

## Q1 FY26 Earnings Call

Page 2 of 17

Data Classification: Internal Use Only

Moderator: Ladies and gentlemen, good day, and welcome to Nippon Life India Asset Management Limited Q1 and FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in a listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “\*,” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Meghna Luthra from InCred Capital. Thank you, and over to you, ma'am.

Meghna Luthra : Thank you, and good evening, everyone. On behalf of InCred Equities, I welcome you all to Nippon Life India Asset Management's First Quarter FY '26 Earnings Conference Call.

We have along with us Mr. Sundeep Sikka – Executive Director and CEO, along with the Senior Management Team . We are thankful to the Management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep sir for his Opening Remarks .

Sundeep Sikka : Good evening and welcome to our Q1 FY26 earnings conference call.

We have with us, Chief Financial Officer – Parag Joglekar, Chief Business Officer - Saugata Chatterjee, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand -over to Parag, to speak in greater detail on the recent Industry trends as well as our performance, post which we will move on to QnA.

## Q1 FY26 Earnings Call

Page 3 of 17

Data Classification: Internal Use Only

Coming to the Key Highlights:

1. I would like to start by mentioning that NAM India has achieved its highest ever quarterly Operating Profit at INR 3.78 bn and Profit After Tax at INR 3.96 bn.
2. Further, NAM India was the fastest growing AMC in the Top -10 AMCs – both on a QoQ and YoY basis.
3. This led to an increase in our Overall AUM & Equity AUM market share.
4. We had the highest increase in AUM market share in the Industry on a QoQ basis, with market share increase across most asset classes.
5. Our market share at 8.49% is our highest since June 2019.
6. Importantly, both Equity Net Sales market share and SIP market share remained well above our Equity AUM market share.
7. Our SIP market share was again greater than 10% in June 2025, and our Equity Net Sales market share also moved into double -digits for the quarter.
8. Lastly, on the SIF front, we have the team in place, led by Industry veteran Andrew Holland, and we will launch products in due course.

Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar : Thanks, Sundeep. Let me start off with the markets:

Equity markets in Q1 FY26 witnessed a sharp rebound from prior quarter

levels. The NIFTY increased by 8.5% QoQ, while the NIFTY Mid & Small Cap indices increased by 15.0% & 17.8% QoQ, respectively. RBI cut the repo - rate by 75 bps to 5.50%, while the 10 Year G-Sec yield decreased by 26 bps QoQ to 6.32%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 22% YoY and 7% QoQ in Q1 FY26 to INR 72.1 trillion.
2. The share of Equity in overall AUM increased marginally QoQ, ending at 56.6% for Q1 FY26, from 56.3% in Q4 FY25.

Q1 FY26 Earnings Call

Page 4 of 17

Data Classification: Internal Use Only

Now, moving to Industry flows:

1. The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.12 trillion and a net inflow of INR 0.82 trillion. Gross inflows were relatively flat QoQ, while net inflows

were lower QoQ.

2. Categories with the highest inflows were Flexi Cap, Small Cap and Mid Cap funds.
3. Moving on to SIP - SIP contribution for the quarter was INR 806 bn, up 29% YoY and 3% QoQ.
4. Monthly SIP flows in Jun -2025 stood at INR 273 bn – an all -time high.
5. The Fixed Income category i.e. (Debt + Liquid), witnessed a net inflow of INR 2 trillion in the quarter, after a net outflow in the prior quarter.
6. The ETF category had a net inflow of INR 264 bn.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 55.3 mn i.e., an increase of 18% YoY.

Now moving to our business performance:

1. We closed the quarter with total assets under management of INR 7.44 trillion. This includes Mutual Funds, Managed Accounts, Offshore Funds and GIFT City.
2. Our Mutual Fund QAAUM grew 27% YoY and 10% QoQ to reach INR 6.13 trillion. We were the fastest growing AMC in the Top -10 both QoQ and YoY in Q1 FY26 and had the highest increase in QAAUM market share on a QoQ basis among all AMCs.

I would now like to share a few key highlights for the quarter:

1. Starting with market share - Our market share increased 23 bps QoQ to 8.49%.
2. Our Equity market share increased 12 bps QoQ to 7.04%. Please note that starting this quarter, we have carved out Arbitrage as a separate category for better representation.
3. The share of Equity AUM in our overall AUM decreased by 0.3% QoQ to 46.9% for Q1 FY26.

Q1 FY26 Earnings Call

Page 5 of 17

Data Classification: Internal Use Only

4. We achieved a double -digit market share in net sales in the Equity + Hybrid segment in Q1 FY26, which is the highest market share we have achieved in the last 8 quarters.
5. We continue to have the largest investor base in the Mutual Fund industry, with 21.2 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.
6. During the quarter, we also completed the NFO of the Nippon India Income Plus Arbitrage Active Fund of Fund. As at the end of the quarter, the AUM in this fund stood at INR 5.8 bn.

I would also like to touch upon some important aspects of our Systematic Book:

1. I am happy to share that there has been continued momentum in our systematic flows.

2. Our monthly systematic book rose by 29% YoY and 4% QoQ to INR 33.2 bn for Jun -2025. This resulted in an annualized systematic book of INR 398 bn.
3. SIP market share stood at 10.07% for Jun -2025.

Moving on briefly to the ETF Segment:

1. We continue to be one of the largest ETF players with AUM of INR 1.74 trillion and a market share of 19.76%, which increased by 69 bps QoQ.
2. Our share in the industry's ETF folios is 52%. We also have 51% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.
3. Our Gold ETF is among the Top -10 globally in terms of AUM as of June 2025.
4. In Q1 FY26, we launched 4 new products: 1) Nippon India Nifty 500 Quality 50 Index Fund, 2) Nippon India Nifty 500 Low Volatility 50 Index Fund, 3) Nippon India BSE Sensex Next 30 ETF and 4) Nippon India BSE Sensex Next 30 Index Fund.

Q1 FY26 Earnings Call

Page 6 of 17

Data Classification: Internal Use Only

Moving on to our digital franchise:

1. Digital purchase transactions rose to 3.57 million in Q1 FY26, up 27% YoY. Digital Business contributed 75% of the total new purchase transactions Q1 FY26.
2. NIMF's focused digital strategy is delivering results, driven by real time intelligent platforms, simplified onboarding, tailored communication, and pioneering content designed to engage GenZ investors.
3. NIMF's robust digital distribution framework, data -driven targeted campaigns, and best -in-class digital assets continue to strengthen its leadership across the overall digital landscape.

Now, I would like to briefly update you on our subsidiaries - namely the

AIF & Singapore subsidiaries:

1. Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 81.0 bn across various schemes, up by 25% YoY.
2. In Q1 FY26, we raised ~INR 7 bn of commitment, being our highest quarterly fund raise ever.
3. We have launched a Real Estate Scheme - Nippon India Yield Optimiser with ~INR 3 bn of commitments raised.
4. Fundraising is currently underway for two of our Listed Equity AIFs, Performing Credit AIF, Residential RE fund and Direct VC Fund.
5. Fund deployment across all the strategies was robust in Q1 FY26, with 9 active investments in Performing Credit, and full deployment in our Venture Capital FoF, across 14 funds, with underlying exposure to 395+ startup companies.
6. Our future product pipeline includes: 1) Empowered India: long -only focused flexi cap strategy and 2) Nippon India Credit Opportunities AIF Scheme 2: second performing credit fund.
7. On the Offshore front - We continue to witness equity inflows in the quarter from international geographies in Asia and Europe. Offshore AUM grew 10% YoY to INR 166 bn with our UCITS Equity Fund reaching an AUM of ~USD 543 Mn.

Q1 FY26 Earnings Call

Page 7 of 17

Data Classification: Internal Use Only

8. We continue to expand our footprint in the Japanese Institutional and Retail markets in conjunction with Nissay Asset Management Corporation, Japan.

9. We also continue to expand our footprint in new geographies in the Asian, European and Latin America region.

Moving to GIFT City:

1. As stated previously, In Q1 FY26, we launched the 'Nippon India ETF Nifty 50 BeES GIFT' Fund, which primarily offers Japanese investors greater access to the Indian equity markets through the NISA scheme in Japan.
2. This follows our first GIFT fund, the Nippon India Large Cap Fund GIFT, launched in January 2025 to provide global investors access to our flagship Large Cap Fund.
3. Our future product pipeline includes: 1) Nippon India Digital Innovation Fund 2 -B: our follow -on VC fund of fund for repeat Japanese investors and 2) Nippon India Sharp Equity Fund: A Long Short Equity Fund.

Now on to our Financial Performance:

1. For Q1 FY26, Revenue stood at INR 6.07 bn, up 20% YoY and 7% QoQ.
2. Other Income stood at INR 1.46 bn, up 12% YoY and up 5.3x QoQ.
3. Operating Expenses stood at INR 2.29 bn, up 16% YoY and 8% QoQ.
4. Excluding the impact of ESOPs, Operating Expenses grew 15.8% YoY for Q1 - driven mainly by investments in talent, non -MF businesses and technology infrastructure.
5. Operating Profit stood at INR 3.78 bn, up 23% YoY and 7% QoQ.
6. Profit After Tax stood at INR 3.96 bn - up 19% YoY and up 33% QoQ.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much . We will now begin the question -and-answer session.  
The first question is from the line of Shreya Shivani from CLSA.

Q1 FY26 Earnings Call

Page 8 of 17

Data Classification: Internal Use Only

Shreya Shivani: Thank you for the opportunity. Congratulations on a good set of numbers. I have three questions. My first question is a data keeping question , can you help us with the yields for the different segments for the quarter? I can see that sequentially your yields have really stood up , there has not been any decline , so any commentary around that?

Second is on the volume data for the systemic book. The systematic folio seems to have declined sequentially. Any reason, any explanation for that?

And my last question is actually on the ESOP cost. You had guided that the ESOP cost for this year would be at about INR 48 crores, INR 49 crores. We were expecting the ESOP cost to be about , I mean , it should have been more than what you have reported in this quarter. There's a sharp decline between last quarter and this quarter . And the run r

ate is such that it looks like the remaining quarters would see a much higher ESOP cost coming through. So, if you can help us with that data as well.

Parag Joglekar : Thank you, Shreya. I will take the yield and ESOP cost question, and then I will ask Saugata to take up the SIP book question. So, yields for the current quarter, the blended yield is 36 basis, the equity yield is 55 basis , debt yield is 25 basis, liquid is 12 basis and ETF is 17 basis. On ESOP cost, the yearly cost expected is in the range of around INR 46 crores, which we mentioned earlier. The current quarter cost is around INR 4-odd crores, so INR 11 crores overall for the new segment is INR 4 crores.

Shreya Shivani: Okay. So, sorry, sir, this quarter the ESOP cost is INR 11 crores plus INR 4 crores, right, INR 15 crores or so?

Parag Joglekar : INR 11 crores total for the quarter , 7 plus 4.

Shreya Shivani: Okay. INR 11 crores total. All right. And for the full year, it will be at about 46 or whatever 47, 48, whatever you have mentioned. And for next year, sir, FY '27?

Parag Joglekar : Next year, it will be around INR 26 crores, INR 27 crores.

Q1 FY26 Earnings Call

Page 9 of 17

Data Classification: Internal Use Only

Saugata Chatterjee : Hi, Shreya. This is Saugata here. With regard to SIP, actually, SIP book for us this quarter on a MoM basis actually has gone up. What has happened in the industry in April, there was a onetime clean -up, which the industry as well as we had done on the number of SIPs which were inactive. So, hence, there was some impact on the numerator, which, of course, has settled down in June, and July. So, the numbers will now stabilize at an industry level as well as for us.

What we need to see is the flow. That book is increasing on a month on basis. So, we did not have any impact of the inactive folios on our SIP book because they were as it is inactive, and they were not contributing to this SIP book at any point in time. And market share on SIP folios continue to grow , rather our discontinuation percentage is much better than the industry as we speak.

Shreya Shivani: Got it. Sir, just one follow -up on that systematic folios' thing. So , is this a cleanup a regular activity? I mean, just for my understanding, I have seen it first time in the past so many years, but is this something which would happen on a regular basis going ahead? Or I mean, this was just a one -off? How you think about that?

Saugata Chatterjee : So, at an industry level, AM FI has taken a stance that they want to do it one time for all AMCs. This was a large clear up , which has happened over the period of 3 months. And across all the AMCs, everything was done. So, it's not only pertaining to a particular month or a particular AMC. And we feel that this is an activity which has been done. Probably even industry might take a view after six months, 12 months if the data again throws up some numbers, which needs attention. But as of now, it's a onetime cle anup.

Shreya Shivani: Alright. This is very useful. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: Thanks for the opportunity. And c ongratulations on excellent set of numbers.

The first question is in terms of , we have launched a quite a few passive funds in the last quarter. And even this quarter we had launched an MNC fund. So, Q1 FY26 Earnings Call

Page 10 of 17

Data Classification: Internal Use Only

just wanted to know how is the inflows in that? And if you could give a color on the passive fund, how much we were able to get into those things?

Saugata Chatterjee : So, thanks, Mohit . Saugata this side. So, passive as a strategy, if you have been following our calls , every quarter we keep mentioning that we will keep seeding unique ideas in the market. And hence, some of the fu

nds wh ich we

had launched in the last three to six months, have been unique, and we keep seeing a lot of interest as the fund is launched and it is open for subscription. We keep seeing flows coming into it. We do not target any volumes in this fund so they predominantly will not show any size coming up. But over the period of time, it builds up as investors start flowing into these passive ideas .

When it comes to the NFO, the MNC Fund, which is more July specific, of course, it's something which has just got closed. Our idea, again, aligning to our thought process in the past, if something is very unique, something is very distinct, as a strategy w e will launch. And hence, this fund was aligned to our thought process, we came to the market after some time with a new fund in the



active space. And we have got reasonably good response in this fund.

Mohit Mangal: All right. In terms of the distributor commission rationalization, I think we have done for most of the equity schemes. And there have been around 2 bps decline in yields, if I look as compared to YoY. So, just wanted to know in terms of yield decline, should we expect 2 bps to 3 bps going forward, for say, for the next two to three years as well?

Parag Joglekar : So, actually, yes, the yield decline is mainly due to the telescopic pricing where the higher the size, lower is the yield impact will be. And so we have communicated earlier also that on a blended, we should see around 2-3 basis YoY drops in the yields.

Mohit Mangal: Okay. Understood. And lastly, in terms of you said in your opening remarks that we had a double -digit market share, which was the highest in eight quarters. So, I just wanted to know, I mean, if you can just throw a color as to how much we have gained that it was the highest in eight quarters?

Q1 FY26 Earnings Call

Page 11 of 17

Data Classification: Internal Use Only

Sundeep Sikka : We do not disclose the numbers, but the overall growth is in the double digit on the net flows.

Saugata Chatterjee : For us, the equity net sales has always been on the higher side. Last quarter was high single digits, which this quarter moved into double digits.

Mohit Mangal: Alright. Thanks and wish you all the best.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Congratulations on a good set of numbers. Sir, the question was on the yield side as well. So, like on the ETF side you mentioned that yields have stood at around 17 basis points. Now in last quarter, it was around 15 basis points. So, like any particular reason why we have seen an increase in the yield on the ETF side?

And secondly, on the equity book as well. So, now this 2 basis points of compression. So, like this is probably like as we are mentioning that the yield decline is roughly going to be around 2 to 3 basis points on an annual basis. But over the last 15 to 18 months, the yield compression has been slightly higher. So, is it mainly because of the higher payout ratios to the distributors? These are the two questions.

Parag Joglekar : So, Lalit, thanks for the question. So, on the yields, on the ETF side, our yields have gone up due to the composition of the various funds in the ETF segments and which has resulted in an improvement in yields where the higher expense scheme has sizably grown. So, that has helped us to improve the overall yield on the ETF side.

On the overall yield, yes, we always mentioned that there can be some drop in the yield on the consolidated basis, 2 to 3 basis. Last couple of years, we have seen a slightly higher drop mainly due to our size going up significantly in the last two years, which has impacted the overall yields. Obviously, the new flows come at slightly higher cost compared to the stock, and that is also impacting.

Q1 FY26 Earnings Call

Page 12 of 17

Data Classif

ication: Internal Use Only

But that is not the only reason. The size is the main reason due to telescopic pricing, it will impact the overall yield on the AUM.

Lalit Deo: Yes. Sure, sir. And sir, just lastly on the new asset class, this SIF category. So, I just wanted to understand this sharp in the new fund, which is in the pipeline, with the long/short equities. This will fall under this SIF category, right? Or

this is the AIF piece?

Saugata Chatterjee : So, that is an AIF strategy. The ones which we spoke in the opening remark, which is the Nippon India Sharp Equity Fund, the long/short equity fund that will be on the AIF side.

Sundeep Sikka : But under SIF also, we will be launching a couple of fund s. We are still awaiting the launch of these. We have built up a great team. So, you will see for us, SIF will be a very important category going forward.

Lalit Deo: Thanks sir.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: Hi. Good evening. A couple of questions from my side. Number one, so how has your inflow market share shaped up in this quarter? And two, there is this new discussion paper for AMCs which basically talks about if your scheme size crosses INR 50,000 crores, you can launch a new scheme and the new inflows would not be allowed in the old scheme. And the new scheme can charge a TER which is up to the old scheme 's TER. That's sort of my understanding when I read that paper. If you could help explain what is the logic behind this? And it would seem that this would be marginally positive for the AMCs , is that the right way to sort of think about it? Some background thought process will be helpful on this topic.

Saugata Chatterjee : Madhukar, this is Saugata this side. So, with regard to the flows, compared to the previous quarter, this quarter flows ha ve been definitely better. The flows are in the double digits, lower side of the double digit. And hence, we continue to get growth in our equity market share because our net sales market share is Q1 FY26 Earnings Call

Page 13 of 17

Data Classification: Internal Use Only

better than our overall equity AUM market share, which definitely helps us to grow our overall equity AUM. And SIP flows and the lump sum flows are adding to this growth.

Sundeep Sikka : Madhukar, Sundeep this side . Touching on the SEBI proposal, there are different views , when we talk across the industry also especially launching of additional schemes in the same category when the AUM cost of INR 50,000 crores. One of the view is that with the increase in size, it becomes more difficult to manage with the portfolio. Our view is a little different. We are of the view that it's not about this size , it's more to be able to continue strengthening your research and the risk management capability to remain relevant for investors. So , we actually do not have either very positive or either negative. But while we will wait for the proposal to get through because it's still a consultation paper, but we do not see any negative in it.

Madhukar Ladha: Sir. And would this be sort of marginally better because given that you can launch a new scheme, with a TER which is equivalent to the earlier scheme, I would tend to understand it is that you would get a slightly additional yield. Is my understanding corr ect on this? Or am I missing something out of here?

Sundeep Sikka : No, I think we would have to wait and watch for the final guidelines. But again, as I have always mentioned in the past, asset management business is a volume game. So, whether it's a 1 basis point getting extra yield or reduction in yield that is some short -term positive or negative. But the idea here is going to be that how can we scale up 2x, 3x, 5x from here, and that is where the actual growth of the AMC is going to come from. But w

e will wait and watch. But

like I said, there is nothing negative in it, there might be a little positive , if it was to come in the formal manner as it has been proposed.

Madhukar Ladha: Understood, sir. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Muskan Chopra from Motilal

Oswal. Please go ahead.

Prayesh Jain : Hello. This is Prayesh Jain. Just a couple of questions. Sir, firstly, is there any change in behavior in customers, particularly in the last six months wherein we

Q1 FY26 Earnings Call

Page 14 of 17

Data Classification: Internal Use Only

have seen that the markets have been volatile ? And do you think that the preference for stronger brands versus purely looking at the returns and even amongst distributors, looking for brands over commission payout , is there any change in the way the distributors and the customers are behaving or it's still based on return on —

Sundeep Sikka : So, broadly, it's not anything has changed in the last six months, but there is continuously to see industry has been evolving over the last four, five years. What we have seen is , investors are maturing a lot. First, we have seen whenever there's a market volatility, they do not react or over -react the way we used to do earlier. If we first to go five years back, while fund performance remains paramount, but that is not the only thing. The brand and the comfort that you get from the brands, that also plays a very big role. That's why you have seen some of the bigger brands getting bigger.

So, overall, it's a package of performance. It's a package of brand and also the service experience that you are able to give. But one thing is very clear, it is not only dependent on brokerages. It is not only dependent on performance. It's a package that the investors are looking at, and that is which is differentiating between successful AMCs and not so successful AMCs.

Prayesh Jain: Got that. And sir, with respect to your flow, could you give any color whether the flows are very widely distributed between the schemes or it's still kind of lopsided between the small cap, large cap, and mid cap?

Saugata Chatterjee : Saugata this side. So, the flows from our perspective, the best part is , we have been able to get flows across our funds, which if you see the various market cap offerings which are there, across all market cap offerings we have flows. And that's primarily because we have a very strong SIP book, which cuts across most of these categories. And over a period of time, we have also seen that the more we are able to communicate with the distributors and the investors on the various categories which we offer to them, we are able to get reasonable flows in those categories. So, for us, it's quite widespread. We have derisked our business flows over the last two years. And hence, the net sales growth is also very strong.

Q1 FY26 Earnings Call

Page 15 of 17

Data Classification: Internal Use Only

Sundeep Sikka : And also, what helps us is a very granular SIP, 75% of our SIPs by value are less than INR 10,000. So, that also adds to the stability and long -term profitability.

Prayesh Jain: Right. Sir, j ust another question on SIF. S ir, we could have got parallels between the existing team and SIF team or whether you have invested in a completely new team. Could you have used the existing team or you need to build up?

Sundeep Sikka : Your voice broke in between. But if I have got your question, could the existing team have been used for SIF? We are proud of our team, and what the kind of wealth they are creating for the investors . SIF is a different business vertical, and we want to take it very seriously. We do not want to be just one other product. We see that as a new business line for us. And that's the reason from our point of view, while the option what you said was always there, but we thought of getting some of the best professionals for this. And we leverage wherever we can, wherever the regulations allow us to leverage internal research. But the idea is , we see this vertical as a very, very critical separate line of business for us going forward. So, we are investing in it very differently.

Prayesh Jain: Got it. And last question . I think from an investment book standpoint, there is a movement from equity -related assets and other assets to debt. Is there a change in approach towards the investment book in terms of how we are managing it?

Parag Joglekar : So, Prayesh, we have just rationalized some of our exposure on the equity side basis versus seed capital, which we have been investing. That is the only change which we have done.

Prayesh Jain: Okay. Because even on your mutual fund schemes, while sequentially from about INR 510 crores to INR 480 crores on the equity side, AIF, you mentioned that there is some seed fund realignment. So, just checking there whether some approach in terms of thinking about equities being at the top or some approach there?

Q1 FY26 Earnings Call

Page 16 of 17

Data Classification: Internal Use Only

Sundeep Sikka : No, I think I will just give you a directional approach, rather than QoQ .

Whatever is required for seed capital, we will always have that. But broadly, what we want to do is , from the proprietary book of the company we do not want it to be volatile with the market conditions. So , it will be basically more on the fixed income side rather than equity.

Prayesh Jain: Got it. That's very helpful. Thank you very much.

Moderator: Thank you. The next question is from the line of Ms. Meghna Luthra from InCred Equities. Please go ahead.

Meghna Luthra : Hi. Thank you. Sundeep , I just had one question. How much scope do we have to cut down on distribution commissions? And what proportion , like how percentage of the schemes have already been cut?

Sundeep Sikka : We do not have a target for that within that, that how much it has to be cut further and all. I think we will continue evaluating. It also depends on the market conditions, various things. But I think the only thing I would like to answer is I think it's a dynamic, and I think we will keep evaluating at different points of time. So, at this point of time three schemes which are 45% of our equity AUM, we have already cut there. So, again, I will repeat, we do not have any target. It all depends on the market conditions, industry, and various other factors.

Meghna Luthra : Okay. Is there anything lined in this quarter that you would be cutting or maybe not?

Sundeep Sikka : If there is anything, in the next quarterly call we will share with you.

Meghna Luthra : Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Q1 FY26 Earnings Call

Page 17 of 17

Data Classification: Internal Use Only

Parag Joglekar : So, thank you, all of you, for joining this Conference Call . And for any question s if you have, which you want any insights, you can touch base with Arash, our Head of IR, and we will be happy to answer. Thank you.

Moderator: Thank you. On behalf of Nippon Life India Asset Management Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines .

## Call: Nov 2025

November 3, 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA  
Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2025, conducted after the meeting of Board of Directors held on October 30, 2025, for your information and records .

The above information is also available on the website of the Company:  
[https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference- Call-Transcript -for-Q2-FY-2026.pdf](https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q2-FY-2026.pdf)

Thanking you,  
Yours faithfully,  
For Nippon Life India Asset Management Limited  
Valde Varghese  
Company Secretary & Compliance Officer  
Encl: a/a

Page 1 of 16  
Data Classification: Public

Nippon Life India Asset Management Limited  
Q2 FY2026 Earnings Conference Call

October 30, 2025

### MANAGEMENT:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ASHISH CHHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MS. MEGHNA LUTHRA – INCRED EQUITIES

Q2 FY26 Earnings Call  
Page 2 of 16

Data Classification: Public

Moderator: Ladies and gentlemen, good day, and welcome to Nippon Life India Asset Management Limited Q2 FY26 Earnings Conference Call hosted by InCred Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Meghna from InCred Capital. Thank you, and over to you, ma'am.

Meghna Luthra: Thank you, I sir, and good evening to everyone. On behalf of InCred Equities, I welcome you all to Nippon Life India Asset Management Second Quarter FY '26 Earnings Conference Call. We have along with us Mr. Sundeep Sikka, Executive Director. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. Sundeep sir for his opening remarks. Over to you, sir.

Sundeep Sikka: Good evening and welcome to our Q2 FY26 earnings conference call. We have with us, Chief Financial Officer – Parag Joglekar, Chief Business Officer - Saugata Chatterjee, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand -over to Parag, to speak in greater detail on the recent Industry trends as well as our performance, post which we will move on to QnA.

Coming to the Key Highlights:

1. I would like to start by mentioning that NAM India has achieved its highest ever quarterly Operating Profit at INR 4.19 bn.
2. Further, NAM India was the fastest growing AMC in the Top -10 AMCs in H1 FY26.

Q2 FY26 Earnings Call  
Page 3 of 16

Data Classification: Public

3. This led to an increase in our Overall AUM & Equity AUM market share.
4. We had the highest increase in AUM market share in the Industry in H1 FY26.
5. Our market share at 8.51% is our highest since June 2019.
6. Importantly, both Equity Net Sales market share and SIP market share remained well above our Equity AUM market share.
7. Our SIP market share was again greater than 10% in September 2025, and our Equity Net Sales market share was in the high single -digits for the quarter.
8. Also, happy to share that the Board of Directors has declared an Interim Dividend of INR 9.00 per share along with the Q2 FY26 results.

Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar: Thanks, Sundeep. Let me start off with the markets: Equity markets in Q2 FY26 witnessed a decline from prior quarter levels. The NIFTY decreased by 3.6% QoQ, while the NIFTY Mid & Small Cap indices decreased by 4.3% & 6.2% QoQ, respectively. The repo-rate was stable at 5.50%, while the 10 Year G-Sec yield increased by 25 bps QoQ to 6.58%.

Coming to data on the Mutual Fund industry:

1. Industry QAAUM grew by 16.5% YoY and 6.9% QoQ in Q2 FY26 to INR 77.1 trillion .
2. The share of Equity in overall AUM increased marginally QoQ , ending at 56.8% for Q 2 FY26, from 56.6% in Q 1 FY26.

Now, moving to Industry flows:

1. The Equity category (excluding index funds and arbitrage funds ) witnessed a gross inflow of INR 2.62 trillion and a net inflow of INR 1.41 trillion . Both gross inflows and net inflows were higher QoQ .
2. Categories with the highest inflows were Flexi Cap, Small Cap and Mid Cap funds .

Q2 FY26 Earnings Call

Page 4 of 16

Data Classification: Public

3. The Fixed Income category i.e. (Debt + Liquid), witnessed a net outflow of INR 28 bn in the quarter , after a net inflow in the prior quarter .
4. The ETF category had a net inflow of INR 317 bn.

Moving on to SIP:

1. Industry SIP contribution for the quarter was INR 861 bn, up 21% YoY and 7% QoQ .
2. Monthly SIP flows in Sep-2025 stood at INR 294 bn – an all -time high .
3. Further, contributing SIP folios increased by 6.1 mn i.e., 7% higher to 92.5 mn for Sep -2025 over Jun -2025.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 57.0 mn i.e., an increase of 14% YoY .

Now moving to our business performance :

1. We closed the quarter with total assets under management of INR 7.61 trillion . This includes Mutual Funds, Managed Accounts , Offshore Funds and GIFT City .
2. Our Mutual Fund QAAUM grew 19.5% YoY and 7.1% QoQ to reach INR 6.57 trillion . We were the fastest growing AMC in the Top -10 in H1 FY26 and had the highest increase in QAAUM market share in H1 FY26 among all AMCs .

I would now like to share a few key highlights for the quarter:

1. Starting with market share - Our market share increased 22 bps YoY and 2 bps QoQ to 8.51%.
2. Our Equity market share increased 17 bps YoY and 9 bps QoQ to 7.13%.
3. The share of Equity AUM in our overall AUM increased by 0.7% QoQ to 47.6% for Q 2 FY26.
4. We achieved a high single -digit market share in net sales in the Equity + Hybrid segment in Q 2 FY26.
5. We continue to have the largest investor base in the Mutual Fund industry, with 21.9 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

Q2 FY26 Earnings Call

Page 5 of 16

Data Classification: Public

6. During the quarter, we also completed the NFO of the Nippon India MNC Fund which collected ~INR 3.8 bn.

I would also like to touch upon some important aspects of our Systematic Book :

1. I am happy to share that there has been continued momentum in our systematic flows .
2. Our monthly systematic book rose by 16% YoY and 10% QoQ to INR

36.4 bn for Sep-2025. This resulted in an annualized systematic book of INR 437 bn.

3. SIP market share stood at 10.02% for Sep-2025 .

Moving on briefly to the ETF Segment:

1. We continue to be one of the largest ETF players with AUM of INR 1.83 trillion and a market share of 19.77%, which increased by 160 bps YoY.
2. Our share in the industry's ETF folios is 50%. We also have 49% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry .
3. The Industry witnessed a surge in Gold & Silver ETF volumes in the quarter. In terms of closing AUM, NIMF's Gold ETF was up 36% QoQ and the Silver ETF was up 89% QoQ. Combined AUM in these 2 ETFs was ~INR 450 bn as of September 30, 2025.
4. In Q2 FY26, we launched 3 new products : 1) Nippon India Nifty 1D Rate Liquid ETF , 2) Nippon India Nifty India Manufacturing ETF , and 3) Nippon India Nifty India Manufacturing Index Fund .

Moving on to our digital franchise:

1. Digital purchase transactions & new SIP registrations rose to 4.2 million in Q 2 FY26, up 18% YoY.
2. Digital Business contributed 7 5% of the total new purchase transactions H1 FY26.
3. NIMF continues to strengthen and enhance its Digital capabilities to meet the ever -growing needs of today's tech savvy investors.

Q2 FY26 Earnings Call

Page 6 of 16

Data Classification: Public

4. Our focus remains on providing best-in-class Digital experiences to our customers with constant additions in features and capabilities across journeys.

Now, I would like to briefly

update you on our subsidiaries and GIFT City:

1. Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 87.2 bn across various schemes, up 30% YoY .
2. In Q2 FY26, we raised INR 6.2 bn of commitment, across various asset classes.
3. Fundraising is currently underway for two of our Listed Equity AIFs, Residential RE fund and Direct VC Fund.
4. Fund deployment across all the strategies was robust in the quarter , with 12 active investments in Performing Credit, and full deployment in our Venture Capital FoF, across 14 funds, with underlying exposure to 410+ startup companies.
5. Our future product pipeline includes: Nippon India Credit Opportunities AIF Scheme 2: second performing credit fund.
6. On the Offshore front - AUM grew 6% in H1 FY26 to INR 161 bn, with inflows coming in from various geographies in Asia, Europe, and Latin America.
7. We continue to expand our footprint in the Japanese Institutional and Retail markets in conjunction with Nissay Asset Management Corporation, Japan.
8. We also continue to expand our footprint in new geographies in the Asian, European and Latin America region.
9. Moving to GIFT City - As stated previously, we currently have 2 feeder funds - namely ' Nippon India ETF Nifty 50 BeES GIFT' Fund , and the Nippon India Large Cap Fund GIFT .
10. The AUM in these funds more than doubled QoQ to USD 31 mn .

Now on to our Financial Performance :

1. For Q 2 FY26, Revenue stood at INR 6.58 bn, up 15% YoY and 8%



QoQ .

2. Other Income stood at INR 0.37 bn, down 70% YoY and 75% QoQ .
3. Operating Expenses stood at INR 2.39 bn, up 16% YoY and 5% QoQ .
4. Operating Profit stood at INR 4.19 bn, up 15% YoY and 11% QoQ .

Q2 FY26 Earnings Call

Page 7 of 16

Data Classification: Public

5. Profit After Tax stood at INR 3.45 bn - down 4% YoY 13% QoQ .
6. For H1 FY26 , Operating Profit grew by 18% YoY, Profit After Tax grew by 7% YoY.
7. Further, the Board of Directors has declared an Interim Dividend of INR 9.00 per share along with the Q2 FY26 results.

With this, I would like to conclude my remarks and open the floor for questions .

Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir firstly, on the regulatory change, the consultation paper, what are your thoughts as to what could be the impact if it is implemented as it is? That would be my first question.

Sundeep Sikka: You want to continue with all your questions, then we can answer it together.

Prayesh Jain: Sure. I'll do that. The second question was on the SIF category, where we've seen quite a few launches -- a couple of launches in the industry. What are your thoughts and what are the plans there for that particular segment?

And do you think that this segment can be a big segment going ahead upon setting up a separate team and what are the thoughts there? And third is a bookkeeping question on what are the yields, realized yields across the category, equity, hybrid, equity debt and liquid and others, yes.

Sundeep Sikka: Prayesh, I'll take the first 2 questions, and I'll request Parag to take the third one. So on the recent SEBI consultation paper, which has come on October 28, firstly, let me say the regulator has been continuously taking steps in the interest of the industry and this seems to be a similar step. We need to look at the paper holistically as it seeks to enhance regulatory clarity and investor protection , but it also promotes ease of regulatory compliance. Now there could definitely be some financial impact. We are still evaluating, but it's only been 2 days, day before yesterday it came, today was a Board meeting. But we are internally assessing it.

Q2 FY26 Earnings Call

Page 8 of 1

6

Data Classification: Public

Ultimately SEBI has always taken feedback from public and basis that have taken some decisions. So this is a consultation paper at this point of time. And the question is, in the present form and manner, there can be some financial impact. We have not been able to calculate what is that impact. But we believe overall, it is not as damaging as we perceived to be. So that's point question number one.

Question number two, SIF, we already have set in a team in place. We have Andrew and team, which is working on SIF. So we are in the process of launching our funds.

To your question, how big, we believe this category can be very, very big because there is an inherent demand. The reason we are trying to go slow on it is we are trying to build up a stronger foundation before we launch the products, I mean, whether to do it from a risk framework point of view and

various other things. But we are very, very bullish about this category.

Parag Joglekar: And Prayesh, on yields, the equity yield is 54 basis, debt is 25, liquid is 12 and ETF overall is 17 basis. The average yield on overall assets is 36 basis, which remains similar as last quarter.

Prayesh Jain: Any -- just a follow-up on that yield part. So any alterations in commissions, something which we have done in this quarter or any changes that we're looking to do going ahead?

Parag Joglekar: Yes. So Prayesh, I was just continuing that. We did one scheme in this quarter, which covers almost overall 4 schemes in the last 2 years, covering almost 60% of the equity AUM, and we have done on a variable basis. So that is a long-term strategy we have always done when we do a reduction or rationalization in the commission.

Moderator: The next question is from the line of Divij Punjabi from Banyan Tree Advisors.

Divij Punjabi: So we're seeing a high increase in other expenses of 9.4% QoQ. So can you just help us understand that increase?

Q2 FY26 Earnings Call  
Page 9 of 16

Data Classification: Public

Parag Joglekar: The other expenses increase is due to some of the branding exercise, which we did in the current quarter, which was not there in the last quarter. Plus there are some investments which we have done on the technology side, which is coming and some of the expenses which are there for the new offices. For that, there are some maintenance charges which have started coming from this quarter.

Divij Punjabi: My second question is around the debt segment. So growth here has started to pick up. So can you just help us understand like which things are doing well here? And what is the outlook going ahead?

Saugata Chatterjee: Yes. So Divij, this is Saugata Chatterjee here. So if you have been following our commentary for the last 3 quarters, we have been communicating that fixed income is one category where we wanted to build up our scale and market share. And across the categories, we have started seeing positive inflows coming in, which includes the short term as well as the longer-term products. And that's, I think, the reason why our market share has started now inching up. And with the view on interest rates from a slightly longer-term point of view being positive, we feel that such products will definitely add value to the investors' portfolio. And we are doing a lot of engagement with investors and distributors to ensure that these categories start getting meaningful allocation into the investors' portfolio.

Moderator: The next question is from the line of Harsh Gupta Madhusudan from I onic.

Harsh Gupta Madhusudan: My question is, is it possible for India to see futures and options on ETFs? Is there a regulatory requirement against it? Or is it just because the AUM is not large enough?

Sundeep Sikka: This is a question I don't think I'll be able to answer. There are certain restr

ictions at this point of time. Currently, we have more vanilla products. But you never know. One good thing is SEBI is always in a conservative mode. So, you may see something like that coming in ETFs also. But at this point of time, it is not there. But the only good thing what has happened is in SIF, this option will be available. So, with respect to ETFs, I mean, it's a future, it will be inappropriate for me to comment on something which the regulation does not allow to do at this point.

Q2 FY26 Earnings Call

Data Classification: Public

Harsh Gupta Madhusudan: Is there any other form of ETF innovation that you have in pipeline for Nippon or across the industry, are you noticing anything?

Sundeep Sikka: So I'll give you a little different perspective - while we'll continue innovating and launching products. But if you see globally, you look at the top 10 economies, countries in the world where the ETFs are of a significant size, 80% to 90% of the ETFs are in the plain vanilla benchmarks.

So like in our case also in India, whether it is Nifty, Sensex, Bank Nifty, Gold. So typically, this is a trend across the world. In some places, it could be 70%, in some cases it could be 80%. So we'll continue working on innovation, but our bigger focus will be to continue to focus on the core products, which are there where the investor appetite is higher and to ensure the lower tracking error than high liquidity.

Moderator: The next question is from the line of Kushagra Goel from CLSA.

Kushagra Goel: Regarding your Non-MF AUM, so just -- I know you talked about how the subsidiary and AIF are growing. But if you could share more color on how we should look at it growing going forward as well? And secondly, if you could share its yield or the fees which you get on that, how should we think about those moving?

Parag Joglekar: So, the idea is to grow our non -MF businesses, and we have a separate subsidiary, which is our alternate investment fund subsidiary, where we continue to grow our AUM, and we continue to keep on doing various launches on private credit, equity, and VC funds. So, we are selling it in India market also in international markets.

So that is the idea, plus growing our offshore subsidiary AUM will also be a focus area for us going forward. Currently, it's a small part of our overall business, but the ambition is to grow bigger. The yield on these products are a wide range. Some of the product, it's in the 60 basis and some product we earn around 120. So the range is very wide.

Moderator: The next question is from the line of Meghna Luthra from InCred Equities.

Q2 FY26 Earnings Call  
Page 11 of 16

Data Classification: Public

Meghna Luthra: I just had two quick questions. One is a data keeping question that is the gold ETF the same yield as other ETF book? And my second question is, I wanted to understand what is the -- what proportion of our sourcing, especially on the SIP front is from fintech. And how do we compete in this segment?

For instance, in the MFD segment, there are elements of relationship with the MFD, the performance of the fund, the location and the commission. So, what elements play out in the fintech segment? These are my two questions. And what proportion is of the SIP book is from fintech?

Parag Joglekar: So gold ETF, the realization is much higher than the average ETF. Our average yield for ETFs is 17 basis points and for a gold ETF, it's higher. To your question on fintechs, I think that we -- if you were to go back to a lot of calls every time we say, I mean, it is not about when investors invest. It is not always about brokerages or anything. It's ultimately a package of trusting the brand performance, various things that pull the investors.

Sundeep Sikka : And from

an earlier question, which was asked to Parag, I've mean with expenses going up to which he answered that. We are investing in building the

brand. It is the brand that pulls the investors towards us, the brand perception performance and especially because we are very strong from a risk management point of view, investors who clearly -- I mean, there are some investors who are always looking for returns, some investors who are more looking at risk-adjusted return.

And I mean those are the investors they get attracted to us. But there is no other pull factor. There's no other factor. I mean these are -- it's a composition of multiple things, brand, emotional connect with the brand and the pull that gets created because of that.

Meghna Luthra: Okay, sir. And what proportion would be source of SIP sourced through fintech...

Sundeep Sikka: SIP fintech is about 25% by value.

Q2 FY26 Earnings Call  
Page 12 of 16

Data Classification: Public

Meghna Luthra: Okay. And the gold ETF number, sir, I don't think we'll be disclosing that, right?

Sundeep Sikka: No, we will not be disclosing that.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Yes, sir. So just wanted to understand like on the rationalization of commissions in one of the schemes. So going ahead, how should one look at this? Like are we planning to do rationalization in those schemes? And secondly, sir, one clarification on the E SOP cost. So as per the filing, it says that our ESOP cost for the quarter was around INR6 crores.

So -- and whereas we have earlier guided that it would be in the range of around INR46 crores to INR48 crores. So I just wanted to understand like how -- so will that cost increase in the next subsequent quarters?

Saugata Chatterjee Okay. So I'll take the first part, Saugata this side. With regard to rationalization, like we have been mentioning that almost 60% of the equity AUM has been covered under the rationalization scheme, and that definitely is a long-term strategy, which we have built. The good part is we have multiple products which are in the process of building up scale.

And hence, we will be conscious of the fact how do we price our products in the market. And as and when the scale and size increases, we will definitely take decisions around those products. As of now, these are the four categories or four schemes where we'll continue to maintain the rationalization, what we have done.

Parag Joglekar: And on the ESOP, the INR6 crores is on the new scheme and the overall spend is for the current quarter is around INR9-odd crores.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just a couple of questions. Firstly, the previous question on the ESOP, so what should be the run rate that we should be taking for the second half and year going ahead? And second is on the offshore business, if I look at the AUM, it's

Q2 FY26 Earnings Call  
Page 13 of 16

Data Classification: Public

been kind of actually on a decline -- slightly declining trajectory from about INR172 billion in September '24 to about INR161 billion in September '25 on the managed side, right? Now why is this kind of stagnant or a slight decline?

And how do you think we can grow this piece of the business?

Parag Joglekar: So on trade on the ESOP, the total expected spend for the year is in the range of around -- the one which we mentioned earlier is in the range of around INR40 crores to INR43-odd crores. Currently, we have around INR18 crores, INR19 crores of hit in the first 2 quarters.

Prayesh Jain: And next year?

Parag Joglekar: Next year, we will be in the range of around -- if the current plan continues, it will be around INR26-odd crores.

Prayesh Jain: G

ot that. And on the question on offshore...

Parag Joglekar: So as you know, Prayesh, the overall geopolitical situation internationally, and that is why the offshore is slightly not grown. And the decline is mainly due to the MTM, which has happened because offshore is a lot of driven by the equity flows in India. So the MTM impact also had on the AUM, which has resulted in lower AUM.

Sundeep Sikka: Only thing I'd like to add is, while definitely, it's a little AUM is lower, but there is a lot of initiatives and activities happening. You will see in the coming few years, I think the AUM from offshore will keep increasing.

Prayesh Jain: While we have kind of altered the commissions, how should we think about the yields going ahead on the equity side? Do you still maintain the 1 to 2 basis points every year on an overall basis?

Parag Joglekar: Yes. So Prayesh, the historical data shows that. And we think that with the growth in the AUM and with the telescopic pricing, we remain in the range of around 2 basis every year...

Prayesh Jain: On the equity or on the overall?

Q2 FY26 Earnings Call

Page 14 of 16

Data Classification: Public

Parag Joglekar: Overall, overall...

Moderator: The next question is from the line of Mohit from Centrum.

Mohit: My first question is actually, I was looking at your distributed assets pie chart, and I see the retail share jumped sequentially from 50% to 54%, whereas corporate fell from 14% to 11%. So, one -- so how should one read into this? And do you think that retail gain is kind of sustainable?

Saugata Chatterjee Saugata, this side. So I think it's an important question because like you have been observing our commentary and what we have been communicating is that we have a very strong retail franchise through the mutual fund distributors as well as our SIP book is increasing.

The growth of SIP book, the growth of equity assets and the deepening of the investor base, what we have done by going deep into India is resulting in more retail money coming to us, which probably is something which we will keep building on because these are long -term assets, what we are gaining.

We also did mention to you that we are trying to build our fixed income business through the distribution channel. That's also helping us to get a lot of retail money now into mutual funds. So the pie shift has happened. It may not increase substantially f rom here on, but the overall growth in the distribution business will definitely happen as we go ahead.

Mohit: Understood. That is helpful. Secondly is in terms of the branch expansion. So

I think you opened five branches in Q2. So, what is your strategy going forward? And what will be the impact on your operating expenses on the same?

Sundeep Sikka: I don't think the impact on the new branches will be very high. So what we are doing is basically, -- to break it down in 2 parts. one is, some of the old existing branches which were there, we will refurbish bigger branches more in the format of banking kind of a thing, where it's more, I mean, a customer -friendly kind of thing. That is one.

And the other branches which we plan to open in very small cities and towns . I mean out there, the cost is not very high. So I mean, I don't think so from the

Q2 FY26 Earnings Call  
Page 15 of 16

Data Classification: Public  
cost point of view, the branches will be high. The only cost that you have seen in this financial year is going to be the new office that we have acquired. So -- but that's going to be a onetime thing, but branch cost will not be very high.

Mohit: Okay. But what is the strategy? I think you would open such branches in the, say, next 18 to 24 months as well?

Sundeep Sikka: So we would like to refurbish a lot of our branches, which were more basically in the old format. I mean when there are smaller branches and all, we are trying to be more visible. Bigger branches, more bank kind of branches. So I mean, if you were to see our branches in Jaipur, Surat, Bhubaneswar, I mean, they're very unconventional branches -- mutual fund branches, they're more similar to bank branches. So that's the concept that we are working on.

Mohit: Understood. That is helpful. My last question is in terms of the market share in ETF business. I think it's very healthy. We have kind of expanded as well if I look over the last 12 to 14 quarters. But if I look sequentially, it was kind of flattish. And basically, my question is that, do you think that owing to competition, we have peaked at around 20% market share? Or do you think there's scope for further expansion?

Sundeep Sikka: I don't think it's a question of competition. I mean, if you were to again look at it globally ETF business, the top 2 or 3 players typically take 80% to 90% market share on their liquidity. What you have seen is because we had a little bit of EPFO money, which was in CPSE ETF long back. As per the public information available, they are booking some profit.

But overall, I have taken the other way around during Diwali period, if you look at gold and silver ETF, we were 53% volume on the stock exchange. And this continues to grow. So at a healthy 20%, even if we were to maintain the same number and the market grows, it's a very big positive for us.

Mohit: Congratulations , Sundeep sir, for reappointment as MD and CEO.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Q2 FY26 Earnings Call  
Page 16 of 16

Data Classification: Public  
Parag Joglekar: So, thank you all. Thank you all for joining this call. If you have any questions, you can connect with our Investor Relations Lead - Arash, and we are happy to answer your questions. Thank you.

Moderator: Thank you, sir. On behalf of Nippon Life India Asset Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2026

February 2, 2026

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA  
Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter and nine months ended  
December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2025, conducted after the meeting of Board of Directors held on January 29, 2026, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q3-FY-2026.pdf>

Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 18 Data Classification: Public

Nippon Life India Asset Management Limited  
Q3 FY2026 Earnings Conference Call

January 29, 2026

### MANAGEMENT:

- MR. SUNDEEP SIKKA – EXECUTIVE DIRECTOR & CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. SAUGATA CHATTERJEE – CHIEF BUSINESS OFFICER
- MR. ANDREW HOLLAND – HEAD (NEW ASSET CLASS)
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ARUN SUNDARESAN – HEAD OF ETF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE, JAPAN

MODERATOR : MS. MEGHNA LUTHRA – INCRED EQUITIES

Q3 FY26 Earnings Call

Page 2 of 18

Data Classification: Public

Moderator : Ladies and gentlemen, good day, and welcome to Nippon Life India Asset Management Limited Q3 FY'26 Earnings Conference Call hosted by InCred Equities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Meghna Luthra from InCred Equities. Thank you and over to you, ma'am.

Meghna Luthra: Thank you, Ikra, and good evening to everyone. On behalf of InCred Equities, I welcome you all to Nippon Life India Asset Management Q3 FY'26 Earnings Conference Call.

We have along with us Mr. Sundeep Sikka, Executive Director and CEO. We are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep sir for his opening remarks. Over to you, sir.

Sundeep Sikka: Thanks a lot. Good evening and welcome to our Q3 FY'26 Earnings Conference Call .

We have with us, Chief Financial Officer – Parag Joglekar, Chief Business Officer - Saugata Chatterjee, Head of New Asset Class – Andrew Holland, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head ETF - Arun Sundaresan, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand -over to Parag, to speak in greater detail on the recent Industry trends as well as our performance, post which we will move on to QnA.

Q3 FY26 Earnings Call

Page 3 of 18

Data Classification: Public

Coming to the Key Highlights:

- 1) I would like to start by mentioning that during this quarter, NAM India has crossed the milestones of INR 8 trillion of total AUM and INR 7 trillion of Mutual Fund AUM.
- 2) Further, NAM India achieved its highest ever quarterly Operating Profit at INR 4.58 bn as well as Profit After Tax of INR 4.04 bn.
- 3) NAM India was also the fastest growing AMC in the Top -10 AMCs in Q3 FY26 and 9M FY26.
- 4) This led to a continued increase in our overall AUM market share.
- 5) We had the highest increase in AUM market share in the Industry in Q3 FY26 and 9M FY26.
- 6) Our market share at 8.65% is our highest since June 2019.
- 7) Importantly, both Equity Net Sales market share and SIP market share remained well above our Equity AUM market share – with both being in the high-single digits for the quarter.
- 8) Lastly, on our AIF subsidiary. Our Board of Directors at their meeting on November 13, 2025, authorised the Company to enter into a strategic collaboration with DWS Group (a leading European Asset Manager), wherein DWS intends to acquire a minority stake of up to 40% in Nippon Life India AIF Management Limited by subscribing to fresh issuance of equity shares. Further, as part of a wider collaboration, NAM India and DWS will also work closely in other areas including passive investment products and global distribution.



Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar : Good evening. Thanks, S undeep.

Let me start with the markets :

Equity markets in Q3 FY26 witnessed a pick -up from prior quarter levels. The NIFTY increased by 6.2% QoQ, the NIFTY Mid Cap index increased by 5.9% QoQ, while the NIFTY Small Cap index was flat QoQ. The repo -rate decreased 25 bps to 5.25%, while the 10 Yea r G-Sec yield increased by 1 bp QoQ to 6.59%.

Q3 FY26 Earnings Call

Page 4 of 18

Data Classification: Public

Coming to data on the Mutual Fund industry:

1) Industry QAAUM grew by 18% YoY and 5% QoQ in Q3 FY26 to INR 81

trillion.

2) The share of Equity in overall AUM increased marginally QoQ, ending at 57.0% for Q3 FY26.

Now, moving to Industry flows:

1) The Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.54 trillion and a net inflow of INR 1.11 trillion. Both gross inflows and net inflows were lower QoQ.

2) Categories with the highest inflows were Flexi Cap, Multi Asset Allocation and Mid Cap funds.

3) The Fixed Income category i.e. (Debt + Liquid), witnessed a net inflow of INR 17 bn in the quarter, after a net outflow in the prior quarter.

4) The ETF category had a net inflow of INR 522 bn.

Moving on to SIP:

1) Industry SIP contribution for the quarter was INR 900 bn, up 17% YoY and 5% QoQ.

2) Monthly SIP flows in Dec -2025 stood at INR 310 bn – an all -time high.

3) Further, contributing SIP folios increased by 5.4 mn i.e., 6% higher to 97.9 mn for Dec -2025 over Sep -2025.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 59.0 mn i.e., an increase of 12% YoY.

Now moving to our business performance:

1) We closed the quarter with total assets under management of INR 8.16 trillion. This includes Mutual Funds, Managed Accounts, Offshore Funds and GIFT City.

2) Our Mutual Fund QAAUM grew 23% YoY and 7% QoQ to reach INR 7.01

trillion. We were the fastest growing AMC in the Top -10 in Q3 FY26 & 9M FY26 and had the highest increase in QAAUM market share among all AMCs.

Q3 FY26 Earnings Call

Page 5 of 18

Data Classification: Public

I would now like to share a few key highlights for the quarter:

1) Starting with market share - Our market share increased 35 bps YoY and 14 bps QoQ to 8.65%.

2) Our Equity market share increased 11 bps YoY and was stable QoQ at 7.13%.

3) The share of Equity AUM in our overall AUM decreased by 0.6% QoQ to 47.0% for Q3 FY26.

4) We achieved a high single -digit market share in net sales in the Equity + Hybrid segment in Q3 FY26. However, excluding NFOs our market share would be in double digits.

5) We continue to have the largest investor base in the Mutual Fund industry, with

22.7 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book:

- 1) I am happy to share that there has been continued momentum in our systematic flows.
- 2) Our monthly systematic book rose by 12% YoY and 3% QoQ to INR 37.6 bn for Dec -2025. This resulted in an annualized systematic book of INR 451 bn.
- 3) SIP market share stood at 9.82% for Dec -2025.

Moving on briefly to the ETF Segment:

- 1) We continue to be one of the largest ETF players with AUM of INR 2.09 trillion and a market share of 20.31%, which increased by ~220 bps YoY.
- 2) Our share in the industry's ETF folios is 48%. We also have 51% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.
- 3) The Industry continued to witness a surge in Gold & Silver ETF volumes in the quarter. Combined AUM in these 2 ETFs for NIMF was ~INR 688 bn as of Dec 31, 2025, up 54% QoQ. Subsequently, the combined AUM in these 2 ETFs has crossed INR 1 trillion in Jan -2026.
- 4) Our Gold ETF was among the Top -15 globally in terms of inflows in 2025.

#### Q3 FY26 Earnings Call

Page 6 of 18

Data Classification: Public

Moving on to our digital franchise:

- 1) Digital purchase transactions & new SIP registrations rose to 4.32 million in Q3 FY26, up 6% YoY. We had our highest ever monthly transactions in Dec -2025 at 1.56 million.
- 2) Digital Business contributed 77% of the total new purchase transactions Q3 FY26.
- 3) NIMF's Unified Digital Ecosystem continues to serve a multitude of digitally native investors, meeting their ever -growing needs by providing best -in-class digital experiences across their

preferred touchpoints.

Now, I would like to briefly update you on our subsidiaries and GIFT City:

- 1) Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 89.2 bn across various schemes, up 28% YoY.
- 2) In Q3 FY26, we raised INR 2 bn of commitment, across various asset classes.
- 3) Fundraising is currently underway for two of our Listed Equity AIFs, one Private Credit fund, and Direct VC Fund.
- 4) We achieved our largest fundraise to date with our maiden Private Credit fund, Nippon India Credit Opportunities Fund (NICO 1), which is now fully drawn down and deployed. Based on the success of the first fund we have now launched the second series, NICO 2.
- 5) On the Offshore front - AUM grew 7% in 9M FY26 to INR 162 bn, with major inflows coming in from various geographies in Asia and Europe.
- 6) Moving to GIFT City - As stated previously, we currently have 2 feeder funds - namely 'Nippon India ETF Nifty 50 BeES GIFT' Fund, and the Nippon India Large Cap Fund GIFT.
- 7) The AUM in these funds grew 35% QoQ to USD 41 mn.

Now on to our Financial Performance:

- 1) For Q3 FY26, Revenue stood at INR 7.05 bn, up 20% YoY and 7% QoQ.
- 2) Other Income stood at INR 0.75 bn, up 3.9 times YoY and 1.1 times QoQ.
- 3) Operating Expenses stood at INR 2.48 bn, up 17% YoY and 4% QoQ. Excluding the impact of the New Labour Code, Operating Expenses grew 14% YoY and 1% QoQ.
- 4) Operating Profit stood at INR 4.58 bn, up 22% YoY and 9% QoQ.
- 5) Profit After Tax stood at INR 4.04 bn, up 37% YoY and 17% QoQ.

6) For 9M FY26, Operating Profit grew by 20% YoY, Profit After Tax grew by 16% YoY.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Lalit Mohan Deo from Equirus Securities.

Please go ahead.

Lalit Mohan Deo: Sir, I have two questions. Firstly, we have seen some sharp growth in gold and silver ETFs. Could you also give us a share in terms of the topline, like how much of the revenues do come from these two segments? And also, a bookkeeping question, could you spell out the segment -wise yields in equity, debt, liquid, and ETFs? And lastly, we are seeing some moderation in the market share and monthly shift flows. Is there anything material to read over there?

Parag Joglekar: So, Lalit, the yield for equity is around 53 basis. Debt is 25 basis. ETF is 20 basis. And overall yield is 37 basis. We don't specifically give asset class -wise fees and their contribution to revenue. But as you rightly said, our overall gold and silver pie in the overall A UM has increased. So, it has impacted the increase in the overall revenue also.

Saugata Chatterjee : Sir, on the point of the SIP market, there is a slight dip in the market share. So, like it was mentioned in the opening speech, there has been a market volatility which is there in the equity market. And if one has seen the AMFI data, the flows in equities are now narrowing down to certain categories. There is one category called Flexi Cap which is a very large category in the MF industry, which is where there is a lot of investment coming in. We are working towards building our market share in that particular category or any other alternate category. But else, our SIP flows are consistently moving up, barring these few aberrations during the course of the quarter.

Lalit Mohan Deo: Thank you.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Congrats on a good set of numbers. Firstly, just a probably naïve question here. But when you, gold E

TFs and silver ETFs basically purchase, what nature of gold and silver and then?

Parag Joglekar: As per SEBI regulation, it is all backed by physical asset class.

Prayesh Jain: And you cannot take any exposure to derivatives on this?

Parag Joglekar: No, we cannot. Not only we, SEBI does not allow for any SEBI registered ETF.

Prayesh Jain: Okay, got that. Sorry. The other question was on, if I look at the cost and particularly the overall cost for us has been quite moderate in this quarter. Happy to see that. But what is the kind of driving force behind the moderation in other expenses on a sequential basis in this quarter? Was there any one-offs in the previous quarter which have not come in this quarter?

Parag Joglekar: No, there is nothing specific. The cost is more or less lying in the last quarter. There is a small dip which is there. But there is nothing to read in this.

Prayesh Jain: Okay.

Parag Joglekar: We will at times continue with the discretionary spending depending on the market conditions, branding, technology, various things. But I would not like you to see it as any directional thing if it has come down. It is in line with our overall planning.

Prayesh Jain: I think you mentioned the guidance of 15% growth in overall expenses. That should sustain for next year also?

Parag Joglekar: Yes, it should.

Prayesh Jain: And structurally, how do you think passive as a segment has been growing very strongly? So, from a contribution of profit perspective or some  
Q3 FY26 Earnings Call  
Page 9 of 18

Data Classification: Public

understanding as to given the scale that Nippon AMC has on the passive side which is not linked to EPFO, there is a massive size out there. Some understanding as to what is the contribution that comes into the profit. Like you mentioned, the yields on the ETF. But what is the kind of cost against it? How do we kind of size the profitability against this category? And that has been growing at a very fast pace.

Sundeep Sikka : So, we break it into two parts. One is profitability and how do you see from future point of view? From our point of view, the way we see is in the Indian context, both active and passive will continue to grow at a very strong pace. And these are totally two different verticals. I mean it is not one is cannibalizing the other. These are two different set of investors who would like to go for passive and there are investors who would like to go for active. We are in a very strong and dominant position where both as far as active and passive, we have a very strong record and also trusted by millions of investors. I want to also give you another way to look at this specifically for the ETF business. Unlike mutual fund business, ETF business globally, the top 2-3 players always have the lion's share. Because I mean unlike a mutual fund where an investor typically likes to diversify in 2-3 different schemes , here the underlying is the same. And typically for us because we have, as we talked about today, more than 56 lakh investors. More investors mean more liquidity, more trading and it is a chicken and egg. And that is exactly the reason you see, you talked about gold and ETF earlier, someone asked this question, the fact that between gold and silver ETF, we are ~35% of the entire industry. So, we will continue. We believe this does not have any additional cost. This is a scale game. And this is not a business which can be replicated very easily. Again, I repeat, globally, country after country, the top 3-4 will have 80 %-90%. Then you will have a long tail with 2%-3%-4%. So, that is one. On the yields, the blended yield for ETF is around 20 basis. And so, it is a very profitable business to run. As the cost is very low and the new increase in the AUM doesn't really require to have a higher cost element. So, it is a very profitable business.

Prayesh Jain

n: Got that. Thank you so much.

Q3 FY26 Earnings Call

Page 10 of 18

Data Classification: Public

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum . Please go ahead.

Mohit Mangal: Thanks for the opportunity . Congratulations on a good set of numbers. First question is towards the SIF strategy. First of all, how do you intend to take it forward? And now it is a six -member team, so how will the economics work in terms of yield and profitability?

Sundeep Sikka: So, as you rightly mentioned, we have a team led by Andrew Holland. We are very bullish and excited about SIF. We believe it has just started over the last 3-4 months ever since the scheme has started, which are about 4,000 crores - 5,000 crores have been collected. But this is like the starting of the mutual fund

industry, because for this segment, the segment which is the H NI segment they are accredited investors. We believe this will become a very important and critical area. And from our point of view, we will continue investing as a six-member team today. We are at this point of time also back-testing, getting risk management ready. We believe this will be a very important segment. If I was to look at what you talked about, the earlier question I was to go, a separate vertical of ETF and passive was discussed. I believe when we will be discussing 5 or 10 years down the line, SIF will be a separate business vertical, and we will be discussing that in that much detail.

Mohit Mangal: Right. But do you think that over the medium term, next 2 to 3 years, we will have decent yields on these businesses, or do you think it will be little on our lower side?

Sundeep Sikka: It depends on different players, how they want to approach it. Somebody may want to do it for AUM, may want to do it at lower yields. We are very clear. We would like to add value to the investors and do it at higher yields. So, we do not want to run it like a liquid fund. We do not want to run it like a passive fund. This is a specialized product. We clearly see if you can add value to the investor, the investor will be willing to pay. So, our strategy for SIF will be not AUM but more profitability.

Q3 FY26 Earnings Call

Page 11 of 18

Data Classification: Public

Mohit Mangal: Understood. This is very clear. Secondly, in terms of growth, I think we had very, very solid growth led by equity and debt. But I think liquid has kind of disappointed. So, do you think that is a concern or will it bounce back in Q4?

Sundeep Sikka: I think I will rephrase the word disappointed to yes, it was a little lower. It is a temporary thing that keeps happening at times. I do not think you should read too much into it. Overall, as a company, as a portfolio, there will be at times, there could be a particular scheme or a set class which may underperform for one particular quarter. But I will request you not to read too much into it.

Mohit Mangal: Understood. My last question is towards the performance. We have been in the top quarter over a longer period of time, greater than three years. But I think in some of the schemes, our short-term performance has been a little weaker. So, are we coming out with any strategies to prove that or do you think that it will become more clear maybe next 3 to 6 months down the line?

Sundeep Sikka: Even as we talk today, almost two-thirds of our key equity funds are in the top two quartiles over one year bucket. Definitely we continuously keep monitoring our equity debt performance very closely. However, we have to also differentiate between noise and sound because what you have to see is last one year, market has been volatile and has not moved in any particular direction. And certain things may not have played out the way we expected. But is it basically a reason for us to panic or try to change the portfolio? The answer is no. We

stick to our conviction. So, this 1 or 2 quarters plus or minus does not matter. Effectively we are not going to be taking much, a lot of extreme steps. But we continue monitoring the schemes very closely.

Mohit Mangal: Understood. This is very clear. Thanks, and wish you all the best.

Sundeep Sikka: Thank you very much.

Moderator: Thank you. The next question is from the line of Ankit Bihani from Nomura. Please go ahead.

Ankit Bihani: Hi. Thank you for the opportunity and congrats on a good set of numbers. So, my question is on the yield part. So, the yield has held up quite well on the

Q3 FY26 Earnings Call

Page 12 of 18

Data Classification: Public

QoQ basis while we have seen substantial growth in the lower yielding ETF

space also. So, what has led to that? And the second is, have you done any assessment on the new SEBI regulations and what could be the impact?

Parag Joglekar: So, the yield on ETF is mainly driven by the gold and silver commodities ETF which has been helping the yield to grow on the ETF side, and which is resulting in the overall increase in the yield because the ETF as a pie is increasing in the overall AUM. So, that has helped to improve the overall yield on ETFs. On the SEBI regulation, the regulator has been consistently taking steps in the interest of industry and the investors, and this is one of the steps in the same direction. Coming to specifics, the removal of the 5 basis points exit load will surely have some impact on the overall industry equity-oriented AUM and even the revision in TER slab will have some impact on the bigger scheme but on the smaller scheme it will see some benefit. Lastly, the brokerage on the cash transaction was reduced to 6 basis against 12 basis but the average brokerage used to be in the range of around 8-8.5 basis on cash transaction so there is not much dip on that side. So, this will not have a major thing to read currently. Anything which comes as an impact, we will have to look at how we will adjust or do it in our financials, how to pass on or anything.

Sundeep Sikka: And Ankit, also to add to what Parag mentioned, over the last 2-3 years, as I have always mentioned, irrespective if it is not the regulator, whether it is the regulatory push, whether it is the investor demand, one needs to be mentally prepared that the yields can come down by 1 or 2 basis points year after year and that is the direction we will keep moving. Whatever the reason, the idea is how do you build up efficiency in the Company to absorb that.

Ankit Bihani: Agreed, yes. And just a follow-up, so on the ETF space, what I could understand, the yields are higher on the gold ETF side. Could you give a number? I think 30-35 would be a fair assumption?

Sundeep Sikka: Blended is 20, Parag just mentioned that, 20 basis points.

Ankit Bihani: But what would be for the gold-silver ETFs?

Q3 FY26 Earnings Call

Page 13 of 18

Data Classification: Public

Parag Joglekar: You can check in TER because it is publicly documented. Gold is around 60 basis, and silver is around 30 odd basis.

Ankit Bihani: Okay, 60 for gold and 30 for silver. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Kumar from Vaikarya Fund. Please go ahead.

Rahul Kumar: Hi. Just one question. Can you help us understand the trends on the net flows on your small-cap funds?

Saugata Chatterjee: See, the small-cap fund, as you know, it has been almost two years, we have stopped taking lump sum investments. We were very clear that at that point in time, the market was getting more heated, and I think we were right to have arrested more flows in this fund. As we speak, we continue to be in that camp. Like you have heard Parag saying that last year also, the small-cap index did have a negative return. The valuations are still stretched, though there is some news flow or noise about small-caps getting rightly valued. But we are in the camp of still observing the valuation movement from here on. The earnings trajectory also is going to be something which we are going to look at very minutely. So, maybe at this point in time, we still believe that flows into this fund should be through SIP. We have not yet seen any sort of negative net flows in this fund. This fund continues to be net sales positive. But yes, directionally the inflows are going down because lump sums we don't accept in this fund.

Rahul Kumar: Okay. And I think on Flexi Cap, you mentioned that you are seeing a strong correction.

Saugata Chatterjee : Correct .

Rahul Kumar: And over there, it seems like you are trying to improve. Can you help us understand that point as well?

Saugata Chatterjee : Yes, so if you go back to history, the Flexi Cap category in the industry is a new category which was approved by SEBI. And that's when many of the

Q3 FY26 Earnings Call

Page 14 of 18

Data Classification: Public

multi -cap funds or the large and mid -cap funds which were having a flexi sort of a strategy got migrated into the Flexi Cap category and that's the reason why this category became big. We were late starters in 2021 with this fund. And it's a five -year product at this point in time. The mid and small -cap correction which has happened has impacted, does impact the fund performance in the near term. And what we are looking at is that how do we bring in more stability into this performance. And that should lead us to start getting more market share in the Flexi Cap category. So, that's where we stand at this point in time. So, for sure, Money flow and SIPs are moving into this category. As you also should know that the Flexi Cap schemes in the industry are more large -cap oriented. We want to be true to Flexi Cap. Hence, sometimes near -term performance might impact the near -term return. But we will stick to our mandate of being true blue Flexi Cap.

Rahul Kumar: Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Sa khare from Kot ak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good evening everyone. My first question was, is it possible to indicate or give some sense of what would be your flow market share in gold and silver ETFs?

Sundeep Sikka : It would be approximately 30%.

Abhijeet Sakhare: Got it. And like in terms of yields, what I saw from AMF I disclosures is that the yields on the gold and silver ETFs, if I kind of combine that book, is probably better than what you get on your equity book. So, the question here was that, as we look into the next few quarters, do we get a sense that it's possible that our yields kind of inch upwards , could remain flat even while the overall AUM keeps growing?

Sundeep Sikka : Again, we won't be able to do a futuristic thing, but the only thing specific to ETF I can share with you, when there is a higher liquidity, it adds value to the investor by low tracking error, low impact cost, and allows you or gives you the cushion to charge higher. That's the only thing I can share with you at this

Q3 FY26 Earnings Call

Page 15 of 18

Data Classification: Public

point of time. Which way it will go, we do not know, because the mix will keep changing. But the only thing, generally, when we talk of ETFs, and I'm not sticking to gold or this thing, liquidity helps the investor get a lower impact cost, low tracking error, and these two things put together, if you get it right, it allows you the capability to charge higher. Whether you charge or not is a different thing, but it allows you to charge higher. And you are not forced to play a game of lowering the expenses to garner AUM.

Abhijeet Sakhare: Got it. So, is it fair to assume that your price to NAV gap or the tracking error would be one of the best in these two categories?

ories?

Sundeep Sikka : Very much.

Abhijeet Sakhare: Okay, got it. And then, on the OpEx , did I hear this number correctly, that for next year, we are looking at somewhere close to 15% headline growth in overall OpEx ?

Parag Joglekar : We've been consistently saying, I think you can look at expense growth of about 15%, plus, minus 1-2. That's what we've always said.

Abhijeet Sakhare: Okay. Got it. That's all from my side. Thank you so much.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Meghna Luthra from InCred Equities. Please go ahead.

Meghna Luthra: Hello. Thank you for the opportunity. Sir, I just wanted your thoughts around the SIP movement. Do you think it has any correlation with the slowdown in thematic and sectoral schemes? Or general market sentiment, broad market sentiment is what it is following? Do we see that the pace of SIP flows will now stagnate or plateau at these levels?

Sundeep Sikka: It will be very difficult to predict that. What we have seen in past is, it depends on which segment you are catering to. When you look at the segment which is basically SIPs which are, let's take, 20,000 -50,000 and above, they are more

Q3 FY26 Earnings Call

Page 16 of 18

Data Classification: Public

vulnerable to market conditions. Compared to very small retail ticket size, they are not as vulnerable. So, we continue, our focus continues to be on very small ticket size, which is one. Having said that, whenever it is not a thematic or this, if investors over a longer period of time, see over 2 -3 years ' time, the returns are not there . There can, from a sentiment point of view, there can definitely be a slowdown. I am not saying it will go negative, but growth can slow down for sure. If it is over a long er period of time, investors see negative growth or no growth in the portfolio.

Meghna Luthra: Got it, sir. Sir, on the ticket size, what would be our average ticket size on the SIP and SIP?

Sundeep Sikka : For us, 75% of SIPs by value have a ticket size of less than INR 10,000.

Meghna Luthra: Okay, so that is very granular. Got it. And, sir, again a similar question on the offshore fund. Is there, how do you think that the book will move going forward? I know it is difficult to give guidance, but any sentiment or color on that?

Sundeep Sikka: I have mentioned in past also - clearly we would have expected offshore contribution to be higher. It has taken a little more time; it is a little binary. Unlike SIP, when we talk, when you are doing, whether you will get 1 lakh SIP or 90,000 SIP or 1 ,10,000 SIP, I mean it is very easy to predict, that could be plus minus 10 % variation. But majority of these businesses also have institutional deal mandates. It will be difficult to predict which direction will go, but all I can share with you, I shared in the last meet also, that there is a lot of work in progress that is going on. We, clearly a lot of work going on in Japan. We launched the first NISA scheme in Japan. As I mentioned in my speech earlier, our AIF is getting into a JV with DWS. Again, the idea will be to get more global flow into India. So, this is again continuous work in progress. It will be very difficult to give guidance on this. In the last few years also, USD-INR depreciation has also gone against us. But there is a lot of work in progress you would see over the next 2 -3 years. I think more positive numbers on this compared to what you have seen in the last few years.

Q3 FY26 Earnings Call

Page 17 of 18

Data Classification: Public

Meghna Luthra: Okay, got it. That is very helpful. And sir, on this deal, do you think, I mean, I know it is a small, I mean, proportion of the whole book. But can you give more color on this, on the transaction? When is it likely or anything?

Sundeep Sikka: At this point, we will not , as shared with th



e stock exchange on 13th of November. It is a non-binding agreement we have got into DWS. As and when there is further update, we will be coming back to you, sure.

Meghna Luthra: Okay, sir. And lastly, on giving this guide on the ESOP expense, what it was this quarter and how do we look at it going forward?

Parag Joglekar: Yes, so ESOP expense for this quarter was around Rs. 11 crores. And for next year, of the current ESOP scheme, we are expecting ESOP expense rate of around Rs. 26 crores for the next financial year.

Meghna Luthra: Okay, got it. Thank you. That is all from my side.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Thanks for the follow-up. Just one question. So, last quarter, you said that you have been successful in rationalizing distributor commission across four equity schemes, which covered around 60% of total equity area. Any further, I mean, developments in this quarter?

Sundeep Sikka: Directionally, we will keep moving in that direction. I think quarter-by-quarter, number of schemes will be very difficult to share with you. But directionally, as Parag mentioned, with respect to the SEBI changes, the new regulation, we will try to mitigate any impact on us by either absorbing, or by getting better efficiency or passing on. We will continue working on those lines.

Mohit Mangal: Understood. This is helpful. Thank you.

Moderator: Thank you. We have one more question. It is from the line of Gaurav Jani from PL Capital. Please go ahead.

Q3 FY26 Earnings Call

Page 18 of 18

Data Classification: Public

Gaurav Jani: Thank you. Sir, just two quick questions. You mentioned the ESOP charge for the quarter to be about Rs. 11 crore. The notes to accounts mention Rs. 6 crores. So, where is the difference? Please explain.

Amol Bilagi: So, the 6 crore pertains to the new ESOP scheme, which was granted in the current financial year. And 11 crore is the overall ESOP expense, including the new scheme and the old scheme.

Gaurav Jani: Okay. Understood. That is clear. Secondly, I had a question on the "Labour Code" impact incrementally. So, this quarter we have taken the one time. By how much would the staff cost increase or how should we kind of look at that?

Parag Joglekar: So, the "Labour Code" impact is the one-time changes to the gratuity. There are still some clarifications still awaited. So, we will do a needful, if anything, in the March quarter. But the one-time impact is on the gratuity changes on the basic and definition of wages, which has been notified, which has been taken in the financials.

Gaurav Jani: So, as of now, sir, no incremental material impact seems to be there?

Parag Joglekar: No. For the gratuity, at least, we have worked out as per the law.

Gaurav Jani: Okay. Thanks. That is it.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I now hand the conference over to the management for closing remarks.

Parag Joglekar: Thank you, everybody, for joining this call. If you have any questions, if you need some inputs, you can reach out to our IR, Arash and he can help you to answer the questions. Thank you and good night.

Moderator: Thank you very much. That concludes this conference call. Thank you all for

joining us today and you may now disconnect your lines.

## Call: Apr 2026

April 30, 2026

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended March 31, 2026, conducted after the meeting of Board of Directors held on April 27, 2026, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference-Call-Transcript-for-Q4-FY-2026.pdf>

Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 18  
Data Classification: Public

Nippon Life India Asset Management Limited  
Q4 FY2026 Earnings Conference Call

April 27, 2026

### MANAGEMENT:

- MR. SUNDEEP SIKKA – MANAGING DIRECTOR & CEO
- MR. SAUGATA CHATTERJEE – PRESIDENT & CHIEF BUSINESS OFFICER
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ASHISH CHHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. PRAYESH JAIN – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Q4 FY26 Earnings Call

Page 2 of 18

Data Classification: Public

Moderator: Ladies and gentlemen, good day and welcome to Nippon Life India Asset Management 4Q FY'26 Earnings Call, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prayesh Jain from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.

Prayesh Jain: Thank you, Ikra, and good evening to everyone. On behalf of Motilal Oswal, I welcome you all to Nippon Life India Asset Management's fourth quarter FY'26 earnings conference call. We have along with us Mr. Sundeep Sikka, Managing Director and CEO, and the senior management team. We are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep sir for his opening remarks. Over to you, sir.

Sundeep Sikka: Thanks, Prayesh. Good evening and welcome to our Q4 FY26 earnings conference call.

We have with us, President & Chief Business Officer - Saugata Chatterjee, Chief Financial Officer – Parag Joglekar, Deputy Chief Financial Officer - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand-over to Parag, to speak in greater detail on the recent Industry trends as well as our performance, post which we will move on to QnA.

Coming to the Key Highlights:

- 1) I would like to start by mentioning that NAM India was the fastest growing AMC in the Top -10 AMCs, both in Q4 FY26 and FY26.
- 2) This led to a continued increase in our overall AUM market share.
- 3) We had the highest increase in AUM market share in the Industry in FY26.
- 4) Our market share at 8.89% is our highest since June 2019.

Q4 FY26 Earnings Call

Page 3 of 18

Data Classification: Public

- 5) Importantly, both Equity Net Sales market share and SIP market share remained well above our Equity AUM market share – with both being in the high-single digits for the quarter.
- 6) Moving to our financial performance, NAM India achieved its highest ever Annual Profit After Tax at INR 15.29 bn (a growth of 19% YoY), as well as highest ever Operating Profit at INR 17.48 bn (a growth of 24% YoY).
- 7) Further, we also achieved our highest ever quarterly Operating Profit at INR 4.93 bn.
- 8) For FY26, the Board of Directors have declared a Dividend Payout of INR 21.50 per share i.e., ~91.5% of net profit – this includes proposed Final Dividend of INR 12.50 per share.

Now I will hand over the call to Parag for further details on Industry trends and our performance.

Parag Joglekar : Thanks, Sundeep. Let me start off with the markets . Equity markets in Q4 FY26 witnessed a correction from prior quarter levels.

The NIFTY decreased by 14.5% QoQ, while the NIFTY Mid Cap & Small Cap indices decreased by 12.8% QoQ and 14.4% QoQ, respectively. The repo -rate was flat QoQ at 5.25%, while the 10 Year G -Sec yield increased by 45 bps QoQ to 7.04%.

Coming to data on the Mutual Fund industry:

- 1) Industry QAAUM grew by 20.9% YoY and 0.7% QoQ in Q4 FY26 to INR 81.5 trillion.
- 2) The share of Equity in overall AUM decreased by 0.6% QoQ, ending at 56.4% for Q4 FY26.

Now, moving to Industry flows:

- 1) Even in these volatile markets, the Equity category (excluding index funds and arbitrage funds) witnessed a gross inflow of INR 2.78 trillion and a net inflow of INR 1.23 trillion. Both gross inflows and net inflows were high

her QoQ.

- 2) Categories with the highest inflows were Flexi Cap, Multi Asset Allocation and Mid Cap funds.

- 3) The Fixed Income category i.e. (Debt + Liquid), witnessed a net outflow of INR 1.78 trillion in the quarter.

- 4) The ETF category had a net inflow of INR 709 bn – up 36% QoQ.
- Q4 FY26 Earnings Call

Page 4 of 18

Data Classification: Public

Moving on to SIP:

- 1) Industry SIP contribution for the quarter was INR 929 bn, up 19% YoY and 3% QoQ.
- 2) Monthly SIP flows in Mar -2026 stood at INR 321 bn – an all -time high.
- 3) Contributing SIP folios decreased by 0.7 mn i.e., 1% lower to 97.2 mn for Mar -2026 over Dec -2025, however on a YoY basis Contributing SIP folios increased by 16.1 mn i.e., 20% YoY.

At the end of the quarter, unique investors in the Mutual Fund Industry increased to 61.4 mn i.e., an increase of 13% YoY.

Now moving to our business performance:

- 1) We closed the quarter with total assets under management of INR 7.73 trillion. This includes Mutual Funds, Managed Accounts, Offshore Funds and GIFT City.
- 2) Our Mutual Fund QAAUM grew 30.1% YoY and 3.4% QoQ to reach INR 7.25 trillion. We were the fastest growing AMC in the Top -10 in Q4 FY26 & FY26 and had the highest increase in QAAUM market share among all AMCs in FY26.

I would now like to share a few key highlights for the quarter:

- 1) Starting with market share - Our market share increased 63 bps YoY and 24 bps QoQ to 8.89%.
- 2) Our Equity market share increased 24 bps YoY and was 3 bps QoQ to 7.16%.
- 3) We achieved a high single -digit market share in net sales in the Equity & Hybrid segment in Q4 FY26. However, excluding NFOs our market share would be in double digits.
- 4) We continue to have the largest investor base in the Mutual Fund industry, with 23.8 mn unique investors. We are humbled to have over 1 in 3 mutual fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book:

- 1) I am happy to share that there has been continued momentum in our systematic flows.

Q4 FY26 Earnings Call

Page 5 of 18

Data Classification: Public

- 2) Our monthly systematic book rose by 17% YoY to INR 37.2 bn for Mar -2026. This resulted in an annualized systematic book of INR 447 bn.
- 3) SIP market share stood at 9.84% for Mar -2026, marginally higher than 9.82% as of Dec -2025.

Moving on briefly to the ETF Segment:

- 1) We continue to be one of the largest ETF players with AUM of INR 2.42 trillion and a market share of 21.40%, which increased by 234 bps YoY and 109 bps QoQ.
- 2) Our share in the industry's ETF folios is 45%. We also have 52% share of ETF volumes on the NSE and the BSE. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry.
- 3) The Industry continued to witness a surge in Gold & Silver ETF volumes in the quarter. Combined AUM in these 2 ETFs for NIMF was ~INR 848 bn as of Mar 31, 2026, up 23% QoQ.
- 4) In QAAUM terms, our Gold & Silver ETFs represent ~36% of ETF AUM and 12% of MF AUM.
- 5) During the quarter we completed 2 Debt Index Fund NFOs, raising ~INR 8.6 bn cumulatively. These were – i) Nippon India CRISIL -IBX Financial Services 3-6 Months Debt Index Fund and ii) Nippon India CRISIL -IBX Financial Services 9 -12 Months Debt Index Fund.

Moving on to our digital franchise:

- 1) Digital purchase transactions & new SIP registrations rose to 5.04 million in Q4 FY26, up 44% YoY. We had our highest ever monthly transactions in Jan -2026 at 1.79 million.
- 2) Digital Business contributed 77% of the total new purchase transactions Q4 FY26.
- 3) During the quarter, NIMF's Digital Business intensified its focus on long -term investor behaviour, through multiple initiatives aimed at strengthening SIP habits and re -engaging terminated SIP investors amid market volatility helping rebuild confidence in disciplined, long -term investing despite short -t

erm  
market noise.

Q4 FY26 Earnings Call

Page 6 of 18

Data Classification: Public

Now, I would like to briefly update you on our subsidiaries and GIFT City:

- 1) Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 93.3 bn across various schemes, up 26% YoY.
- 2) In Q4 FY26, we raised INR 4 bn of commitments, across various asset classes.
- 3) Fundraising is currently underway for two of our Listed Equity AIFs, one Private Credit fund, and Direct VC Fund.
- 4) Based on the success of Nippon India Credit Opportunities Fund (NICO 1), we launched the second series - NICO 2 and successfully conducted 1st close in Q4 FY26. With the 1st capital call, the Fund is drawn -down to the extent of 25%.
- 5) On the Offshore front, our AUM stood at INR 139 bn. We continue to expand our footprint in new geographies across Europe, Asia, and Latin America.
- 6) Moving to GIFT City - As stated previously, we currently have 2 feeder funds - namely 'Nippon India ETF Nifty 50 BeES GIFT' Fund, and the Nippon India Large Cap Fund GIFT.
- 7) The AUM in these funds stood at USD 38 mn.

Now on to our Financial Performance:

- 1) For Q4 FY26, Revenue stood at INR 7.39 bn, up 30% YoY and 5% QoQ.
- 2) Other Income stood at negative INR 0.34 bn, lower both YoY & QoQ – due to market volatility.
- 3) Operating Expenses stood at INR 2.45 bn, up 16% YoY and down 1% QoQ.

- 4) Operating Profit stood at INR 4.93 bn, up 39% YoY and 8% QoQ.
  - 5) Profit After Tax stood at INR 3.85 bn, up 29% YoY and down 5% QoQ.
  - 6) For FY26, Operating Profit grew by 24% YoY, Profit After Tax grew by 19% YoY.
  - 7) As Sundeep mentioned earlier, for FY26, the Board of Directors have declared a Dividend Payout of INR 21.50 per share i.e., ~91.5% of net profit – this includes proposed Final Dividend of INR 12.50 per share.
  - 8) Lastly, the Board of Directors in their meeting today, have approved the following, based on the recommendation of the Nomination and Remuneration Committee:
    - o Grant of 3,87,448 stock units under the 'Nippon Life India Asset Management Limited –Performance linked Stock Unit Scheme 2023' ("PSU 2023") at INR 10.00 per stock unit.
- Q4 FY26 Earnings Call

Page 7 of 18

Data Classification: Public

- o Grant of 15,96,475 stock options under the 'Nippon Life India Asset Management Limited – Employee Stock Option Scheme 2023' ("ESOP 2023") at INR 898.04 per stock option.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Swarnabh Mukherjee from 360 One Capital. Please go ahead.

Swarnabh a Mukherjee: Hi sir, thank you for the opportunity and congrats on a great set of numbers. Three questions, sir. First of all, on the yield movement this particular quarter, just wanted to understand whether this is primarily a product mix shift towards the ETFs or is there anything else to read into that in terms of how the expansion has happened in terms of the margin?

And also, if you could call out the yield by category, including the ETF category also, how it has played out this quarter vis -à-vis last quarter? That's my first question. Secondly, sir, in terms of the SIP flow numbers that you have reported, the numbers have been broadly in that INR 3,600 crores to INR 3,700 crores kind of a range over the last 4 months, 5 months, 6 months.

So, I just wanted to understand what is -- how should we think about this trend going forward and in ter

ms of the flow in the various schemes that we have, has there been any change or movement? And if you could give some colour on new SIPs created vis -à-vis the redemptions that would be very helpful. And in conjunction, if we could also discuss about the net inflows in equity and active equity category, how they are looking vis -à-vis the SIP flows. And lastly, sir, yes, just one last question on the ESOP c ost, how to think about next couple of years?

Sundeep Sikka: I'll request Parag to take the question on yields and the ESOP cost and then we'll have Saugata Chatterjee talking about the flows.

Q4 FY26 Earnings Call

Page 8 of 18

Data Classification: Public

Parag Joglekar: Yes. So Swarnabh a, the yield movement is mainly due to the change in the asset mix as you mentioned, that has resulted in a slight increase, marginally higher yield in the current quarter. The yield on equity is 53 basis points, 55 ex-of arbitrage. On debt, it's 25 basis. On liquid, it remains in the range of

around 11 -12 basis points. On ETF, it's slightly higher than 25 basis points overall.

So blended yield is marginally up QoQ basis. And on the ESOP cost, for Q4 FY26 ESOP cost is INR 11 crores. The overall ESOP for the current year is INR 43 odd crores. And for the new plan, the next year ESOP cost will be in the range of around INR 35 odd crores. The overall cost on ESOP of the new plan will be in the range of around INR 70-75 crores over the next 4 years.

Swarnabh a Mukherjee: Okay, for the next 4 years and we can take a staggered approach in the numbers?

Parag Joglekar: Yes, so generally first year generally it's higher because it's on 50% sort of a numbers.

Swarnabh a Mukherjee: Right sir, understood.

Saugata Chatterjee: Yes, hi. So , coming to the SIP trends so like you mentioned we have the SIP flows are in the range of about INR 3,600 crores, INR 3,700 crores. You would have seen last quarter also in our call we had mentioned that the SIP net inflow which is coming in industry has sort of flattened. We are also sort of seeing a similar trend in our case. But along with that, what we have seen in the last say six odd months, we have started now building SIP book across few other categories, mostly in the hybrids and in the commodities funds.

One or two categories like I mentioned in the last quarter call, Flexi Cap and sector funds are these two categories where we really need to build our SIP book. We are working on that very closely. Hopefully that will keep giving us slightly better net sales growth as we go ahead from here on. But the good part is the SIP book market share is more than our equity AUM market share , which is definitely the reason why our equity market share is growing. So that should be the parameter which one needs to track and we are tracking that very closely.  
Q4 FY26 Earnings Call

Page 9 of 18

Data Classification: Public

And hopefully that should keep helping us have a stable growth in market share.

Swarnabh a Mukherjee: Okay sir, understood. Just to clarify, the equity net sales market share you had mentioned in your opening remarks it would be in high single -digit -- the number, correct?

Saugata Chatterjee: Yes, if you exclude the NFOs it is in double -digit. If you include NFOs, we don't do NFOs, so it is still closer to a double -digit.

Swarnabh a Mukherjee: Okay. Very helpful, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Yes, thanks for the opportunity and congratulations on a good set of numbers. My first question is on the regulation, so regulation that came with effect from 1st April, which has a potential impact of 5 basis points on equity AUM. Now that we are towards the end of April, just wanted to know what steps we have taken to mitigate the impact. And maybe how

should we see that impact going forward?

Parag Joglekar: So, Mohit, the impact will be in the range of around 3.5 -4 basis, which we will try to minimize even though it's the first month, but it is over the period we'll try to minimize for P&L impact .

Mohit Mangal: Okay, so will that be through a distribution cut or how that should be?



Saugata Chatterjee: Yes. Yes, we are going to pass on the entire thing to the to the distributors. So, it's pass-through .

Mohit Mangal: Understood, that's very helpful. Second is that the tax rate was very low in Q4, so what was the reason for that?

Parag Joglekar: So, there was some release post the assessments which we have taken a reversal in the current quarter. Plus , due to this mark -to-market losses also, there is Q4 FY26 Earnings Call

Page 10 of 18

Data Classification: Public

some lower taxation because the rates are slightly lower on that. So that is why there is a slightly lower taxation on that side.

Mohit Mangal: Understood. My last question is towards the share of folios in the ETF space, you know, that has come down from 53% in Q4 FY25 to 45% in the current quarter. So , are we facing a lot of competition within this space or how should we look at?

Saugata Chatterjee: So, you know, if you see the ETF, the colour of the ETF flows which are coming in various categories in the industry, the commodity ETFs have seen some higher inflows in the last six months and typically in the last three months barring say March. So , it's not competition, it is something related to -- you know, it's more related to how the market looks at multiple options when they are trying to diversify their product bouquet.

We still remain highest on volumes; our volumes are the highest. Our inflows from a net inflow point of view is still higher. So , we continue to build on that perspective in the market. So , ETF is more about volumes, it is more about how many new investors are, you know, trading on the exchange and what is the impact cost we are able to deliver in the funds.

Sundeep Sikka: It's important to note that the overall volumes continue to grow.

Mohit Mangal: Right now, this is very helpful. Thanks , and wish you all the best.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi. Thanks for the opportunity. Just a few questions from my side. Firstly, in the as you mentioned, right, that the SIP momentum in the industry itself has kind of stabilized and post that also we've seen markets not doing great, right? So , do you see any further slowdown or how should we kind of read into this from an industry trends perspective and especially if you could highlight how are the trends different between say a do -it-yourself model versus a distributed model?

Q4 FY26 Earnings Call

Page 11 of 18

Data Classification: Public

That's my question number one. Question number two is, you know, last couple of quarters we've seen a very strong traction on silver and gold ETFs in terms of flows and because of which we have kind of benefited on the yield. How do you see the traction at least in the near term on these categories? And my last question will be on the expenses front, overall expenses, you know, you've been guiding about a 15% growth in overall expenses.

Should we kind of stick to that and as basis points of AUM we are still higher than a few of our peers. So , do you think that we can structurally over the next couple of years, we should start tending towards that kind of a number or how should we look at expenses? Yes, those would be my questions. Thanks.

Parag Joglekar : So Prayesh, the expense number I will take it and then Chatty will add on to the sales number thing. So , the expenses, yes, our guidance will still remain in the range of around 15% -16% YoY ex of ESOP. The idea is always

that we should have an operating leverage and as the AUM grows, the operating leverage should kick in and should help us to reduce the basis over longer period. That will be our thought process.

Saugata Chatterjee: Yes, on the SIPs, it's a good question. See, what we are seeing is that the Fintech platforms are definitely aiding growth of the SIP book in the industry. The client behaviour might be slightly different than what comes in from a distributor -led SIP inflow. The cycles are a bit shorter when it comes to a Fintech investors, but the good part is they are ready to commit more and hence the average ticket size is also now moving up. So that's a good trend.

The other side is, when it comes to distributor -led SIPs, we are finding that these volatile conditions are leading them to educate the investor and show better retention. You know, challenges will always remain, but as we progress from here on and more SI Ps moving towards hybrid category and large cap oriented funds will lead to better retention in times to come. That's our thought process and view.

Prayesh Jain: And just on that question on the silver and gold ETFs, what is the kind of traction that we've seen in the near term on this, on these products?

Q4 FY26 Earnings Call

Page 12 of 18

Data Classification: Public

Sundeep Sikka: As you would have seen, gold, silver, and why only gold, silver, most of the flagship ETFs, because of our volumes, liquidity, we normally get a higher share. Last two -three years because underlying gold and silver prices increased, we definitely saw a lot of new investors coming in.

Last two months , since the price has come down, we have also seen we have also seen a little bit decrease in volume . But interestingly, this Akshaya Tritiya which was there recently, out of the total traded volume on the stock exchange that day, 63% of the volume was of Nippon commodities.

So, we'll continue building a strong foundation. We don't want to look at the numbers on a monthly or a weekly basis, but the key fundamental things which is basically the tracking error, the liquidity, I mean these are the two things we continue focusing on and there's a natural pull for the products and we feel whenever commodities, depending on the cycles the way they move, investors whenever they come, we remain one of the first port of call.

Saugata Chatterjee: Also , to add, we are also seeing a lot of SIPs coming in this category. You know, that will really give stability to this category in times to come, which used to happen about five years, ten years back. I think that's a good trend. I hope we have answered your question, Prayesh.

Prayesh Jain: Yes, sir.

Moderator: Thank you. The next question is from the line of Shivaji Thapliyal from Yes Securities. Please go ahead.

Shivaji Thapliyal: Am I audible?

Moderator: Yes, please go ahead.

Shivaji Thapliyal: Yes, thank you for the opportunity. Just a couple of questions surrounding the SIF business. One is that when is the SIF business actually starting on the ground? Is there any specific timeline for that and is there anything holding it up? That's number one.

Data Classification: Public

And number two, what is the outlook for this business, from a medium term, maybe couple of years perspective and also long term, five -year perspective from an AUM standpoint and also perhaps profitability? Thank you.

Sundeep Sikka: Let me, take this second question first, you know. This is a new business line. We somehow are convinced this can become very big. This is something what ETFs were about 10 years back. Very difficult to put a number to it 10 years back if somebody would have asked about the ETF business, they would not have been able to say how big it can become.

But we are seeing this business as an important pillar in times to come, point

number one. That is one of the reasons we have built up a very strong team under the leadership of industry veteran Andrew. And so, what will be the numbers, what will be the AUM we do not know, but we clearly feel this is a product and a category there is a demand for that, there is a separate market for that, is a separate niche and it requires a specialized skill set for that. And we are getting ready. So , this is an important opportunity.

To your question of when do we hit the ground, while yes we have not formally launched our product, definitely there's a lot of work happening at the back end to decide and work on back testing of certain products and all that which we want to launch because no idea trying to launch a SIF which is a mutual fund plus 10% -20% variation of the mutual fund. You really want to be differentiated and add value to investors.

So, to your question, we are very serious about this business because we feel it satisfies, it takes care of a separate need which some investors have, and Andrew and team are already working on it.

Shivaji Thapliyal: Thank you.

Moderator: Thank you. The next question is from the line of Praveen from HSBC. Please go ahead.

Praveen: Thank you and good evening. Congratulations on a good set of numbers. Two questions from my side. Firstly , about GIFT City, wanted to understand your strategy and if you have any more products planned. Second is just about the Q4 FY26 Earnings Call

Data Classification: Public

little overhang with the SEBI fine and everything, so if there is any timeline on resolution?

Sundeep Sikka: So, let me take the second one first, you know. At this point of time, we do not have anything new to disclose other than that has been disclosed to the stock exchanges. As and when we hear from SEBI, we'll inform, you know, through the stock exchanges. So that is point number one.

Point number two on the GIFT City, we feel GIFT City is again becoming an important gateway into India. So , while there is a lot of discussion happening on money moving out of India launching products which is under LRS, but we see a bigger opportunity of money coming into India.

All our roadshows that we've been doing in Japan and certain other markets, we feel today the acceptability of GIFT City is increasing and more foreign flow will come into India through GIFT City. So , we have our operations in place there, we have a complete team, and we have some more details on slide number 25.

Praveen: Great, right. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: Hi, thank you for the opportunity and congrats on a good set of numbers. So, I have just one question on SIP folios. So, we have seen the SIP folios have been declining on a sequential basis. So, any read-through out there and if you could just help us understand what are the SIP trends in terms of flows with respect to the month of April? And secondly, I just wanted to know your thoughts on the stickiness of SIP flows in the commodity ETF segment? Yes, these are my two questions.

Saugata Chatterjee: So, the SIP inflows if you take Q3 and Q4, of course there is a jump in the Q4 numbers vis-à-vis Q3. Like I mentioned, you know, November, December, Jan, Feb was a bit of a tough phase for, you know, the industry as well as the inflows were lesser. But March we have seen a slightly better month.  
Q4 FY26 Earnings Call

Page 15 of 18

Data Classification: Public

So, the trends continue to be better as we go ahead. So that helps us in net SIP growth every month which probably will start now reflecting further in the SIP book. We have seen in March our SIP book has improved. So, which is a clear indication that, you know, the investors are coming in with slightly better understanding of the volatility.

So that's the first part. When it comes to SIPs in the commodity side, most of the SIPs are coming in gold and silver of course. There are SIPs which flow into other categories which have got a commodity tilt like hybrids, like Fund of Funds. So we are, we keep getting flows which are coming through the Fund of Fund also into our hybrid into our commodity fund.

Mahek: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good evening, everyone. My first question is for Chatterjee sir, and first of all, congratulations on the new role as well. Sir, on the SIP again, like what we've seen in the last few months is like you mentioned there was a little bit of a slowdown in net SIP inflows. Just wanted to check here whether you've seen people take money out and kind of take it out of the mutual funds itself or compared to the past you've seen people kind of staying on within the mutual fund ecosystem and moving that money into some of the safer products or let's say at least more exciting products like the commodity ETF.

Just, you know, some qualitative sense on that. And secondly, in terms of the Fintech versus traditional channel, you mentioned that the Fintech channel ticket sizes have gone up. So, if you could just give some sense of what is the relative difference in terms of the Fintech SIP book versus the traditional SIP book? That's the first question, sir.

Saugata Chatterjee: Okay. So, SIPs, you know, when it comes to SIPs which are coming through the Fintech platform, like I mentioned, they are a bit of a short cycle because they come with a past track record in perspective and if there is a volatility which is what is the fact in the market today, they tend to stop and restart.

Q4 FY26 Earnings Call

Page 16 of 18

Data Classification: Public

So, the good part is they do not exit the AUM, they restart a new journey and

that's the reason why the SIP discontinuation number in the industry looks to be on the higher side. But when it comes to net SIP accretion every month, there is a positive accretion which is happening.

When it comes to the average ATS, the ATS is sequentially moving up on the digital side. Maybe they are in the range of 60 to 70% of the regular SIP which comes in from the distribution channel, but the catch-up has been very good and very fast.

So, the education drive which is happening digitally through Fintech platforms and through the asset management companies is really helping the investors to commit a slightly larger SIP amount on a monthly basis. I hope I have answered your question.

Abhijeet Sakhare: Yes, sir. And secondly, you know, question for Parag sir would be that, you know, what would be the MF revenues in the year 2026?

Parag Joglekar: Percentage it will 92% approximately on the overall revenue for Q4 .

Abhijeet Sakhare: 92% of the overall revenues is mutual funds. Okay.

Parag Joglekar: 91% for FY26 .

Abhijeet Sakhare: Understood. Those were my questions. Thank you.

Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Hi sir. One simple question, if I look at the industry leader and the recent one that also IPO and looking at their operating margin versus our operating margin, is there a clear pathway in our head wherein we also can reach at those EBITDA margins or given the product mix we are likely to remain at a lower EBITDA margin business compared to the other two companies?

Parag Joglekar: So, Divyansh, the basically the reason for us is that we are maintaining the EBITDA margin, that that is what we have been continuing even though there Q4 FY26 Earnings Call

Page 17 of 18

Data Classification: Public  
is a trajectory that the telescoping pricing will

keep on dropping the overall  
TER, but we are we are continuing to keep the margin intact for so many years.  
The question or the reason is mainly the mix in AUM.

We have 33% AUM mix of ETF and we are significantly higher on ETF in our overall AUM and that's why our margins are lower. But the idea is to grow the overall profitability year on year and grow as a percentage growth which is which is in line or higher than most of the industry player.

So that is what the number we are looking at rather than the only bps which is which is a derived number from that. So absolute profit will be more critical for us to monitor and grow as a business.

Divyansh Gupta: Understood, and second question, if you can share any updates on the recent JV that we formed.

Sundeep Sikka: So, broadly that's for the AIF business, you know, as we have signed up a non-binding agreement, you know, and the idea is we will be launching products in AIF.

The idea is we clearly see an opportunity to get a lot of overseas money and especially the alternate and the infrastructure side. Also, as far as the JV is concerned, it will also help in collaboration not only in the AIF where it will be a JV, but also with the mutual fund business, you know, to as in whether

from a capability of international funds, ETFs, and also offshore money. So, I think it will play out.

The idea is to keep getting ready as India keeps, you know, getting stronger. More foreign money will come into India and I think building capabilities access, we were always very strong in Japan. So now this JV gives us an access to Europe.

Divyansh Gupta: Got it, got it. Understood. And just one last question. Like in India we have feeder funds going into US, right? So, let's say there will be a Vanguard fund or a JP Morgan fund. And not specifically related to Nippon, but generally as an industry level, is there anything moving towards making a fund of fund kind of structure being made available in India so that actually the retail money can

Q4 FY26 Earnings Call

Page 18 of 18

Data Classification: Public

come in because I understand Gift City is there but the ticket size for a Gift City will also be higher, but a feeder fund can actually drive much more retail AUM. So, is there any work at industry level to create feeder funds coming into India?

Sundeep Sikka: I will not be able to comment on behalf of the industry. As a company our focus is always keeping investor in mind. As and when we feel there is an appetite and there's a need, we will be open to launch it. And to your earlier question, having DWS with us, you know, and DWS is one of the largest international players both in not also in ETF space, but also passives, you know.

So, there could be I do not want to say it will happen but depending as and when there's a need from the investors and the demand from the investors, we feel we are in a strong position to launch products like these.

Divyansh Gupta: Got it, got it. Understood. Thank you.

Moderator: Thank you. That was the last question for today. I now hand the conference over to the management for closing comments.

Parag Joglekar : Okay, thank you all for taking out time to join us on the call today. If you have any other further queries, we will be happy to address the same post the call. Thank you.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines.

## Call: Jul 2026

July 23, 2026

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai 400 001  
BSE Scrip Code: 540767  
National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block, Bandra Kurla Complex,  
Bandra (East), Mumbai 400 051  
NSE Scrip Symbol: NAM -INDIA

Dear Sir(s),

Sub.: Transcript of the earnings conference call for the quarter ended June 30 , 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30 , 2026, conducted after the meeting of Board of Directors held on July 22 , 202 6, for your information and records.

The above information is also available on the website of the Company:  
<https://mf.nipponindiaim.com/InvestorServices/pdfDocuments/Conference -Call-Transcript -for-Q1-FY-2027.pdf>

Thanking you,

Yours faithfully,  
For Nippon Life India Asset Management Limited

Valde Varghese  
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 21  
Data Classification: Public

Nippon Life India Asset Management Limited  
Q1 FY27 Earnings Conference Call

July 22, 2026

### MANAGEMENT:

- MR. SUNDEEP SIKKA – MANAGING DIRECTOR & CEO
- MR. SAUGATA CHATTERJEE – PRESIDENT & DEPUTY CEO
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
- MR. AMOL BILAGI – DEPUTY CHIEF FINANCIAL OFFICER
- MR. ARPANARGHYA SAHA – CHIEF DIGITAL OFFICER
- MR. ASHISH CHHUGANI – HEAD OF AIF
- MR. AASHWIN DUGAL – DEPUTY HEAD OF AIF
- MR. SHIN MATSUI -SAN - NOMINEE OF NIPPON LIFE INSURANCE , JAPAN

MODERATOR : MR. KARTIKEYA MOHATA – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Q1 FY27 Earnings Call

Page 2 of 21

Data Classification: Public

Moderator: Ladies and gentlemen, good day and welcome to the Nippon Life India Asset Management Q1 FY'27 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touchtone phone. I now hand the conference over to Mr. Kartikeya Mohata from Motilal Oswal Financial Services. Thank you and over to you, sir.

Kartikeya Mohata: Yeah, thank you. Good evening, everyone. On behalf of Motilal Oswal, I welcome you all to Nippon Life India Asset Management's 1Q FY'27 earnings conference call. We have along with us Mr. Sundeep Sikka, Managing Director and CEO, and the senior management team. We are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. Sundeep sir for his opening remarks. Over to you, sir.

Sundeep Sikka: Thanks, Kartikeya. Good evening and welcome to our Q1 FY27 earnings conference call. We have with us, President & Deputy CEO - Saugata Chatterjee, CFO – Parag Joglekar, Deputy CFO - Amol Bilagi, Chief Digital Officer - Arpan Saha, Head AIF - Ashish Chugani, Deputy Head AIF - Aashwin Dugal and Shin Matsui -san, nominee from Nippon Life Insurance (Japan).

I would first like to share key highlights of our performance and post that I will hand -over to Parag, to speak in greater detail on the recent industry trends as well as our performance, post which we will move on to QnA.

Coming to the Key Highlights:

1. I would like to start by mentioning that NAM India was the fastest growing AMC in the Top -10 AMCs in Q1 FY27 on overall and equity AUM, both on a YoY & QoQ basis.
  2. This led to a continued increase in our overall AUM and equity AUM market share.
  3. We had the highest increase in AUM market share in the industry in Q1 FY27, both YoY & QoQ. In fact, we even had the highest absolute AUM growth in the industry in Q1 FY27.
- Q1 FY27 Earnings Call

Page 3 of 21

Data Classification: Public

4. Our market share at 9.04 % is our highest since June 2019.
5. Importantly, both Equity Net Sales market share and SIP market share remained well above our Equity AUM market share – with SIP market share in high -single digits and Equity Net Sales market share in double digits for the quarter.
6. Moving to our financial performance, NAM India achieved its highest ever Quarterly Profit After Tax at INR 5.04 bn (a growth of 27% YoY), as well as highest ever Quarterly Operating Profit at INR 4.94 bn (a growth of 31% YoY).

Now I will hand over the call to Parag for further details on industry trends and our performance.

Parag Joglekar: Thanks, Sundeep. Let me start off with the markets: Equity markets in Q1 FY27 witnessed a rebound from prior quarter levels. The NIFTY was up 7% QoQ, while the NIFTY Mid Cap & Small Cap indices were up 17% QoQ and 24% QoQ, respectively. The repo -rate was flat QoQ at 5.25%, while the 10 Year G-Sec yield decreased by 29 bps QoQ to 6.75%. Gold and



silver prices declined 3% & 1% QoQ, respectively.

Now, moving to Industry AUM and flows:

1. Industry QAAUM grew by 15% YoY and 2% QoQ in Q1 FY27 to INR 83.1 trillion.
2. The share of Equity in overall AUM increased by 0.8% QoQ, ending at 57.2% for Q1 FY27.
3. The Equity category (ex-of Index Funds & Arbitrage ) witnessed a gross inflow of INR 2.46 trillion and a net inflow of INR 1.13 trillion – both were lower QoQ .
4. Categories with the highest inflows were Flexi Cap, Small Cap and Mid Cap funds .
5. The Fixed Income category i.e. (Debt + Liquid), witnessed a net inflow of INR 338 bn in the quarter after an out

flow in the previous quarter.

6. The ETF category had a net inflow of INR 291 bn, lower on a QoQ basis.
7. Quarter -end unique investors in the Mutual Fund Industry increased 12% YoY to 61.9 mn .

Q1 FY27 Earnings Call

Page 4 of 21

Data Classification: Public

Moving on to SIP:

1. Industry SIP flows for the quarter stood at INR 939 bn, up 16% YoY and 1% QoQ .
2. Monthly SIP flows in Jun -2026 stood at INR 318 bn – near the all -time high level.
3. Contributing SIP folios for Jun -2026 increased 13% YoY and 1% QoQ to 97.8 mn.

Now moving to our business performance:

1. We closed the quarter with total assets under management of INR 8.62 trillion . This includes Mutual Funds, Managed Accounts, Offshore Funds and GIFT City.
2. Our Mutual Fund QAAUM grew 22.7% YoY and 3.7% QoQ to reach INR 7.52 trillion .
3. We were the fastest growing AMC in the Top -10 in Q1 FY27 on overall and equity AUM, both on a YoY and QoQ basis and had the highest increase in QAAUM market share among all AMCs in Q1 FY27.

I would now like to share a few key highlights for the quarter:

1. Our Mutual Fund market share increased 54 bps YoY and 15 bps QoQ to 9.04% .
2. Our Equity market share increased 34 bps YoY and 22 bps QoQ to 7.38%.
3. We achieved a double -digit Net Sales market share in the Equity segment (ex -of Index Funds & Arbitrage).
4. We continue to have the largest investor base in the Mutual Fund industry, with 24.1 mn unique investors . We are humbled to have over 1 in 3 Mutual Fund investors invest with us.

I would also like to touch upon some important aspects of our Systematic Book:

1. I am happy to share that there has been continued momentum in our systematic flows .
  2. Our monthly systematic book rose by 12% YoY to INR 37.2 bn for Jun -2026 . This resulted in an annualized systematic book of INR 446 bn .
  3. SIP market share stood at 9.84% for Jun -2026, similar to Mar -2026.
- Q1 FY27 Earnings Call

Page 5 of 21

Data Classification: Public

Moving on briefly to the ETF Segment:

1. We continue to be one of the largest ETF players with AUM of INR 2.43 trillion and a market share of 21.35%, which increased by 159 bps YoY .
2. Our share of industry's ETF folios and volumes remains strong at 45%+. Our ETFs' average daily volumes, across key funds, remain far higher than the rest of the Industry .
3. This quarter, the Industry witnessed a decrease in Gold & Silver ETF volumes . Combined Closing AUM in these 2 ETFs for NIMF was ~INR 827 bn , down 2.5% QoQ.
4. In QAAUM terms, our Gold & Silver ETFs represent ~32 % of ETF AUM and 12% of MF AUM.

Moving on to our digital franchise:

1. Digital purchase transactions & new SIP registrations rose to 4.49 mn in Q1 FY27, up 26% YoY.
2. Digital Business contributed 78 % of the total new purchase transactions in the quarter.
3. In Q1 FY27, NIMF's Digital Business sharpened its focus on long -term investor behaviour by driving initiatives to scale business and strengthen SIP habits, helping rebuild confidence in disciplined investing amid market volatility

Now, I would like to briefly update you on our subsidiaries and GIFT City:

1. Starting off with AIF - Under, Nippon India AIF, we offer Category II and Category III AIFs and have raised cumulative commitments of INR 95.8 bn across various schemes, up 18% YoY .
  2. In Q1 FY27, we raised INR 2.5 bn of commitments , across various asset classes.
  3. Fundraising is currently underway for our Listed Equity Fund, Private Credit Fund, and Direct VC Fund.
  4. Nippon India Equity Opportunities Scheme 10 (NIEO 10) achieved its final close and is now fully drawn -down.
  5. Nippon India Equity Opportunities Scheme 11 (NIEO 11) completed its 2nd drawdown and the Fund is currently 50% drawn -down.
- Q1 FY27 Earnings Call

Page 6 of 21

Data Classification: Public

6. Nippon India Credit Opportunities Fund (NICO

2) , with the 2nd capital

call in Q1 FY27, is drawn -down to the extent of 40%.

7. On the Offshore front , our managed AUM stood at INR 147 bn, up from INR 139 bn in the previous quarter .

8. Moving to GIFT City - As stated previously, we currently have 2 feeder funds - namely ' Nippon India ETF Nifty 50 BeES GIFT' Fund , and the Nippon India Large Cap Fund GIFT .

9. The AUM in these funds stood at USD 48 mn .

Now on to our Financial Performance:

1. For Q1 FY27, Revenue stood at INR 7.67 bn , up 26% YoY and 4% QoQ.
2. Other Income stood at INR 1.70 bn , higher both YoY & QoQ.
3. Operating Expenses stood at INR 2.73 bn , up 19% YoY and 11% QoQ.
4. Operating Profit stood at INR 4.94 bn, up 31% YoY and flat QoQ.
5. Profit After Tax stood at INR 5.04 bn, up 27% YoY and 31% QoQ.

With this, I would like to conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Mehak from Emkay Global. Please go ahead.

Mehak: Yeah, hi. Thank you for the opportunity and congrats on a good set of numbers. So, first question was largely on the other expenses. So, other expenses have increased almost 17% QoQ . So, could you just highlight what would be the exact reason for the same?

Parag Joglekar: Yeah. So, thanks Mehak. We continue to invest on the digital and brand and technology side. So, the other expense increase is mainly due to that, we are investing in the technology, brand activities and on the digital platform. That has increased and we will keep doing that. That is the idea that we need to build this over the period, maybe next six to eight quarters in the similar fashion.

Mehak: Okay. And secondly, sir, the employee expenses, so basically you might have had Q1 hikes in the quarter. So, should we -- should the employee expense be largely in the similar range for the coming quarters?

Q1 FY27 Earnings Call

Page 7 of 21

Data Classification: Public

Parag Joglekar: So, the current quarter there is an increase due to the increments which happen in the first quarter and slightly on ESOP side. And which should remain similar, increase in employee strength will happen will have a slight impact, but otherwise looks to be in similar range.

Mehak: And thank you. And lastly, sir, on the SIP flows, I mean your SIP flows have been quite healthy. So, could you just call out, which all largely, I mean which funds are seeing large amount of flows on the SIP side? That would be my last question?

Saugata Chatterjee: Okay. Yeah, so hi Mehak, this is Saugata this side. So, like in the previous calls we have been communicating that we have been broad-basing our SIP book. Earlier we had maybe one or two funds which was anchoring the SIP book. Now we have diversified that reasonably well and hence even though the market is volatile, we continue to increase our SIP book.

And we are also seeing a lot of SIP inflows coming through the Fintech platform as well as through our B30 initiatives which we are doing across India. The rebranding activity which Parag did speak about, the digital infrastructure support which we are getting is definitely helping us to increase our retail penetration.

Mehak: Got it, sir. And just I wanted to squeeze in one more. So, basically given the volatility, so are you witnessing any change in the behaviour with respect to direct versus distributed AUM or distributed SIPs? So, if you could just give some colour on that?

Saugata Chatterjee: See, what happens any investor who is coming in in these volatile markets, the investor behaviour remains similar, okay. Yes, the trends when it comes DIY investors do have a different trend. They tend to have shorter cycles. But there is a lot of education program which is happening from our side to elongate their cycle.

So, so that's an ongoing process. But what we

are seeing that in the last 2 years, the quality of the digital native or the digital investors who are coming in is definitely improving, right from the average ticket size, from the longevity of

Q1 FY27 Earnings Call

Page 8 of 21

Data Classification: Public

the SIPs, there is definitely an improvement happening. So, so that's where we stand at this point in time.

Mehak: Got it, sir. Thank you so much and all the best.

Saugata Chatterjee: Thank you.

Moderator: Thank you. The next question is from Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Yeah, hi. Good evening, everyone. Few questions from my side. Firstly, what has been the flows on the ETF, especially on silver and gold? That's question number one and how do you see this kind of panning out going ahead? Question number two is on the equity inflows, what is the kind of ground traction that you are seeing with respect to SIPs or any behavioural change in the last 3 months in the volatile environment that we've seen?

Similar question on the debt front, where we have seen industry -wide flows weakening and do you see any revival out there? And last question would be on SIF, what would be your plans there and product launches trajectory there? Those would be my four questions? Thanks.

Saugata Chatterjee: Saugata this side. First question which pertains to the commodity side, I think both silver and gold, though the industry at an industry level there has been a moderation in the flows which we have seen, of course on the ETF side, most of the industry players have moderated the rather restricted flows of INR 25 crores and plus in the ETF schemes.

It's an interesting trend, even though moderation has happened, industry continues to get net sales which is positive. We also continue to maintain our market share as we had previously in both gold and silver. Though volatile, but the nature of investors who come in gold and silver are very different.

So, that's the way the gold and silver is panning out. Coming to fixed income, I think the fixed income side of the business, though it has been volatile  
Q1 FY27 Earnings Call

Page 9 of 21

Data Classification: Public

because of the interest rate movement, see we have been trying to sort of broad - base the fixed income awareness amongst the investors.

It is all purely asset allocation which we promote in our company, either through asset allocation funds or create pure debt portfolio from a medium to long-term point of view. So, maybe industry will have would have seen some volatility, but we are trying to de-risk the portfolio by bringing in more investors into the fixed income part of our business.

But yes, there is definitely volatility in the fixed income from an industry point of view. When it comes to equity inflows, if you if you breakdown the quarter gone by between April, May and June, April and May did see a moderation in the flows in the industry, June had seen a spike, rather it moved up.

So, net -net the flows are SIP plus -- it is not only SIP, SIP plus lumpsum is definitely coming into the industry and hence it continues to be robust. From our point of view, we continue to have double -digit net sales in the equity side, ex of index and arbitrage, and similar trend continues to be in the SIP.

From a behaviour change point of view, what we are finding is that if the performance of certain categories which are large cap, multi cap and the larger cap categories continue to be stressful, then maybe there can be moderation in flows in times to come, but we'll have to wait and see. As of now, there is no investor concern which we are seeing.

Finally on SIF, as we have been articulating, we are in the state of readiness and as and when we get our approvals, we'll definitely launch the funds, but we would like to see have a wait and watch approach in this category

. I hope  
I've answered.

Prayesh Jain: Yeah, thanks for all those answers. One bookkeeping question, I don't know if you've answered this. The asset -wise yields and what is the kind of guidance that you will have now? You've been a guiding for a 1 to 2 basis points yields drop every year, should we stick to that? And just extending that point, have

you passed on the complete impact of the 5 basis points exit load in this quarter or is there a partial impact there?  
Q1 FY27 Earnings Call

Page 10 of 21

Data Classification: Public

Parag Joglekar: Yes, Prayesh, the yields are -- equity is 54 basis ex of arbitrage, debt is 25 basis, liquid is 12 basis, and ETF as a category is 25 basis. Overall, our yield remain ed constant at 38 basis QoQ . On the pass through o f the TER changes which has happened, we have mostly passed on everything to the distributors through the commission alignment and there is no impact per se on the financials.

Prayesh Jain: Equity is, could you repeat what the equity is?

Parag Joglekar: Equity was 54 basis ex of arbitrage.

Prayesh Jain: 54?

Parag Joglekar: Yeah, and 53 with arbitrage number which was flat QoQ .

Prayesh Jain: Got that. Got that. Thank you so much and wish you all the best.

Parag Joglekar : Yeah, we continue to think that due to this pricing this thing, yield may drop on equity as the size goes up, which will be 1 to 2 basis on YoY on blen ded yield .

Prayesh Jain: Okay. Thank you. Thank you so much.

Moderator: Thank you. The next question is from Madhukar from JP Morgan. Please go ahead.

Madhukar: Hi sir, congratulations on a good set of numbers. First sir, we had restricted flows to the bullion ETF. What's the update on that? Do we still have the restrictions, what are the restrictions and were there any changes or what's the plan, when can we see that being lifted?

And second, what is our base TER on base expense ratio, sorry, on the bullion ETFs and arbitrage? Third, I'm not sure whether you covered this, but what's what have been the trends in terms of net equity inflow market share? So, you Q1 FY27 Earnings Call

Page 11 of 21

Data Classification: Public

gave a rough sense of what that number is. So, you know if you could give that?

And final question, sir, other income has shot up very strongly this quarter. Can you give some explanation in terms of debt, equity, what has been the big driver of that? Yeah. And how much is it? Yeah.

Parag Joglekar: Madhukar, basically the commodity ETF yields are more or less comparable with the equity numbers.

Madhukar: The bullion inflow restrictions. So, where are we with that?

Sundeep Sikka : So, Madhukar, on the restrictions, you know, it was done with the backdrop more from a country point of view, because gold imports were higher. It was, more from a national cost point of view. But if you see what we had done was also we had restricted inflows in excess of INR 25 crores.

And in our gold fund, which is not ETF, gold fund, above INR 10 lakh. So, broadly the retail flows still continue. It is only some investors who take trading

calls and other things for short-term, we restricted that. So, from our retail franchise point of view, our retail investors continue to have access to commodities.

And to your question on when we will open it, it will be difficult to give a date or this thing, but looking at the overall environment, good thing is because this was voluntarily done by the company. We continuously keep evaluating and may sooner than later open it.

Saugata Chatterjee: Coming to equity flows, the equity flows - QoQ there's an improvement. Last quarter it was higher single-digit. This time, this quarter it has been in the double-digit range ex of index and arbitrage.

Good part is the NFO market has shrunk because of less euphoria in the market. That is good for the industry and

that's how we would like to continue that. We don't launch NFOs. Yeah, any other point which is pending?

Q1 FY27 Earnings Call

Page 12 of 21

Data Classification: Public

Madhukar: The other income, Parag sir.

Parag Joglekar: So, Madhukar, the other income is mainly driven by the market movement, mainly on equity side and softening of interest rate on debt. So, that has driven.

Madhukar: Yeah, when I look at your investment book, equity is not very large in the investment book, right? So, that was what my confusion or maybe I'm missing anything over there.

Parag Joglekar: So, we have a large portion of small and midcap, Madhukar, as a seed capital. So, which has given the benefit to us.

Madhukar: Understood. And final thing, just coming back on the gold ETF. See, these are normally supposed to be backed by physical gold. So, given the current environment, how are you sort of arranging for gold? I mean, is there enough supply in the domestic market or you import it? How does that work?

Sundeep Sikka: No, as per SEBI rule, I think you're right. Everything has to be backed by physical. And yes, we have not seen any disruption during this period and otherwise we would not be able to take any inflows. The fact that inflows continue and every incremental rupee that comes in is backed by gold, so we do not see any disruption in supply chain.

Madhukar: Got it, sir. Congratulations on a great set of numbers and all the best, sir. Thank you.

Sundeep Sikka: Thank you, Madhukar.

Moderator: Thank you. The next question is from Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Hi, thanks for taking my question. Just a clarification on the other expenses. So, I gathered that you're investing more on the technology front and certain other investments. Is this the run rate that one should expect from this point onwards or are there certain expenses that will continue -- that you anticipate

Q1 FY27 Earnings Call

Page 13 of 21

Data Classification: Public

continuing for a certain period of time before they go back to an earlier level? Just wanted some clarity on that.

Parag Joglekar: We will keep on investing for some time because we think that there is a requirement to do investment on these. So, maybe for six to eight quarters we will keep on investing and see growth in the range of 18% to 20% on overall operating expenses (ex-ESOP and one-offs).

Rohan Nagpal: Understood. Okay. That's it. That's it from my side. Thank you very much.

Moderator: Thank you. The next question is from Prayesh Jain from Motilal Oswal Financial Services. Please go ahead. Mr. Prayesh Jain, you may go ahead with your question.

Prayesh Jain: Yeah, thanks for the opportunity again. I think on the overall expenses front, how should we think about the overall expense growth? You've been guiding for about a 15% growth in overall expenses. So, is that the guidance that you would like to stick to for the next 1 or 2 years?

And second question would be again on, you know, SIF, you just mentioned that you have -- so are the applications for products been filed with the regulator or they're still in the process? And there's quite a few things that are developing in the industry with regards to SIF. Now there are some distributor regulations also, examination regulations also that have been changed. Mutual fund and SIF examination to be merged. All those regulations are also being changed. So, definitely I think the industry is seeing this as a decent opportunity. Is it that we are just still waiting and observing, or the pipeline is very clear for us? And again, on the international front, any new developments, or any new geographies that you're getting into or any scale up or new launches that you're going to look at in the new offshore side? Thanks.

Sundeep Sikka: Regarding SIF, as my colleague S augata ment

ioned earlier, we're in a state of readiness. Rather than getting into the nitty-gritty of what stage we are at with the product and all, we are overall in a state of readiness. We remain very optimistic on this space. But we also feel typically a lot of products which have Q1 FY27 Earnings Call

Page 14 of 21

Data Classification: Public  
been launched initially by the industry, they are very, you know, I mean, they're the me-too kind of a thing.

I mean most of them are very similar, I think they're just mutual fund plus-plus. We believe that this is a category because we have a very big retail franchise on the mutual fund side. We want to be very clear that the products we're going to be launching are very highly differentiated and from pure mutual fund play. We already have our senior colleague Andrew Holland and his team on board, they're working on various things.

So, you will see us launching and for us this will be a very important business strategy going forward. That's the only thing I can mention, for point number one. To your second question on international, there are a lot of things which are happening. For us two markets remain critical. One is Japan, being our home country there, and on the other side our recent JV that we have announced for our AIF business with DWS.

So, there are a lot of things happening, starting from launching of funds and also approaching institutional investors. Some of these things are binary 0-1, they take time to happen. Maybe in the subsequent earnings call we'll have something more concrete to share. But specifically, and I'd like to touch upon the JV with DWS, we believe from Europe a lot more money can come to India and DWS is the largest asset manager of Europe and the JV has been done with that in mind.

Parag Joglekar : Yeah. And Prayesh, just to correct my earlier thing. The overall expenses we are expecting to grow in the range of around 18% to 20%, because we'll do the investment on technology and brand, which will be ex of ESOP and any one -

offs.

Prayesh Jain: I'm sorry. Yeah, thanks for that. Just the extension to that question on expense, 18% to 20% ex-ESOPs, so - and ESOPs should be declining YoY on FY27?

Parag Joglekar: The present as we go -- the present ESOPs, you know, going by that logic, yes, it will decline YoY.

Q1 FY27 Earnings Call

Page 15 of 21

Data Classification: Public

Prayesh Jain: Okay. And just the unit economics on DWS if you can highlight something, whether what kind of yields and what kind of money that we can make on this? Anything that you can share right now or it's too early to comment on that?

Sundeep Sikka: I think it would be too early. We see a very big opportunity there. We have just, you know, we are awaiting regulatory approvals, because as announced by the stock exchange, DWS will be taking 40% stake in our AIF subsidiary. And from our point of view, the key to that is basically, we are very strong domestically in India.

We have very strong Japanese access. But Europe access was lower -- and we will become one of the unique asset management companies in India where on one side it will be Europe and one side it will be Japan. And as India, and this is also going to be function of as India becomes more important for global investors, we believe we have a better edge compared to others to get this foreign money into India.

Prayesh Jain: Okay. Got that. Thank you so much for all the detailed answers. Thanks.

Moderator: Thank you. The next question is from Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good evening everyone. Sir, I had couple of questions on flows. So, if you could kind of highlight the incremental flows in terms of channels if there is any skewness towards direct versus the other intermediated channels. And we've generally seen for the industry the banking chan

nel has been relatively weaker, so anything to read across that you're seeing at a broader industry level and specifically for Nippon?

Saugata Chatterjee: Yeah, so I'll answer the second question first. From a channel perspective, the banking channel, see what happens to manage the banking channel you need the right experience and the geographic reach. So, from our perspective, we have seen incremental flows are only steady in the banking channel and we have a widespread of banking interface which we have across PSU, private sector, and the MNC.

Q1 FY27 Earnings Call

Page 16 of 21

Data Classification: Public

So, from our perspective we have not seen any sort of trend lines which show any moderation. The second and the other question was on percentage share of direct to regular. The direct flows have been stepped up a bit, because of the fintech platforms having a very high inflow of SIPs coming in from the fintech platform. So, definitely the direct inflows, new inflows coming to our funds, on the equity side has started inching up. The distribution piece also continues to be strong from our end. So, we are able to balance out the balance out the distribution of flows both in to direct and regular plan.

Sundeep Sikka : I think I'll just like to add one more thing, since we talked about the banking channel, while for us we have always stated as risk management, we have



always a very strong de-risked business model. Same is true for distribution. No distributor for us, no single distributor is more than 5% and we have a very high percentage which comes from MFDs. So, it is a very well-diversified portfolio distribution portfolio mix.

Abhijeet Sakhare: Got it, sir. And like with the digital channel generally the perception is that it's a channel which is always chasing performance relative to other channels. But when it comes to let's say the market volatility, is there a like a different trend in this sense that the digital channel is more sort of buy the dips versus the intermediated channel? Is there a like a color there?

Arpan Saha: Hi, thanks for your question. I am Arpan. So, I think it's all about the way you would want to run your campaigns across your digital channels, because it's also one of our imperatives that we educate our customer. So, in a time of dips, it's not that everyone comes to buy, because if you see the digital infrastructure is mainly visited by the Gen Zs more than anybody else.

So, the trust, process, and the confidence that we've been able to build up across our infrastructure, be it digital distribution or through user growth, that helps us to educate the customers in the right way. So, volatility while it might have its own measures, but we put the countermeasures in place so that, you know, at every year, every month or every day has to be, you know, on the basis of trust and process, which is long-term investing and we help them through digital platforms by nudges, by campaigns. So, we are there 360 across the customer.

Q1 FY27 Earnings Call

Page 17 of 21

Data Classification: Public

Saugata Chatterjee: So, we have also incorporated such stuff, you know, if an investor comes in for redemption, we actually, you know, make them realize that redemption is not right. You know, that education process is very robust at our end. So, that actually protects and the stoppages to quite an extent.

Abhijeet Sakhare: Got it, sir. And just, sorry, one more follow-up on the flows in terms of the funds where which are attracting strong inflows, those continue to be the same funds primarily small, multi and large cap or is there a like a different?

Saugata Chatterjee: Yeah, so we have small cap, we have large cap, we have multi cap, we have midcap, we have multi asset allocation fund, we have a large and midcap fund, we have the sector funds which are giving us inflows now because

the NFOs

are not coming. Now the traffic is moving to the secular, you know, sectoral funds which we have for 15-20 years in our company. So, we have a very well-diversified flow which is coming to our funds.

Abhijeet Sakhare: Got it, sir. And then one data question, if you can quantify the absolute revenue or the contribution from non-MF products in this quarter?

Parag Joglekar: It is in the similar range around 8% of gross revenue.

Abhijeet Sakhare: Okay. And just one follow-up when we on the AIF products, do we incur management fee on the commitment amount or the investment invested amount?

Aashwin Dugal: Hi, this is Aashwin. So, this depends on the strategy that you are running. So, in a typical PE VC fund, mostly you charge management fee on catch-up, while when we do a private credit kind of a fund, okay, or a Cat III fund, that's mainly on the drawdowns.

Abhijeet Sakhare: Understood. Okay. That's all from my side. Thank you.

Moderator: Thank you. The next question is from Shreyas Pimple from Nomura. Please go ahead.

## Q1 FY27 Earnings Call

Page 18 of 21

Data Classification: Public

Shreyas Pimple: Hi team, thank you for the opportunity. I had a question on performance. Obviously, we have had a good performance in last one quarter, probably that is why we have seen a better quarterly average AUM growth versus peers also. Can you highlight some metric that can be tracked in order to, you know, see and track the performance of the funds that we have?

Sundeep Sikka: So, I'd like to take this question a little differently. First the performance has been there over a longer period of time. And performance remains a very important parameter, but the way we see ourselves, for us there is a lot of input metrics that we try to, you know, monitor closely, which we believe this kind -- give this kind of results, you know. There are 17 factor analysis which, you know, a PDCA process which was started about seven -eight years back by Nippon Life, you know, from Nippon Life risk management and that has been helping.

And when I say help, it's making it more consistent because otherwise there it would -- this performance is not a flash in the pan, but if you see it's been a very long and sustainable one, I think Arash will give you the number, but 90% to 95% of the AUM is in quartile 1 and 2. So, that is one.

We would also like to touch, you know, as a company performance remains important, but you will never see us talking about performance. For us, you know, all our advertisements are about trust and processes, you know. So, the reason why I'm trying to touch this point is we are trying to build a franchise where performance will remain important but will may not necessarily be the selling point.

Shreyas Pimple: Understood, sir. Second question was on the ESOP expense. As far as I remember, there are two ESOP expenses, the first old one and the new one. Could you please quantify if there are any changes in the ESOP expenses that we will have or are they the same?

Parag Joglekar: Yes, so the ESOP expense for the quarter is around INR 13-14 crores and over the period it should be in the range of around INR 60 crores odd that is for the year FY27 .

## Q1 FY27 Earnings Call

Page 19 of 21

Data Classification: Public

Shreyas Pimple: Got it. Yeah, those were my questions. Thank you.

Moderator: Thank you. The next question is from Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Yeah, good evening, everyone and congratulations on a good set of numbers. My first question is on this distribution mix. So, we saw corporate accounting for around 37%. Now if I look this number five years back, this used to be around 50 -odd%. So, fair to assume that retail has overcome corporate and this trend is expected to continue?

Sundeep Sikka: I think your reading is correct. The way I would like to see it is that because of our reach today the retail part is becoming bigger day by day. The fact that we cover 100% districts of India, 97% of pin codes of India, we've been able to reach, both where physically or digitally, which is the reason the corporate looks to be shrinking as a percentage, but the good thing is both retail and corporate in absolute terms continue to grow.

Mohit Mangal: Understood. This is helpful. Now coming to flows, I think your opening remarks said that flexi cap is one where we have kind of received very good flows. Now this is kind of very young schemes, at our portfolio level with AUM also being low, whereas large and multi -asset kind of schemes are more than INR 500 odd billion. So, just wanted to know how have been the flows in these schemes as well?

Saugata Chatterjee: Yeah, so you're right, the flexi cap fund from our side is relatively new and last two-three years the markets have been volatile. But what the other category -- the large and midcap categories are more stable category. We have a very unique positioning of our Vision Fund in that space and hence we have been able to now incrementally build our flows in the large and midcap.

Flexi cap it'll take us some time because we would like the market to be more stable and therein the ability for the fund manager to have a nimble -footed approach towards flexi cap strategy really helps. So, for us it will be Vision Fund and then maybe flexi cap in times to come.

Q1 FY27 Earnings Call

Page 20 of 21

Data Classification: Public

So, we also would like to share that even though that category is large, most of the players in that category are large -cap biased and hence probably from our perspective we would like to be true to the label and even though it may lead us to be lower in the performance rankings, we would not like the mandate of the fund to change to attract flows. And we have enough funds to play the large cap space.

Mohit Mangal: Understood. This is very helpful and all the best for the future. Thank you.

Moderator: Thank you. The next question is from Raghvesh Sharan from JM Financial. Please go ahead.

Raghvesh Sharan: Hi, sir. Thanks for the opportunity. So, I essentially wanted to double -click on the AIF PMS piece. So, so first a hygiene, so the entire thing except the offshore business comes under standalone?

Parag Joglekar: No, so AIF is a different subsidiary and offshore is a different subsidiary.

Raghvesh Sharan: And the PMS but it comes in the...

Parag Joglekar: PMS is a part of the standalone.

Raghvesh Sharan: Okay. And at say around INR 60 odd crores of, you know, revenue in a quarter, I assume half of that would be going towards fee and commission expense. So, are we break even and what is the path to break even there if we are not? And for your view, when does it really become a significant contributor to bottom line?

Parag Joglekar: Yeah, so it's a profitable company. It's a profitable franchise.

Raghvesh Sharan: It's a PAT positive company.

Parag Joglekar: Yeah, you can see our financial are put on the website also.

Raghvesh Sharan: Okay. And secondly on the fintechs, like the largest fintech player gives out its -- the sectoral flows. So, over there how has does our market share trend and

Q1 FY27 Earnings Call

Page 21 of 21

Data Classification: Public

is it very volatile or is it stable at say somewhere around the 10% which is our overall market share across the board?

Arpan Saha: Hi Arpan over here, I think we have been able to spread our distribution across the digital ecosystem where fintechs is just a part of it and that is how we want to be. And we ensure that there is the there is kind of an equitable distribution even across fintechs. Market share yes, we tend to stay on the top three on the fintech space, and I think that's the way it's going to be in the times to come.

Raghvesh Sharan: Okay, sir. Thanks. Thanks for the answer.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to the management team for closing comments.

Parag Joglekar : So, thank you, thank you all for taking out the time to join us on the call today. If there are any queries, we shall we will be happy to address the same post this call. Thank you.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.